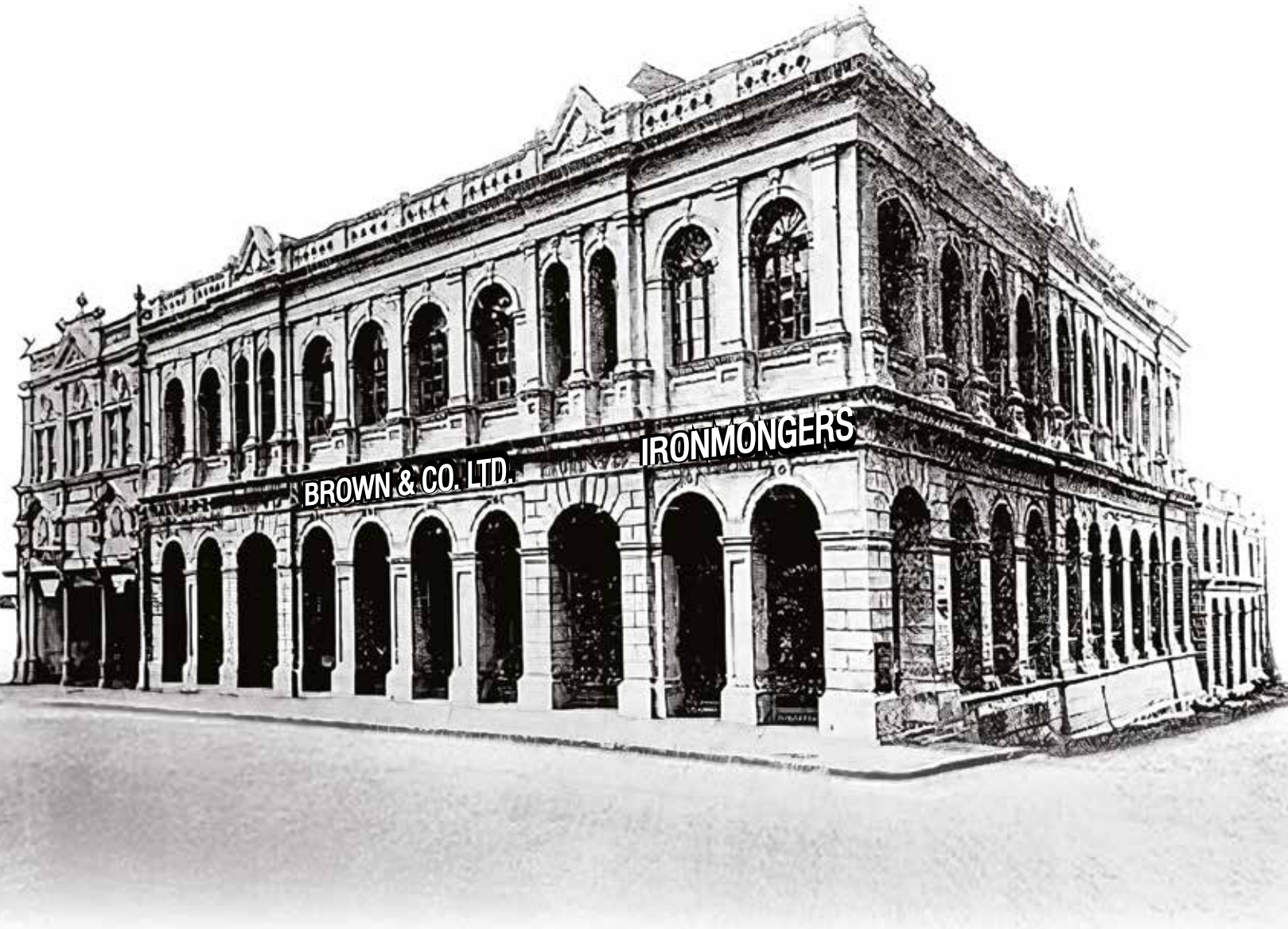


A TALE OF THE UNBREAKABLE

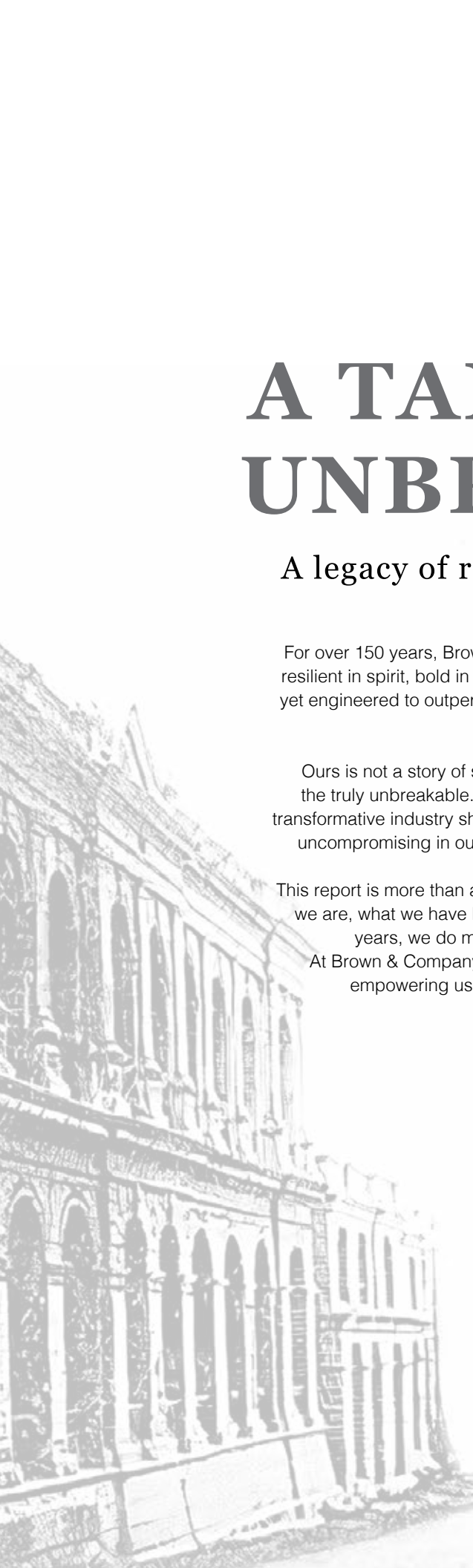
A legacy of resilience, vision and triumph





BROWN & CO. LTD.

IRONMONGERS



A TALE OF THE UNBREAKABLE

A legacy of resilience, vision and triumph

For over 150 years, Brown & Company PLC has stood as a beacon of strength—resilient in spirit, bold in vision, and unwavering in triumph. Born in a different era, yet engineered to outperform in every era since, we are shaped by our legacy but never confined by it.

Ours is not a story of survival; it is a manifesto of strategic mastery—a tale of the truly unbreakable. Through global upheavals, economic disruptions, and transformative industry shifts, we have remained steadfast: unyielding in our values, uncompromising in our pursuit of excellence, and unmatched in our purpose.

This report is more than a reflection of our past; it is a powerful reaffirmation of who we are, what we have built, and where we are destined to go. As we mark 150 years, we do more than honour history—we redefine the future.

At Brown & Company PLC, our legacy is the force that propels us forward, empowering us to remain timeless, unshaken, and unstoppable.

CONTENTS

INTRODUCTORY STATEMENTS

- 03** Vision, Mission, Values
- 04** Introduction to the Report
- 06** About us
- 08** Group Structure
- 10** Our Journey
- 18** Year at a Glance
- 20** Awards and Accolades
- 22** Financial Highlights

OPERATING CONTEXT AND STRATEGY

- 24** Business Model
- 26** Strategy and Resource Allocation
- 28** Risk and Opportunities
- 30** Operating Environment
- 31** Management Discussion & Analysis
- 50** Stakeholder Engagement and Materiality Aspects
- 56** Brand Report
- 59** Digital Transformation

OUR PERFORMANCE OVER CAPITALS

- 64** Financial Capital
- 68** Human Capital
- 80** Manufactured Capital
- 82** Social and Relationship Capital
- 88** Intellectual Capital
- 90** Natural Capital

STEWARDSHIP

- 94** Board of Directors
- 97** Senior Management
- 98** Corporate Governance Report
- 122** Audit Committee Report
- 125** Talent Development and Remuneration Committee Report
- 126** The Related Party Transactions Review Committee Report
- 128** Business Operations Committee Report & Nominations & Governance Committee Report
- 129** Annual Report of the Board of Directors
- 134** The Statement of Directors' Responsibility
- 135** Group Chief Executive Officer's and Head of Finance's Responsibility Statement
- 136** Statement of the Senior Independent Director

FINANCIAL STATEMENTS

- 138** Independent Auditor's Report
- 146** Statement of Profit or Loss
- 147** Statement of Comprehensive Income
- 148** Statement of Financial Position
- 150** Statement of Changes in Equity - Group
- 151** Statement of Changes in Equity - Company
- 152** Statements of Cash Flows
- 154** Notes to the Financial Statements

SUPPLEMENTARY INFORMATION

- 278** Ten Year Summary
- 279** Economic Value Statement
- 280** Investor Relations
- 282** Parent, Subsidiary and Associate Companies
- 291** Glossary of Financial Terms
- 292** Notice of Annual General Meeting
- 297** Stakeholder Feedback Form
- 299** Form of Proxy
- IBC** Corporate Information



See this Report and our full Corporate Responsibility Report online at: <https://www.brownsgroup.lk/investor-relations/>



VISION

To be a leading Sri Lankan conglomerate excelling through sunrise and sunshine industries with a global presence and cutting edge technology.



MISSION

With generations of trust and reliability, our aim is to continuously enhance the value propositions to our stakeholders through innovative and customer-centric solutions.

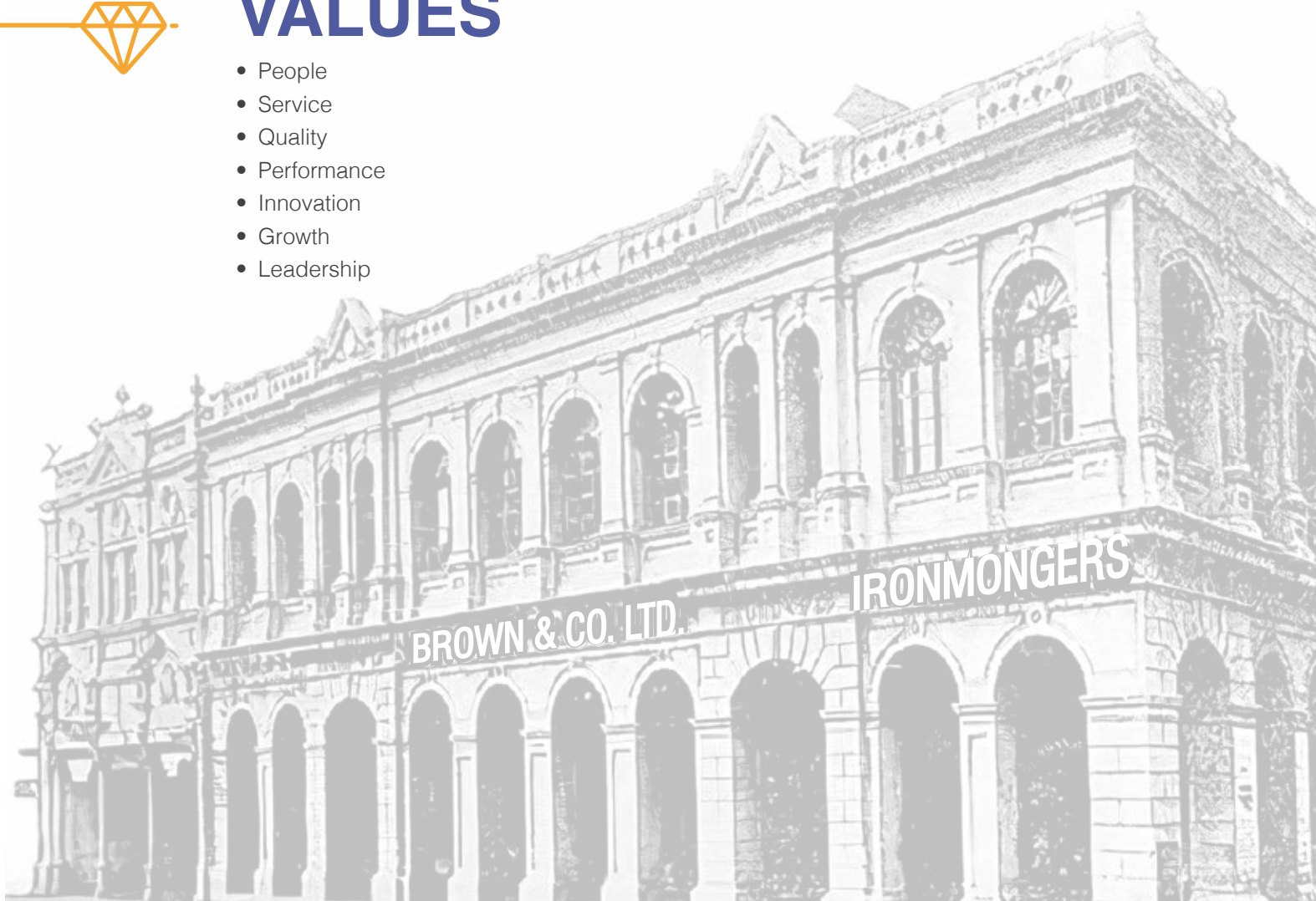


VALUES

- People
- Service
- Quality
- Performance
- Innovation
- Growth
- Leadership

BROWN & CO. LTD.

IRONMONGERS



INTRODUCTION TO THE REPORT

Brown and Company PLC is pushing ahead with a strategy for generating sustainable value in its corporate operations, by pursuing sustainable economic value, along with sustainable societal and environmental value. To ensure that readers fully understand what is intended by these activities, we took a systematic view of the financial information linked directly to business activities and non-financial information, and provided explanations accordingly.



This is an integrated annual report of Brown & Company PLC in accordance with the Integrated Reporting Framework of the International Integrated Reporting Council (IIRC), which provides a comprehensive but concise account of how the Group has created value for its shareholders and its stakeholders in 2024/25 - its 150th year of operation.

The report reflects on the value-creation model of the Group, which combines different forms of capital – financial, operational, governance, risk management and sustainability, environmental and social – in a comprehensive manner, providing material information on the same. This report aims to present a balanced and relevant account of a year of diverse business operations in multiple sectors, reporting with clarity and detail.

Scope of the Report

The performance of the holding company and its subsidiaries for the financial year of 01st April 2024 to 31st March 2025 is covered in this report, as well as material events that took place until the approval of the report by the Company's Board of Directors on 28 August 2025. The performance of the Company and its subsidiaries and Associate Companies have been included in this report.

Adoption of Integrated Reporting Guidelines

In keeping with our continuous efforts to achieve a more cohesive and efficient approach to corporate reporting, the Group voluntarily adopted the Integrated Reporting Framework of the IIRC. The seven guiding principles in integrated reporting are: strategic focus and future orientation, connectivity of information, stakeholder relationships, materiality, conciseness, reliability and completeness, consistency, and comparability. These principles have been given due consideration in preparing and presenting this report.

Board Responsibility Statement

The Board of Directors (the Board) of Brown and Company PLC acknowledges its responsibility to ensure the accuracy of the integrated annual report for the 2024/25 financial year and in doing so has applied its collective expertise in the compilation of this report. Accordingly, the Board is of the opinion that this report successfully addresses all material issues and is a balanced and accurate representation of the Group's performance in the year under review.

CAPITAL NAVIGATION ICONS



Financial Capital



Natural Capital



Manufactured Capital



Intellectual Capital



Social and Relationship Capital



Human Capital

Standards and Principles

Our reporting is aligned to the requirements of several domestic and international reporting standards, frameworks and regulations including the following:

- Integrated reporting

International Integrated Reporting (IIR) Framework issued by the International Integrated Reporting Council (IIRC) in December 2013.

- Financial reporting

The Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

- Corporate Governance reporting

Laws and Regulations of the Companies Act No. 7 2007.

Listing Rules of the Colombo Stock Exchange.

Code of best practice on Corporate Governance 2013 issued jointly by the Securities and Exchange Commission in Sri Lanka and the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

- Sustainability reporting

"In accordance" – Core of Global Reporting Initiative (GRI) GRI G5 Sustainability Reporting Guidelines.

Quality Assurance

We have taken every effort to ensure that our Annual Report reflects a balanced review that is complete and accurate. It is our intention to provide credible information with the aid of visual elements such as graphs and tables in a consistent manner, facilitating clarity and comparability.

External Assurance

We believe that third party assurance is vital in establishing the credibility and transparency of our report. External assurance on the financial statements has been provided by Messrs. Deloitte, Chartered Accountants.

Sustainability as a Precautionary Approach

We believe sustainability management is an important precautionary approach to economic, social and environmental risk management. The Company applies the precautionary principles mainly from two angles:

- Compliance Review with the applicable laws and regulatory requirements and operational Policies and Procedures.
- Obligation to take anticipatory action to prevent harm of any kind.

Decisions taken by the Company with regard to the application of the precautionary principle should be "open, informed, and democratic" and "must include affected parties".

Determining Materiality

Materiality analysis is a key process that enables the Group to define key triple bottom line issues that are of greatest significance to our businesses and stakeholders, both internal and external, in the short, medium, and long term. Our focus on materiality, recognised by both internal and external stakeholders, is vital as we drive performance, improve our sustainability framework and institutionalise the Group's corporate governance philosophy at all levels. Refer below matrix for further information.

Importance to External Stakeholders	Importance to Internal Stakeholders	
	Low	High
Importance to External Stakeholders	Minimal reporting / Not reported	Included in this Report and/or Company Website

Forward-Looking Statements

Throughout this report, there will be statements made that are 'forward-looking statements'. By their nature, forward-looking statements are speculative and allude to known and unknown risks, opportunities, macro-economic issues and any factors that could cause the actual results, performance, or achievements of the company to be materially different from the future results, performance, or achievements expressed or implied by such forward-looking statements. Forward-looking statements are not guarantees of future performance and reflect the Group view at the date of publication of this report. Brown and Company PLC is not obliged to publicly update or revise these forward-looking statements on events or circumstances occurring after the date of publication of this report.

Feedback

We welcome the views of our stakeholders on the Integrated Annual Report and the way in which we approach our strategic priorities. Please contact the undermentioned officer with your feedback. Refer to page number 297 for the stakeholder feedback form.

Prasanna Ganegoda
Head of IT,
Brown & Company PLC,
No 34, Sir Mohamed Macan Marker Mawatha,
Colombo 03.
Contact : +94 766582 507
Email : Prasanna.g@brownsgroup.com

ABOUT US

Browns at a Glance

Established in 1875, Browns has flourished over the years to grow into a household name with a reputation as strong as its years are long. Today, the prestigious Browns Group is one of Sri Lanka's largest diversified conglomerates, which manages a fast growing and valuable portfolio of brands across several key industry sectors, such as automotive; power generation; agriculture and plantation; pharmaceuticals; investments; construction; marine and manufacturing as well as leisure.

Key Highlights



Number of years in operation

150 years



Number of subsidiaries in the Group

104+



Total number of employees

44,952+



Brands

150+



Revenue

Rs. **108** Bn.



Assets

Rs. **753** Bn.

Our Products and Brands

Sector	Products	Primary brands
Automotive and Hardware		      
Agriculture and Heavy Equipment		         
Pharmaceuticals, Consumer and Industrial Engineering		      

Sector	Products	Primary brands
Agri Business and Plantations 	Tea, Rubber, Cinnamon, Fertiliser	  
Leisure and Entertainment 	Hotels, Inbound Tours, Outbound Tours, Entertainment, Restaurants	          
Engineering and Construction 	Telecommunication, Engineering and Construction work, Glass, Aluminium	   

For more information on sectors, products and brands, please refer to pages 31 to 49.

Core Values

A vibrant business portfolio and a bold attitude have seen our company grow and expand to become the icon of business excellence it is today. We consider the following core values as integral to the business and at the heart of our success.



People



Service



Quality



Performance



Innovation



Growth



Leadership

GROUP STRUCTURE

Browns Group of Companies

Agri Business & Plantations

AgStar Group

Browns Plantations

Maturata Plantations

Udapussellawa Plantations

Hapugastenne Plantations

Gal Oya Plantations

Tropical Island Commodities

Browns Plantations Kenya

Browns East Africa Plantations

Sunbird Sierra Leone

Browns Plantations Rwanda

Browns Plantations Guizhou

Browns Plantations Tanzania

Browns Tea

Pussellawa Plantations

Tea Smallholder Factories

Agriculture & Heavy Equipment

Browns Agriculture

Browns Power Systems

Browns Air Conditioning Solutions

Browns Heavy Machinery Solutions

Browns Marine & Leisure Solutions

Browns Agri Solutions

Automotive & Hardware

Browns Batteries & Tyres

Browns Hybrid Care

Klevenberg

Browns General Trading

Browns Thermal Engineering

Centralised Functions

Finance & Shared Services

Human Resources

Information Technology

Treasury

Administration

Marketing & Communications

Legal

Company Secretaries

Enterprise Risk Management

Business Process



OUR JOURNEY

THE BIRTH OF BROWN AND COMPANY

The year was 1872 – Sri Lanka, then Ceylon, still under British colonial rule, with lush emerald hills blanketed in tea, the island had an economy on the cusp of transformation. For Englishman James Brown, this offered rich potential for enterprise.

Brown had a clear purpose: to meet the growing demands of the island's booming agricultural sector. With plantations flourishing and the commercial landscape evolving rapidly, there was a pressing need for specialised machinery. His response was simple, yet profound, to bring industrial precision to the heart of Ceylon's plantation economy.

In 1875, he set up a workshop in Norwood, Hatton, a strategic choice as it was not only a critical hub for tea and rubber industries, but also a community shaped by the rhythm of the plantations. From this small foothold, Brown sowed the seeds of an enterprise that would be etched into the very fabric of the island's economic journey.



As the industry expanded, so did the ambitions of the fledgling company. In 1892, Brown & Co. Ltd. was formally incorporated as a locally registered rupee company, boasting a share capital of Rs. 500,000.

This milestone was more than just a legal formality; it was a crucial step in the company's growth, providing a formal structure for expansion and increased business activities.

By 1897, Browns had broadened its operational footprint beyond the hills of Hatton. New establishments rose in Colombo, the country's bustling capital, and in Nawalapitiya, another plantation stronghold.

With rapid expansion, the company tightened its bond with the industries that powered Sri Lanka's economy – tea, rubber – and the resolute spirit of progress.

EMBRACING THE AUTOMOTIVE AGE

As the 20th century dawned, the world was on the move. The age of the automobile had arrived and Brown & Co., ever attuned to the pulse of change, was ready to lead Sri Lanka into this exciting new frontier.

In 1909, the company made its first foray into the motor industry, importing the sleek Darracq Motor Car. It was more than just a vehicle, it was an indication of

transformation, heralding a new mode of transport in a country still reliant on carts and railways.

Just four years later, in 1913, Browns debuted the legendary Ford to Sri Lanka's roads, a move that firmly established the company as a pioneer of the island's automotive landscape.

In 1920, the company became the sole agent for a striking variety of automobiles and motorcycles – Essex, Ford and Albion lorries and tractors; Triumph, Clyno and Indian bikes; and agricultural workhorses such as Fordsons, with Browns playing a pivotal role in introducing the durable and efficient Fordson Tractors to boost agricultural productivity across Ceylon. This vibrant portfolio was not just about choice, it was about meeting the needs of a rapidly modernising nation.



Yet, Browns aspired to deliver an experience grounded in reliability, durability and service. As the sole agent for Goodyear's All-Weather Tread Motor Tyres, the company brought not just mobility but safety and endurance to Sri Lanka's increasingly developing busy roads.

To uphold these high standards, Browns invested in a robust service infrastructure. Garages and workshops were established across the country, each one operated under meticulous European supervision, and was more than mere mechanical service points.

The office and showroom were relocated to Bishopsgate House on Darley Road, Colombo, marking a significant expansion.

As business expanded, the company made substantial additions to support its growing operations and infrastructure needs. Several other enhancements were underway to accommodate the rising demand for vehicles and related services.

With dealers and service stations spanning Colombo, Hatton, Kandy, and Nawalapitiya, customers could rely on Browns not only for the purchase of vehicles, but also for trusted after sales care. The road to modernity had been paved, and Browns was in the driver's seat.

ENGINEERING AND AGRICULTURAL INVENTION

Brown & Co. may have driven Sri Lanka into the automobile era, but its journey of innovation and expansion was only just beginning. Diversification wasn't just a strategy; it was a mindset and a compass guiding Browns into new industries with the same pioneering spirit that had defined its early days.

In 1924, Browns introduced Exide batteries to the local market, a move that not only deepened its presence in the automotive sector but also demonstrated its knack for recognising potential before it became mainstream. Exide quickly

earned a reputation for power, endurance and affordability, becoming the battery of choice for generations, and a century later, that trust endures.

Later in 1935, Super Exide made its debut with the NS 40Z, a game changing battery designed especially for Japanese vehicles, becoming the go-to brand for motorists across Sri Lanka.

Yet, the road to success didn't stop at vehicles and batteries. By the mid-20th century, Brown & Co. had shifted gears once more, this time toward a sector that lay at the heart of Sri Lanka's identity: agriculture.

In 1950, the company made a landmark contribution to the nation's farming future by launching Ferguson Tractors & Implements. Among these was a historic first, the introduction of Sri Lanka's very first four-wheel tractor, the iconic Massey Ferguson.

Browns backed its products with strong emphasis on affordability, ease of use and reliable service support, ensuring that technology reached even the most remote corners of the island.

To support its expanding engineering ambitions, Browns made significant investments in technical infrastructure. By 1954, a cutting-edge workshop, operating under the name Lanka

Works was fully functional, fitted with advanced machine tools and staffed by a team of skilled engineers and technicians. Lanka Works specialised in producing precision castings of iron, aluminium and bronze, meeting the demanding standards of industrial engineering.

Though the company retained its expertise in tea and rubber machinery, it now offered services that spanned a wide spectrum of mechanical engineering needs – a testament to Browns' versatility and vision.

Just when it seemed the company had explored every frontier, Browns added another jewel to its crown. In 1947, through its Lanka Garage, the company introduced the sophisticated 2.4 Litre Jaguar to the local market. With its sleek design, superior performance and surprising fuel efficiency, the Jaguar brought a touch of luxury to Browns' expanding automotive catalogue –



OUR JOURNEY



available to customers through Browns' Lanka Garage at Union Place, Colombo.

Browns was no longer just supporting industries; it was shaping lifestyles. The company also became a fully Ceylonese Company in 1959, securing a Ceylonese Traders' Licence that granted it the right to trade freely with all nations, a key milestone in its evolution as a homegrown enterprise with global ambitions.

MECHANISATION AND MODERNISATION

As newly independent Sri Lanka looked increasingly toward industrialisation and modernisation, the 1960s emerged as a pivotal decade both for the nation and for Brown & Co. – ushering in an era of bold expansion that included a series of strategic acquisitions. In June 1963, the company established Browns Group Industries to champion local manufacturing and reduce reliance on imports.

Even with its widening portfolio, Browns stayed true to its agricultural roots. The company celebrated the sale of its 2,500th Massey Ferguson tractor, which had already played a vital role in numerous government development projects and launched the Tractor-Digger-Shovel Team to further empower the nation's farmers. Known for their reliability and ease of operation, Massey Fergusons

were backed by Browns' robust after sales and field service network.

In 1961, Browns entered the heavy construction space with Michigan machinery, a versatile, turbocharged workhorse engineered for demanding tasks including dozing, push-loading and spreading fill. With over 30 interchangeable models, it helped reduce project costs while delivering superior performance.

That same year, the company also introduced the rugged Track Marshall Tractor, a fuel efficient machine designed for medium-sized estates, reinforcing Browns' commitment to strengthening Sri Lanka's agricultural and industrial backbone.

Browns' engineering prowess was also called upon in national infrastructure projects. Through the Canada-Ceylon Colombo Plan, the company helped install hydroelectric power units, lighting homes and industries across the island.

Diversification reached new dimensions in 1964, when Browns became the sole distributor for Cadbury's beloved Bournvita, signalling its entry into consumer goods.

Browns continued to cement its role as a key player in national expansion plans through a series of strategic engineering

partnerships and infrastructure initiatives. The company collaborated with Montreal Engineering Company on the Inginiyagala Power Station Project – a landmark hydroelectric initiative that brought cutting-edge technology and engineering expertise to the nation's growing energy sector.

The company also played a pivotal role in the airport development scheme, partnering with Tallman Construction Company to expand and modernise airport infrastructure in line with global aviation standards, reinforcing the country's connectivity and future readiness.

Meanwhile, in the industrial sphere, Browns contributed to the installation of alcohol distillery equipment at the Gal-Oya Sugar Industry and the Sri Lanka Sugar Corporation. This sophisticated machinery, sourced from the prestigious French house of Savalle and supplied by Lepage, Urban & Cie, marked yet another example of Browns facilitating high-quality, international grade equipment for Sri Lanka's evolving industrial landscape.

Meanwhile, Browns began setting its sights on international markets. The company's exports now included Exide and Chloride batteries, GEC fans, Ronuk Polish and Candarsan Mixture – taking trusted Sri Lankan-made products to the world.

In March of the same year, Browns Group Mechanised Farms was incorporated with a bold vision to usher in a new era of modern agriculture. The plan



was ambitious: to develop a 500 acre commercial farm that would double as a model for showcasing advanced farming techniques using modern tractors, implements and machinery.

Recognising the need to build human capital alongside innovation, Browns also established a field training school on 50 acres of adjoining land, offering hands-on instruction for tractor operators, farm students and agricultural professionals under the guidance of the company's agricultural division.

To bridge the gap created by limited access to private farming equipment, the company introduced a Tractor Contract Ploughing Service, extending ploughing and earth-moving support across multiple districts.

At the same time, expansion plans were set in motion for the Dickoya Animal Husbandry Farm. With the import of superior breeding stock, including Landrace and Large White pigs from the UK, and state-of-the-art incubating technology, Browns aimed to set the global benchmark in livestock farming.

These efforts not only strengthened the company's agricultural footprint but also empowered broiler producers across the country through the supply of day-old chicks, reinforcing Browns' commitment to national food security and rural development.



The company's engineering reputation soared even further as it took part in major national initiatives: representing AEI Traction in railway advancements, contributing to the Overseas Telecommunications Station in Kotugoda and even introducing Stone-Carrier bus air-conditioning units ushering in a new era of comfort for local travel and tourism.

The 1960s proved that Browns was more than just a company. It was a catalyst fusing innovation, ambition and national pride to help shape the country's future.

CONSOLIDATED SECTOR STRENGTH

By the close of the 1960s, Brown & Co. had become more than a cornerstone of Sri Lanka's commercial landscape – it had grown into a sprawling enterprise that touched nearly every facet of the nation's economic landscape.

In 1968, one of the company's key divisions, Electrical Engineering, was called upon to contribute to a landmark national project: the development of the Katunayake International Airport. Tasked with supplying essential power systems, Browns played a critical role in helping establish a new international gateway, reinforcing its place at the intersection of infrastructure and innovation.

That same year, the scale and scope of the Browns Group stood as a testament to nearly a century of strategic growth and diversification. With 11 major companies and four associate firms under its banner, Browns was no longer a single entity; it was a network of industries driving forward Sri Lanka's ambitions.

Amid this expansion, Browns stayed deeply connected to its origins in the plantation economy. The inauguration of the Mocha Tea Factory in Maskeliya that year served as a symbolic return to its roots, representing a commitment to growth in tea production.

EXPLORING NEW FRONTIERS

The 1970s marked yet another pivotal era for Brown & Co. – a decade defined by ingenuity, infrastructure and international expansion. The group's dynamic growth strategy saw it making strides in finance, agriculture, engineering, retail, tourism and even cultural preservation.

In agriculture, Browns applied its engineering prowess to design the Landmaster Thresher, a breakthrough machine that revolutionised paddy processing in Sri Lanka.

Celebrated for its practicality and compatibility with local farming conditions, it demonstrated Browns's

OUR JOURNEY



commitment to homegrown innovation and rural development.

The Engineering Division continued to make its mark with key infrastructural projects. In 1971, it completed the full electrical installation for the newly opened Pegasus Reef Hotel, a prestigious beachfront property that underscored Browns' competence in large-scale electrical engineering.

In the automotive sector, Browns made a bold move with the launch of Auto Mart in 1971, a cutting-edge super service centre offering petrol services, repairs and Exide battery support.

This same year Dynamic Natural Rubbers (Ceylon) Limited unveiled a state-of-the-art factory in Payagala. The facility was equipped with a Dynat processing plant to manufacture technically specified block rubber, reflecting the industry's shift towards precision and quality.

Supplied and installed by the Engineering Division of Brown & Co. the advanced machinery, including a Masherator, Dryer, Rotary Cutter, Extruder and Hydraulic Baling Press, enabled the production of the high grade Cenat rubber product.

In 1971, Browns introduced the globally acclaimed Bell Helicopters to the Sri Lankan market. These aircrafts served

a wide range of aviation needs across multiple sectors, further expanding Browns' presence in advanced engineering and aviation solutions.

Looking beyond its borders, 1972 saw Browns venture into the Republic of Maldives. The Group's Engineering Division played a crucial role in electrifying hospitals, establishing telecommunications infrastructure and in - stalling power station equipment – signalling Browns' emergence as a provider of global infrastructure solutions.

That same year, the group expanded into retail with the launch of the Browns Group Department Store at the Walker & Greig premises. Offering a wide array of products, from household essentials to groceries, the store became a one-stop hub for quality consumer goods.

By 1973, the Browns Group had emerged as a valuable contributor to Sri Lanka's foreign exchange earnings, generating an impressive Rs. 21.4 million through tourism and the export of non-traditional products. This milestone reflected not only commercial success but also Browns' broader commitment to national economic progress.

Further underscoring its impact on inter - national trade, the group exported a wide array of goods, from automotive

battery components such as containers, lid sets, antimonial lead and complete batteries, to tea and rubber machinery, dry cell batteries, floor and car polishes, and even seafood delicacies such as lobster tails and prawns. These exports, alongside finely crafted furniture, illustrate Browns' dynamic role in taking Sri Lankan manufacturing and innovation to global markets.

In 1974, Browns' Engineering Division cemented its industrial strength through a strategic partnership with English Electric Diesels Ltd., further enhancing its engineering expertise and positioning it at the forefront of industrial technology in Sri Lanka.

As the decade drew to a close, Browns had firmly positioned itself as an enterprise of national and international significance, driven by a forward-thinking ethos yet rooted in heritage and geared for growth across every frontier it touched.

POWERING NATIONAL PROGRESS

From 1959 to 1973, Brown & Co. steadily broadened its geographic presence across Sri Lanka. New branches were established in Ampara, Badulla, Hatton and Kandy – solidifying its role as a truly national enterprise.

By the late 1970s, Browns continued to diversify its offerings and partnerships. In 1979, the company was appointed the official service agent for Fiat vehicles in Sri Lanka by the Upali Motor Company Limited. This milestone enabled Browns to provide comprehensive after sales support for Fiat owners across the island, cementing its reputation in the automotive sector.

Around the same time, Browns was appointed the sole distributor in Sri Lanka for Sharp Corporation of Japan, introducing a wide portfolio of electronic innovations to the local market. Products such as calculators, photocopiers, cash registers and teller machines marked the group's early involvement in the electronics sector, helping to modernise business operations across the country.

BUILDING NATIONAL INFRASTRUCTURE

Throughout the 1980s, Browns Group Industries took an active role in transforming Sri Lanka's mechanised fishing industry. The company also reinforced its industrial product portfolio with the introduction of the Carborundum Grinding Wheel in 1986 – underscoring its continued efforts to innovation and value creation.

In 1981, Browns undertook the Lead Recovery Plant Project for Associated Battery Manufacturers. A year later, in 1981, the company successfully delivered the Polyvinyl Plant for CIC with the project reinforcing its growing reputation in industrial engineering. By 1982, the Engineering Division had expanded its scope further, contributing to the ambitious Victoria Project, marking another milestone in its ongoing pursuit of excellence thus expediting the strengthening of national infrastructure.

In December 1984, the Engineering Division played a pivotal role as mechanical contractors for Alstom Atlantique, France, in the 80 Mw diesel power station project at Sapugaskanda, Sri Lanka. Tasked with the installation and commissioning of critical mechanical systems, including engine sets and associated equipment, this project was instrumental in enhancing Sri Lanka's power generation capacity, ensuring a reliable diesel-based energy solution for the nation.

Brown & Co. embarked on several major projects – notably the company undertook the Paddy Parboiling Plant Project at Inginiyagala, commissioned by the Paddy Marketing Board. This was complemented by the Ambathale High Lift Pumps Project for the National Water Supply and Drainage Board, and the Kandy Water Supply Project in 1983.

Additionally, in the same period, Browns expanded its reach with the Soya Milk Plant at Mahailukpallama, a project for Forbes & Walker. The company also executed multiple Paddy Parboiling Plant Projects across various locations, including Horowpathana and Galnewa supporting the national agricultural sector's growth.

Continuing its legacy of nation building through transformative infrastructure, the 1980s saw Brown & Company deliver a series of milestone projects. Among them was the Oil Palm Factory Project at Nakiyadeniya, commissioned by the Sri Lanka Plantations Corporation. In 1987, Browns executed the Ambathale Jubilee Water Supply Project for the National Water Supply and Drainage Board, followed by the Bulk Water Meter Project, improving distribution efficiency across the network.

That same year, Browns undertook the Railway Bridges project in Bentota, Wellawatte and Hikkaduwa strengthening vital transport arteries and reinforcing its role in Sri Lanka's development.

Further in 1987, Browns shifted gears again with the introduction of the Suzuki Alto Swift to Sri Lanka, a compact powerhouse that would redefine everyday mobility. Affordable, practical, and fuel-efficient, this vehicle resonated instantly with Sri Lankan motorists navigating an evolving urban landscape.

With the Alto Swift, Browns strengthened its presence in the passenger vehicle market, offering an accessible solution that combined reliability with real world value.

Building on this momentum, in 1998, Browns secured the sole distributorship for Swaraj Mazda trucks and buses, a powerful collaboration between India and Japan. This alliance brought a new level of durability and performance to Sri Lanka's commercial transport sector.

Meanwhile, in 1992, Browns' Office Automation Division ushered in a new era of efficiency with the introduction of its first scan machine – a transformative step in the digitisation of office environments.

Designed to convert physical documents and images into digital formats, this enabled businesses across Sri Lanka to streamline operations and embrace the early wave of digital transformation.

In parallel, Browns' Power Solutions Division reached a new milestone when it was appointed the authorised distributor for FG Wilson generators, covering an extensive range from 6 kVA to 2,200 kVA. These generators were built for reliability, performance and adaptability, whether in industrial, commercial, or residential settings.

SHAPING NEW MILESTONES

The dawn of the millennium marked a turning point in Sri Lanka's agricultural landscape. In 2000, Browns revolutionised mechanisation with the introduction of TAFE tractors, promptly securing over 50 percent market share – a leadership position it retains to this day.

Building on this momentum, by 2006 Browns had firmly established its presence in the digital office solutions segment, achieving a milestone sale of 1,500 Sharp digital copiers within just 17 months. This success reflected Browns' agility in meeting the growing demand for productivity and precision across office environments nationwide.



OUR JOURNEY



In 2007, the Battery Division took a bold leap forward with the launch of Exide Ultra charged semi-maintenance free (SMF) batteries offering longer life, greater durability, and user convenience. It was a move that further strengthened Browns' reputation as a pioneer in battery innovation.

This same year, Browns extended its impact on national development through a historic revival of the Gal-Oya Valley. Once a thriving post-independence state led venture, the Hingurana sugar factory had fallen into dormancy by 1997. In response to a government initiative, Browns partnered with LOLC Holdings to form Gal-Oya Plantations under a Public-Private Partnership (PPP).

With 7,659 hectares of land, 5,200 of which were cultivable and allocated to 4,400 families, the initiative aimed to revitalise the region's agricultural economy and restore sugar self-sufficiency.

In 2012, Browns took another strategic step toward integrated business operations with the implementation of Microsoft Dynamics AX, enhancing internal efficiency and enterprise resource planning. This transformation reached new heights in 2021 when Browns became the first company in Southeast Asia to adopt this cloud-based ERP at scale, setting a new standard in digital leadership.

Meanwhile, in 2015, Browns expanded its footprint into healthcare with the transformation of the former St. Peter's Hospital into Browns Hospital Ragama.

Within a year, the facility integrated cutting-edge medical technology and built a team of nearly 200 professionals, further diversifying Browns' impact on national wellbeing.

That same year marked a milestone for Browns' flagship battery brand with the launch of Fully Loaded Exide. The revitalised product line included Exide Power, Ultra, Matrix, Mileage and Champion – delivering high performance solutions for the evolving automotive sector.

In a strategic shift, ABM phased out dry charged batteries, transitioning to advanced semi-maintenance free (SMF) models under the Exide Power and Lucas Star brands. The legacy Dagenite range was similarly upgraded, solidifying ABM's commitment to innovation and endurance.

Continuing its innovation streak, 2016 saw the introduction of Exide Marine, a hybrid SMF battery range engineered for marine applications. Purpose built for harsh sea environments, it added another dimension to Browns' growing power solutions portfolio.

In the same year, Browns expanded into advanced climate control solutions with the launch of its VRF (Variable Refrigerant Flow) air conditioning solutions, redefining efficient cooling for residential and commercial spaces. The central air conditioning system quickly became synonymous with smart, scalable and sustainable comfort. With DC variable speed compressor technology, it delivered optimal energy efficiency, seamless control and ease of maintenance.

This was adopted in projects across the island to facilities in Gampaha, Kalutara, Kochchikade and beyond. Notable clients such as Rolex, Nestlé and Ceylon Tea Brokers underscored the trust placed in Browns for cutting-edge climate control.

In 2017, Browns Agriculture expanded its mechanised solutions portfolio with the introduction of the Sumo World combine harvester manufactured by China's leading agricultural machinery producer, Jiangsu World Agriculture Machinery Co., alongside the Yanmar Combine Harvester from Japan.

Browns later unveiled the SUMO-World branded full-option rice mill. Engineered for efficiency, the mill features a dual elevator system and husk grinding technology that minimises space requirements, while its powerful motor enables a streamlined, single-cycle rice polishing process. This addition enhanced productivity for individual farmers and also supports national food security and rural development.

In 2022, Exide further expanded its acclaimed Matrix product line, introducing enhanced battery solutions specifically designed for SUVs and modern vehicles, reinforcing its reputation for durability and innovation in automotive energy.

Further in 2023, Browns' IT Division achieved a major milestone in industrial intelligence with the in-house development of customised remote monitoring systems. These cutting-edge digital platforms were built to improve operational efficiency across a wide range of industries, from fuel stations and poultry farms to generators, boilers and chillers.



The systems featured GPS tracking, telematic gateways and smart power analysers, delivering real-time data insights, automated alerts, and user-friendly dashboards.

Key parameters such as TDS, pressure, runtime and energy consumption were closely monitored enabling predictive maintenance and performance optimisation. Whether in agriculture, manufacturing or energy, Browns provided a smart, all-in-one solution that empowered operators and advanced sustainable outcomes.

In the year 2024, Browns' nationwide fleet of over 60 Battmobiles continued to raise the bar for customer service, offering motorists free on-the-go battery checks, replacements and technical support. That same year, Browns embraced a bold leap toward data driven decision-making, leveraging AI and machine learning to assess risks, evaluate customer creditworthiness, analyse purchasing behaviours and enhance operational efficiency.

By embedding intelligence across its systems, Browns continued to deliver tailored, innovative and cost-effective solutions, all while improving agility and responsiveness in a dynamic global market.

Furthermore, in April 2025, Brown & Company unveiled a transformative addition to its infrastructure portfolio, the Browns Group Industrial Park in Katunayake. Spanning over 200,000 square feet across eight acres, this state-of-the-art manufacturing and warehouse hub is strategically positioned adjacent to the Bandaranaike International Airport and key expressways, enabling unmatched logistical access and nationwide distribution.

Designed to enhance productivity, streamline supply chains and support accelerated business growth, the facility represents a major milestone in Browns' journey of continuous evolution. With its focus on speed, efficiency and superior quality control, the Industrial Park sets a new standard for operational excellence – underscoring Browns' commitment to serving industries, communities and customers with precision and purpose.

Across its expanding commercial portfolio, Browns continues to meet the evolving needs of Sri Lankan consumers through a range of specialised divisions. Browns Deals offers an extensive product lineup, from electronics and home appliances to automotive care, agri machinery, and heavy equipment, supported by islandwide delivery and the convenience of both in-store and online shopping.

As the authorised dealer for Sanford electronics in Sri Lanka, the brand also offers after sales support through Browns Electronics Care, ensuring a complete customer experience. Browns Hybrid Centre leads the way in hybrid vehicle care, combining technical expertise with cutting-edge diagnostics to deliver customer-focussed automotive solutions.

In the tyre segment, Browns Tyres features globally trusted brands such as Three A and RoadX, offering high-performance, durable options for passenger, commercial and off-road vehicles.

The Heavy Machinery Division supplies industry-leading construction and earthmoving equipment from brands such as Hitachi, Sakai, Tata Hitachi, Mahindra, and Okada.

Meanwhile, Browns Power Solutions remains the brand name in generator services, delivering high-performance power systems from FG Wilson, Himoina and TAFE Power, backed by 24 hour installation, repair, and maintenance support.

The General Trading Division (GTD) caters to construction, woodworking, and DIY markets with sustainable, high-quality tools and equipment from global brands including Makita, Tailin, Plumtek, Spear & Jackson, and Tolsen.

From its modest origins in the 19th century, Brown & Company had, by the end of the 20th century, evolved into a pioneering, diversified conglomerate with deep roots in the nation's economic progress. Its ability to embrace change, master technology, and deliver on complex infrastructure reflected a timeless spirit of innovation and enterprise.

As it stepped into the modern 21st century era, Brown & Company stands not just as a business – but as a legacy. One built on vision, resilience and an enduring purpose that continues to shape its path forward.



YEAR AT A GLANCE

April



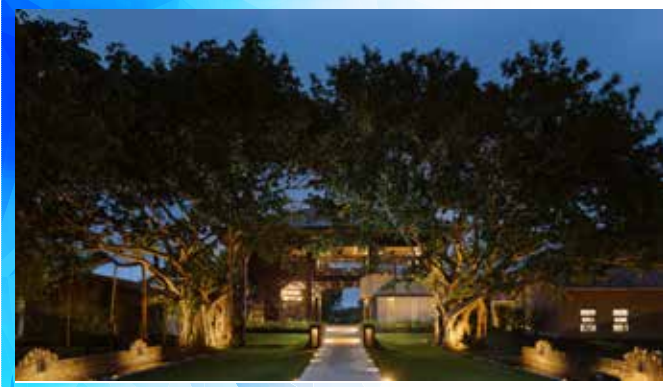
Browns Investments PLC emerges as World’s Leading Tea Producer

May



Browns’ Exide Introduces Sri Lanka’s Very First E-Care Battery Warranty

June



Browns Hotels & Resorts Unveils Ayugiri Ayurveda Wellness Resort Sigiriya

October



Browns’ GTD Partners with Superbuild

November



Browns Recognised As Most Innovative Diversified Conglomerate

December



Club Hotel Dolphin by Browns Hotels & Resorts Crowned Sri Lanka’s Best 4-Star Resort at Sri Lanka Tourism Awards

January



Browns Battery & Tyres: Unstoppable at SLIM Awards 2024

January



Port City Colombo Celebrates the Groundbreaking Of the Luxury Marina Development

February



Browns Agriculture launched two of its most innovative products - the new TAFE tractor model, Dynatrack and the Browns Sumo Rice Mill

April



Browns unveiled its new state-of-the-art manufacturing and warehouse facility in Katunayake

AWARDS AND ACCOLADES



1. 'Twenty Outstanding Companies' Award and the winner in the 'Trading & Manufacturing' category at the Best Management Practices Company Awards 2025



2. Securing gold, bronze and merit accolades at the annual SLIM National Sales Awards 2024



3. Best Displayed Stall – Hardware & Tools by National Construction Association of Sri Lanka 2024



4. Global Economics Award - Most Innovative Diversified Conglomerate, Sri Lanka 2024



5. Sri Lanka Technology Excellence Award for Enterprise Software - Automotive by Asian Technology Excellence Awards 2024



6. Sri Lanka Technology Excellence Award for IoT - Energy by Asian Technology Excellence Awards 2024



7. Mobile Application Bronze Award - Browns E-Care in the Mobile App category at the International Galaxy Awards 2024, by MerComm, Inc.



8. Sales & After Sales Distributor Award 2024 by Massey Ferguson



9. Time 40 Best Wild Places To Stay 2024 – The Lavender House



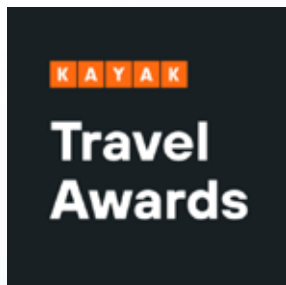
10. Holiday Check Award 2024 - Radisson Blu Poste Lafayette



11. Holiday Check Award 2024 – Dickwella Resort, Thaala Bentota and Club Hotel Dolphin



12. TripAdvisor Travellers' Choice Award 2024 - Club Hotel Dolphin, Thaala Bentota, Dickwella Resort, Calm Resort, Hotel Sigiriya, Lantern Boutique Hotel, Stafford Bungalow and Occidental Paradise Dambulla



13. Kayak Travel Award 2024 – Dickwella Resort and Lantern Boutique Hotel



14. Club Hotel Dolphin, Waikkal clinched the award for the Best 4-Star Resort in Sri Lanka at the prestigious 7th Sri Lanka Tourism Awards



15. Browns Plantations Voted Most Popular Corporate at Best Web Awards 2024



16. Outstanding Distributor- for SUMO harvesters - FM World Global Partners Business Negotiation Conference

FINANCIAL HIGHLIGHTS

31st March		2025	2024	2023	2022	2021
Results for the Year						
Revenue (Gross)	Rs.Mn	107,821	80,609	72,652	50,304	29,391
EBIT	Rs.Mn	72,001	48,309	35,779	43,137	2,799
Profit/(Loss) before Tax	Rs.Mn	25,895	(6,509)	(11,108)	30,304	(2,783)
Profit/(Loss) after Tax	Rs.Mn	29,093	(8,531)	(12,528)	29,747	(3,344)
Group Profit/ (Loss) Attributable to Equityholders	Rs.Mn	32,428	2,382	(6,230)	21,589	(16)
Position at the Year end						
Shareholders' Funds	Rs.Mn	100,097	70,191	79,104	85,208	46,888
Total Assets	Rs.Mn	752,783	563,371	466,854	415,402	195,762
Market Capitalisation	Rs.Mn	33,648	23,389	25,409	28,385	33,006
Retained Earnings	Rs.Mn	76,852	33,838	36,572	43,154	19,985
Financial Ratios						
Gross Profit	%	22.94	23.03	28.55	23.33	24.84
Interest Cover	Times	1.56	0.88	0.76	3.36	0.50
Current Ratio	Times	0.40	0.33	0.39	0.47	0.46
Quick asset Ratio	Times	0.31	0.25	0.29	0.35	2.78
Price/earnings (year-end)	Times	1.04	9.82	(4.08)	1.31	(2,057)
Debt to Equity	%	55.18	60.15	62.07	59.26	61.27
Debt Service Coverage Ratio	Times	1.42	1.49	1.17	1.47	0.32
Return on Shareholders' funds	%	32.40	3.39	(7.88)	25.34	(0.03)
Per Share						
Earnings/ (Loss) per Share	(Rs.)	152.51	11.20	(29.30)	101.54	(0.08)
Market Price per Share	(Rs.)	158.25	110.00	119.52	133.52	155.25
Net Assets per Share (year-end)	(Rs.)	470.77	330.12	372.03	400.74	220.52

Revenue (Gross)

Rs.108Bn.

EBIT

Rs.72Bn.

Total Assets

Rs.753Bn.

Shareholders' Funds

Rs.100Bn.

Earnings per Share

Rs.152

Net Assets per Share

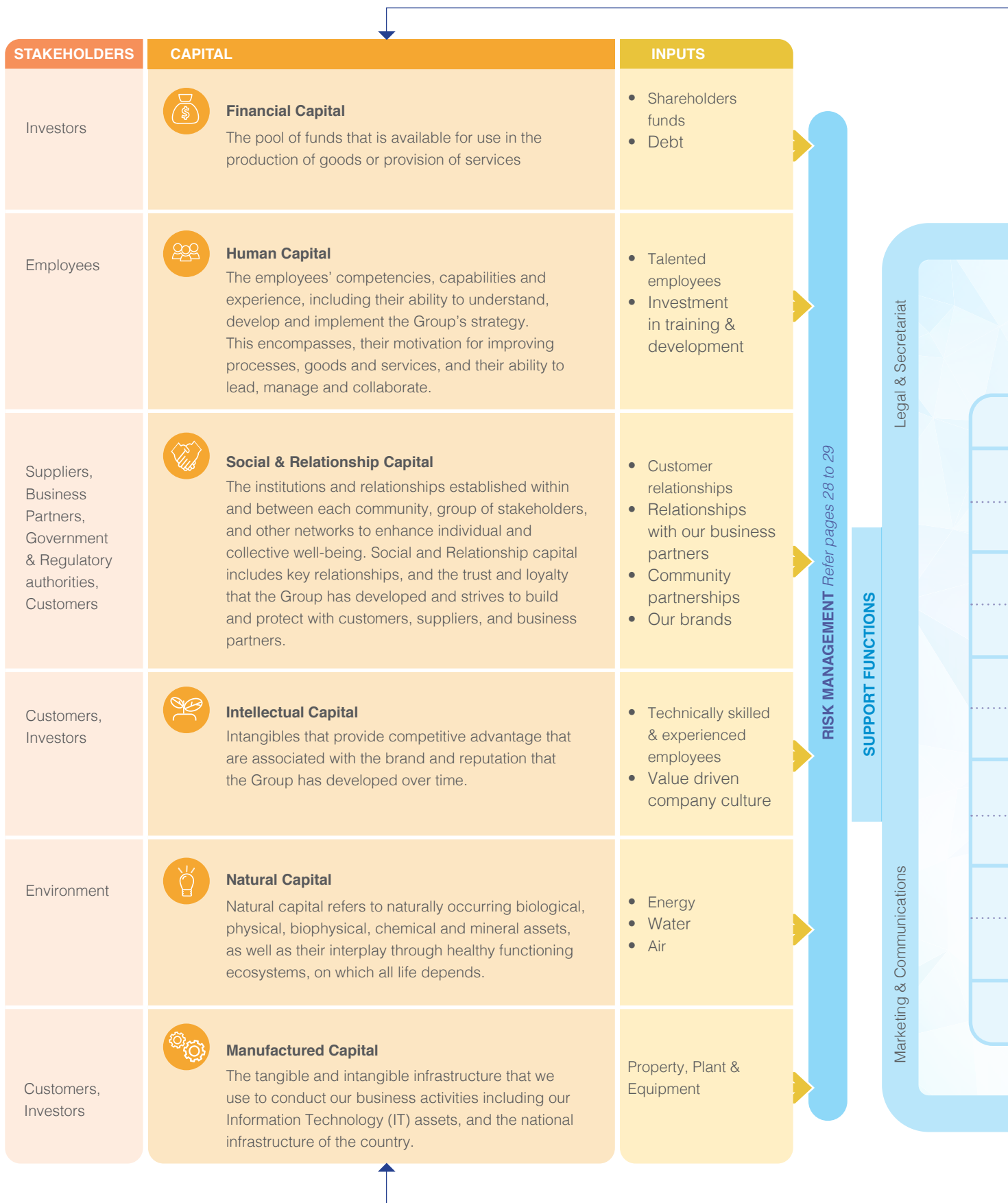
Rs.470

A LEGACY OF INGENUITY

Brown & Company PLC continues to chart its course through dynamic and evolving market landscapes with bold strategies and forward-thinking initiatives. By harnessing innovation and leveraging our diverse strengths, we drive sustainable growth, creating enduring value for all stakeholders while shaping the future of our industries.

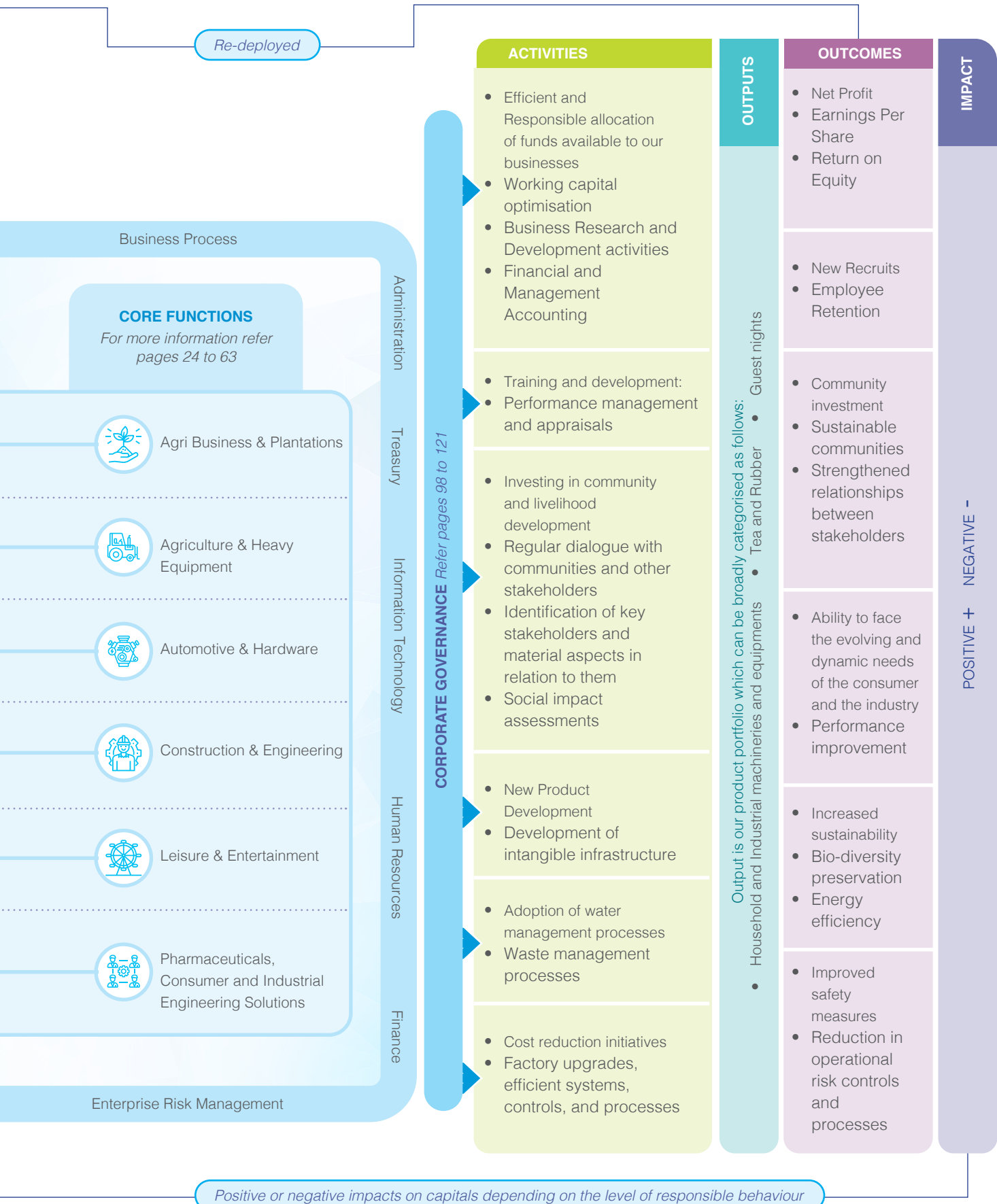
OPERATING CONTEXT AND STRATEGY

BUSINESS MODEL



MISSION : With generations of trust, our aim is to continuously enhance the value propositions to our stakeholders through innovative and customer-centric solutions

VISION : To be a leading conglomerate through sunshine industries with a global presence and cutting edge technology



STRATEGY AND RESOURCE ALLOCATION

Our strategic planning processes continue to evolve each year, building on the learnings of each planning cycle. The perimeter of this process represents the global forces and trends shaping our business, determined through a review of our operating environment. Corporate governance and risk management provide a framework within which we will conduct our business.

We use feedback gained from our stakeholder engagement processes to establish our stakeholder value propositions, maintaining an equitable balance between stakeholder interests. Our strategy and Key Performance Indicators (KPI) are formulated considering these two key inputs and the capitals available. These are then arranged into themed pillars facilitating communication within the organisation, unifying our team to reach a common goal.

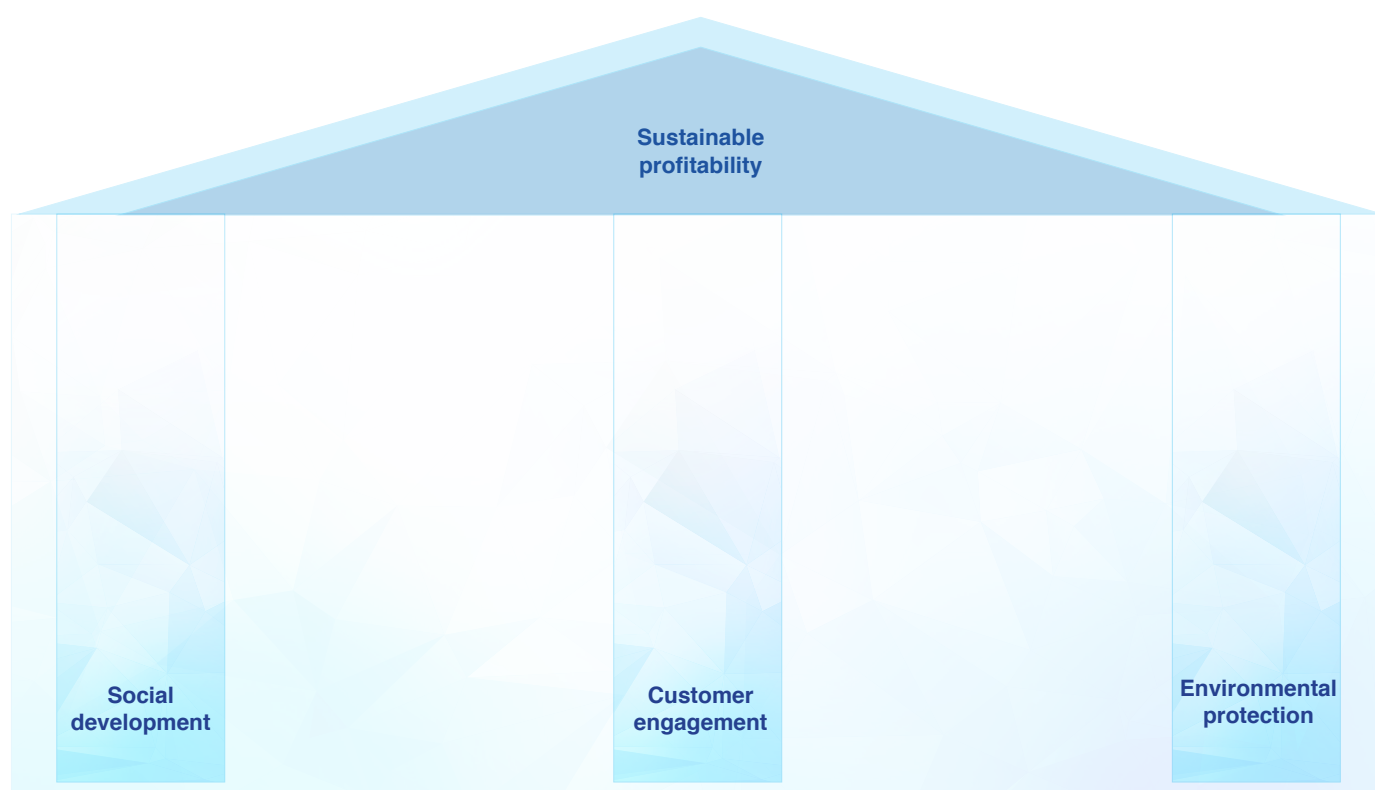


Competitive Strategy

The Company follows several strategies to serve its stakeholders. A broad differentiation strategy and a cost leadership strategy, while providing the best products to its customers, is the key to success.

Sustainability Strategy

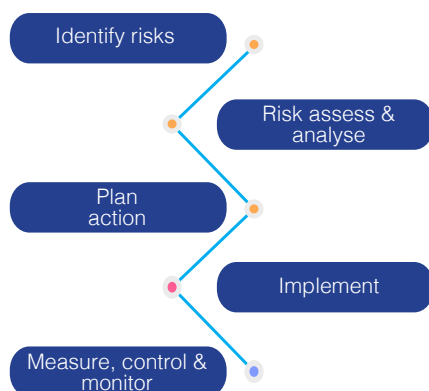
We proactively embed thinking on sustainability and sustainable business practices at every level of our business. We believe that our most important contribution to sustainable development is to operate an effective, efficient and profitable company.



RISK AND OPPORTUNITIES

Overview

Risk identification is an integral part of our business as we are operating in multiple business sectors. Hence, we should have a broader understanding and sensitivity to changes in the external environment, a key factor in the Company's long-term success. Further, our earnings and businesses are affected by general economic conditions, interest rates, exchange rates, changes in law, and competitive factors on a global, national, and regional level.



Structure of Risk Management at Browns



Risks and Challenges

These risks and opportunities are related to capitals and stand as the backdrop to the decision making process and strategy formulation.

Impacted Capital	Risk Statement	Risk Mitigation Method
 Financial Capital	Increase in interest rates impacting on Group's finance cost.	- Ensuring a proper mix of short and long-term borrowings. - Maintaining an appropriate combination of fixed and floating rate borrowings.
	Unavailability of sufficient funds for day-to-day operations of the Group.	- The Treasury Division ensures that banking facilities are in place to cover the forecasted cash flow needs for the next financial year. - The Group maintains a desired mixture of cash and cash equivalents.
 Human Capital	Adverse impacts arising from failure to recruit/retain skilled employees.	- Due importance is given to the talent management function of the Group. - Top management involvement in talent management led by the Human Resources (HR) Department. - Adoption of Best Practices in Human Resources Management. - Conducting employee satisfaction surveys. - Investment in training and development. - Policy of competitive remuneration.
	Losses from low productivity and low employee engagement as a result of industrial disputes.	An 'Open door policy' is in place to discuss grievances with superiors.
	Loss of customers and resulting impact on business due to dissatisfied customers.	- Availability of a Quality Management System. - Dedicated unit for Customer Relationship Management. - Continuous training of employees on customer care and aftercare.
 Social & Relationship Capital	Performance being adversely impacted as a result of disruptions to relationships with principals.	- The Group has focused on developing a mutually beneficial relationship with principals in an effort to minimise the risk. - Independent survey on expectations of principals. - Emphasis on meeting expectations of principals. - Periodic evaluation of principals' satisfaction levels.

Impacted Capital	Risk Statement	Risk Mitigation Method
 Natural Capital	Natural catastrophes adversely affecting our customers, suppliers and employees, causing direct and indirect impact to the Group.	Focus on reducing Greenhouse Gas emission and promoting the importance of the carbon footprint amongst stakeholders.
 Intellectual Capital	Loss of confidential data through security breaches in the IT systems.	- Extensive controls and reviews to maintain security of IT infrastructure and data. - Regular back-up of data and off-site storage of the data backup system. - Presence of a disaster recovery plan.
 Manufactured Capital	Reputational loss events adversely affecting the Group's brand value.	- Promotion of brand loyalty through customer loyalty schemes. - Being mindful of the environmental and social impact of the Group's products, processes, and practices.

Realising opportunities

Sri Lanka is focusing on long term strategic and structural development challenges as it strives to become an upper middle-income country. Key challenges include the need to boost investments including human capital; realigning public spending and policy with the needs of a middle-income country, enhancing the role of the private sector, including a provision for an appropriate environment for increasing productivity and exports, and ensuring that growth is inclusive.

Economic growth in Sri Lanka has been one of the fastest among South Asian countries in recent years. Carrying out business in Sri Lanka can often be challenging however. At Browns, we are able to navigate challenging environments by employing and

developing local skills and leveraging our Group synergies and extensive footprint, which have resulted in us being in a prime position to turn challenges into market opportunities.

Our unique competitive position will enable us to benefit from and support Sri Lanka's growth story as we create effective solutions for our customers and sustain improvements in our financial performance. While we remain firmly aware of the challenges of doing business in our country and in growing our customer points in line with our strategy, we believe these are outweighed by the opportunities open to us, given our unique competitive position in the island.

This section highlights some of the exciting growth opportunities we have identified together with Browns Group's response to each.

Opportunity	Response from Browns Group
Growth in per capita income	Constantly evaluate the product mix and add new products and services for customers, as well as increase customer touch points.
Growth in tourist arrivals	Focus on expanding the Group's footprint in the leisure industry with new hotels, destination management companies etc.
Growth in e-commerce and m-commerce	Web based material is reviewed and will be revised where necessary.

OPERATING ENVIRONMENT



Global Economic Environment

The global economy in 2024 remained under pressure from geopolitical tensions, inflation, and tight monetary policies. Global GDP grew moderately from 3.1% in 2023 to 3.2% in 2024, despite subdued demand in advanced economies. Emerging markets remained resilient but were challenged by high borrowing costs and currency volatility. Trade flows were disrupted by supply chain issues, while energy prices stayed volatile amid conflicts and OPEC adjustments.

Despite volatility, developed markets showed resilience, aided by easing inflation and cautious monetary support. Geopolitical conflicts continued to strain logistics and energy markets. However, improved supply chain flexibility and energy diversification lessened broader economic risks.

Growth is expected to gradually ease, with global GDP projected to decline from 3.2% in 2024 to 3.1% in 2025 and 3.0% in 2026, as trade barriers and policy uncertainty weigh on investment and consumption.

Local Economic Environment

Sri Lanka made continued strides toward economic stabilisation in FY 2024/25, supported by improved macro-economic conditions and sustained policy alignment with the IMF's Extended Fund Facility (EFF). The conclusion of both the Presidential and Parliamentary elections resulted in a strong mandate

being given to President Anura Kumara Disسانayake led National Peoples Power (NPP) party, creating expectations for greater political stability and policy consistency. Key reforms in public finance and initiatives to provide greater transparency in governance will support sustained economic recovery. However, the recovery of domestic consumption was tempered by cost of living concerns and cautious consumer sentiment.

Inflation

Inflationary pressures in Sri Lanka continued to ease over the course of the financial year, culminating in a transition into deflationary territory from September 2024 onwards. This development represented a marked deviation from the country's historical inflation trajectory. According to the Colombo Consumer Price Index (CCPI), year-on-year inflation turned negative in September 2024 at -0.5%, easing further to -4.2% by February 2025 before moderating to -2.6% in March 2025. The decline in price levels was primarily attributable to a substantial easing in food and energy prices—two components with significant weight in the consumer basket. Additionally, statistical base effects from the elevated inflation experienced during the 2022–2023 period further amplified the disinflationary trend.

Gross Domestic Product (GDP)

In 2024, with the economy growing by 5.4% in the fourth quarter, Sri Lanka achieved a 5.0% GDP growth for the

year, marking a significant recovery from the economic challenges faced in 2022 and 2023 which resulted in negative GDP growth during those two years. This rebound was driven by robust performances across most sectors, notably industry and services, supported by international financial assistance and structural reforms. Sri Lanka's industrial output expanded by 25.5%, and services grew by 57.5% while the agriculture sector experienced an 8.3% growth in 2024 from a year earlier.

Exchange Rates and Interest Rates

The Rupee remained relatively stable against the United States Dollar with a marginal appreciation of 1.6% during the year. Rising foreign reserves together with subdued import demand kept the currency steady.

The Average Weighted Prime Lending Rate (AWPLR) further continued its declining trend reducing to 8.4%, which is a 24.1% drop for the year. Easing inflation and a stable Rupee together with the Central Bank reducing its policy rates to stimulate growth kept the AWPLR on a downward trajectory.

External Trade

The significant increase in Sri Lanka's Gross Official Reserves from US \$ 4.4 billion at the end of 2023 to US \$ 6.1 billion by the close of 2024 was primarily achieved through record-high foreign exchange purchases by the Central Bank from the domestic market, exceeding US \$ 2.8 billion on a net basis. This was complemented by continued support from the IMF under its Extended Fund Facility arrangement, a favourable current account position and the renewal of the US \$ 1.4 billion currency swap arrangement with China. By the end of 2024, the import coverage of Gross Official Reserves (including the Peoples Bank of China swap) stood at 3.9 months improving from 3.0 months as at the end of 2023. The accumulation of reserves represents a significant achievement in Sri Lanka's economic stabilisation efforts, improving the country's resilience against external shocks and potentially setting the stage for sustained economic recovery.

MANAGEMENT DISCUSSION & ANALYSIS

AUTOMOTIVE AND HARDWARE CLUSTER



Browns Battery & Tyre SBU

The Browns Battery & Tyre Strategic Business Unit (SBU) recorded a strong performance during the financial year ended 31st March 2025, reaffirming its market leadership and driving forward with innovation and efficiency. In the automotive battery segment, the company achieved a 7% growth in volume, reflecting consistent demand and an effective market presence. The tyre category emerged as the top performer for the year, posting an impressive 36% growth in quantity sold - the highest turnover recorded within the SBU during the period. These results were driven by enhanced customer engagement, strategic pricing and streamlined distribution operations across the island.

The SBU continued to strengthen its product offering with the introduction of Enhanced Flooded Batteries (EFB) catering to start-stop vehicle systems and Lithium-Ion batteries for golf carts, expanding its reach across both automotive and industrial battery applications. These new additions supported the company's efforts to meet evolving market demands while also aligning with emerging global trends in energy storage and efficiency.

In recognition of its exceptional sales performance and team capabilities, Browns Battery was honoured at the SLIM NASCO 2024 Awards, securing five accolades: one Gold, one Bronze, and two Merit Awards in the Front Liners

category, and a Bronze Award in the Corporate Sales/Territory Manager category. These achievements reflect the SBU's deep-rooted sales excellence and dedication to nurturing talent across all levels of the organisation.

The year also marked a series of unprecedented milestones. In March 2025, the SBU recorded its highest ever monthly battery sales volume, exceeding 79,000 units. An individual Front Liner made history by surpassing 10,000 battery units in a single month, setting a new company benchmark. Similarly, a Regional Manager reached a record 22,000 battery sales within the same month, the highest monthly performance ever recorded at that level. In a significant industry-first, Browns Battery pioneered the introduction of an E-Warranty for automotive batteries - digitising the warranty process to enhance customer convenience, improve efficiency and reinforce the brand's innovation credentials.

Sustainability remained a key area of focus throughout the year. The SBU implemented battery recycling and safe disposal practices in line with national and global environmental standards. Efforts were made to reduce emissions in logistics through optimised delivery planning and maintenance protocols, while the introduction of lithium-ion technology supported the transition toward more eco-friendly product solutions. The E-Warranty initiative also

contributed to environmental goals by reducing paper usage and supporting the company's ongoing digital transformation. These initiatives, taken together, reinforce Browns Battery's commitment to responsible business practices and long-term value creation.

General Trading SBU

During the financial year ended 31st March 2025, the Browns General Trading SBU delivered a robust performance, achieving a top-line revenue exceeding Rs. 1.3 billion. This outcome reflects the SBU's strategic focus on portfolio diversification, brand partnerships and enhanced customer outreach across its key markets.

Operationally, a key highlight was the complete revamp of the Makita flagship store's main service centre, which was upgraded with state-of-the-art technology to provide an elevated and more responsive after-sales service experience. This move not only strengthened customer satisfaction but also reinforced the SBU's position as a trusted distributor of premium tools and equipment in the Sri Lankan market.

During the year, the SBU earned industry recognition by winning the award for the Best Displayed Stall in the Hardware & Power Tools category at the Construct Exhibition Awards Night, underscoring its commitment to excellence in product presentation and customer engagement.



MANAGEMENT DISCUSSION AND ANALYSIS

AUTOMOTIVE AND HARDWARE CLUSTER



Several milestones marked the SBU's efforts to expand its footprint and offerings. A notable development was the partnership with a reputed waterproofing solutions provider from New Zealand, enhancing the SBU's construction-related product portfolio. In addition, a high-quality vacuum cleaner range was introduced to the domestic market at competitive pricing, targeting growing demand in the home appliance segment.

Sustainability initiatives also played a central role during the year under review. A series of nationwide awareness programmes were conducted for tilers, masons and plumbers, to educate them on the importance of waterproofing in residential and commercial construction. These training sessions not only helped enhance industry knowledge but also contributed to the SBU's commitment to responsible product usage and long-term customer value creation.

Browns Thermal Engineering SBU

During the year under review, Browns Thermal Engineering (BTEL) recorded a revenue of Rs. 1.14 billion, marking a relatively stable topline performance despite persistent macroeconomic and sector-specific challenges. Gross profit for the year improved to Rs. 344 million, demonstrating enhanced operational efficiency and cost management compared to the previous year. However, the company closed the year with a net loss of Rs. 13.1 million, largely reflecting industry headwinds and input cost pressures.

Operationally, BTEL continued to deliver resilience and consistency. The factory functioned without interruption, ensuring uninterrupted supply to the domestic market while fulfilling the component requirements of Associated Battery

Manufacturers Ltd. BTEL maintained its dominant 80% market share in the copper-brass auto radiator segment and 85% in the copper-brass industrial radiator space. The aluminium-plastic radiator range also gained traction, with market share increasing to 30%, reflecting a growing demand for these products.

During the year, BTEL shifted its RADCO radiator and plastic injection moulding factory to a new, purpose-built facility in Katunayake. This strategic move enhanced overall production capacity and operational efficiency. The product portfolio of aluminium-plastic radiators was expanded to over 125 models, while production capacity reached one million cubic inches of radiators per month. The injection moulding segment saw its output increase to 34,000 kg per month, strengthening the company's ability to meet evolving market demand. BTEL also introduced the RADCO wiper blade range, catering to both steel frame and hybrid types, ranging from 12 to 28 inches, thereby diversifying its product portfolio.

Sustainability and long-term product reliability remained key focus areas. The company emphasised product development across radiators and plastic products to maintain high quality standards and customer satisfaction. Efficient inventory management of both raw materials and finished goods played a crucial role in sustaining market share during a volatile period.

AGRICULTURE AND HEAVY MACHINERY CLUSTER



Browns Agriculture SBU

During the financial year ended 31st March 2025, Browns Agriculture SBU reaffirmed its role as the market leader in mechanised agriculture in Sri Lanka, delivering strong financial and operational results while continuing to innovate and uplift the agricultural ecosystem across the country. The Strategic Business Unit recorded a total revenue of Rs. 10.1 billion for the year under review, representing a significant year-on-year growth of 44%. The SBU's net contribution rose to Rs. 1.245 billion, marking a 63% increase over the previous year.

Browns Agriculture maintained its undisputed market leadership in both the tractor and harvester segments. The SBU retained a dominant 40% market share in the tractor segment and achieved an unparalleled 75% market share in the harvester category, reinforcing its status as the preferred mechanisation partner for the nation's farmers. These outcomes are a testament to the trust placed in Browns by generations of agricultural stakeholders.

The operational excellence of Browns Agriculture was recognised internationally during the year under review. Yanmar Agribusiness named Browns a 'Crucial Partner' at the Yanmar Global Distributor Meeting 2024 held in Osaka, Japan. Furthermore, the SBU was honoured with the 2024 Annual Outstanding Distributor 'Market Sales Growth Award' at the FM World 2025 Global Partners Business

Negotiation Conference hosted by Jiangsu World Agriculture Machinery Co., Ltd. in Danyang City, Jiangsu Province, China. Locally, Browns Agriculture was recognised with the Special Bronze Award in the Agriculture Sector at INCO-2025, Sri Lanka's premier industrial exhibition.

The year under review was marked by the successful launch of two key products under the campaign titled "රජ වැඩකරයෝ" (Raja Wadakarayo). The event, held in January 2025 at the Sirasa Stein Studio, unveiled the new TAFE Dyna Track 4WD Tractor and the Browns Sumo Combined Rice Mill. The launch was attended by over two hundred dealers from across the island, along with senior leadership from LOLC, Browns Group, and TAFE India, reflecting the scale and importance of this initiative. As a special recognition, dealers who achieved the highest sales in 2024 were awarded with Gold, honouring their outstanding contributions and reinforcing Browns' strong dealer partnership model.

The SBU also executed two island-wide free service campaigns to strengthen customer engagement and operational reliability. The 'Track Tech' Free Service Campaign, conducted in collaboration with TAFE India, offered comprehensive after-sales and post-warranty care for tractor owners. Nine service camps were held across the island during pre-season periods, ensuring minimal machine downtime during peak cultivation times.

Similarly, doorstep service was provided to harvester customers, reinforcing the SBU's long-standing commitment to customer care. In line with global trends in smart farming, Browns Agriculture also made strategic progress in precision agriculture by introducing drone-operated agricultural services - demonstrating its forward-thinking approach and readiness to integrate advanced technology into local farming practices.

The SBU's sustainability agenda was advanced through the distribution of 'Mee Plants' during the Track Tech campaign, reinforcing its commitment to environmental regeneration. Additionally, a series of free health camps, along with the provision of medicine, were conducted for farmers and their families in tandem with service activities, delivering holistic value to rural communities.

The සිසු නැණ පහන (Sisu Nena Pahana) educational initiative was continued throughout the year, with Browns partnering local universities, agricultural schools, and technical colleges to train students on modern agricultural machinery, its applications, and maintenance. In parallel, the ගොවි නැණ පහන (Govi Nena Pahana) programme targeted the farming community, agricultural officers, and other sectoral stakeholders, offering technical knowledge, awareness, and capacity building.

Browns Agriculture's market leadership, technological collaborations, and strong customer engagement model have positioned the SBU as a key enabler of modern, resilient and inclusive agriculture for the future.



MANAGEMENT DISCUSSION AND ANALYSIS

AGRICULTURE AND HEAVY MACHINERY CLUSTER

Browns Power Systems SBU

In the financial year 2024/25, the Browns Power Systems SBU recorded net sales of Rs. 701 million, maintaining its position as a leading provider of power generation and engineering solutions across Sri Lanka. With over three decades of trusted service, the SBU continued to support the nation's critical sectors by executing turnkey projects across a wide range of industries, including garments, F&B, livestock, healthcare, finance, hospitality, manufacturing and education. These successful implementations underscored the SBU's reputation for engineering excellence and its ability to customise power solutions to meet diverse client needs.

Driven by a commitment to sustainability and innovation, the SBU invested heavily in new technologies that promote cleaner and more efficient power systems. Emphasis was placed on reducing emissions, minimising noise pollution and integrating IoT-enabled aftersales systems that ensure responsible and sustainable equipment usage throughout the lifecycle. These forward-thinking initiatives reflect Browns' continued dedication to environmental stewardship and customer-centric operations, reinforcing its leadership in the evolving power solutions landscape.



Browns Air-Conditioning Solutions SBU

The Browns Air-Conditioning Solutions SBU further cemented its position as a leading provider of premium air-conditioning and climate control

solutions across Sri Lanka. With nearly two decades of expertise serving both the private and public sectors, the SBU successfully executed several large-scale turnkey projects in hospitality, residential, commercial and government segments. These milestones reflect the SBU's deep-rooted technical expertise, customer-focused approach, and reputation for delivering customised, reliable solutions across diverse environments.

Reinforcing its commitment to sustainability, the SBU rolled out several environmentally responsible initiatives during the year. A key highlight was the introduction of R32 wall-mounted air conditioners under the BG brand; these units use an advanced refrigerant with a lower global warming potential and improved energy efficiency. Complementing this, the SBU also launched a new range of energy-efficient and economical range wall-mounted air conditioners under the Hyundai brand, designed for enhanced cooling performance and long-term reliability.

Operationally, the SBU invested in building technical capabilities by expanding its specialised service team, particularly for high-end VRF (Variable Refrigerant Flow) systems. This strategic enhancement ensures quicker response times, predictive maintenance and IoT-enabled monitoring - delivering greater efficiency and seamless customer support. Collectively, these efforts underscore Browns AC's ongoing drive for sustainable innovation and its mission to provide future-ready, energy-efficient cooling solutions to Sri Lanka's evolving built environment.



Browns Heavy Machinery SBU

During the financial year 2024/25, Browns Heavy Machinery SBU strategically broadened its product portfolio to address diverse requirements in the logistics, construction, and mining sectors. The SBU introduced key models such as the MAN TGX Prime Mover sourced from MAN Top Used UK, and the Hall Master Haulage Tractor supplied by Mahindra Construction Equipment. These additions were well-aligned with growing demand for high-performance machinery in infrastructure and resource-based industries.

Looking ahead to 2025/26, the SBU is poised for further growth through planned tie-ups with FORCE Motors India. The expanded range will include both light and heavy commercial vehicles to cater to emerging opportunities in tourism, logistics, and material handling. By strategically aligning with globally reputed manufacturers, Browns Heavy Machinery aims to solidify its market presence and deliver enhanced value across multiple industrial verticals.



Marine & Leisure SBU

In 2024/25, Browns Marine recorded a revenue of Rs. 215.1 million, reflecting a 20.1% growth over the previous year's figure of Rs. 179.1 million. The SBU continued to maintain its market leadership in the inboard engine segment, sustaining a 30% market share. This performance was driven by a strong focus on community engagement, enhanced accessibility to products, and responsive customer service.

Among the key milestones achieved during the year was the launch of the Marinized TAFE Inboard Engine, a

cost-effective, budget-friendly solution developed specifically for the northern fishing community. Introduced through a series of awareness programmes conducted in partnership with the Cey-Nor Foundation across Mannar, Jaffna, and Mullaitivu, the initiative aimed to familiarise local fishermen with emerging marine technologies while strengthening community livelihoods.

Browns Marine also strengthened its aftersales service offering through a collaborative initiative with SUZHOU PARSUN POWER MACHINE CO., LTD. A free service campaign for outboard motor (OBM) users was conducted in Kinniya, Muttur, and Negombo, where two Parsun technical experts engaged directly with customers to address technical concerns. The programme reinforced Browns Marine's commitment to customer care and further deepened its partnership with Parsun.

The Marine SBU's strategy is to blend product innovation with grassroots outreach, enabling both market growth and the empowerment of coastal communities.



Browns Agri Solutions SBU

During 2024/25 the SBU recorded a gross profit of Rs. 858 million, reflecting a 17% increase over the previous year. This growth was primarily driven by the strong performance of the seeds division, which contributed 24% to the total gross profits. The Seed division generated a turnover of Rs. 451 million, supported by the successful introduction of new seed varieties such as watermelon, white bitter gourd, luffa and brinjal. These products were well received in the local market, contributing significantly to the SBU's strong top-line performance.

A key initiative during the year was the commencement of the corn multiplication project, through which seed production will be undertaken locally in partnership with a foreign supplier. This project is expected to improve seed availability, reduce import dependency and promote greater self-reliance in local agriculture.

In the crop protection category, Browns Agri Solutions retained its market leadership in the non-selective herbicide segment. The launch of 'Rapid', a novel pre-mix weedicide, further strengthened the SBU's product portfolio and market position in 2024/25.

Among the year's notable milestones was the successful registration of Selontra, a high-performance rodenticide manufactured by BASF, the world's leading chemical producer. This addition enhances the SBU's pest control portfolio and underscores its continued commitment to introducing world-class agrochemical solutions to the Sri Lankan agricultural sector.

The SBU also made significant strides in sustainability and operational excellence. During the year, Browns Agri Solutions maintained its ISO 9001:2015 Quality Management System, ISO 14001:2015 Environmental Management System, and ISO 45001:2018 Occupational Health and Safety Management System. These certifications were retained under the scope of storing and distributing agrochemicals, following a rigorous audit by SGS Lanka, a leading third-party certification body.

In keeping with the requirements of ISO 14001:2015, the SBU also secured the Environmental Protection License and the Scheduled Waste Management License, demonstrating full compliance with national environmental regulations and reinforcing its dedication to responsible and sustainable operations

MANAGEMENT DISCUSSION AND ANALYSIS

PHARMACEUTICALS AND CONSUMER AND INDUSTRIAL ENGINEERING CLUSTER



Veterinary & Pharmaceutical SBU

During the financial year 2024/25, Browns Veterinary Pharmaceuticals SBU continued to strengthen its presence in Sri Lanka's animal healthcare sector, delivering consistent growth and expanding its portfolio in line with evolving market needs. A notable operational achievement was the successful launch of Bawwa Bites, a new in-house dog food brand developed to offer a premium yet affordable nutrition solution. This product marked a strategic entry into the Companion Animal Care segment, reinforcing Browns' commitment to innovation and accessibility.

The SBU also continued to uphold its sustainability and community-focused ethos through multiple impactful initiatives. Under the Plant a Tree – Plant a Life campaign, fruit tree saplings were distributed to staff and senior management during the Sinhala & Tamil New Year, promoting environmental awareness and green living. Complementing this, a large-scale beach cleanup was conducted at the Dehiwala-Mount Lavinia beach in collaboration with the Central Environmental Authority (CEA), commemorating World Environment and Oceans Day. The event drew participation from over 100 school students and reaffirmed the SBU's ISO 14001-certified commitment to environmental stewardship.

Supporting its core clientele, Browns Veterinary Pharmaceuticals enhanced its technical support services aimed at small and medium-scale farms. These services included free veterinary consultations, third-party laboratory access, vaccination and audit services, and continuous farm management training delivered through over 100 service engagements annually. Monthly customer education programmes - featuring both local and international experts - were also conducted, addressing current disease outbreaks, biosecurity measures and operational best practices to empower local farmers and improve productivity. Additionally, Browns extended its reach into public health through anti-rabies vaccination drives, donating vaccines to welfare societies for street dog immunisation. This not only contributes to safer communities but also aligns with the company's broader social, environmental, and economic sustainability goals.

Integrated Engineering Solutions SBU

Industrial Engineering Solutions posted a turnover of Rs. 316 million in 2024/25, delivering a gross profit of Rs. 141 million (before commissions) and recording its highest-ever net contribution of Rs. 51 million. The operational focus during the year was on diversifying the product portfolio to better serve industrial and automotive clients.

Key achievements included the addition of raw chemicals from Indian supplier Taanmay to the product basket, enhancing sales potential across industries. The SBU also introduced wheel care equipment and accessories from Manatec (India) and signed a strategic partnership with Gulf Lubricants (India) to supply lubricants to the automotive and industrial sectors. These initiatives mark a significant step in strengthening the company's position in the engineering solutions market.



Browns Deals SBU

Browns Deals recorded a turnover of Rs. 657 million for the financial year ended 31st March 2025, delivering a gross profit of Rs. 139 million (before sales commissions) and a net contribution of Rs. 23 million. Operationally, the business focused on expanding its market presence by introducing value-oriented consumer electronics. A major highlight was the launch of Sanford televisions at competitive price points, which significantly boosted product appeal across price-sensitive customer segments.

A notable milestone during the year was the achievement of the highest-ever monthly sales in December 2024, with turnover exceeding Rs. 105 million. This achievement underscores the brand's growing traction and customer acceptance in the retail electronics domain. Sustainability initiatives during the year remained minimal, with focus primarily on business performance and portfolio expansion.



Boiler SBU

During the year under consideration, the Browns Boiler SBU strengthened its operational capabilities by expanding its product portfolio to include Thermic Fluid Heaters and Paddy Husk Boilers. This strategic enhancement allowed the SBU to better cater to diverse customer needs, particularly in industries seeking energy-efficient and sustainable heating solutions.

The SBU achieved significant milestones by successfully installing new boiler systems at key client locations. Notably, the Richlight boiler installation contributed to a cleaner and more energy-efficient production process, aligning with industry demands for sustainable operations. Additionally, the tailored boiler solution implemented at Sewmini Rice Mill enabled the use of paddy husk as a renewable biomass fuel, underscoring the company's commitment to environmentally responsible practices.

The SBU also prioritised continuous employee development through robust education programs. Beyond internal and outsourced training, specialised sessions were conducted by suppliers from India, equipping engineers with the latest knowledge on advanced boiler technologies, operational safety, energy efficiency and maintenance best practices. These efforts reinforce the SBU's focus on quality, innovation and sustainability, positioning it well for future growth and enhanced market relevance.



Browns Tech Solutions

During the financial year ended 31st March 2025, Browns Tech Solutions recorded stable financial performance, supported by continued demand in the mobile device category. While specific turnover and profitability figures are not disclosed, the business maintained its market position within the telecommunications and electronics segment. The SBU focused on strengthening its product offering and widening its market presence. A new feature phone model was introduced and strategically launched through Browns' extensive distributor network across the island. This move aimed to meet the growing demand in price-sensitive rural and semi-urban markets, reinforcing the SBU's accessibility and nationwide coverage. The SBU's performance reflects its commitment to agile market response and channel-driven growth.

MANAGEMENT DISCUSSION AND ANALYSIS

AGRI BUSINESS AND PLANTATIONS SECTOR



Browns Plantations

Browns Plantations marked a significant milestone during the year under review – emerging as the world's largest tea exporter following its landmark acquisition of Lipton Teas and Infusions' estates across Kenya, Rwanda and Tanzania. This historic transaction elevated the company's estimated annual export volume to approximately 100 million kilograms, consolidating its dominance on the global tea stage, and reflects the strategic foresight of Browns Investments (the investment arm of the LOLC Group and the Browns Group), under whose umbrella Browns Plantations operates. The acquisition underscores the Group's unwavering commitment to sustainable growth, sectoral leadership and global value creation in the fields of cultivation, production and export of tea.

With origins dating back to 1875, Browns evolved from a pioneering manufacturer of plantation machinery into one of Sri Lanka's most respected players in the plantation sector. The company's transformation accelerated in 2011 following its acquisition by LOLC Holdings PLC, marking the beginning of a new era of innovation, synergy and scale.

Today, Browns Group is a diversified conglomerate with operations spanning automotive, power generation, agriculture, pharmaceuticals, marine, manufacturing, leisure and strategic investments. In line with its broader growth trajectory, Browns Plantations acquired Udupussellawa Plantations PLC and Hapugastenne Plantations PLC from Finlays in December

2021. Together with Maturata Plantations Limited, these entities were brought under a unified operating structure, thereby strengthening the Group's leadership position in Sri Lanka's plantation industry.

Spanning a total extent of 32,725 hectares, including 11,072 hectares under tea cultivation, the three regional plantation companies have demonstrated consistent operational excellence. The plantation companies' performance has been acknowledged through both local and international accolades, including the Social Dialogue Award, the Responsible Care Award, top recognition at the Grand Charity Auction and the Gold Award at the Ceylon Tea Specialty Estate of the Year Competition. These honours affirm the company's commitment to industry leadership, community engagement and sustainable value creation. Recognising the company's digital drive, its website was adjudged as the Most Popular Corporate Website Award at the BestWeb Awards 2024, organised by the LK Domain Registry.

With the recent acquisition of Pussellawa Plantations Limited and Tea Smallholder Factories PLC, the total extent of Browns Plantations exceeded 88,000 hectares globally. Moreover, Browns Plantations continues to uphold rigorous compliance with international benchmarks. Its operations are certified under Rainforest Alliance, ISO 22000 and HACCP standards, affirming adherence to global protocols on environmental sustainability, food safety and hazard control across the production cycle. These certifications serve as a testament to the Group's

responsible practices and its ability to meet the expectations of discerning international markets.

During the year under review, Browns Plantations delivered exceptional results, with tea production volumes reaching approximately 100 million kilograms, significantly contributing to the Group's overall financial performance. This success is attributed to the Browns Plantations' strategic direction, commitment to quality, and alignment with evolving global consumer preferences. Innovation continues to play a central role in driving efficiency and productivity across the plantations. Latest technological advancements have enabled Browns Plantations to modernise traditional processes, optimise performance and strengthen its position as a globally competitive plantation operation.

Looking ahead, Browns Plantations remains focused on long-term sustainable growth, continued technological advancement and global excellence. The company is committed to diversifying its operations, embedding sustainability across the value chain and investing in R&D-led solutions that future-proof its business. Its strategic priorities are centred on innovation and industry transformation, aimed at delivering not only shareholder value but also broader socioeconomic impact.



Maturata, Udupussellawa & Hapugastenne Plantations

Maturata Plantations Limited is a leading player in Sri Lanka's plantation sector, recognised for its scale, diversity and operational strength. The company is one of the country's foremost producers of tea and boasts the largest cinnamon plantation in Sri Lanka. With a total of 19 estates and a land bank spanning nearly 17,000 hectares, Maturata's

processing capacity is supported by seven functioning factories, enabling it to maintain high-quality production standards while preserving the integrity of its agricultural heritage.

In addition, Udapussellawa and Hapugastenne Plantations have also cultivated a rich agricultural legacy in Sri Lanka's upcountry regions. Udapussellawa's diversified portfolio includes tea, coffee, commercial forestry, cardamom, coconut, and cocoa, while Hapugastenne focuses on tea, rubber, commercial forestry, pepper, cinnamon, and cocoa. Both companies steward significant land holdings, which include vital water catchment areas and high conservation value zones.

Understanding the environmental importance of these ecosystems, the companies have adopted a proactive approach to conservation. Initiatives have been launched to engage the younger generation in protecting these sensitive landscapes. Educational programmes and community-based environmental events are organised to foster awareness, encourage local stewardship and promote long-term sustainability.



Gal Oya

Gal Oya Sugar Industries endured a challenging year during 2024/25, largely due to adverse market conditions across the sugar and ethanol sectors. Although operational performance showed progress, the business reported a loss for the financial year, marking a reversal of the positive trend seen in previous years. The company completed a major milestone with the successful commissioning of its new factory project in December 2024. While commissioning and trials occupied the first quarter of

2025, revenue contributions from the new facility are expected to commence in earnest during the 2025/26 financial year.

Despite increased production volumes (crushing close to 370,000 tonnes of sugarcane, yielding approximately 26,000 metric tonnes of sugar and producing six million litres of Extra Neutral Alcohol (ENA), the steep decline in market prices adversely impacted financial outcomes. Ethanol prices plummeted from Rs. 1,200 to around Rs. 500–550 per litre and sugar prices fell from Rs. 260–270 to as low as Rs. 170. This erosion in pricing nullified the benefits of operational efficiency gains. Nonetheless, the business remains integral to the regional economy, supporting a substantial farming community and maintaining critical agricultural infrastructure. The Government of Sri Lanka has since intervened to stabilise commodity prices, recognising the sector's socio-economic significance. With the commissioning of the new facility and prospects for price stabilisation, Gal Oya is optimistic about a recovery in 2025/26 and beyond.



Tropical Island Commodities

Although Tropical Island Commodities recorded another year of financial losses in 2024/25, the magnitude of the loss declined compared to the previous year, with operational metrics showing signs of recovery. While market conditions continued to suppress profitability across the sector, there was a gradual improvement in sentiment towards the end of the year. The company took several decisive steps to diversify its income streams and reduce dependency

on traditional operations. Strategic partnerships were formed with two leading Sri Lankan export companies, positioning Tropical Island Commodities as a key back-end manufacturer for cinnamon-based products. These ventures are expected to deliver stable order volumes and improved financial performance in the coming year. The company is also playing a lead role in establishing the supply network for SunYield BioIngredients Pvt Ltd, a high-value extraction venture under LOLC Advanced Technologies. This initiative will enable Tropical Island Commodities to broaden its reach within the agri-export value chain, expanding its commercial footprint and enhancing operational synergies. With these partnerships and new ventures underway, the company is confident of returning to profitability in the 2025/26 financial year.



AgStar PLC

The financial year 2024/25 proved to be a particularly challenging period for AgStar PLC, as the company navigated macroeconomic headwinds, elevated input costs and persistent market volatility. While net sales recorded a notable year-on-year growth of 24% to reach Rs. 9.52 billion, this topline expansion was insufficient to offset bottom-line pressures. AgStar posted a net loss of Rs. 366.62 million for the year, a sharp reversal from the net profit of Rs. 159.69 million recorded in the previous financial year. The company's gross margins eroded significantly to 6.7%, driven primarily by a 31% surge in cost of sales. This escalation in input costs was compounded by intense price competition in the chemical fertiliser segment, which placed downward pressure on pricing and contributed to shrinking margins across the board. The

MANAGEMENT DISCUSSION AND ANALYSIS

AGRI BUSINESS AND PLANTATIONS SECTOR

challenging environment was further exacerbated by a reduction in other income and rising finance costs, which cumulatively contributed to operating losses of Rs. 208 million. Adding to the financial strain was the prolonged delay in recovering approximately Rs. 400 million in government fertiliser subsidies - a situation that continued to weigh heavily on working capital and liquidity management throughout the year.

Operationally, AgStar continued to defend its market presence amidst aggressive competition and industry-wide margin compression. Despite these pressures, the company was able to maintain a degree of operational stability, aided in part by the rebranding to Browns Fertilizer and the deployment of a dedicated market development team. While these initiatives strengthened brand visibility and market reach, their full financial benefits have yet to be realised. Nevertheless, efforts to streamline the cost base yielded some positive results, with operating expenses remaining contained despite inflationary pressures and supply chain uncertainties.

Key milestones during the year included the retention of critical distributor relationships, sustained delivery of products during peak cultivation seasons and continued engagement with farmers despite a highly constrained operating environment. Importantly, progress was also made in the area of research and development, particularly in coated and blended fertiliser formulations aimed at enhancing product performance and meeting the evolving needs of Sri Lankan agriculture. AgStar remained committed to its long-term sustainability objectives. The company continued to adhere to ISO 9000 and 14000 standards, reinforcing its dedication to quality assurance and environmental management. Investments in infrastructure enhancements - such as upgrades to cold storage and warehousing facilities - further underscored this commitment. The in-house laboratory continued to play a pivotal role in maintaining product quality, while initiatives in environmental compliance and community outreach remained integral components of the company's operating ethos.



Browns Plantations Kenya

Browns Plantations Kenya (BPK), Browns East Africa Plantations (BEAP), Browns Plantations Tanzania (BPT), Browns Plantations Rwanda (BPR) and Browns Plantations (Guizhou) Tea (BPG) together form the foundation of a globally integrated tea enterprise. Their expansive presence across Africa and Asia allows Browns Plantations to leverage scale, operational synergies and product diversity. Driven by a commitment to ESG, innovation and value creation, the global plantations strategy is aligned with the Group's long-term ambition of leading the global tea industry in quality, sustainability and reach.

Browns Investments' strategic acquisition of Finlay's Kenya has firmly established the Group as a major force in the global tea industry. Finlay's, one of the oldest plantation operations managed by the Swire Group of Scotland, comprises about 10,000 hectares and employs over 5,000 individuals. Now operating under the name 'Browns Plantations Kenya (BPK)', the estate represents a pivotal component of the Group's global expansion in tea. Highly mechanised in nature, BPK conducts over 90% of its tea harvesting using machines, significantly enhancing productivity across its operations. The company houses four black tea factories with a combined capacity to produce 26 million kilograms of made tea annually, primarily serving established markets such as Pakistan, Egypt and the United Kingdom.

In addition to its core tea operations, BPK manages 3,000 hectares of forestry - primarily Eucalyptus and Cypress - ensuring self-sufficiency in biomass for energy needs, while also exploring further value-added opportunities such as timber. The company has also dedicated

600 hectares to organic tea cultivation, capitalising on growing demand from markets in Europe. In line with its strategic vision, BPK is actively working to expand orthodox tea processing, which is expected to enhance sale averages by targeting premium price segments.

Certifications including Rainforest Alliance, ISO 22000 and Food & Drug Administration (FDA) endorsement reflect BPK's adherence to global benchmarks for food safety, environmental sustainability and ethical sourcing. The operation is supported by five hydropower plants and two solar farms, enabling a high degree of energy self-sufficiency. Complementing its environmental efforts, BPK also undertakes numerous sustainability initiatives and corporate social responsibility programmes, including those under the Finlays Community Trust, which is set to be renamed 'Browns Community Trust'. These initiatives include scholarships and continued educational support for school and university students within the plantation communities.

Additionally, the company is introducing more efficient heat transfer systems in tea processing to reduce firewood consumption. This initiative aims to channel a greater portion of timber plantations toward high-value outputs and reduce carbon monoxide emissions.

In a parallel development during the year under review that reflects its eastward expansion, Browns Investments made its entry into China's tea sector through Browns Plantations (Guizhou) Tea Co., Ltd. (BPG). Browns Investments rebranded James Finlay Guizhou, forming BPG, thereby marking LOLC's official entry into the Chinese tea industry. Located in Guizhou (China's largest tea-producing province), BPG serves as a key tea refining and packing hub. Its location in proximity to premium tea-growing regions gives the company the ability to scale production in response to global demand efficiently and effectively.

In the year under review, BPG became the largest tea exporter in Guizhou Province. The company delivered robust growth, with revenue rising by 93%

and sales volumes increasing by 83% compared to the previous year. This growth was driven by a combination of operational excellence and rising global demand for value-added tea products. With Guizhou holding immense potential to produce teas that are compliant with European Union standards, BPG is collaborating closely with local authorities to promote sustainable cultivation practices and support smallholder farmer development.

In the context of rising domestic tea demand, China's tea imports reached 54,200 metric tons in 2024 - a 38.5% increase year-on-year. Within this dynamic environment, BPG has positioned itself as a critical link between origin production and downstream markets, providing customised tea solutions across the food service, tea extract and ready-to-drink (RTD) segments

Browns East Africa Plantations, Browns Plantations Tanzania and Browns Plantations Rwanda (Formally the Lipton Portfolio)

Further strengthening its international presence, Browns East Africa Plantations (BEAP), Browns Plantations Tanzania (BPT) and Browns Plantations Rwanda (BPR) were established following the 2024 acquisition of a significant portfolio of estates formerly owned by Lipton. This acquisition elevated Browns Plantations to the status of the world's largest tea exporter. With estates located in Kenya, Tanzania and Rwanda, this portfolio is strategically positioned to optimise synergies, manage operational costs and enhance productivity across its diversified tea operations. Collectively, the holdings encompass a land mass of 35,127 hectares, including 13,167 hectares under tea, 4,007 hectares of timber and fuelwood, and 8,836 hectares designated for forest conservation and other uses.

The combined operation is expected to produce approximately 37 million kilograms of made tea per annum. The use of high-output, motorised harvesters with tracks is being scaled across the estates, increasing mechanised harvesting beyond the current 75%

and significantly lowering per-unit harvesting costs. Meanwhile, BEAP is upgrading its hydropower infrastructure, with the current generation capacity of 2.9 megawatts from four hydro stations targeted to be doubled to 5.8 megawatts through the utilisation of high-elevation water sources and natural river gravity flow.

Committed to responsible growth, BEAP is embedding transparency across its supply chain and aligning with global environmental, social, and governance (ESG) standards. This approach ensures the company continues to meet the rigorous expectations of international buyers and positions BEAP as a trusted supplier in key global markets.



Sunbird Sierra Leone

Sunbird Sierra Leone demonstrated significant operational progress during the year under review, increasing sugarcane crushing volumes by over 60% year-on-year to reach 150,000 metric tonnes. This marked improvement reflected well on the company's operational efficiency, although the business continued to operate at a negative EBITDA. The shortfall against expectations was largely due to severe and unforeseen weather conditions which affected approximately 1,200 hectares of plantation area (among the most severe incidents in over a decade), thereby curtailing expected yields and output. Despite the setback, average selling prices of ethanol saw notable improvement, rising from USD 0.85 to USD 1.10 – 1.15 per litre.

Recognising the limitations of relying solely on ethanol, particularly in seasonal markets with periodic demand fluctuations, the company initiated a

major expansion strategy to diversify into sugar production. Agreements were signed in March 2025 to establish a sugar processing facility, with commissioning expected in November 2026. This move will enable the company to produce both sugar and ethanol, shifting the product mix toward essential commodities with strong domestic and regional demand. With 100 percent of sugar in Sierra Leone being imported, this new facility will unlock significant revenue potential and reduce reliance on seasonal ethanol sales. The company expects that this transformation will drive strong profitability in the years ahead and position Sunbird Sierra Leone as a key player in West Africa's sugar economy.

MANAGEMENT DISCUSSION AND ANALYSIS

LEISURE AND ENTERTAINMENT CLUSTER



The global travel and tourism industry made a significant recovery in 2024, driven by pent-up demand, easing of travel restrictions and increased consumer confidence. With most international routes operating at near-full capacity, many destinations reported a return to pre-pandemic activity levels. Sri Lanka too reaped the benefits of this global resurgence, welcoming 2 million tourist arrivals in 2024, up from 1.5 million in the previous year. This figure is approaching the island's historic high of 2.3 million visitors recorded in 2018.

Browns Hotels and Resorts

Against this favourable backdrop, LOLC's leisure segment delivered its most profitable year to date, despite tourist arrivals still trailing 2018 figures. Every operating property - except for the newly-launched Ayugiri - recorded strong financial and operational performance. Contributing to this success were several strategic initiatives, including a lean and optimised workforce, targeted refurbishments and consistent service enhancements. Across the portfolio, guest satisfaction scores were at an all-time high, reflecting a strategy focused on efficiency without compromising on the guest experience. While the staffing structure was rationalised - by not replenishing overstaffed positions - this did not impact operations. Instead, it allowed for enhanced productivity, with the introduction of technology and

equipment upgrades where necessary. A clear outcome of this leaner, more efficient model was the substantial improvement in service charge payouts. In parallel, staff engagement initiatives such as overnight stays at sister hotels, family getaways and welfare activities contributed to high team morale and retention. Sustainability and CSR were also embedded into operations, with each property contributing to community upliftment and environmental conservation in meaningful ways.

Occidental Eden Beruwala

Eden posted positive earnings before interest and tax (EBIT), of Rs 171.2 million for 2024/25 financial year, compared to Rs 78.4 million EBIT reported in the previous year, reflecting its operational strength. A major addition in 2024 was the launch of 'Sippy', a modern 24-hour café offering an à la carte menu that spans global cuisines. With Eden hosting guests from over 60 nationalities, Sippy was designed to cater to diverse palates and extended-stay visitors. Complementing this was a new beverage menu featuring eight signature cocktails crafted with Sri Lankan ingredients - exclusive to Eden.

Club Hotel Dolphin

Dolphin had a standout year, reporting an PBT of Rs 230.1 million, crowned 'South Asia's Top All-Inclusive Resort' at the SATA Awards 2024 in Nepal.

Enhancements included the refurbishment of villas and the introduction of a revamped à la carte restaurant, 'Waves', offering a curated international menu. The hotel also hosted a popular 'Indian Food Festival', featuring two guest chefs flown in from India. Dolphin maintained strong guest satisfaction with improvements to both the buffet and à la carte offerings.

Thaala Bentota Resort

The financial year 2024/25 was a defining period for Thaala Bentota, which recorded a strong and sustained operational performance following its full transition into a standalone Sri Lankan hospitality brand. The Company reported an EBIT of Rs 159.7 Mn for 2024/25 financial year. This was the resort's first complete year operating under the Thaala identity, after moving away from its previous international branding. The rebranding allowed the resort to craft a more personalised and culturally authentic guest experience - positioning it as a distinctive player in the competitive coastal leisure market. Throughout the year, Thaala Bentota maintained high occupancy levels and a consistently healthy bottom line. The hotel experienced heightened demand, driven by its refined service delivery, attention to individual guest preferences, and the architectural appeal of the property itself. As one of the first hotels developed by the Group, Thaala Bentota combines heritage with modern luxury, contributing to its enduring popularity among both local and international guests. The rebranding initiative emerged as a key milestone for the business during the year. The transition not only allowed the hotel to reflect a more homegrown identity but also contributed to improved guest satisfaction scores and enhanced brand recognition. Focused efforts on delivering elevated service standards and improving the average room rate led to strong revenue growth and profitability.

Dickwella Resort & Spa

Dickwella experienced year-round high occupancy, moving beyond its traditional seasonal peak. Renovations continued in phases to upgrade rooms and improve guest comfort. The launch of a new Instagram-worthy à la carte menu included creative fusion dishes such as

Buffalo curd cheesecake and Ambul thiyal tacos. Sustainability was a key focus, with turtle-shaped plastic disposal units installed along the beach to raise awareness and protect the nearby turtle nesting sites. The Company is having a standout year in-terms of profitability, while recording an EBIT of Rs 163.1Mn for 2024/25 financial year.

Hotel Sigiriya

Hotel Sigiriya posted excellent occupancy levels, with the Ayurveda spa performing exceptionally well. F&B revenues rose with the reintroduction of Duma, a jungle-themed BBQ experience featuring oil lamps and bonfires, alongside a tree-hut dining concept facing Sigiriya Rock. The hotel also launched a community-based bee honey project, where beehives were distributed to nearby households. The harvested honey is purchased by the hotel and offered to guests - supporting livelihoods while enhancing the guest experience with local produce. The Company concluded the financial year with PBT of Rs 101.3 Mn for the year under review.

The Calm Resort & Spa Passikudah

Calm Resort & Spa delivered one of its strongest financial performances in 2024/25, achieving notable improvements in profitability across the board, while reporting an EBIT of Rs 30.6Mn. As one of the top-performing properties within the Group's leisure portfolio, Calm recorded a healthy bottom line, underpinned by disciplined cost management and steady operational efficiency. The positive performance allowed the resort to distribute a significantly high service charge to its staff during the year, a testament to its strong financial footing and commitment to employee well-being. Operational consistency and effective resource utilisation contributed to this result, positioning Calm Resort & Spa as a standout performer among the Group's coastal properties.

The Occidental Paradise Dambulla

Occidental Paradise continued to demonstrate stability as a key contributor to the leisure cluster, recording a significant recovery in performance compared to the previous year.

Operational efficiency and consistent occupancy levels, driven by steady demand from both local and international guests, supported this marked improvement.

Reveal the Collection – Mirissa

Reveal Collection properties in Mirissa - Beach House and Ubuntu - recorded a healthy bottomline. The hotels introduced new à la carte menus available from 10 a.m. to 10 p.m., enhancing culinary choice for guests. At Beach House, major public area renovations improved ambience and guest experience. Reveal the Collection, reported a EBIT of Rs 88.4 Million for 2024/25 financial year

Sheraton Kosgoda Turtle Beach Resort

Sheraton Kosgoda Turtle Beach Resort, located along Sri Lanka's picturesque South Coast, continued to offer guests an unparalleled 5-star beach getaway, complemented by its proximity to the renowned Kosgoda Turtle Conservation Project and the region's scenic attractions.

During the financial year under review, Sheraton Kosgoda Turtle Beach Resort navigated a challenging operating environment, balancing the impacts of rising operational costs with strategic efforts to streamline processes and enhance service delivery. Despite these headwinds, the property achieved a commendable growth in Gross Profit, increasing from Rs. 1.26 billion to Rs. 1.39 billion, reflecting a 10.32% year-on-year rise. This growth underscores the resilience of the resort's topline performance, driven by targeted marketing initiatives, curated guest experiences and a renewed focus on service excellence.

The management has initiated a series of measures aimed at optimising cost structures, improving operational efficiencies, and further elevating the guest experience. By leveraging its distinctive location, and premium brand positioning, the resort is poised to strengthen its market presence and achieve a positive performance turnaround in the coming financial year.



Sustainability Initiatives

During the financial year 2024/25, Browns Hotels & Resorts demonstrated a deepened commitment to environmental stewardship, biodiversity protection, and community engagement. Across its diverse portfolio of properties, the Group implemented wide-ranging Corporate Social Responsibility (CSR) and sustainability projects aligned with global conservation goals and local development priorities. These initiatives were grounded in long-term ecological vision, active collaboration with academic and conservation institutions, and inclusive participation of hotel guests, staff, students, and community stakeholders.

Club Hotel Dolphin emerged as a leader in ecosystem conservation through the launch of the Nipa Palm Conservation Project in collaboration with Wayamba University and the Wildlife & Nature Protection Society (WNPS). Initiated in July 2024, the project aims to restore the fragile riverbank habitats along the Gin Oya by nurturing over 500 Nipa Palm seeds in an in-house nursery. These seedlings were planted along the riverbanks following biodiversity surveys conducted by Horizon Campus and WNPS experts. The first transplanting event was held on 4th February 2025, coinciding with World Wetlands Day and Sri Lanka's Independence Day, underscoring the symbolic and ecological importance of the initiative.

To commemorate Earth Day, Club Hotel Dolphin hosted an awareness session on mangrove restoration led by WNPS marine specialists. Students from Bolawatta Gonsalvez school, together with hotel guests, participated in planting activities, fostering early environmental

MANAGEMENT DISCUSSION AND ANALYSIS

LEISURE AND ENTERTAINMENT CLUSTER

education and hands-on conservation experience. The hotel also marked Earth Hour with symbolic actions to promote energy awareness and climate consciousness.

Thaala Bentota Resort spearheaded an ambitious reforestation initiative titled the '500 Jack Trees Project'. Launched in July 2024 and led by General Manager Rohan Gamage, the project was rolled out in partnership with school nature societies such as the Parisara Kawaya network. As of March 2025, the project successfully planted 502 jackfruit trees across multiple schools, including Dharmapala Kanishta Vidyalaya, Elakaka Maha Vidyalaya, Warapitiya Kanishta Vidyalaya, and D.S. Senanayake National School in Beruwala. This initiative promoted biodiversity, food security and youth environmental leadership. Tree growth is being actively monitored, ensuring long-term ecological impact. Thaala Bentota also celebrated Earth Hour, reinforcing its conservation credentials. The highlight of Thaala Bentota's sustainability initiatives is the Rathamilla Endangered Mangrove Conservation Project, which encompasses community engagement sessions, signage installations, and guest education through visits to the mangrove estuary. This impactful conservation effort was internationally recognised with the International Gold Winner title in the Hospitality and Travel: Conservation and Wildlife category at the Green Apple Environment Awards 2024 in the UK.

The Dickwella Resort & Spa partnered with the Marine Environment Protection Authority (MEPA) to host a Coral and Beach Cleanup programme under the Clean Sri Lanka National Programme. Conducted on 2nd January 2025, this activity involved staff, guests, and local volunteers uniting the community in safeguarding coastal ecosystems and promoting marine biodiversity.

On 28th January 2025, the resort inaugurated the Sea Turtle Conservation Hub, an educational space dedicated to raising awareness about sea turtle protection. This initiative, supported by the Department of Wildlife Conservation, brought together schoolchildren from

Batheegama Maha Vidyalaya and NVTI Thalalla, as well as hotel guests to engage in conservation learning and artistic expression. The programme culminated in a symbolic baby turtle release. The Hub aims to evolve into a long-term platform for marine education and youth engagement.

Hotel Sigiriya marked World Wildlife Day 2025 with an art competition on the theme of human-elephant conflict for students of Sigiriya Central College. The event began with an educational session led by the Department of Wildlife Conservation and encouraged students to translate their community-based experiences into creative artwork. The initiative aimed to deepen understanding of wildlife-human interactions and promote coexistence through dialogue and awareness.

Complementing this, Ayugiri Ayurveda Wellness Resort conducted a panel discussion on the causes and mitigation of human-elephant conflict, attended by students, local community members and conservation experts. The discussions underscored the impact of habitat loss and deforestation and highlighted strategies such as sustainable land-use planning and community engagement.

Furthering its commitment to biodiversity, Browns Hotels & Resorts launched the second season of its Naturalist training programme at Hotel Sigiriya on Endangered Species Day 2025. The program engaged team members from Hotel Sigiriya, Occidental Paradise Dambulla and Ayugiri Ayurveda Wellness Resort in immersive training, supported by the Department of Wildlife Conservation. The initiative seeks to cultivate in-house conservation champions capable of delivering enriched guest experiences and driving ecological awareness.

The Green Initiative for Waste Reduction and Pollution Control at The Calm Resort & Spa in Pasikuda focuses on minimising pollution and managing waste through structured, sustainable strategies. These include recycling, composting, staff training and guest awareness programmes. The initiative also involves



site assessments, infrastructure enhancements, and collaborations with certified waste collectors to ensure responsible and effective waste management across the property.

Reveal Mirissa, part of the Reveal Collection, continued to operate the only turtle hatchery in Kamburugamuwa. Over the past two-and-a-half years, the hatchery has nurtured more than 40,000 eggs, with the 80th batch of hatchlings released in early 2025. This conservation initiative is supported by the Department of Wildlife Conservation and Beach House by Reveal and contributes significantly to the protection of sea turtles.

The team at Lantern Boutique Hotel also conducted a beach cleanup in Mirissa, engaging staff and guests in efforts to maintain the natural integrity of one of Sri Lanka's most iconic beaches. These ongoing programmes reflect a strong marine conservation ethic embedded within the Reveal brand.

All properties under Browns Hotels & Resorts marked Earth Day on 22nd April 2025, with dedicated programmes, ranging from tree planting and awareness sessions to coastal cleanups and educational workshops. Similarly, Earth Hour was commemorated on 22nd March, with symbolic energy conservation activities aimed at reinforcing the Group's commitment to climate action.

The 2024/25 financial year saw Browns Hotels & Resorts deepen its integration of sustainability into its business ethos. From mangrove restoration and reforestation to

marine biodiversity protection and human-wildlife conflict education, each initiative was crafted to deliver tangible ecological value and inspire behavioural change. With strong partnerships, grassroots participation, and a vision for long-term environmental impact, Browns Hotels & Resorts continues to set the benchmark for responsible tourism in Sri Lanka.

Marina Hotel Holdings

Marina Hotel, strategically located within the Colombo Port City adjacent to the Colombo Marina, is envisioned to be developed as a landmark luxury hospitality offering. Designed to cater to high-end leisure and business travellers, the hotel will be positioned as a premier destination in Sri Lanka's emerging urban waterfront.

With its commanding views of both the ocean and the city skyline, the property will feature a refined classical-contemporary design, aimed at delivering a distinctive and sophisticated guest experience. The development is expected to contribute significantly to the growth of Colombo's luxury tourism sector, supporting the broader vision of positioning Sri Lanka as a world-class travel and business hub.

Radisson Blu Poste Lafayette - Mauritius

The Group's Radisson Blu Poste Lafayette hotel in Mauritius continued to demonstrate resilience and operational excellence in 2024/25. Despite macroeconomic pressures and the competitive nature of the regional hospitality industry, the property maintained a stable financial and operational performance.

Margin optimisation and cost discipline to sustain profitability amidst external challenges were the two main focus areas during the year. Meanwhile, revenue streams remained steady, supported by robust occupancy rates, effective pricing strategies and optimised operational costs. In addition, diligent efforts were made to maximise RevPAR and contain non-essential expenses, allowing the property to safeguard profitability and maintain positive EBITDA margins.



The property continued to uphold high service standards and operational excellence throughout the year. Guest satisfaction was a key priority, with ongoing investments in staff training, facility maintenance and culinary innovation. The hotel operated at healthy occupancy levels through the period under review, supported by a favourable mix of international leisure and business travellers. Service quality, sustainability integration and team morale were prioritised, ensuring a seamless guest experience across all operational touchpoints.

The Group's commitment to talent development and excellence in service was reinforced through significant recognitions during the year. Two employees of the hotel secured 1st and 2nd place at the National Bread Competition held in April and May 2024, an achievement that reflects the Group's investment in promoting skills enhancement and culinary excellence within the hospitality team.

During the year under review, Radisson Blu Poste Lafayette undertook several impactful activities to advance sustainability and community engagement goals. Key environmental actions included strengthening adherence to Green Key International standards, partnering with Green Impact Collection for recycling, and maintaining a zero food-waste policy in staff canteens. The property also sourced eco-labelled products, such as BE.Eau water bottles and recyclable coffee capsules, to reduce their operational carbon footprint.

Additionally, the hotel actively participated in a beach clean-up at Poste Lafayette Public Beach, reinforcing its commitment to marine conservation. On the social front, all female staff were given a day's leave to celebrate International Women's Day, promoting gender inclusivity and work-life balance. The property also supported community upliftment through the donation of linen to Caritas in the Flacq District, and also extended both in-kind and CSR financial contributions to the SOS Children's Village of Beau Bassin.

Looking ahead, Radisson Blu Poste Lafayette will continue to build brand equity, enhance operational efficiencies and deliver memorable experiences for guests, supported by a foundation built on service excellence, sustainability and community partnership.

Maldives Hotels

The Barcelo Whale Lagoon, featuring 100 rooms, successfully completed its second year of operations, marking a strong entry into the Maldivian hospitality market with impressive occupancy rates. In December 2024, Barcelo Nasandhura Male', formerly known as Nasandhura Hotel, opened its doors to the public. This iconic establishment in the capital of Maldives boasts 136 rooms and 118 serviced apartments, making it the largest hotel currently operating on the island. Plans are also underway to develop a sprawling 470-room resort across three islands in the North Male' Atoll.

Barcelo Whale Lagoon Maldives experienced a transformative year in 2024/25, marked by a strategic transition in its operational model, a strong rebound in performance and international recognition for service excellence. Despite a challenging start to the financial year, the resort demonstrated resilience and adaptability, positioning itself as a standout hospitality destination in the Maldives.

Operationally, the most significant development during the year was the resort's successful transition to a fully 'All-Inclusive' model on 15th November 2024. This strategic move aligned with regional

MANAGEMENT DISCUSSION AND ANALYSIS

LEISURE AND ENTERTAINMENT CLUSTER



trends and elevated the value proposition for guests, leading to improved satisfaction and more streamlined operational processes. Enhancements to the guest experience included a range of premium, revenue-generating offerings. These included seafood barbecues at Aqua Restaurant, romantic 'Glamping Dinners' on the beach and Sundowners Private Dinners, all of which enhanced the resort's positioning as a luxury destination.

In order to increase guest engagement and optimise F&B operations, the resort introduced thematic daytime events such as the Paella Pool Party and Burger Madness, which added vibrancy while helping to manage buffet-related costs. The Breeze Bar menu was refreshed with a variety of creative snacks, while the Magical Restaurant expanded its offerings to include healthy, wellness-focused options, reflecting evolving guest preferences. Several infrastructure improvements were also completed.

The property earned significant recognition during the year, winning the Best Emerging Resort in the Maldives at the Travel Trade Maldives Awards 2024. In addition, three members of the team received nominations at the Hotelier Maldives Awards, which celebrate excellence in hospitality across the country. These nominations included Sales Personality of the Year, Young Hotelier of the Year and Housekeeper of the Year. At the Haute Grandeur Global Hotel Awards 2024, Barceló Whale Lagoon Maldives secured six accolades, including Best New Resort (Global), Best Beach Resort, Best Beach Villa, Destination Wedding Retreat, Honeymoon

Hideaway and Best Newly Appointed General Manager in the Indian Ocean region.

The resort also reached several notable milestones during the year. In July 2024, it was officially nominated for the Best Emerging Resort title at the Travel Trade Maldives Awards, while in August it won the six awards listed above. In February 2025, the resort became a featured sponsor of Visit Maldives' 'World's Biggest Giveaway', reinforcing its growing brand visibility and strategic market positioning.

Sustainability continued to play a vital role in the resort's agenda. In June 2024, the Global Wellness Day and World Oceans Day were jointly celebrated through a lagoon clean-up and educational marine awareness session led by expert Koamas. The Mandara Spa organised a bottle upcycling workshop and natural skincare product-making sessions using locally sourced ingredients, encouraging guests to engage in eco-conscious practices. Culinary initiatives focused on reducing food miles by incorporating more local ingredients into Maldivian cooking classes, while outdoor cocktail events showcased sustainable spirits and opened discussions on environmental responsibility. To enhance awareness, the resort launched an Environmental Cinema series featuring documentaries such as 'Chasing Coral', which helped guests better understand the importance of coral reef conservation.

Looking ahead, the leisure sector is poised for a new phase of growth, driven by strategic investments and continued emphasis on guest-centric innovation. With a strong pipeline of upgrades,



partnerships and property enhancements across Sri Lanka and key regional markets, the Group remains focused on delivering exceptional value to guests while strengthening its position as a leader in the hospitality and leisure space.

Ceylon Roots and Browns Tours

Ceylon Roots continued to consolidate its presence in Sri Lanka's inbound tourism sector together with Browns Tours Inbound, delivering stable financial performance and operational resilience despite industry headwinds. For the financial year ending 31st March 2025, the inbound travel operations generated consolidated revenue of Rs. 1.8 billion and concluded the year with a net profit of approximately Rs. 36 million.

This outcome reflects the Group's strategic focus on optimising its high-performing segments and maintaining operational discipline, even as macroeconomic and industry-specific challenges persisted. Throughout the year, Ceylon Roots remained committed to streamlining operations across all departments. Efforts were directed toward managing credit risk and improving cash flow stability. By revalidating supplier agreements to limit credit exposure and integrating alternative digital payment platforms such as I Pay UPI and WeChat Pay, the company strengthened its financial position while enhancing convenience for global travellers. These initiatives contributed to improved working capital efficiency and bolstered resilience across the business.

Tourist arrivals continued to recover during the year, supported by growing confidence in Sri Lanka as a destination. However, the expanding presence of the informal travel sector created heightened price sensitivity in the market, exerting pressure on formal operators to remain competitive without compromising service quality. In this environment, Ceylon Roots prioritised consistency, professionalism, and superior guest experiences reinforcing its reputation as a trusted name in curated inbound tourism.

Several milestones were achieved during the year that contributed to deeper organisational alignment and stronger



market positioning. A renewed emphasis on employee engagement and cross-functional collaboration enhanced service delivery and ensured that the company's core values were effectively communicated to all stakeholders, particularly those involved in client-facing operations. This commitment to internal alignment played a key role in maintaining service excellence and elevating the overall customer experience.

The financial year also marked a significant deepening of the company's sustainability and community engagement agenda. One of the most impactful initiatives was the launch of the Brown Roots Reforestation Project in Ella. Designed to reduce the company's carbon footprint, this initiative focused on tree planting and ecological restoration, while also generating local employment. At least four families from the surrounding community were supported through jobs created by the project, reinforcing the principle of shared value and integrating sustainability with social upliftment.

In a further step toward environmental responsibility, Ceylon Roots initiated the Zero Plastic project in partnership with Eco Spindles. This initiative focused on the collection and responsible disposal of plastic waste and PET bottles, particularly in and around Ella. Collection bins were distributed to nearby villages, while systems were introduced to collect and transfer plastic waste generated during client tours to Eco Spindles for recycling. This project underscores the company's commitment to embedding circular economy principles within its operations and reducing its environmental impact across the travel value chain.

On the social front, the company partnered with Appe Lanka in January 2025 to deliver a high-impact community project in Kilinochchi. Under the banner 'Empowering Education, One Pedal at a Time', Ceylon Roots distributed 13 bicycles to students in the rural village of Poonakary, where schoolchildren often walk over seven miles to attend school. The initiative significantly improved student access to education, attendance and participation, demonstrating the company's dedication to meaningful, grassroots-level social impact. Looking ahead, Ceylon Roots remains focused on strengthening its core offerings, investing in sustainable tourism practices, and leveraging its digital and financial infrastructure to respond to the evolving demands of global travellers.

Excel World

Excel World continues to serve as a vibrant family entertainment and leisure destination in the heart of Colombo. Offering a wide range of attractions including game arcades, a bowling alley, a popular food court and various rides, it has established itself as a multi-faceted urban entertainment hub. In 2024/25, Excel World maintained its upward trajectory despite rising competition from newer, upscale mall developments. The property recorded revenues of Rs. 404 million, building on the previous year's figure of Rs. 405 million, reflecting sustained public interest and operational resilience. As part of its long-term growth strategy, preparations are underway for the launch of a new international-standard theme park, scheduled to open by December 2025. This major upgrade



is expected to redefine the entertainment offering at Excel World and position it as a top-tier leisure attraction in the region.

Colombo Marina Development

The Colombo Marina Project represents a landmark initiative by Browns Investments PLC, the Group's strategic investment arm, reinforcing the Group's long-term vision of participating in transformative, globally competitive developments.

Strategically located adjacent to the planned hotel development, the Colombo Marina is poised to serve as a catalyst for marine tourism and waterfront leisure in South Asia. Officially inaugurated on 10th January 2025, this development marks the inception of Sri Lanka's first integrated luxury marina complex. Spanning a land extent of 30,776 square metres, the Marina will offer a premium mix of lifestyle amenities, including sunset bars, fine-dining seaside restaurants, curated retail experiences, and vibrant entertainment venues.

Designed to accommodate up to 200 mid-to-large-sized vessels, the Marina is being developed with a dedicated investment of USD 120 million. Upon commissioning, the Colombo Marina is expected to significantly elevate Sri Lanka's positioning in regional nautical tourism, while establishing Port City as a key hub for luxury maritime experiences in the Indian Ocean region.

MANAGEMENT DISCUSSION AND ANALYSIS

CONSTRUCTION CLUSTER



During the year under review, Browns Investments continued to strengthen its footprint across multiple sectors including engineering and construction, manufacturing and trading, and mining. The strategic diversification of its portfolio enabled the Group to weather sectoral challenges while pursuing operational efficiencies and long-term value creation.

Browns Engineering and Construction

During the financial year, Browns Engineering and Construction recorded a revenue of Rs. 5.6 billion, representing a 25% decline compared to the previous year's Rs. 7.5 billion. The reduction was largely due to the completion of the Sri Lanka Telecom fibre optic infrastructure project, which had been a major revenue driver in prior periods. Additionally, the slowdown and the delayed recovery of Sri Lanka's wider construction sector further impacted new project inflows.

Despite these challenges, the company maintained operational stability and demonstrated strong resilience through proactive cost management, strategic resource allocation, and a continued focus on delivering value across ongoing projects. Browns Engineering and Construction remains committed to navigating the evolving market landscape while positioning itself for growth as industry conditions improve.

A notable milestone during the year was the soft opening of the Nasandhura Palace Hotel in Malé, Maldives, on 29th January 2025. As the largest hotel in the capital island with 118 apartments and 136 rooms across two towers, the property represents a flagship investment for the Group. Operated by the Barcelo Group, the hotel is already receiving positive guest feedback and is expected to make a strong contribution to revenue in the years ahead.

Browns Metal & Sands

Browns Metal and Sands has not yet commenced commercial production due to prevailing industry conditions and a slow revival in the local construction market. Nevertheless, the company remained proactive by renewing necessary licenses and progressing groundwork for future growth. Plans are underway to manufacture engineering sand and aggregates as a sustainable alternative to river sand, aligning with environmental commitments. In addition, the business is exploring new opportunities in cooperative export and is evaluating the commercial potential of a unique dark green granite deposit identified in its quarry site. Preliminary discussions with international buyers have been encouraging, positioning this as a potential high-value export stream in the future.

Sierra Cables

Sierra Cables delivered its highest-ever turnover since inception, recording Rs. 9.2 billion in revenue - a 14% increase year-on-year. This exceptional performance came despite a challenging construction environment, with growth driven by a robust expansion in export volumes and a 100% surge in the local retail market. The company's export contribution now exceeds 20% of total turnover, a remarkable improvement from under 2% at the time of acquisition.

Sierra Cables maintained its A+ (Stable) rating for the fourth consecutive year and secured the prestigious UL44 certification, enabling it to meet high international standards for commercial and residential power distribution in the USA. Notably, it is now the leading exporter of cables to USA from Sri Lanka. The company also embarked on backward integration by initiating in-house raw material production through energy-efficient technologies, enhancing both sustainability outcomes and profitability. These steps align with the Group's overarching Environmental, Social & Governance (ESG) agenda and strengthen its circular economy model.





Ajax Engineers

Ajax recorded a loss of Rs. 1.36 billion in 2024/25. Despite this challenging financial outcome, the company successfully completed the Brandix office complex building in Colombo 03, a significant project valued at approximately Rs. 662.8 million. The company secured two major new contracts expected to be completed in the 2025/26 financial year. These include the Maritime Facilitation Center in Colombo 02, valued at USD 785,770 and the Sasakawa Memorial Sri Lanka Japan Cultural Center in Colombo 08, valued at Rs. 351 million. These wins reflect the company's ongoing commitment to growth and its ability to secure strategic projects within the construction sector.

With the completion of key projects and acquisition of new contracts, Ajax is well-positioned to improve its financial performance and operational footprint in the coming year.

Gurind Glass

During the financial year 2024/25 ending 31st March 2025, Gurind maintained its operational focus amid a challenging business environment. The company sustained steady financial performance, supported by disciplined cost management and operational efficiency initiatives. Despite the absence of major awards or special milestones during the year, Gurind continued to deliver consistent value to its stakeholders. The company concentrated on strengthening its core activities, ensuring uninterrupted service delivery and client satisfaction throughout the year. Sustainability initiatives remained limited in this period, with no new programmes launched. Looking ahead, Gurind aims to build on its existing strengths and explore opportunities for growth and sustainability in the coming financial years.

B. I. Commodities & Logistics

Within the manufacturing sector, B.I. Commodities and Logistics stood out as Sri Lanka's leading timber treatment provider to the construction industry and other timber users in providing a solution for durability.

BICL business comprises several revenue segments apart from timber treatment, kiln drying as a value-added service for timber treatment, manufacturing and supplying treated wooden pallets to the export industry in line with the international ISPM 15 regulation and for logistics operations, wooden flooring and as the new addition where door and window frames and sashes manufactured according to customers specifications.

The company's pallets meet stringent export requirements and also have the cortication in heat treating wooden packaging material according to ISPM standard. needs. During the period under review, B.I. Commodities recorded a 36% increase in operating profit, supported by improved operational efficiencies and over 80% reduction in finance costs through prudent financial management.

With the economic situation improving we expect an improvement in the construction and hospitality industry. This would increase the demand for timber treatment, Kiln seasoning and wooden flooring.

STAKEHOLDER ENGAGEMENT AND MATERIALITY ASPECTS

Overview

Our stakeholders are those individuals or organisations that can reasonably be expected to be significantly affected by Brown & Company's business activities, output or outcome, or whose actions can affect the ability of Brown & Company to create value over time. All stakeholders would relate to the Company through being concerned with its performance in one or more aspects such as economic, social and environmental.

At Brown & Company, engagement with stakeholders is intrinsic to the way we use our capital to build value. We believe our relationships with all our stakeholders directly and indirectly impact our business activities and reputation. Feedback from stakeholders helps to develop strategies that generate sustainable value and identify our material issues. Their expectations and needs, which emerge from the engagement process, help us refine our services to ensure that we deliver sustainable value.

The Company believes that effective management of relationships with stakeholders is crucial to resolving issues facing our Company. By using their influence, stakeholders hold the key to the environment in which the company operates and the subsequent financial and operating performance of the company. We build trust with stakeholders, by understanding their viewpoints and motivations.

The stewardship role played by the Directors demands that they act responsibly towards stakeholders. Whilst the management of stakeholder expectations is a key aspect of sustainability, the management of stakeholder issues is equally important from a risk management perspective. Therefore stakeholder engagement is a process that is key to many facets of our business.

Stakeholder Identification and Listing of Key Stakeholders

Stakeholder identification is important not only for determining who a company's stakeholders are but also for determining the best way or ways to manage their expectations. Every stakeholder, regardless of his level, wants or expects something from the company or its outcome. Further identifying stakeholders allows for clear communications. To secure open and constructive dialogues with stakeholders, different means of communication are used by Brown and Company, including communication days, conferences, face-to-face meetings and multi-stakeholder forums, which are always grounded by the full disclosure of performance reports. The outcome of these processes guides the evolution of Brown & Company's corporate social responsibility and sustainability strategy, policies, targets, and practices at all levels.

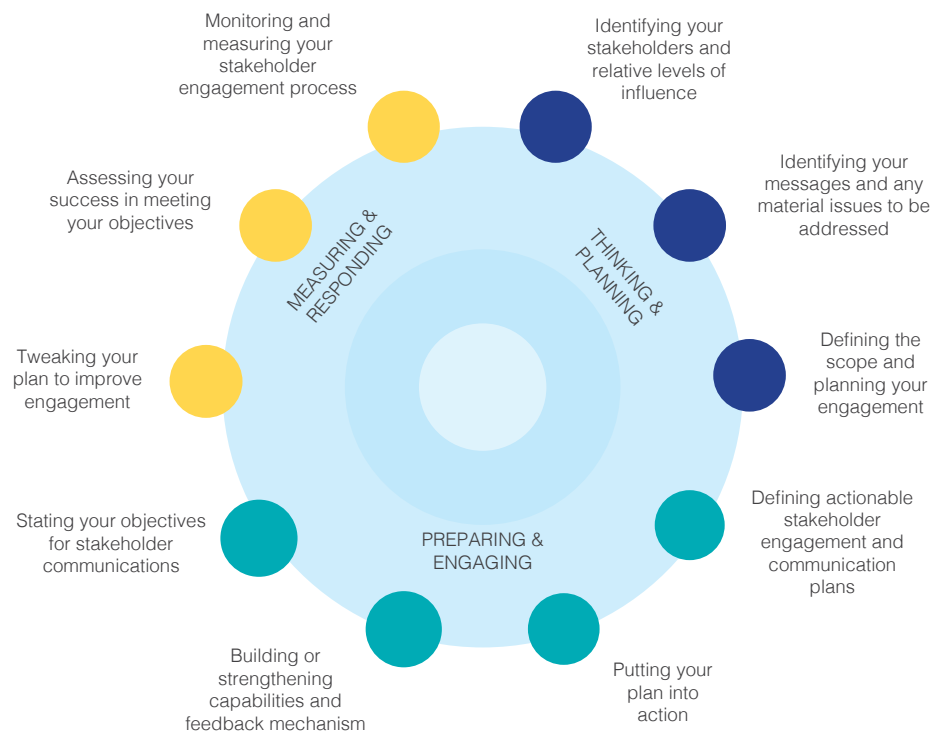


Our Products and Brands

Stakeholder	Description
	Investors who provide financial capital for an attractive return on investment.
	Customers who purchase our products and services.
	Employees who supply the necessary skills and expertise to deliver on our promises to stakeholders.
	Suppliers and business partners who supply products and services which will be sold to customers.
	Communities who provide us social relevance, as well as our future stakeholders.
	Government and regulatory authorities who govern financial stability and market conduct of our industries.
	Environment refers to the living and non-living things which provides resources to continue the businesses.

Stakeholder Engagement Process

Our stakeholder engagement process implies a willingness to listen and to discuss issues of interest to stakeholders of our company and, critically, we are prepared to consider changing what it aims to achieve and how it operates. The engagement and assessment process involves several stages which can be explained by the following diagram.



Stakeholder Prioritisation



STAKEHOLDER ENGAGEMENT AND MATERIALITY ASPECTS

Stakeholder engagement mechanism

Stakeholder	Engagement Method	Frequency
Investors	One-to-one meetings	As necessary
	Shareholder Meetings / AGM	Annually
	Annual Report	Annually
	Quarterly Financial Statements	Quarterly
	Announcements to CSE	Ad-hoc as necessary
	Extra-ordinary General Meetings	Ad-hoc as necessary
	Browns Website	Online
	CSE Website	Online
Customers	Press releases and articles	At least one release per month
	One-to-one meetings	As necessary
	Direct customer feedback to any of the Browns outlets	On a regular basis
	Service campaigns	At least once a quarter
	Field visits / Sales visits	On a regular basis
	Town Storming	At least once a quarter
	Customer suggestions via suggestion boxes and follow up	On a regular basis
	Telephone discussions and emails	On a regular basis
Business Partners / Suppliers	Browns website	Online
	Batt-Mobile Service	On a regular basis
	One-to-one meetings	As necessary
	Periodic visits by either party	As necessary
	Routine telephone discussions	On a regular basis
	Telephone discussions and emails	On a regular basis
	Browns website	Online
	Batt-Mobile Service	On a regular basis
Employees	One-to-one meetings	As necessary
	Monthly divisional meetings	Once a month
	Company's open-door policy encourages direct employee-management dialogue	On a regular basis
	Employee suggestions via suggestion boxes and follow-up	On a regular basis
	Corporate communication via emails, circulars, memos	On a regular basis
	Performance appraisal and individual review meetings	Bi-annually
	Employee reward and recognition	Bi-annually
	Outbound training	At least once a year
	In-house or outsourced training and development	At least once a month
	Company social events such as Sports day, get-togethers, celebrations and religious activities	Sports day – Annual Pirith – Annual Other events – Ad-hoc

Stakeholder	Engagement Method	Frequency
Society	One-to-one meetings	As necessary
Regulators	Dialogue with religious dignitaries	On a regular basis
Society / Environmental groups	Communicating with society through press releases and media	As necessary
Government	Public events and sponsorships	Katukurunda Motor Cross – Annual
	Branch and dealer network	As necessary
	Browns website	Online

Status of Concerns and Responses

Stakeholder	Concern	Response
Investors	Growth in profits, dividends	Browns commits to fulfil shareholder concerns with a focused business strategy.
	Adaptability of the product base to face competition	Introduced new products in order to cater the whole market.
Customers	Product availability	Browns provide the products through its extended island-wide dealer network and showrooms.
	After-sales service and customer satisfaction	Browns assures all the customers the best in customer service, and the use of improved technology
	Quality of products	All products are backed by the Browns warranty and the quality of the products are assured.
Business partners / Suppliers	Long term contracts for purchases	Browns, building on many years of trust, maintains a solid relationship with its suppliers.
	On time payments	Browns makes payments on time in order to maintain its relationships.
Employees	Increased salaries and wages	Based on two performance appraisals, Browns offers its employees suitable salaries in order to be on par or higher with market levels.
	Job satisfaction and motivation	The company has arranged many outbound training programs to create team work and to build confidence among employees. This in turn has created job satisfaction and the best working environment.
	Training and continuous development	In-house training and bringing in industry specialists to provide adequate training and development for employees.
Society	Compliance of rules and regulations including tax payments	Browns complies with all applicable rules and regulations while conducting its operations.
	Creation of job opportunities	The Browns Group is constantly creating many job opportunities in different industries and is expecting to recruit more people in the future.
	Minimising threats to the environment	Browns has been taking precautions to minimise the daily environmental impact in all its operations.

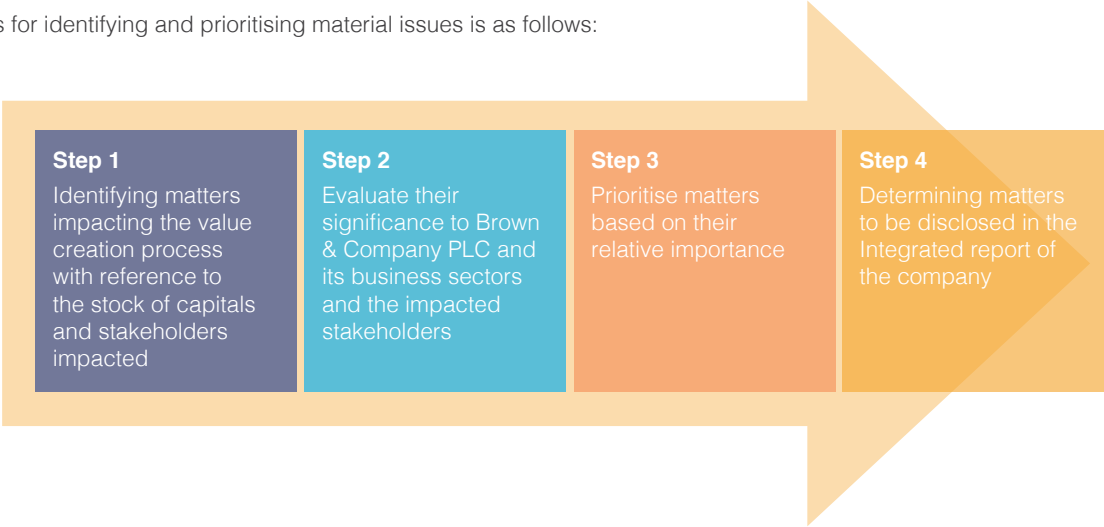
STAKEHOLDER ENGAGEMENT AND MATERIALITY ASPECTS

MATERIALITY

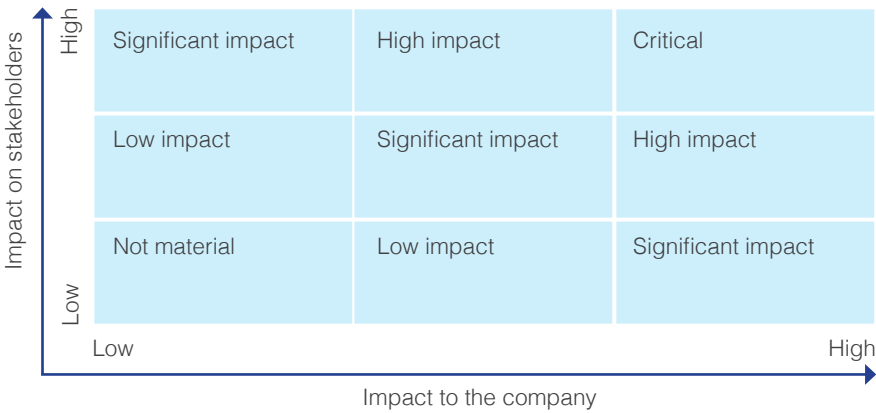
Overview

A structured materiality analysis was carried out during the year, consisting of a high level of employee engagement in all sectors together with the senior management team. While GRI G5 guidelines were used as a framework for guidance, the coverage and scope of material aspects were widened in comparison to the previous years, taking into consideration material contextual trends and the Group’s strategic priorities.

Materiality Process
The process for identifying and prioritising material issues is as follows:



Materiality Matrix
The matrix outlines our material issues against corresponding GRI-G5 material aspects, where appropriate. In accordance with GRI-G5 requirements, it also indicates where the primary impacts of this issue occur in terms of our stakeholders, and whether they are internal or external to our business. Finally, it references the chapters of this report where discussion regarding the issues can be found.



Status	Material issue	GRI-G5 aspect	Aspect boundary	Reference
Critical	Financial performance	Economic performance	Internal	Financial capital report on pages 64 to 67
	Driving eco-efficiency	Energy efficiency	Internal	Natural capital on pages 90 to 93
	Gender diversity and inclusion	Diversity and equal opportunity, Equal remuneration for women and men	Internal	Human capital on pages 68 to 79
	Career development and employability	Training and education, Employment	Internal	Human capital on pages 68 to 79
High impact	Customer satisfaction		Internal	Social and relationship capital on pages 82 to 87
	Product responsibility	Customer health and safety, Product responsibility-compliance	Internal	Social and relationship capital on pages 82 to 87
	Community engagement	Indirect economic impacts, local communities, grievance mechanism for impact on a community	External	Social and relationship capital on pages 82 to 87
Significant impact	Product and process efficiency		Internal	Integrated management discussion and analysis on pages 31 to 49
	Marketing communications	Marketing communications	Internal	Integrated management discussion and analysis on pages 31 to 49

Engagement with External Associations

In order to promote and lobby for best industry practices, the Company continues its membership in several external associations. This helps us to advocate for policies that are fair and beneficial to our business, to the society and the country. Such initiatives also promote the sharing of best practices with other institutions. Our membership enables us to make representations on ethical business conduct, fair trade, social welfare and social equity.

Our memberships include many leading organisations, some of which are listed below;

- Ceylon Chamber of Commerce and its Business Councils
- National Chamber of Commerce
- Colombo Stock Exchange (CSE)
- The Employers' Federation of Ceylon
- Cultural Triangle Hoteliers Association
- Sri Lanka Tea Board

BRAND REPORT

Browns is the Sri Lankan home for many leading global brands. Building global brands into local market dominance is a skill Browns has mastered over a century.

International brands benefit from Browns' intimate understanding of local markets, sales and marketing expertise, distribution infrastructure, partnership oriented organisational culture, corporate reputation, and financial strengths, as well as its synergistic relationship with LOLC, Sri Lanka's largest financial services conglomerate.



Durable and Lasting Partnerships

Long-lasting and successful partnerships with leading brands are a testament to Browns' unrivaled success in building a profitable business for global brands.

Automotive and Hardware



Adaptive and Resilient History

The Group has achieved sustained growth since its inception in 1875 while adapting and responding to challenges and opportunities.

Agriculture and Heavy Equipment





Unrivalled Marketing Resources

Building the local market for globally successful companies requires an effective, efficient and competitive marketing infrastructure, which Browns has in abundance.

Pharmaceuticals, Consumer and Industrial Engineering



Enviably Corporate Reputation

A vanguard in the Sri Lankan economy and industry, Browns has built a reputation for trust, reliability and durability.

Agri Business and Plantations



BRAND REPORT



Integrated Financing Solutions

Browns is a part of LOLC Holdings PLC, the largest Sri Lankan financial conglomerate with a growing regional footprint. Together with LOLC, Browns offers unmatched financing solutions to customers.

Leisure and Entertainment



Riverina Resorts



Occidental
Eden Beruwala

BENTOTA
Thaala



CEYLONROOTS
Islands of Tranquility APVTLTD



REVEAL
ayr castle 1922

ayugiri
AYUJEDDA WELLNESS RESORT BENTOTA

REVEAL
ubuntu beach villas

Hotel
Sigiriya

Club Hotel
Dolphin



Occidental
Paradise Dambulla



Browns
Tours

BODHUFARU
THREE ISLAND PROJECT

REVEAL
the beach house

REVEAL
lantern boutique hotel

REVEAL
the lavender house

Barceló
Whale Lagoon
Maldives

Radisson
POSTE LAZARETTE
RESORT & SPA, THURSDAY



Unmatched Local Market Understanding

Browns Group has gathered in depth local market understanding over a span of almost one-and-a half centuries, making the Group uniquely positioned to deliver success to global brands in the local market.

Engineering and Construction

Browns
Engineering &
Construction



Browns
Metals & Sands

Browns
Browns Investments
Commodities & Logistics



DIGITAL TRANSFORMATION



Guided by the vision “To lead digital transformation by providing cutting-edge IT services and solutions that optimise processes, enhance decision-making, and create value for all stakeholders,” Browns IT continued to play a pivotal role in driving technology excellence across the Group.

During the year, Browns IT supported its Strategic Business Units (SBUs) of Browns Group, which encompasses multiple diverse business units and subsidiaries, by delivering tailored technology solutions that strengthened operations and enhanced business efficiency. Expanding beyond internal operations, the division also extended its expertise to external clients, showcasing its ability to provide innovative and diversified solutions powered by the latest technologies.

Through this dual focus, Browns IT has positioned itself as a trusted digital partner, empowering both group companies and external stakeholders to achieve sustainable growth through technology-led transformation.

Microsoft Dynamics 365 Business Central – Transforming Group Operations through Cloud ERP

Since its implementation in 2021, Microsoft Dynamics 365 Business Central has served as the cornerstone of Browns

Group's digital transformation, positioning the Group as the first company in the South East Asia region to go live with the cloud version of this comprehensive ERP solution. The platform unifies and streamlines business operations across the Group, integrating critical functions including finance, supply chain management, inventory, procurement, sales, and human resources. This integration provides a single, real-time view of organisational performance, enabling data-driven decision-making and operational transparency.

By automating essential processes ranging from order management and purchase approvals to financial reporting and stock tracking Business Central significantly reduces manual effort, minimises errors, and enhances overall efficiency. Its robust integration capabilities facilitate seamless connectivity with other digital solutions developed by Browns IT, creating a cohesive, fully connected ecosystem across the Group.

The platform's scalability, flexibility, and responsiveness enable Browns IT to adapt swiftly to evolving business requirements while maintaining a high standard of service delivery. This ensures that all Strategic Business Units operate with optimised processes, improved productivity, and sustainable growth.

Business Central has been successfully implemented across multiple entities within the Group, including AgStar PLC and AJAX Engineering, subsidiaries under Browns Group. This deployment underscores Browns IT's leadership in adopting advanced cloud ERP solutions to drive operational excellence and digital innovation across diverse business operations.

Digital Innovation and Transformation Initiatives

During the year, Browns IT continued to lead digital transformation across the Group, introducing a series of innovative solutions designed to enhance operational efficiency, improve customer experience, and streamline processes.

Brownsecare – Browns IT introduced Sri Lanka's first e-warranty management solutions for automotive batteries, including brands such as Exide, Dagenite, and Lucas. This landmark initiative introduced the country's first paperless e-warranty system, redefining the customer experience by eliminating traditional printed warranty cards and streamlining warranty activation.

The Browns E-Care App serves as the central platform for this innovation, enabling agents to seamlessly activate warranties, submit and process claims, and manage serviced batteries efficiently. In addition, the solution empowers customers with enhanced convenience through features such as locating the nearest service agent, scheduling and managing service requests, accessing warranty information, and receiving maintenance tips.

Through Brownsecare, Browns IT has successfully combined technological innovation with user-centric design to enhance operational efficiency and elevate customer satisfaction across the automotive battery sector.

SmartFlow – The SmartFlow system revolutionised document management across Strategic Business Units (SBUs), reducing reliance on manual paperwork while providing clear visibility into payment processes. By storing all

DIGITAL TRANSFORMATION

documents digitally on the Azure server, the solution has enhanced efficiency, accelerated payment approvals, and minimised manual errors.

SmartCount – Completing the annual stock count across 400 locations island-wide was previously a time-intensive process taking 1–2 months. With the introduction of SmartCount, a mobile and web-based application developed in-house, the stock count can now be completed within a week. The platform, used by over 300 staff members, features real-time updates, QR code scanning, geo-fencing, auditing capabilities, and automated data export, significantly reducing costs, time, and errors.

Simplified HR – Developed in collaboration between HR and DTS, the Simplified HR system is centralises HR processes for back-office, field, and production line staff, enabling seamless management of employee requests, payroll, benefits, and other HR-related tasks. The system streamlines workflows, provides detailed timelines, email notifications, document management, and ensures compliance across all HR operations.

Smartforce – Browns IT's Smartforce sales system has been a transformative solution for field operations, equipping sales staff with a comprehensive suite of tools to manage their daily activities with greater efficiency and accuracy. The platform enables seamless order placement, quotation generation, payment collection, prospect management, itinerary planning, target tracking, and dealer checklist management, while also supporting advanced reporting and employee claim processing.



Fully integrated with Microsoft Business Central ERP, Smartforce ensures real-time synchronisation of data across the organisation, allowing staff to perform tasks effortlessly through both web and mobile interfaces. By digitising sales processes and centralising operational data, Smartforce not only reduces manual effort and errors but also enhances decision-making, improves productivity, and strengthens the overall effectiveness of the sales force.

Through this solution, Browns IT continues to demonstrate its commitment to leveraging technology to streamline operations, empower employees, and drive sustainable business growth.

Claim Now – The Claim Now app digitises the employee claims process, automating approvals and enabling direct fund transfers, thereby reducing manual documentation and enhancing workflow efficiency.



SmartSys – Smartsys serves as a comprehensive IoT web portal, acting as the central hub for collecting, storing, and analysing data from a wide array of IoT devices. The platform provides users with real-time access to device performance, generating customised reports, interactive charts, and dashboards that deliver actionable insights to drive operational efficiency and informed decision-making.

Through Smartsys, users are empowered to monitor, control, and optimise their IoT devices remotely, enhancing visibility and operational control across processes. By centralising IoT data in a single platform, Browns IT ensures that businesses can transform raw data into strategic intelligence, reinforcing its commitment to digital innovation, process optimisation, and data-driven performance management.



Zyra – The Zyra service management app supports both internal staff and customers by streamlining service job management, including recording, approvals, estimation management, alerts, and ERP integration, ensuring smooth after-sales service operations.

DOCIT – The AI-driven DOCIT tool automates document processing across multiple areas, including return cheque handling, clearing agent solutions, CUSDEC processing, and bank advice documents. By integrating with Microsoft Business Central, the system eliminates manual checks and delivers accurate processing outputs efficiently.

Smart Govi Saviya – An integrated mobile and web-based solution designed to support the agricultural sector by digitising farmer management and field operations. The platform enables comprehensive management of farmer data, recording of field demonstrations, collection of feedback, and efficient campaign and activity tracking for field staff.

A key feature of Smart Govi Saviya is its AI-powered component, which provides accurate weather forecasts and actionable insights, helping farmers optimise crop management and maximise yields. By combining data-driven intelligence with streamlined record-keeping, the solution not only enhances operational efficiency for agricultural staff but also empowers farmers to make informed decisions, improving productivity and sustainability across the sector.

Through this initiative, Browns IT continues to demonstrate its commitment to leveraging technology for social impact, driving innovation, and supporting Sri Lanka's agricultural community with smart, practical solutions.

Through these initiatives, Browns IT has demonstrated its commitment to driving innovation, enhancing operational excellence, and delivering digital solutions that generate tangible value for both the Group and its stakeholders.

Browns IT IoT Division – Pioneering Digital Innovation Across Industries

The IoT arm of Browns IT continues to expand its footprint by delivering a wide range of cutting-edge IoT solutions to meet both internal business requirements and the needs of external clients. This innovative division operates with a dedicated Research & Development unit, which continuously enhances product quality and integrates the latest technological features, ensuring Browns IT remains at the forefront of digital transformation.

IGen G500 – Generator Monitoring and Control

The IGen G500 is an advanced generator monitoring and control tool, providing real-time insights into generator performance. The platform collects operational data from generators, presents it via a centralised portal, and allows authorised users to remotely control the devices. This solution has been successfully deployed in the external market, enabling leading companies to optimise generator usage and achieve maximum operational efficiency.

TrackIT – GPS Tracking

TrackIT is a state-of-the-art GPS and telematics fleet management solution. Beyond basic tracking, TrackIT provides comprehensive monitoring of vehicles and assets, transforming fleet management by offering real-

time visibility, performance analytics, and actionable insights to enhance operational control and efficiency.

Rice Mill Monitoring Solution

The Rice Mill Monitoring Solution is designed to enhance operational efficiency by tracking key metrics such as motor overload frequency, total machine run time, and machine location. LED indicators provide immediate alerts for any errors, enabling timely service interventions and ensuring optimal machine uptime and productivity.

Boiler Monitoring Solution

The Boiler Monitoring Solution delivers a smart, technology-driven approach for overseeing boiler operations across industrial and commercial facilities. Continuous monitoring of temperature, pressure, fuel consumption, and operational efficiency ensures safe and optimal performance. Real-time alerts, predictive analytics, and detailed dashboards empower management to detect anomalies early, plan maintenance proactively, and reduce operational risks and downtime.

Chiller IoT Solution

The Chiller IoT Solution is a key innovation in industrial cooling management. By tracking temperature, pressure, energy consumption, and system efficiency, the platform provides actionable insights to maintain optimal performance. Automated alerts and predictive analytics allow operators to prevent equipment failures, improve energy efficiency, and reduce operational costs, while detailed dashboards enable informed decision-making and resource optimisation.

Poultry IoT Solution

The Poultry IoT Solution reflects Browns IT's commitment to precision agriculture. The platform captures critical operational data including chick weight, feed patterns, surrounding temperature, humidity, and lux levels, providing farm managers with comprehensive insights for enhanced productivity, optimised feed management, and improved flock health.



Pool Condition Monitoring and Controlling

This solution ensures water quality and safety in swimming pools through continuous monitoring of temperature, pH levels, chlorine content, and turbidity. Automated controls and alerts allow operators to adjust chemical dosing and filtration, while detailed analytics and dashboards support preventive maintenance and operational planning, improving efficiency and user safety.

Fuel IoT Solution

The Fuel IoT Solution revolutionises fuel station management by centralising real-time data on fuel inventory, dispenser activity, and tank levels. With features such as pump-wise monitoring, stock intake tracking, and tank level analysis, the platform enables accurate monitoring, informed decision-making, and streamlined operations, enhancing both transparency and operational efficiency.

Through these innovative solutions, Browns IT's IoT division continues to drive digital transformation, operational excellence, and data-driven decision-making, reinforcing the Group's position as a leader in deploying advanced technology solutions across diverse industries.

Entrance to the Local Market

The year under review marked a significant milestone for Browns IT as the division expanded its footprint in the local market by introducing innovative Internet of Things (IoT) solutions. Leveraging the support and collaboration of operational Business Units, Browns IT successfully launched a portfolio of smart solutions, including the Chiller IoT Solution, pool health monitoring and control systems, and generator monitoring solutions.



Certifications

In parallel, several of Browns IT's flagship IoT devices including the IGen G500, IGen G100, Telematic Gateway TG100, Air Master AM-100/200/300, Machine Monitoring Telematics (MMT) R-30 and M100, and Field Monitoring Solutions (FMS 1000 and 2000) were awarded the CE certification. This endorsement affirms compliance with the European Union's stringent safety, health, and environmental protection requirements, further enhancing the credibility and global acceptance of Browns IT's technology portfolio.

Awards & Accolades

Further, the Group's flagship digital platform, Browns E-Care, received international acclaim by winning the Galaxy Award – Bronze for Mobile Media (Mobile Application), while also being honoured with the Top Web Award in recognition of its outstanding digital innovation and user experience.

[illegible]

A LEGACY OF IMPACT

Brown & Company PLC continues to create lasting value by strengthening financial, human, manufactured, social, intellectual, and natural capitals. Through strategic investments and a relentless focus on progress, we empower people, foster innovation, and drive performance that shapes sustainable growth and delivers meaningful outcomes for all stakeholders.

OUR PERFORMANCE OVER CAPITALS



FINANCIAL CAPITAL

The Group posted a profit after tax of Rs. 29 Bn, primarily driven by the acquisition of Lipton and James Finlay companies.



Revenue (Gross)

Rs.108Bn.

EBIT

Rs.72Bn.

Profit After Tax

Rs.29Bn.

Market Capitalisation

Rs.34Bn.

Market Price Per Share

Rs.158/25

Total Assets

Rs.753Bn.

Overview

The operating environment during the year had a major impact on the performance of the company, which was successfully bounced back through Group strategies and requisite actions. The primary objective of the Group is to maximise shareholder's return, to strengthen their value and to shield the worthiness of their investment. Furthermore we ensure to put forward the Group's sustainability ahead of the short term maximisation of profits.

Indicator	UoM	2024/25	2024/23	Year on year change (%)
Revenue	Rs. Mn.	107,821	80,609	34%
Operating profit	Rs. Mn.	72,001	48,309	49%
Profit before tax	Rs. Mn.	25,895	(6,509)	-498%
Net profit	Rs. Mn.	29,093	(8,531)	-441%
Earnings per share	Rs.	152.51	11.20	1262%
Total Assets	Rs. Mn.	752,783	563,371	34%
Total debt	Rs. Mn.	151,711	106,306	43%
Shareholders' fund	Rs. Mn.	100,097	70,191	43%
Share price	Rs.	158.25	110	44%
Market capitalisation	Rs. Mn.	33,648	23,389	44%
ROCE	%	16.88	15.98	6%

REVENUE

During the year under review, Browns Group recorded a revenue of Rs. 108 billion, reflecting a 34% increase compared to the previous year. This growth was primarily driven by the strategic acquisition of Lipton companies in Kenya, Tanzania, and Rwanda. The Plantation Sector was a key contributor, posting a remarkable 117% increase in revenue and accounting for 39.8% of the Group's total revenue. The significant growth in this sector played a pivotal role in the overall revenue increase, which will be further elaborated under the Sector Revenue Analysis section.

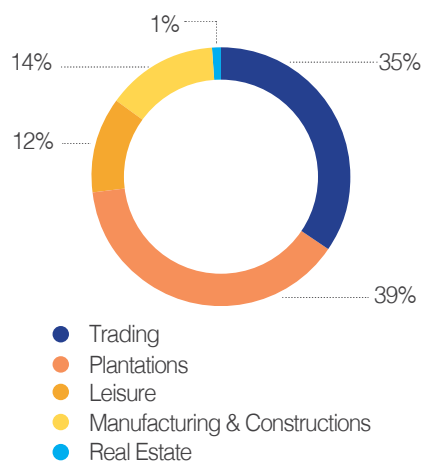


SECTOR REVENUE

The trading sector remained a key contributor to Group revenue, accounting for 35% of the total with Rs. 37.8 billion, reflecting strong performance over the previous year. The Plantation Sector led all segments with a revenue contribution of Rs. 42.8 billion, representing 39% of total revenue. The Leisure Sector contributed 12%, generating Rs. 12.8 billion. Moreover the Manufacturing sector and the Real Estate sector have recorded 14% and 1% of the total revenue respectively.

FINANCIAL CAPITAL

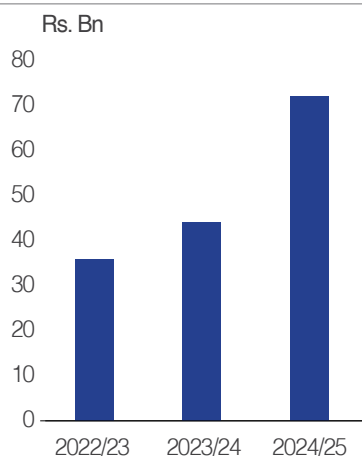
Sector Revenue



EBIT

The earnings before interest and tax recorded Rs.72 Billion for the year 2024/25. The increase in revenue compared to the previous year was primarily driven by the acquisition of Lipton and James Finlay companies.

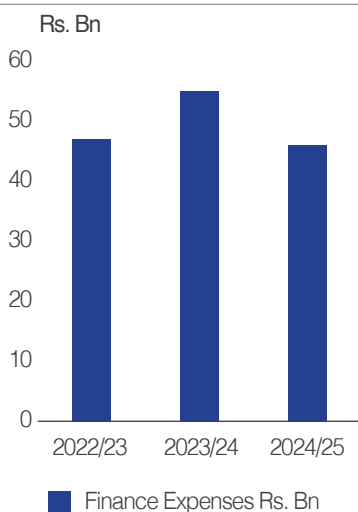
EBIT



FINANCE EXPENSES

The group's finance cost reduced compared to previous year. This is due to reduction in the Average Weighted prime lending rate (AWPLR), and as a result the finance cost reduced by Rs. 8.7 Billion.

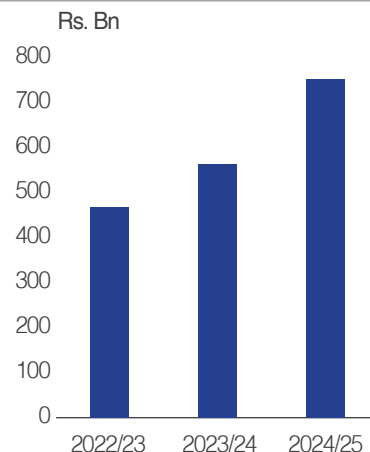
Finance Expenses



TOTAL ASSETS

The assets increased from Rs.563.4 Billion to Rs.752.8 Billion at the end of the year. The group recorded Rs. 23.3 Billion of revaluation gain during the year.

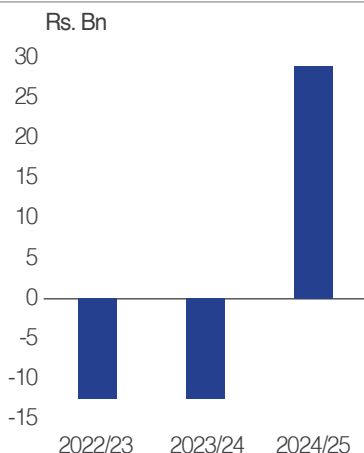
Total Assets



PROFIT AFTER TAX

The group recorded a profit after tax of Rs 29 Billion during the year. The increase in the profit is mainly driven by the acquisition of Lipton and James Finlay companies.

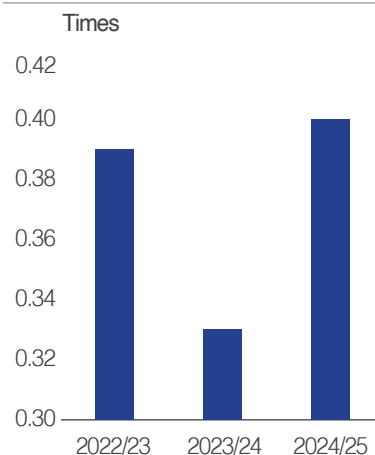
Profit After Tax



CURRENT RATIO

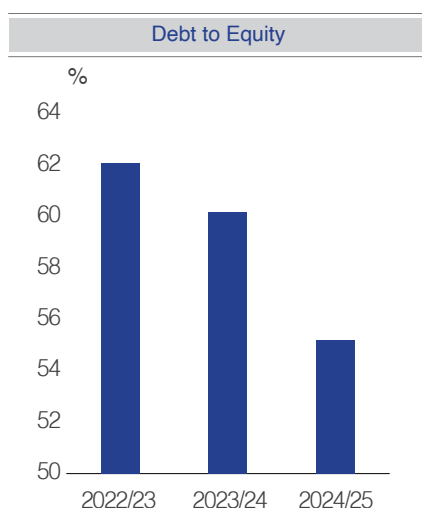
The Group's current ratio stood at 0.39 times in 2022/23, 0.33 times in 2023/24, and 0.40 times in 2024/25. The ratio shows a marginal decline in 2023/24, followed by an improvement in 2024/25.

Current Ratio Times



CAPITAL STRUCTURE

The Group's debt-to-equity ratio was 62.07% in 2022/23, reducing to 56.32% in 2023/24 and further to 55.18% in 2024/25. The gradual decline reflects a lower level of debt in proportion to equity over the three years. While this indicates a strengthened capital structure with reduced reliance on borrowings.



ECONOMIC VALUE GENERATED

During the year ended 31st March 2025, the Group generated a total revenue of Rs. 108 billion, supported by strong performance across its business segments and recent strategic acquisitions. The economic value created was distributed among stakeholders through operating costs, employee benefits, finance expenses, and income taxes. The Group's total income tax expense amounted to Rs. 985.6 million in 2024/25, compared to Rs. 268 million in 2023/24. After accounting for these distributions, the Group recorded a profit after tax of Rs. 29 billion for the year, reflecting its ability to sustain and enhance value for shareholders and other stakeholders.

Economic Value Statement can be found under Supplementary Information Sector in this report.



HUMAN CAPITAL

We prioritise talent development by investing in workforce growth and upskilling. Through targeted training programmes, we enhance leadership, strengthen functional skills, and foster continuous professional development to drive long-term success.



1. Our Profile

1.1 Our Focus

With a proud heritage of over 150 years, Brown & Company PLC recognises the vital role of Human Resources in driving organisational success. Our achievements are built on the expertise, professionalism, and dedication of our people, with HR playing a strategic role in supporting growth, strengthening operational effectiveness, and ensuring long-term business alignment. At Browns, we are committed to fostering a culture of engagement, equality, and meritocracy, where talent attraction, development, and retention are guided by performance, potential, and shared values.

We invest in continuous employee growth through training and development, combining customised classroom learning with a strong learning culture across the Group. Our focus on safe, healthy, and inclusive work environments ensures employee wellbeing and productivity, while compliance with labour regulations and ethical work practices remain non-negotiable. The Head of HR, under the guidance of the CHRO, ensures alignment of HR practices across all subsidiaries, promoting fairness, consistency, and best practices.

Significant progress has been made in strategic workforce planning, talent management, employee engagement, and process improvements. Today, our priority is to deliver high-impact HR services that enable employees to exceed customer expectations while fostering an agile, future-ready workforce. By prioritising satisfaction, development, and continuous learning, we aim to keep Browns a dynamic, people-driven organisation where motivated and passionate employees can thrive, helping us build a culture rooted in purpose, productivity, and progress.

1.2 Our Mission

Our mission is: "With generations of trust and reliability, our aim is to continuously enhance the value propositions to our stakeholders through innovative and customer-centric solutions." We are committed to delivering excellence in every aspect of our operations, building lasting relationships based on integrity,

quality, and mutual respect. By embracing innovation, empowering our people, and understanding the evolving needs of our customers, we strive to create sustainable growth that benefits not only our stakeholders but also the communities we serve.

1.3 HR Strategy

The HR Strategy at Browns Group was redefined to align more closely with the evolving needs of Browns. The renewed strategy focuses on four key pillars:

1. Operational Excellence

To operate efficiently, with streamlined processes that minimise unnecessary delays

2. Abreast of employee development

Identifying skill gaps, providing training and development opportunities, supporting career planning, and fostering a learning culture within the organisation.

3. Creating a satisfied and engaged staff

Creating a positive work environment that promotes satisfaction, motivation, and a sense of belonging among employees.

4. HR Digitisation

To reduce manual workload, improve accuracy, and provide employees with user-friendly tools and platforms.

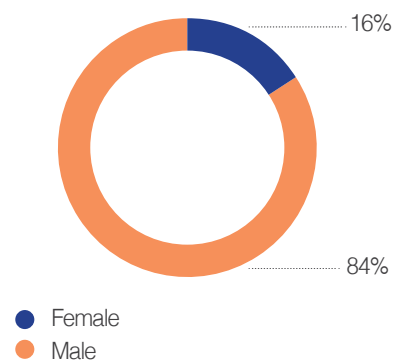
These strategic pillars collectively aim to position HR as a strategic enabler of growth, driving both business performance and employee satisfaction. By continuously evolving our practices and staying agile, Browns HR is committed to delivering long-term value for both the organisation and its people.

2. Workforce Overview

2.1 Gender Diversity

Gender and age remain key indicators for tracking and advancing employee diversity. At Browns, women make up 16% of our workforce, while men account for 84%. We acknowledge the importance of fostering a more balanced and inclusive work environment and are actively pursuing initiatives to increase female representation across all departments. Our commitment extends to creating equal opportunities, promoting diversity awareness, and ensuring an inclusive culture that values every individual's contribution.

Overall Gender Diversity



HUMAN CAPITAL

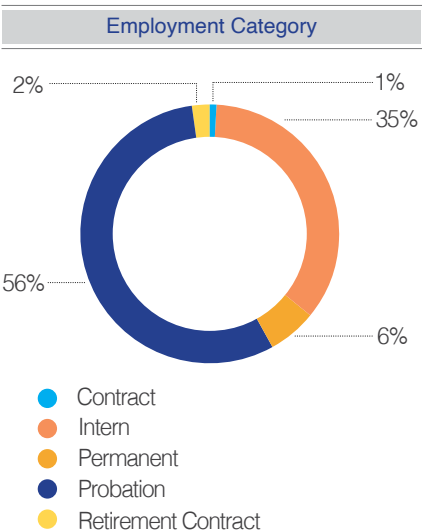
2.2 Grade wise Gender mix

In the 2024/25 financial year, Browns employed a total of 1,078 people, comprising 170 females (16%) and 908 males (84%). Our diverse workforce operates across a broad range of job grades, from senior leadership positions such as General Managers (GM), Deputy General Managers (DGM), and Assistant General Managers (AGM), to operational roles including Clerical & Allied, Manual, and Intern positions. This composition reflects Browns' wide operational scope, combining strategic leadership, skilled professionals, and support functions to drive the organisation's performance.

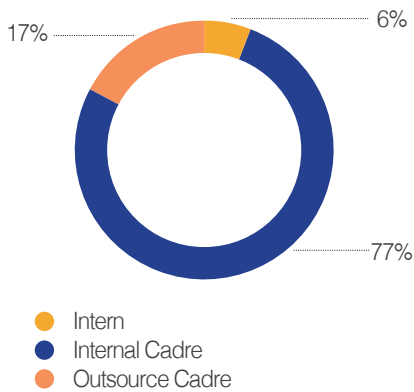
Grade	Female	Male	Total
GM		3	3
DGM		4	4
AGM	1	12	13
Chief Manager	1	28	29
Manager.	6	32	38
Assistant Manager	9	48	57
Senior Executive.	14	59	73
Executive	19	69	88
Junior Executive.	31	74	105
Senior Officer	9	24	33
Officer.	25	69	94
Clerical & Allied	31	199	230
Manual	5	240	245
Intern	19	47	66
Total No. of Employees	170	908	1078

2.3 Types of employment

At Browns, our workforce is categorised into five main employment types: permanent cadre employees, contract employees, retirement contract employees, probationary employees, and interns. Currently, 77% of our employees are internal cadre members, 17% are outsourced cadre staff, and interns make up the remaining 6%. We continuously strive to balance these categories to support operational efficiency and nurture emerging talent within the organisation.

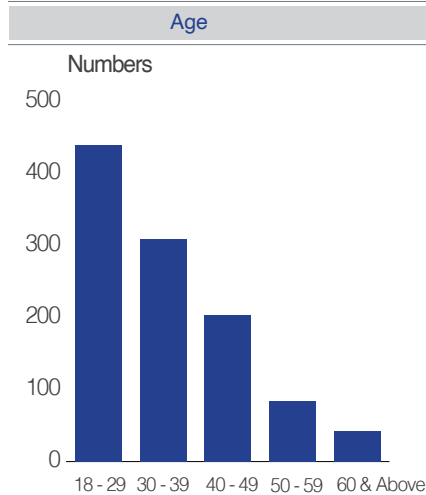


Types of Employment



2.4 Age Diversity

At Browns, our workforce spans a diverse age range, with the majority falling between 18 and 29 years old. We also have a valued group of experienced employees aged 60 and above, whose knowledge and expertise contribute greatly to our organisational growth. This blend of youthful energy and seasoned insight helps create a dynamic and well-rounded workplace culture.



3. HR Digitisation

3.1 Simplified HR

In April 2024, Browns took a significant step toward sustainability and efficiency by introducing a new digital portal aimed at reducing paper usage and streamlining operations. In collaboration with the Browns IT team, we launched Simplified HR, a centralised platform designed to make HR processes faster, more accessible, and environmentally friendly.



Through this portal, employees can now conveniently submit benefit requests, request payroll letters, register for training programs, and complete exit interviews, all in one place, without the need for physical paperwork. This initiative not only enhances operational efficiency and accuracy but also supports our commitment to eco-friendly business practices and digital transformation across the organisation.

3.2 E Personal File

Since July 2024, we have been working on an ongoing project to create E-Personal Files for every employee by digitising physical records through a file scanner and securely uploading them to the HRIS. This initiative aims to streamline document management, improve accessibility, and reduce reliance on paper records.

1. Talent Acquisition

4.1 Recruitment Strategy and Channels

At Browns, our primary focus is on talent acquisition—ensuring we attract, recruit, and retain the best talent to drive our organisation forward. The HR team follows a clear and well-defined recruitment strategy tailored for each key talent segment. A thorough and systematic recruitment process enables us to bring in top-quality candidates within minimal lead times, supporting our business needs efficiently.

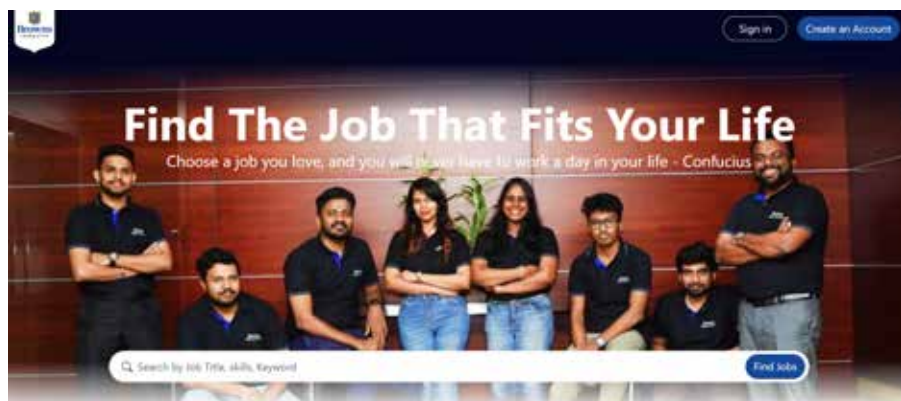
Our employment policy emphasises recruiting candidates who are the best fit for each position, using fair, objective, and internationally recognised assessment and evaluation methods. Recruitment occurs at three critical entry points: trainee level, mid-career professionals, and leadership roles. We prioritise internal talent first, identified through our comprehensive and integrated organisational talent review program, to nurture and promote from within. At the same time, we actively seek fresh talent from outside the organisation to introduce new perspectives, innovative ideas, and modern ways of working. This balanced approach equips us to develop strong leaders for the future.

In addition to utilising Top Jobs, we have expanded our recruitment outreach by actively leveraging platforms such as LinkedIn and Xpress Jobs. Furthermore, we have engaged with registered headhunters to tap into specialised talent pools. This multi-channel approach enables us to reach a wider and more diverse range of candidates, ensuring we attract the best talent to Browns.

4.2 Employer Branding Initiatives

In March 2025, we initiated the re-launch of our Careers Page in collaboration with the Browns IT Team, with the goal of increasing visibility and attracting high-caliber talent. As part of this initiative, we are placing stronger emphasis on employer branding, featuring authentic employee stories and real workplace experiences to showcase our culture. This approach aims to strengthen Browns' reputation as an employer of choice while supporting our ongoing talent acquisition and retention strategies.

HUMAN CAPITAL



The Recruitment team has gone the extra mile to enhance the recruitment experience and strengthen employer branding by warmly welcoming new hires with a detailed Electronic Direct Mail (EDM). This EDM not only introduces the company but also provides clear information about the documents required for onboarding, helping new employees prepare smoothly. Additionally, the team circulates announcements about new joiners across the entire Browns Group, fostering a friendly and inclusive culture by encouraging colleagues to connect and welcome fresh talent. These efforts contribute to a positive first impression and help build a supportive community from day one.



4.3 Internship Programmes

In January 2025, Browns entered into a partnership with the Informatics Institute of Technology (IIT) to support the IIT Infoschol Programme. Under this agreement, Browns will cover the full degree costs for 6 IIT students in exchange for providing them with internships within Browns IT for a period of five years. This collaboration reflects our commitment to investing in emerging talent and fostering long-term growth by nurturing skilled professionals through practical industry experience. In 2023 December as well, we have recruited 10 interns.



2. Onboarding and Employee Orientation

On the first day, new recruits participate in the Browns Induction Programme, designed to welcome them and provide a comprehensive introduction to the company. After completing three months of service, they also attend a group-level induction session, which offers a broader overview and deeper engagement with the organisation.

As part of the onboarding process, new employees receive an induction pack containing Browns-branded materials and resources. This pack helps them familiarise themselves with the company's policies, procedures, and values, ensuring they feel supported and well-prepared to contribute effectively from the start. Through these structured induction programmes, Browns fosters a smooth transition for new hires and strengthens their connection to the Browns Family.

In 2024 December, under the banner of Next Gen, we conducted the Browns Induction Programme specifically designed to equip new recruits with comprehensive knowledge about the products and services offered across the entire Browns Group. This initiative ensures that new employees gain a clear understanding of our business portfolio from the very beginning, enabling them to contribute more effectively and align with our organisational goals.

3. Learning and Development

Browns has always placed strong emphasis on talent development, actively investing in the growth and upskilling of our workforce. Over the years, we have conducted numerous targeted training programmes tailored for senior management, sales teams, and various divisions across the organisation. These comprehensive training series are designed to enhance leadership capabilities, improve functional skills, and foster continuous professional development, ensuring our teams are well-equipped to meet evolving business challenges and drive sustained success.

3.1 Leadership Development

3.1.1 Browns Supervisory Development Programme

In July 2024, we launched the Browns Supervisory Development Programme, a dedicated training series aimed at nurturing leadership skills among the junior and lower-level employees within the Browns Group. This intensive programme spanned nearly seven months and selected 50 promising candidates to participate. Throughout the course, participants engaged in targeted workshops and practical sessions designed to prepare them for supervisory roles. The programme culminated in a formal graduation ceremony, celebrating the achievements and growth of the participants and marking an important milestone in their leadership journey.



3.1.2 Browns Executive Development Programme

In 2025 January, we proudly launched the Browns Executive Development Programme, designed specifically for our middle-layer employees preparing to step into managerial roles. Following an overwhelming response with over 100 applications, 50 talented employees were carefully selected to participate in this comprehensive training series. Spanning 7 to 8 months and covering 18 intensive modules, the programme focuses on cultivating essential leadership skills through expert guidance from both internal leaders and renowned external professionals. As the year comes to a close, the programme is successfully reaching its conclusion, marking a significant milestone in our commitment to nurturing future leaders within Browns.



3.1.3 Browns Professional Forum

In 2024, we introduced the Browns Professional Forum, a dedicated leadership programme designed specifically for senior management employees. This diverse training series offered participants the chance to enhance their leadership skills through interactive sessions that encouraged engagement, collaboration, and advanced development. The programme further strengthened our commitment to equipping senior leaders with the tools and insights necessary to drive organisational success.



3.2 Skills Development Initiatives

3.2.1 Sales Development Programme

The sales team at Browns Group serves as the vital frontline ambassadors, representing our products and brand to the world. As the HR Team, we are committed to equipping them with the essential technical skills and knowledge needed to excel in their roles. Over recent years, we have conducted numerous targeted training sessions tailored to various sales teams across the group, ensuring they stay well-prepared, confident, and effective in driving our business forward.



3.2.2 CX Pro

In addition to our sales teams, the back-office and technical staff play a critical role in delivering exceptional after-sales service to our customers. Recognising the importance of their contribution, we are actively providing targeted training programmes to these teams, ensuring they have the skills and knowledge required to maintain high standards of customer support and satisfaction. This ongoing commitment helps us strengthen customer relationships and uphold the Browns Group's reputation for excellence beyond the point of sale.



HUMAN CAPITAL

3.2.3 Master The Mic

Another key training initiative we conducted in partnership with Toastmasters was the "Master the Mic" programme, designed to enhance employees' presentation and public speaking skills. This engaging series provided participants with practical techniques and hands-on experience to build confidence, communicate more effectively, and deliver impactful presentations. By empowering our employees with these vital communication skills, we are fostering stronger leadership and collaboration across the organisation.



3.3 Other Training Initiatives

We also prioritise training requests from various divisions, whether for outbound training sessions or other job-related skill development needs. By responding promptly and effectively to these requests, we actively support and nurture a culture of continuous learning throughout the organisation. This commitment ensures that every team has access to the resources and knowledge necessary to perform at their best and adapt to evolving business demands.



4. Employee Engagement & Culture

The Browns Family places strong emphasis on employee engagement, recognising it as a cornerstone of our positive and collaborative work culture. At Browns, we believe that when members of our Browns Family feel valued, supported, and connected, it not only boosts morale but also drives productivity, innovation, and long-term organisational success.

In recent years, the HR team has taken the lead in creating opportunities for the Browns Family to celebrate diverse religious and cultural traditions, fostering mutual respect and understanding across the organisation. Through HR-driven initiatives such as festive celebrations, team-building events, and social gatherings, colleagues have been able to connect meaningfully beyond their daily work. These efforts by the HR team reflect Browns' ongoing commitment to strengthening interpersonal bonds and building an inclusive, supportive, and vibrant workplace culture.

4.1 Diversity and Inclusion Initiatives

4.1.1 Browns Erabadu Wasanthaya

In April 2024, the Browns HR Team proudly hosted the vibrant Browns Erabadu Wasanthaya at the Mercantile Cricket Grounds, bringing together around 400 employees from across the Group to celebrate the Sinhala and Tamil New Year. The event was filled with energy and joy, featuring lively performances by our very own talented staff, traditional and fun-filled games, and ending on a high note with a spectacular musical show for everyone to enjoy. This celebration not only honored cultural traditions but also strengthened the bonds within the Browns Family, creating lasting memories for all who attended.



4.1.2 Browns Navaratri Celebration

In 2024 October, the Browns HR Team proudly organised the Browns Navaratri Celebration for the very first time in the company's history. The event was graced by the presence of the Executive Chairman of LOLC Group, Mr. Ishara Nanayakkara, making the occasion even more special. The celebration included traditional blessings, with staff members dressed in elegant cultural attire, adding colour and authenticity to the day. This milestone event not only honoured an important cultural tradition but also reflected the Browns Family's commitment to diversity, inclusivity, and mutual respect among colleagues.



4.1.3 Browns Halloween Movie Night

In October 2024, we celebrated the third consecutive year of the Browns Halloween Movie Night, a fun-filled event held exclusively for Browns staff at the Browns Head Office. This annual gathering brought everyone together to enjoy an evening of entertainment, laughter, and team bonding, adding a spirited and festive touch to our workplace culture.



4.1.4 Browns Christmas Carols & Deco Contest

In December 2024, we celebrated the Christmas season on a high note by hosting the Annual Christmas Carols event in front of the Browns Head Office, bringing everyone together to share festive joy and seek blessings for the year ahead.

To further promote environmental sustainability, we organised an inter-departmental decoration contest featuring eco-friendly themes, encouraging creativity and green practices. Prizes were awarded to the most innovative and sustainable decorations, reinforcing our commitment to both celebration and responsibility.



4.1.5 She Leads 2025

For 2025 Women's Day, we proudly hosted a special forum titled "She Leads 2025," dedicated to celebrating and empowering the women of Browns. The event featured inspiring and meaningful discussions highlighting their valuable contributions and future aspirations within the organisation.



To ensure inclusivity and commemorate this important occasion, every female staff member a carefully curated gift inspired by our 150th anniversary theme. This gesture reflects our deep appreciation and ongoing commitment to fostering women's growth, leadership, and success throughout Browns.



4.1.6 Browns Premier League

In March, the Browns HR Team, in collaboration with the Browns Sports Club, proudly hosted the Browns Premier League to promote sportsmanship and strengthen team spirit within the Browns family. This exciting event brought employees together in a friendly competitive environment, encouraging camaraderie, healthy competition, and a shared sense of pride across the organisation.



HUMAN CAPITAL

4.1.7 Browns Iftar

For the first time in Browns history, we held an Iftar ceremony to honour and celebrate the diversity of our workforce and show respect to our Muslim colleagues during Ramadan. This meaningful event fostered inclusivity, cultural understanding, and a sense of unity across the organisation, reflecting Browns' commitment to embracing and valuing all faiths and traditions within our community.



The celebration not only honoured Browns' rich 150-year heritage but also highlighted the collective efforts and dedication of every employee who has contributed to the company's success over the years. It was a powerful reminder of our strong community spirit and a motivating moment to look ahead with renewed enthusiasm and ambition. The event fostered deeper connections among staff across all divisions, reinforcing a unified vision as we embark on the next chapter of Browns' journey.



4.1.8 Browns Got Talent 2025

For the first time ever at Browns, we organised a company-wide talent show called "Browns Got Talent," open to employees across the entire group. Participants first showcased their skills through a competitive audition process, which led to an exciting grand finale held on a large scale with enthusiastic involvement from the Browns community. The event celebrated the diverse talents within our workforce, culminating in awards for the most outstanding performers. This initiative not only highlighted hidden skills but also fostered team spirit, creativity, and a vibrant workplace culture.

4.1.9 Browns 150 | United in Legacy

The Browns 150th Anniversary Celebration for all staff was a grand event hosted at the prestigious Shangri-La Hotel and expertly organised by the Browns HR Team. Marking this once-in-a-lifetime milestone, the celebration brought together over 800 employees in a spectacular gathering filled with joy, pride, and camaraderie. The event featured memorable performances, inspiring speeches, and special recognitions, concluding on a high note that reinforced our shared legacy and commitment to the future of Browns.

4.2 Recognition and Reward Programs

4.2.1 Employee Token of Appreciation

As part of the 150th anniversary celebrations, all employees were honoured with a commemorative gold coin. This special token of appreciation was presented to recognise their valuable contributions and to celebrate this significant milestone together as one Browns Family. The gold coin symbolises our gratitude and commitment to fostering a culture of recognition and pride throughout the organisation.



4.2.2 Browns League of Titans

In 2024 August, we launched the Browns League of Titans series, where two exceptional employees from each division are featured twice a month in our email communications. This initiative celebrates outstanding talent and contributions, fostering a culture of recognition and inspiring excellence throughout the organisation.



4.3 Internal Communication Channels

4.3.1 HR Hotline

2025, we introduced cluster-wise HR hotlines, providing employees with direct and convenient access to support for their queries and HR-related services. This initiative enhances communication by ensuring timely, personalised assistance within each cluster, empowering employees to resolve issues quickly and efficiently. By bringing HR closer to our people, we aim to foster a more responsive and supportive work environment across the organisation.



4.3.2 Great Ideas

Additionally, we launched the Great Ideas initiative, enabling employees to anonymously submit their suggestions and innovative ideas through the Simplified HR portal. This program encourages open communication and creativity, empowering our workforce to contribute actively to continuous improvement and innovation within Browns, while ensuring their voices are heard in a safe and confidential manner.



5. Employee Benefits

5.1 School Books for Children of Browns Group Staff Members

At the beginning of the school year, staff members with children were thoughtfully provided with book packs to support their children's educational journey. This initiative reflects Browns' commitment to the well-being of our employees and their families, helping to ease the back-to-school preparations and encourage a positive learning experience for the next generation.



HUMAN CAPITAL

5.2 Fuel Card

Eligible Browns employees are provided with fuel cards as part of their benefits package. This practical provision supports their daily commuting needs, enhancing convenience, and contributing to overall job satisfaction. It reflects Browns' commitment to offering valuable perks that support employees both professionally and personally.



6. Health, Safety, and Well-being

6.1 Workplace Safety Programs

Each year, we conduct comprehensive Health & Safety programmes along with fire safety training sessions for all employees. These initiatives are designed to promote a safe and secure working environment by raising awareness, enhancing preparedness, and equipping staff with essential knowledge and skills to prevent accidents and respond effectively in emergencies. Our commitment to health and safety underscores Browns' dedication to the well-being of every member of our team.



6.2 Employee Wellness Initiatives

6.2.1 Browns Medi Care

The Browns HR Team organised a comprehensive medical camp across multiple locations within the Group, including the Browns Head Office, Browns Pannala Factory (now relocated to Katunayake), Browns Devanampiyatissa premises, and Browns Powermart premises. Partnering with leading healthcare providers—Nawaloka Hospitals and Durdans Hospitals—the initiative offered employees free medical consultations and health check-ups. This proactive approach by the HR team reflects Browns' commitment to employee well-being, ensuring that members of the Browns Family have convenient access to quality healthcare and support for maintaining a healthy lifestyle.



6.2.2 Weekly Yoga Sessions

The Browns HR Team has introduced weekly yoga sessions for employees, promoting physical well-being and mental relaxation. These sessions are designed to support a healthier, more balanced lifestyle, helping staff manage stress and boost overall wellness in the workplace.

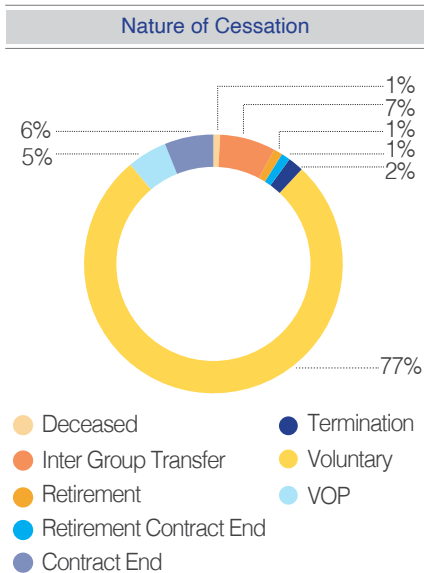


7. Performance Management

All performance reviews are now conducted entirely through the HRIS platform, ensuring a streamlined, transparent, and paperless process. These reviews are carried out twice a year, providing employees with regular feedback, clear performance expectations, and opportunities for professional growth. This digital approach also enables better tracking of progress and alignment of individual goals with the company's strategic objectives.

8. Retention and Attrition

During the 2024/25 financial year, approximately 146 employees submitted their resignations, marking a slight decrease compared to the 2023/24 financial year. This positive trend reflects a modest improvement in employee retention, indicating that our ongoing engagement and retention initiatives are having a beneficial impact.



To further enhance this, we have established an interview panel that empowers employees to choose any panel member they feel comfortable with during the interview process. Additionally, we have introduced a proactive approach called stay interviews, complementing traditional exit interviews. Unlike exit interviews, which are conducted when employees decide to leave, stay interviews are designed to understand the needs and concerns of employees who are resigning. This strategy helps identify potential issues, improve engagement, and address challenges to reduce turnover. By fostering open communication, stay interviews contribute to building a more supportive workplace and demonstrate our commitment to employee satisfaction and professional growth.

Furthermore, exit interviews are now conducted digitally through the SimplifiedHR system, eliminating the need

for paper-based processes. Looking ahead to 2025, we plan to implement the entire employee clearance process via SimplifiedHR, ensuring a fully paperless and streamlined experience.

Feedback provided by employees during exit interviews is carefully compiled and shared with top management in a confidential manner, ensuring that individual identities remain anonymous. This approach allows leadership to gain valuable insights into employee experiences and areas for improvement while maintaining trust and privacy. The feedback plays a crucial role in informing strategies to enhance workplace culture, retention, and overall organisational effectiveness.



MANUFACTURED CAPITAL

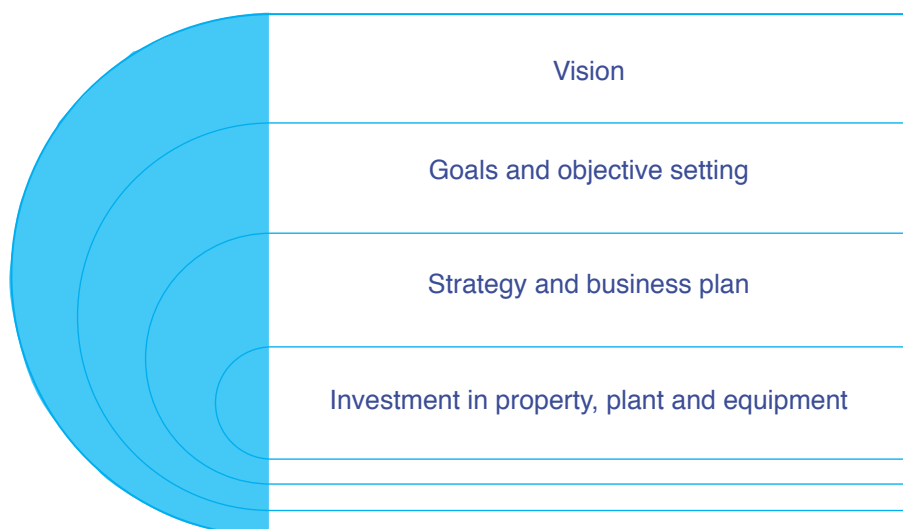
The Group adopts three key strategies: expanding customer touchpoints, introducing innovative products, and driving process improvements focused on customer satisfaction, all aimed at generating future cash flows and creating long-term value for the Company.



Overview

We continued to make substantial investments during the year under review to upgrade our facilities and modernise key production and warehouse lines. This included new machinery, efficiency-enhancing systems, and environmentally compliant processes that align with both our sustainability priorities and growth objectives.

The components of the Group's Manufactured Capital as shown in the diagram below, include both 'hard' and 'soft' elements. Manufactured Capital of the Browns Group is a mix of its building, property plan and equipment and branch network. Even though it is not a cardinal aspect of the revenue generation process of the Group, it is an integral part of the Group's value creation process.



The Browns Group follows three main strategies: expansion of customer touch points, introducing innovative products and process improvements focusing on customer satisfaction. All the above options require investment in fixed assets, which in turn will create value to the company by generating future cash flows. We continue to invest in our branch network and technology infrastructure to create a Group more accessible to its customers.



In keeping with its vision to consistently evolve and address accelerated business growth needs, Browns recently unveiled its new state-of-the-art manufacturing and warehouse facility in Katunayake. Designed to increase productivity, streamline processes and optimise supply chain management, the infrastructure exemplifies the Company's commitment to delivering excellence across all its processes. The establishment of the warehouse now undoubtedly ensure quick delivery times, improved product availability, enhanced quality control, increased cost efficiency and superior customer service.

Browns IT stands at the forefront of aligning this historic legacy with a bold, future-ready vision. Our commitment to digital transformation is reshaping traditional industries—from agriculture and plantations to energy and manufacturing—by embedding smart technologies, automation, and real-time data analytics into the heart of operations. Through innovations like IoT-enabled monitoring systems, we track machine effectiveness, delivery logistics, and even chemical levels in water—ensuring precision, efficiency, and sustainability. Our transition from traditional warranty cards to in-house developed e-warranty systems—a first in the automotive battery industry—demonstrates our drive to lead with purpose and agility.

In parallel, our adoption of Industry 4.0 infrastructure has enabled smarter decision making through data integration and cross-functional transparency. Real-time monitoring and IT/IoT alignment supports faster response to variances, improving quality, and reducing downtime. These digital capabilities have laid a foundation for further sustainability initiatives by enabling predictive maintenance, optimised inventory control, and energy-efficient workflows.



SOCIAL AND RELATIONSHIP CAPITAL

We connect with customers through multiple platforms, leveraging one of Sri Lanka's largest networks of branches, dealerships, and service points, supported by a mobile sales team to reach even remote areas.



Overview

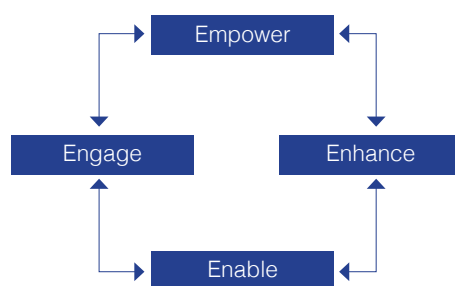
Brown & Company PLC has fully embraced a comprehensive approach to Environmental, Social, and Governance (ESG) principles, ensuring that sustainability is not just a corporate goal but a driving force that shapes the company's operations and long-term vision. Aligned with this strategy, Brown & Company is deeply committed to fostering a sustainable future that empowers communities, promotes social equality, and supports economic growth, all while preserving environmental integrity.

At the heart of Brown & Company's ESG vision is the ambition to uplift the livelihoods of underserved communities, build resilient communities, and create opportunities for all individuals to succeed. This mission is brought to life through the development and delivery of innovative, sustainable solutions. By cultivating strategic partnerships and committing to long-term resilience, the company ensures that its efforts benefit not only its stakeholders but also society as a whole. This includes addressing environmental challenges, improving access to resources, and advancing economic development in areas that need it the most.

In line with this vision, Brown & Company PLC has made a significant commitment to corporate social responsibility (CSR) by embedding it into the fabric of its business strategy. To amplify these efforts, the company launched the 'Browns Shakthi' initiative—a unique, integrated CSR brand that unites all of Browns Group under a common mission. The Browns Shakthi program stands out for its holistic approach, aiming to promote social integration while enhancing socio-economic values. The initiative goes beyond simple charity, involving every stakeholder within the company—from management to employees, the dealer network, suppliers, and other key partners. This collective effort is essential to uplifting and empowering marginalised and underprivileged communities, thus making a sustainable impact on their lives.

1.0 Employees

Browns is committed to providing employees with a stable work environment that includes equal opportunities for learning and personal growth. The Group's central Human Resources function is tasked with establishing, administering and effectively communicating corporate values, policies and practices that treat employees with dignity and equality, in compliance with employment and labour laws, corporate directives and labour agreements.



Browns has provided a significant number of work-life balance activities to its employees over the past financial year.

- Browns annual pirth ceremony at head office premises
- Browns sports day for all employees
- New year celebrations with new year games
- Vesak lantern competition and bhakthi geetha
- Outbound trainings
- Overseas trainings
- Employee development programs
- Day outs, Office trips and get-togethers
- Annual Christmas tree competition and carols
- Participation in mercantile sports tournaments
- Browns Got Talent competition
- Women's day celebrations
- Navaratri celebrations
- Movie nights
- Educational Reimbursements

2.0 Community

Corporate Social Responsibility (CSR) has been a long-standing commitment that has been embedded into the very fabric of the Browns Group. It also forms an integral part of our strategy to tackle the issue of social inequalities by aligning our business model to address major national priorities. Our goal is to identify critical areas of development that require investment and intervention, followed by proactive support to ensure meaningful socio-economic development reaches a broader island-wide demographic. We believe that in doing so, we can enable a larger number of people to participate in and benefit from economic progress.

Further, to make a more meaningful impact, we make sure our contributions to social sector development are carried out mainly through direct project implementation as opposed to extending financial support to other organisations.

SOCIAL AND RELATIONSHIP CAPITAL

Key Commitments

SAPSA Sisu Nena Pahana Programme (Agriculture SBU)

Part of the ongoing Memorandum of Understanding (MoU) between the Brown's Agriculture SBU and the Farm Machinery Training Centre (FMTC), the 'SAPSA Sisu Nena Pahana' programme, is a special initiative to educate students of agriculture on the proper use of farm machinery. Browns signed a Memorandum of Understanding between the University of Colombo's Institute of Agro-Technology and Rural Sciences (UCIARS). The new collaboration aims to pave the way for a strong foundation in academic excellence and practical application in the field of Agriculture by promoting and imparting expertise on agricultural machinery to students.



Trac Tech Service Campaign (Agriculture SBU)

This is a series of events conducted by the Agriculture SBU of Brown & Company. This program has been conducted for many years and provides free services to farmers such as free service, free technical advice etc.



Environmental stewardship, biodiversity protection and community engagement (Browns Hotels)

Club Hotel Dolphin emerged as a leader in ecosystem conservation through the launch of the Nipa Palm Conservation Project in collaboration with Wayamba University and the Wildlife & Nature Protection Society (WNPS). Initiated in July 2024, Club Hotel Dolphin hosted an awareness session on mangrove restoration led by WNPS marine specialists. The hotel also marked Earth Hour with symbolic actions to promote energy awareness and climate consciousness. Thaala Bentota Resort

spearheaded an ambitious reforestation initiative titled the '500 Jack Trees Project'. The Dickwella Resort & Spa partnered with the Marine Environment Protection Authority (MEPA) to host a Coral and Beach Cleanup programme. Further, the hotel inaugurated the Sea Turtle Conservation Hub, an educational space dedicated to raising awareness about sea turtle protection.



Farmer Enrichment Programmes "Govi Nena Pahana" (Agriculture SBU)

The 'Govi Nena Pahana' initiative is part of the ongoing MoU between the Brown's Agriculture SBU and the Farm Machinery Training Centre (FMTC) to introduce agricultural mechanisation to farmer communities. It also tries to raise awareness regarding the proper use of such equipment, all of which will enable them to migrate to more sustainable agricultural practices in the longer term.





Farmer training programs by Veterinary Pharmaceuticals SBU

The Veterinary Pharmaceuticals SBU conducts ongoing educational programmes for farmers across Sri Lanka to create awareness regarding modern farming practices. These include the latest trends in the broiler and layer industries, chronic farm animal diseases, methods on increasing productivity and the prevention of disease. During the year, two such programmes were held and were well attended, with over 50 participants at each programme.

A third programme was conducted in partnership with Nevil Farm and supported by Zagro, a company specialising in avian biological products. The programme, which saw the participation of over 100 farmers, is part of a series of monthly educational programmes aimed at reaching farmers across the country.

Blood Donation Campaigns

Several blood donation campaigns were organised by Browns head office in order to contribute to the national blood bank.

Other Projects

Motor Racing

Browns Exide continued to sponsor the Sri Lanka Racing segment, strengthening the longstanding relationship with the Sri Lanka Military Academy (SLMA) and accredited racing bodies for almost a decade.



3.0 Investors

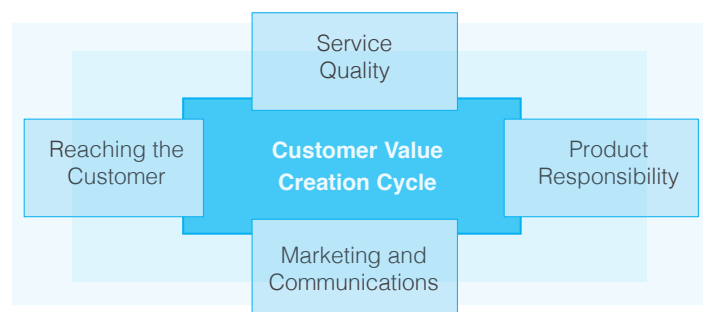
Investors are the Browns Group's lifeblood. Browns therefore, is concerned with keeping them closely posted

on the Group's strategies, plans and performance and thereby gain their trust and confidence in the Group. Some of the channels Browns uses to keep them informed are the Annual General Meeting, investor meetings, the annual report, interim financial statements and announcements at the Colombo Stock Exchange (CSE), press conferences and media releases. The Group makes use of electronic media for communication where appropriate.

Through the Group's strategies, Browns takes a long-term view of the business and carefully balances risks and returns to generate optimum return to the shareholders in a sustainable manner. While Browns innovates, it is done so with due diligence and professionalism to protect the investors' capital. Browns believes that this will lead the shareholders to take a long-term view of the Group without being swayed by short-term fluctuations, and build lasting and trusting relationships.

4.0 Customers

Our customers are the heart of our value creation process and strategic emphasis is placed on persistently enhancing our customer value proposition.



SOCIAL AND RELATIONSHIP CAPITAL



Reaching the Customer

Browns reaches its existing and potential customers across multiple platforms. Our nationwide branches, dealerships and service points make up one of the largest networks in Sri Lanka. This network is supported by a mobile sales team, which reaches customers who do not have close access to our customer points.

Product Responsibility

Product responsibility policy frameworks are in place in several of our key sectors, ensuring a high level of product safety for our customers. In addition, the sector has obtained and continues to comply with multiple domestic and international quality certifications which provides assurance to external stakeholders regarding our processes, systems and products. During the year under review, there were no significant fines/penalties imposed on the Group for contravention of any product/service responsibility related regulations.

Marketing and Communications

Our marketing communications are guided by the principles of ethical business and must always be transparent, accurate and honest, in keeping with the Browns Communications Policy. We strive to build trust and protect brand value through our communications and draw guidance from best practices observed by our principals. Customer rights are ensured through the legitimate use of customer-centric data and secure data storage. There were no breaches of policy or any instances of statutory noncompliance in the year under review.

Service Quality

An important element of our competitive advantage is the quality of service we offer to our customers, which has enabled us to nurture and sustain mutually beneficial, long term relationships with a diverse pool of customers. Several of our key sectors also conduct customer satisfaction surveys on a regular basis while other methods of engagement include face to face meetings and customer/site visits.



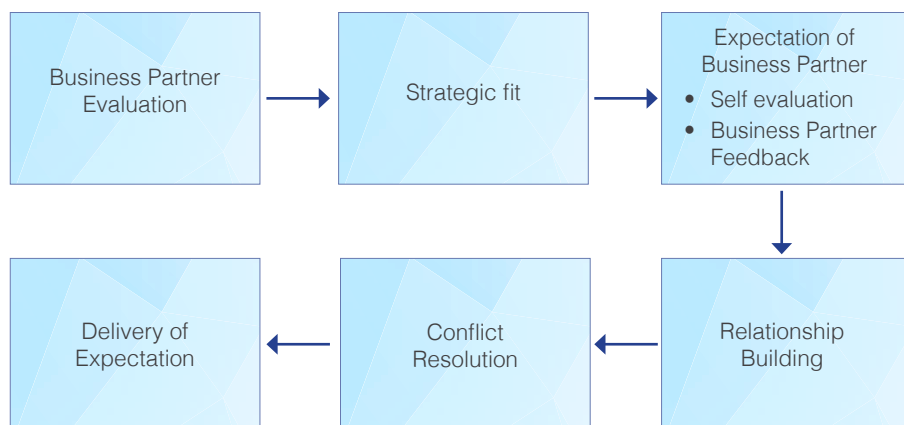
5.0 Business Partners

At Browns, we deem the role of business partners to be very important, striving to build trust and strong ties with them. We communicate with them to share our goals and challenges and always seek to partner with those who are trustworthy, have strong safety records, high labour standards and strong environmental performance.

All these parties play a vital role in the Browns Group's success story. The Group has established a process to ensure that we have engaged with all our business partners in a fair and transparent manner.



Our engagement with business partners ranges from routine to ad hoc and the level of dependency can vary significantly as some categories are critical to our core operations.



Group's Supply Chain Operation

The manufacturing based SBUs, which comprises of AgStar, Browns Plantations, Gal Oya, Browns Thermal Engineering and Ajax Engineering, is equipped with the latest technology and machinery for manufacturing at its own factories. The plantations sector also operates its own machinery and its factories are equipped with the latest units.

To ensure the very best is delivered to our customers, our sourcing is done only from reputed suppliers. Taking into consideration the suppliers' ranking in the industry, we visit their factories and evaluate their credibility before entering into a business agreement with them.

Building Long term Relationships

Building long-term relationships is a key aspect of how we grow our Relationship Capital. Over our 150- year history, Browns has built strong relationships with several business houses - all trailblazers in their respective fields. We consider it essential that we find a 'strategic fit' when commencing a relationship with a business partner. Apart from financial benefits, there must be a congruence of business philosophies and a meeting of business minds.

Three important ideas have shaped our relations with our business partners: shared values, trust and longevity. These values have been the basis of long-term mutually rewarding partnerships. All our business relationships must seek to create value responsibly. We seek relationships with those who are leaders and who provide the ingredients for enduring relationships with customers.

Strong relationships cultivated over many years with the world's best, have enabled us to deliver on our strategic approach of collaboration while offering unique solutions and products to diverse groups of customers.



INTELLECTUAL CAPITAL

The Group builds its knowledge base by integrating tacit and explicit insights, supported by the recruitment, development, and retention of our human capital.



The Intellectual Capital of the Browns Group is increasingly an important part of running a successful business and for value creation. Although physical and financial assets are important, a Group Intellectual Capital encompasses the applied experience, organisational technology, customer relationships and corporate reputation that provide it with a competitive advantage in the market.

The Group is aware that maintaining a growth level above the industry average and its sustainable competitive advantages are no longer driven only by investing in physical assets such as an office, but by investing in and managing Intellectual Capital.

Measuring intellectual property is important so that the Group knows what it owns, but it does not capture the processes required to reach that stage. Intellectual Capital can be both the end result of a knowledge transformation process or the knowledge that is transformed into intellectual property.

Brand Value

Brand Value reflects the image of the Group in the eyes of customers - existing or potential - and other important stakeholders. Since the Browns Group recognises the importance of brand as a key value driver, the Group is constantly striving to preserve and nurture it. Over the past years and more, the Browns Group has been building its image by studying customers - actual and potential - and developing suitable financial solutions for them. The value which the Group provides to stakeholders has its return in the Brand Value the Group derives for itself.

The Browns Group could scarcely believe that the customers' perception about services provided to them could become stronger than the advertisements and promotions that the Group uses for awareness purpose. The Group's initiatives will also tempt competitors to follow Browns Group's lead and become environment friendly in their operations, thereby widening the circle of influence.

Corporate Culture

There are six facets of Company culture; excellence, ethics, professionalism, transparency, innovation and quality. These values are the underlying philosophy which form the basis for the Browns Group's strategic plans and actions. The end result is a service of the highest standard to customers and other stakeholders.

Knowledge

The Browns Group's strategy in creating a knowledge base was through combining a tacit and explicit knowledge pool. This included the recruitment, development and retention of Browns Group's Human Capital.

The Browns Group possesses a vast reservoir of knowledge that is strengthened by expertise and an experienced workforce to conduct business affairs. This pool of knowledge comprises the operational team to the Board of Directors, which includes professionals with diverse qualifications and expertise. The necessary strategic direction is provided to sustain Browns Group's position in the industry. However, this needs to be backed up by competent employees with the required levels of knowledge and expertise at each level. Prospective employees are carefully screened through the recruitment process and attracted by remuneration and other benefits. The opportunities the Browns Group offers for career growth ensure an expected rate of retention even in the present environment where employees are enticed by numerous other opportunities.

Ethics

The Group believes that commitment to ethical conduct offers one of the strongest returns on investment across the Company. It helps to attract and retain customers, business partners, and talented employees. As Browns enters new markets and offers new products and services, ethical challenges and concerns may arise. Browns's commitment to ethical behaviour is guided through a Code of Conduct, our business decisions and how the Group approaches technological advances.

A whistle-blowing policy endeavours to encourage all personnel to raise concerns, expose irregularities, help uncover financial malpractices and prevent frauds without any fear of reprisal or adverse consequences. Employees are trained to operate within the set parameters and organisational values to avoid any unlawful and unethical activities. Employees at every level are encouraged to report any sort of activity that can be determined to be unlawful or unethical and will be reviewed through a committee comprised of senior management.

More details pertaining to ethical practices are contained in the segment on 'Corporate Governance' appearing on pages 98 to 121.

Information Security

The Browns Group is constantly exploring further innovative ways to use the IT platform to provide more innovative products and a superior service to customers. Over the years, Browns has been able to be in line with the rapid technological advancements, thereby providing a constant and consistent service to a growing customer base. State-of-the-art features have been implemented, allowing customers to rapidly connect with the Group even if they are located in rural and remote areas. Intensive use of technology contributes to significantly enhancing delivery of services and it has become one of the Group's competitive advantages. Browns prioritises efforts in the development of platforms and services that use the best technology for the purpose of simplifying and making easier the lives of all stakeholders by focusing on mobility and convenience.

Furthermore, Browns IT and LOLC Technologies continued to comply with globally accepted ISO quality standards with LOLC Technologies having certifications in Service Delivery (ISO 20000), Information Security (ISO 27001) and Service Quality (ISO 9001), making LOLC Technologies the only conglomerate ICT unit to be backed by all three standards.



NATURAL CAPITAL

The Company implements an ongoing replanting programme for commercial timber and other viable crops, promoting better land management practices, while measures such as terracing, mulching, weeding, and planting Manaa grass help prevent soil erosion on degraded tea lands.



Overview

As a Group, we believe that a balanced approach is necessary to ensure environmental sustainability whilst supporting economic and business growth. As such, persistent efforts are made to reduce the group's environmental footprint by focusing on the efficiency of our natural inputs and minimising adverse environmental impacts.

Having identified areas where we can make a positive change, we continue to refine the policies and practices adopted by companies across the Group, to sharpen their alignment with Browns Group's overall environmental objectives.

Given the Group's diverse business interests, our efforts focus on the following areas where we can make a clear difference.

1.0 Water Management

It is vital to conserve water to ensure a supply chain of clean water especially with the threat of global water scarcity looming. The Browns Group has promoted sustainable practices in water usage, while ensuring a smooth supply of clean water to all employees.

2.0 Energy Management

Energy Efficiency

Energy efficiency is now a major priority for the Browns Group, particularly as rapid business growth in the recent past has led to higher energy consumption levels year-on-year. Efforts to cut consumption include an ongoing programme to replace existing lighting with energy-efficient lighting that turns off when spaces are unoccupied, along with regular awareness sessions to imbue energy saving practices in the day-to-day operations of each business unit.

3.0 Waste Management

Material Waste

Paper remains necessary to our operations and is the single largest material consumed across the Group. As such, we continue to examine paper use in each business unit to identify opportunities to reduce the volume of material we print, wherever possible and practical.

Clean Air

Gal Oya Plantations' main crop – sugarcane, is a C4 type plant, which during Photosynthesis promotes the efficient operation of the Calvin-Benson cycle and minimises photorespiration, thereby extracting more Carbon Dioxide from a given amount of air than other plants. Moreover, sugarcane is a C4 plant that grows throughout the year and also helps prevent water loss in dry climates.

Biodiversity Conservation

Endowed with a diverse range of forest eco-systems, Sri Lanka is inherent of different topographic, climatic, bio diversities found around the country. However, the recent environmental reports signal a rapid increase of deforestation in Sri Lankan forests and a degradation of the entire eco system. The report further identify that the catalysts of deforestation are mostly socio-economic in nature, and varies from land encroachment, development projects, to expansion ventures.

As part of the efforts to increase the forest cover surrounding the estates, both Maturata Plantations, carry out targeted conservation and habitat enrichment activities, aimed at preserving the waterways and tributaries in the up-country Montane Forests and low-country Tropical Rain Forests. Meanwhile, the company has implemented an

ongoing replanting programme to grow commercial timber and other commercially viable crops, in order to promote better land management practices, while terracing, mulching, weeding, growing of Manaa grass aim to prevent soil erosion on degraded tea lands.

In keeping with the commitment to both people and the environment, Browns Pharmaceuticals launched an initiative under their sustainability arm - Browns Green, titled 'Plant a Tree, Plant a Life.' In an effort to create more awareness on the importance and role of trees in providing life to all living beings, the Business Unit commenced a tree planting programme to instil this mindfulness in the younger generation.

Bee Honey Farming

Browns Hotels & Resorts launched a Sustainable Bee Honey Farming Project, led by its properties in the Cultural Triangle: Hotel Sigiriya, Ayugiri Ayurveda Wellness Resort Sigiriya and Occidental Paradise Dambulla. The initiative aims to protect biodiversity, strengthen local economies and enhance the guest experience. The honey is seamlessly integrated into the hotels' offerings, from honey-inspired dishes at buffets to wellness treatments that celebrate its natural purity.

Nipa Palm Project to Preserve Gin Oya River Ecosystem

Browns Hotels & Resorts has been championing various initiatives to preserve and protect the environment. Club Hotel Dolphin in Waikkal, under Browns Hotels & Resorts, launched its newest sustainability initiative, the Nipa Palm Conservation Project in the Gin



NATURAL CAPITAL



Oya area. This ambitious program aims to conserve the endangered Nipa Palm (*Nypa fruticans*), the only palm species found in mangroves, while fostering the preservation of the Gin Oya riverbanks, which has faced threats of erosion over the years.

The initiative began with the planting of 500 Nipa Palm seeds at the hotel's dedicated mangrove nursery as the first step of a comprehensive five-year plan. This initial phase is crucial for nurturing young palms before they are transplanted to selected areas along the Gin Oya riverbanks. By nurturing the growth of these palms, the project seeks to stabilise the shores, thereby mitigating erosion and promoting a healthier ecosystem not just for neighbouring communities, but additionally for the area's diverse array of species.

Recycling

Browns Battery Division recycles all components of used lead batteries. The closed-loop cycle of the lead battery allows almost 99% of the used automotive battery unit to be recycled, which means a typical new lead battery contains 60% to 80% recycled lead and plastic. All used lead batteries collected by Browns dealers and distributors are fully

recycled at the in-house recycling unit. All components so recycled are then reused in the manufacturing process.

Broadly, the recycling process generates plastic, which is recycled and reused for the manufacture of battery casings and lead, which in turn is used in the production of new lead plates and other parts needed for the manufacture of new batteries. The Sulfuric Acid in the battery is neutralised with an industrial compound similar to household baking soda. This turns the acid into water. The water is treated, cleaned and tested to be sure it meets clean water standards and then released into the public sewer system.



Sri Lankan Leopard Conservation

The Sri Lankan leopard (*Panthera pardus kotiya*) is the largest of the four wild cat species found in Sri Lanka, and the apex mammalian predator on the island. It is believed that there are less than 1000 leopards roaming in the wild within the island. Further, the leopard is threatened globally by habitat loss and illegal wildlife trade, while in the human-dominated land-use areas in Sri Lanka.

In addressing this knowledge gap, LOLC Holdings PLC partnered with Wildlife and Nature Protection Society (WNPS) for a 05 year project to establish a network of specialised leopard conservation locations and research centers across identified geographically important areas, within Sri Lanka.

A LEGACY OF ACCOUNTABILITY

At Brown & Company PLC, stewardship is rooted in integrity, transparency, and responsibility. We uphold the highest standards of governance, ensuring ethical decision-making and sound leadership that safeguard stakeholder trust, strengthen business resilience, and secure long-term sustainability across our diverse operations.

STEWARDSHIP

BOARD OF DIRECTORS

ISHARA NANAYAKKARA

Executive Chairman

Mr. Ishara Nanayakkara is a distinguished entrepreneur who serves on the boards of numerous leading corporations and conglomerates internationally. Hailing from a strong business lineage and early involvement in his family enterprises, he strategically ventured into the financial services sector through a pivotal investment in LOLC Holdings PLC, where he was appointed to the Board in 2002.

Over the past two decades, his visionary leadership has been instrumental in transforming LOLC into Sri Lanka's most profitable and diversified conglomerate, with a formidable presence in the global financial arena. Under his guidance, LOLC pioneered a dynamic MSME financial platform on an international scale, marking a historic milestone as the first Sri Lankan enterprise to achieve such global reach and impact.

Mr. Nanayakkara's expertise in microfinance and MSME markets has been a driving force behind the success of financial institutions across Sri Lanka, Cambodia, Myanmar, Pakistan, Indonesia, the Philippines, India, Zambia, Nigeria, Egypt, Malawi, Tanzania, Zimbabwe, Kenya, Kyrgyzstan, Kazakhstan, and Tajikistan. He was pivotal in establishing the Group's Life and General Insurance ventures and pioneered the concept of Micro-Insurance in Sri Lanka and Cambodia, providing essential protection to underserved populations at the bottom of the economic pyramid.

His business acumen spans the key growth sectors of emerging economies, with strategic investments across multiple industries. In Leisure, he commands one of the largest hotel portfolios in Sri Lanka, the Maldives, and Mauritius. In Plantations, the Group has become the world's largest tea manufacturer, with operations in Sri Lanka, Kenya, Tanzania, China and Rwanda. These are complemented by significant investments in Construction, Trading, and Manufacturing, and more recently, in pioneering scientific and innovation-driven initiatives.

Ishara continues to lead the strategic direction of the LOLC Group, driving both financial and non-financial sector investments with a clear vision executed with precision, discipline, and a steadfast commitment to generating long-term value for all stakeholders.

He has held several distinguished positions, including serving as Chairman of the Sri Lanka Institute of Nanotechnology, the nation's premier institution for advanced nanotechnology solutions. Renowned for his innovative approach, he has steered the Group into pioneering biotech ventures, such as the conversion of pure graphite to graphene, leveraging cutting-edge technologies to enhance the value of the Group's diverse plantation portfolio spanning cinnamon, tea, sugarcane, rubber, and related by-products.

His strategic foresight has also extended to renewable energy initiatives in Sri Lanka and Sierra Leone, including the establishment of Africa's largest sugar-based bioethanol and power plant, enriching the Group's portfolio with multidimensional expertise across global markets.

Ishara is a recognised businessman in the international community for his invaluable contributions to microfinance, acknowledged by independent international platforms such as INSEAD Business School. His entrepreneurial excellence was further distinguished by the prestigious 'Young Entrepreneur of the Year' Award at the Asia Pacific Entrepreneurship Awards (APEA) in 2012.

Mr. I. C. Nanayakkara serves as the Executive Chairman of LOLC Holdings PLC and Browns Investments PLC, and also holds directorships on several other Group company boards, both locally and internationally.

MRS. KALSHA AMARASINGHE

Non-Executive Director

Mrs. Kalsha Amarasinghe holds an Honours Degree in Economics and has an outstanding vision for investments.

Mrs. Amarasinghe serves on the Boards and subsidiaries of LOLC Holdings PLC and Brown & Company PLC including Palm Garden Hotels PLC, Eden Hotel Lanka PLC, Browns Investments PLC, Serendib Hotels PLC, Hotel Sigiriya PLC, Green Paradise (Pvt) Ltd, P L Resorts Ltd, Browns Holdings Ltd and Three Tips Ella (Pvt) Ltd.

W. D. K. JAYAWARDENA

Non – Executive Director

Mr. Kapila Jayawardena is a seasoned leader in banking and investment banking with extensive experience in both local and international financial sectors. Since joining LOLC Holdings PLC as Managing Director/Group CEO in 2007, he has been instrumental in driving the Group's strategic diversification and growth Locally and Globally across nine verticals.

In addition to his executive role at LOLC Holdings, Mr. Jayawardena serves as Chairman and Director for several group companies, including Eden Hotel Lanka PLC, Serendib Hotels PLC, Dolphin Hotels PLC, Hotel Sigiriya PLC, LOLC Securities Limited, Palm Garden Hotels PLC, and LOLC Life Assurance Ltd. He also holds directorships in Browns Investments PLC, LOLC International (Private) Limited, LOLC Advanced Technologies (Private) Limited, LOLC Asia (Private) Limited, LOLC Global (Private) Limited, Ceylon Graphene Technologies (Private) Limited and LOLC Africa Holdings (Private) Limited

Prior to joining LOLC Group, Mr. Jayawardena was Country Head and CEO (Sri Lanka and Maldives) at Citibank NA from 1998 to 2007, where he also undertook assignments in New York and Manila. In recognition of his leadership and transformative impact at LOLC Holdings, he was awarded the CITI Distinguished Alumni Award for Leadership by Citi Group in New York in 2024.

Mr. Jayawardena's professional contributions include serving as Chairman of the Sri Lanka Banks' Association (2003/04), President of the American Chamber of Commerce in Sri Lanka (2006/07), and holding memberships in the Financial Sector Reforms Committee, National Council of Economic Development, and the United States-Sri Lanka Fulbright Commission.

He holds an MBA in Financial Management and is a Fellow of the Institute of Bankers as well as an Associate Member of the Institute of Cost and Executive Accountants, London (UK).

KANDIAH SUNDARARAJ

Senior Independent Director

(Appointed w.e.f 1st January 2025)

Mr. K Sundararaj - Independent Director
Mr Kandiah Sundararaj counts over 29 years experience in Accounting, Auditing and Tax consulting. He started his career as a Chartered Accountant in 1998 and is currently serving as the Tax Partner in M/s Amerasekera and Company, Chartered Accountants.

Mr Sundararaj is a fellow member of the Institute of Chartered Accountants of Sri Lanka and holds a Master of Business Administration in Finance from the University of Colombo.

BOARD OF DIRECTORS

CHITRAL WIJESINHA

Independent Director

(Appointed w.e.f. 1st January 2025)

Chitral has over 27 years of experience in the financial services industry, specialising in managing investments for retail and wholesale clients. He possesses extensive expertise in banking and finance, with a particular focus on Treasury Management, Investment and Retirement Planning, and Superannuation. His deep understanding of industry practices, regulations, legislation, and market trends, combined with his knowledge of current market dynamics, enables him to consistently perform at a high standard.

Currently, Chitral serves as the Director, Shareholder, and Principal Financial Adviser at Trilogy Financial Solutions NZ Limited (TFS). He is a licensed financial adviser in New Zealand and an active member of the Wealthpoint Financial Adviser Provider (FAP) network. Additionally, he plays a key role as a member of the Wealthpoint Investment Committee, contributing to strategic investment decisions.

Previously, Chitral was the Country Treasurer for Citibank Sri Lanka (1996–2003). He currently serves as an Independent Director of LOLC (Cambodia) Plc, further showcasing his expertise in financial management and governance.

DANESH ABEYRATHNE

Executive Director

Dynamic corporate professional Danesh Abeyrathne serves the LOLC Group as Director and Chief Executive Officer of LOLC Advanced Technologies, the Research and Innovation arm of the renowned LOLC Group. He is also, the former Chief Operating Officer and presently is the Executive Director of the Browns Group. The young professional, with his proven track record in the fields of Engineering, Manufacturing, Plantation, Agriculture, Marketing, and Research and Development, is also serving on some noteworthy foreign boards.

His extensive board affiliations extend to LOLC Advanced Technologies (Pvt) Ltd, LOLC Advanced Technologies Australia (Pvt) Ltd, Ceylon Graphene Technologies (Pvt) Ltd, Gal Oya Plantations (Pvt) Ltd, Gal Oya Holdings (Pvt) Ltd, AgStar PLC, Browns Agri Solutions (Pvt) Ltd, BI Commodities & Logistics (Pvt) Ltd, Browns Leisure (Pvt) Ltd, Browns Industrial Park (Pvt) Ltd, LOLC Geo Technologies, Grey Reach Investment Ltd, Sunbird Bioenergy Ltd (Sierra Leone), Tropical Island Commodities (Pvt) Ltd, Fortigrains (Pvt) Ltd, Urumaya Resources Zimbabwe, Sun Yield Bio Ingredients (Pvt) Ltd, and several other subsidiaries of the Group.

Mr. Abeyrathne holds a Bachelor of Science (Hons) degree in Engineering from the University of Ruhuna. He is an Associate Member of the Chartered Institute of Marketing (UK) and the Institute of Engineers (SL), as well as a Fellow Member of the Chartered Institute of Management Accountants (UK) and the Chartered Global Management Accountants (CGMA) (USA).

THAMOTHARAMPILLAI SANAKAN

Executive Director / Chief Executive Officer

Thamotharampillai Sanakan joined Browns Group in 2013 as the Chief Financial Officer and was tasked with an additional role of leading the operations in 2020 as the Chief Operating Officer. He counts for over 25 years of experience where he held many senior management positions in multiple industries such as Financial Services, Trading, Export, Manufacturing, Healthcare, Commodities and Consumer. Presently he serves as the Director/Chief Executive Officer of the Browns Group of Companies. Driving the Group towards new revenue streams with multifaceted local and regional expansions while maintaining sustainable growth in a challenging environment has been a key factor for Sanakan. He previously held the position of Chief Operating Officer at LOLC Securities Ltd in the LOLC Group.

He excels in the areas of digital transformation, change management, new business start-ups, business process re-engineering, project management and strategic business management. He served in the Board of Commercial Leasing & Finance PLC, the Boards of LOLC Development Finance PLC and Audit Committee Chairman for LOLC Development Finance PLC and is currently serving at Associated Battery Manufacturers (Ceylon) Ltd., BI Holdings (Pvt) Ltd and several other Group companies. He is an Associate Member of Chartered Institute of Management Accountants of UK and Chartered Global Management Accountants of USA.

SENIOR MANAGEMENT

Thamotharampillai Sanakan

Director / Group Chief Executive Officer - Browns Group

Ajith De Silva

Cluster Chief Operating Officer - Automotive and Hardware Cluster

Sanjaya Nissanka

Cluster Chief Operating Officer - Agriculture & Heavy Equipment Cluster / Chief Executive Officer – Browns Agri Solutions (Pvt) Ltd

Mangala Wijesinghe

Cluster Chief Operating Officer - Pharma, Consumer & Integrated Engineering Solutions Cluster

Pradeep Uluwaduge

Chief Human Resource Officer - LOLC Group

Kalpa Senevirathna

Head of Human Resources – Browns Group

Prasanna Ganegoda

Head of IT – Browns Group

Gunendra Jayasena

Chief Administration Officer - LOLC Group

Gayan Ranawaka

Head of Administration - Browns Group

Susaan Bandara

Chief Officer - Marketing Communication - LOLC Group

Gayani Gunasinghe

Assistant General Manager - Business Process

Sanjaya Kalidasa

Chief Treasury Officer - LOLC Group

Sudharman Wijayasiri

Assistant General Manager - Finance

Priyantha Udagama

Head of Finance - Browns Group

Wasantha Batagoda

Chief Legal Officer - LOLC Group

Rochelle Jayasinghe

Assistant General Manager - Enterprise Risk Management

Raveendrini Seneviratne

Director - LOLC Corporate Services

Shamal Abeysinghe

Chief Operating Officer - Browns Agri Solutions Pvt Ltd

Milinda Nawaratne

Head of Heavy Machinery Department - Browns Group

Asanga Pieris

Deputy General Manager - Browns Thermal Engineering (Pvt) Ltd

Niyas Ahamed

Deputy General Manager - Agriculture & Heavy Equipment Cluster

Ruwan Kodisinghe

Head of Operations - General Trading Department - Browns Group

Trinill Peiris

Chief Manager – Business Process

Udaya Mullegama

Chief Manager - Business Development & Technical - Boiler Department - Browns Group

Chaminda Manoj

AGM - Warehousing & Logistics - Browns Group

Dulana Warnasooriya

Chief Manager - Business Development - Browns Deals

Kumara Kulendra

Branch Manager - Browns Deals

Anuradha Nandasiri

Head of Business Development & Operations - Power Systems & IBS Department

CORPORATE GOVERNANCE REPORT

“OUR GOVERNANCE FRAMEWORK OPERATES AT AN APPROPRIATE LEVEL TO ENSURE THE BOARD FUNCTIONS EFFECTIVELY AND WITH PURPOSE IN THE INTERESTS OF ALL OUR STAKEHOLDERS.”

COMPLIANCE WITH THE CODE”

THE BOARD IS COMMITTED TO HIGH STANDARDS OF GOVERNANCE AND BELIEVES THAT DURING THE YEAR THE COMPANY WAS IN FULL COMPLIANCE WITH ALL APPLICABLE PRINCIPLES AND PROVISIONS SET OUT IN THE COMPANIES ACT NO. 07 OF 2007, LISTING RULES OF THE CSE, THE CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE (“THE CODE”) JOINTLY ISSUED BY THE SECURITIES AND EXCHANGE COMMISSION OF SRI LANKA (SEC) AND THE INSTITUTE OF CHARTERED ACCOUNTANTS OF SRI LANKA (AS AMENDED)

DETAILS OF HOW THE PRINCIPLES OF THE CODE HAVE BEEN APPLIED CAN BE FOUND THROUGHOUT THIS CORPORATE GOVERNANCE REPORT AND COMMITTEE REPORTS.

We are proud of the way our colleagues came together to support each other, our customers and other stakeholders. Our purpose sets out our commitment to the communities we serve and the wider environment. As a Board we are responsible for ensuring that the business is purpose-led and our decision making and activities reflect the core purpose and drive the right behaviours. Every decision we take, and every plan we develop, helps to serve our customers and communities in a better way. During the year, the Board focused on managing the ongoing economic crisis prevailing in the country and around the globe and setting strategic priorities to deliver against an agreed performance framework. The Group emerged even stronger to capitalise on the opportunities presented by evolving trends in our markets.

Our corporate governance framework clearly defines responsibilities and ensures that the Group has the right systems and controls to enable the Board and its Committees to effectively oversee the business, providing challenge where necessary.

How we do business, and the behaviours demonstrated by colleagues across the Group, is of vital importance to the Board. We recognise that culture plays a fundamental role in the delivery of our strategic priorities and the Board is ultimately responsible for ensuring that our activities reflect the culture we wish to instil in our colleagues and other stakeholders to drive the right behaviour. The Board is committed to providing a strong and positive culture and upholding our well-established core values that underline how we run our business.

Our Code of Business Conduct defines how we engage with stakeholders, ensuring that the standards and behaviours of our colleagues are consistent across the Group at all levels of the organisation.

OVERVIEW OF THE YEAR

During the year, the Board continued to oversee the Group's medium and long-term strategy, in particular the work required for our Journey to Greatness, which will drive stronger revenue and high-quality profitable growth. The Board has continued to be updated on the Group's acquisition pipeline, supply chain activity, regional growth initiatives and ongoing programs to engage, retain and develop talented individuals to achieve our goals.

Other areas of focus for the Board over the past year have included consideration of the Group's product range expansion plans for our customers as well as supporting the Group's enhanced supply chain strategy.

As always, our people continue to be our strongest and most powerful differentiator and we recognised their contribution with a bonus for all permanent employees.

THE BOARD

The Board has a clear division of responsibilities between conducting business of the Board and managing the business of the Group. The roles of the Chairman, Senior Independent Director, Group Chief Executive Officer, and Independent Non-Executive Directors are set out in this report.

CHAIRMAN

The Chairman is responsible for the effective leadership of the Board and maintaining a culture of openness and transparency.

The Chairman also promotes effective communication between Executive and Non-Executive Directors and ensures all Directors effectively contribute to discussions and feel comfortable in engaging in healthy debate and constructive challenge.

GROUP CHIEF EXECUTIVE OFFICER

The Group Chief Executive Officer (CEO) has day-to-day responsibility for the effective management of the Group and for ensuring that Board decisions are implemented. He plays a key role in devising and reviewing Group strategies for discussion and approval by the Board.

The Group CEO is also tasked with providing regular operational updates to the Board on all matters of significance relating to the Group's businesses or reputation and for ensuring effective communication with shareholders and other key stakeholders.

SENIOR INDEPENDENT DIRECTOR/NON-EXECUTIVE DIRECTORS

The Non-Executive Directors bring insight and experience to the Board. They have a responsibility to constructively challenge the strategies proposed by the Executives; scrutinise the performance of management in achieving agreed goals and objectives; and play leading roles in the functioning of the Board Committees, bringing an independent view to the discussion.

Since the Chairman of the Board is an Executive Director, the Board has appointed the SID to provide an independent judgement on matters pertaining to the Board.

BOARD LEADERSHIP AND COMPANY PURPOSE

Role of the Board

The Board's principal responsibility is to ensure the long-term sustainable success of the Group as a whole. The Board is accountable to stakeholders for the Group's financial and operational performance and is responsible for taking strategic decisions and providing oversight across the Group ultimately to ensure stakeholder interests are protected. The Board aims to lead with integrity and in a sustainable commercial manner to ensure value is created for all the Group's stakeholders. The Board also provides leadership to executive and senior management and applies a robust governance framework to ensure that this leadership is delivered effectively.

Purpose, values, strategy and culture

The Board is responsible for ensuring that the culture in which we operate drives the right behaviours. The Board and senior management set the tone from the top and lead by example. Our Code of Business Conduct defines the standards and behaviours expected of colleagues, and is a fundamental part of our culture and training to support our values. All new colleagues are required to complete training on the Code of Business Conduct.

Assessing opportunities and risks

The Board considers the principal risks and opportunities, including ESG factors, for the future of the business. Details of the risks assessed are set out in the Management Discussion & analysis on pages 31 to 49, together with consideration of the sustainability of the Group's business model.

At each Board meeting, the Group CEO presents a comprehensive update on performance, challenges, the competitive market and possible business opportunities. Quarterly reports to the Board give an overview on the external market, how components of the business perform. This ensures the Board has oversight across the business, allowing its governance processes to contribute strongly to the delivery of our strategy.

CORPORATE GOVERNANCE REPORT

BOARD COMMITTEES

The Board has delegated specific responsibilities to Board Committees. The main statutory committees are each chaired by an Independent Director, focusing on specific areas of the Board's responsibilities.

AUDIT COMMITTEE

Provides independent Assessment and oversight of financial reporting processes. It oversees, on behalf of the Board, the risk management strategy, risk appetite and the effectiveness of internal control processes. It also oversees the effectiveness of the internal and external audit functions.

TALENT DEVELOPMENT & REMUNERATION COMMITTEE

Reviews and recommends the policy on remuneration of the Senior Management team.

Monitors the implementation of the Remuneration Policy.

Oversees general pay practices across the Group.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Reviews and recommends the policy on all Related Party Transactions practices across the Group.

NOMINATIONS & GOVERNANCE COMMITTEE

Reviews and recommends all new Board appointments/re-elections.

Evaluates the performance of the Board and KMPs

BUSINESS OPERATIONS COMMITTEE

Reviews strategic investment proposals and recommends the chosen proposals to the Board.

MANAGEMENT COMMITTEE

Chaired by the Executive Chairman and the Senior Management, the Committee meets every month to review Group Corporate, Divisional and Departmental performances against pre-determined Annual Business Plans and Budgets. The introduction of peer adjusted organisational ratings in determining pay for performance has resulted in the search by business units, sectors and industry Groups for productivity enhancements, process improvements and cost efficiencies within a framework of better teamwork.

BOARD AND COMMITTEE MEETINGS

Board and Committee meetings are scheduled in advance for the entire year on a quarterly basis. The Board held five scheduled meetings during the year, which included presentations/updates by senior management on each of the business areas. Directors are expected to attend all Board and relevant Committee meetings. The table below shows their record of attendance at the scheduled Board and Committee meetings. The Board is supported by the activities of the Board Committees, which ensure specific matters receive the right level of attention and consideration.

The composition of each Committee is reviewed annually. The Committee also reviews Board composition and succession planning. Each Committee Chair provides a verbal update on Committee activities to the Board after

each Committee meeting and Committee papers and minutes are shared with all Directors. Matters considered by each of the Committees are set out in the Committee terms of reference.

The Board delegates responsibility for the day-to-day operational management of the Company to the Group CEO, who is supported by the Executive Director, Senior Management and Business Operations Committee.

The compositions of the Board Committees as at date are as follows:

Audit Committee	Related Party Transactions Review Committee	Talent Development & Remuneration Committee	Nominations & Governance Committee	Business Operations Committee	Group Management Committee
Two Independent Non-Executive Directors	Two Independent Non- Executive Directors	Two Independent Non-Executive Directors	Two Independent Non Executive Directors	One Executive Director (Chairman)	One Executive Director (Chairman)
One Non-Executive Director	Two Non-Executive Directors	One Non-Executive Director	One Non Executive Director	Two Non-Executive Directors	Senior Management

Board attendance

	31.05.2024	15.08.2024	13.11.2024	24.01.2025	14.02.2025	Total
Ishara Nanayakkara	✓	✓	✓	✓	✓	5/5
Kapila Jayawardena	✓	✓	✓	✓	✓	5/5
Mrs. Kalsha Amarasinghe	✓	✗	✓	✗	✓	3/5
Danesh Abeyrathne	✓	✗	✓	✗	✓	3/5
Thamotharampillai Sanakan	✓	✓	✓	✓	✓	5/5
Tissa Bandaranayake (Retired w.e.f. 1st January 2025)	✓	✓	✓	-	-	3/5
Janaka De Silva (Retired w.e.f. 1st January 2025)	✓	✓	✓	✗	-	3/5
K.Sundararaj (Appointed on 1st January 2025)	-	-	-	✓	✓	2/5
Chitral Wijesinha (Appointed on 1st January 2025)	-	-	-	✓	✓	2/5

SUMMARY OF MATTERS RESERVED FOR THE BOARD

The Board has adopted a formal schedule of matters reserved for its attention, detailing matters that are considered of significance to the Group owing to their strategic, financial or reputational importance. These include Group strategy, operating plans, long-term plans and budget; changes to corporate and capital structure; major acquisitions, mergers, joint ventures and disposals; significant capital expenditure and borrowing; material contracts; risk management and internal control; financial reporting and disclosures; review of remuneration policies; and dividend policy and payment.

CORPORATE GOVERNANCE FRAMEWORK

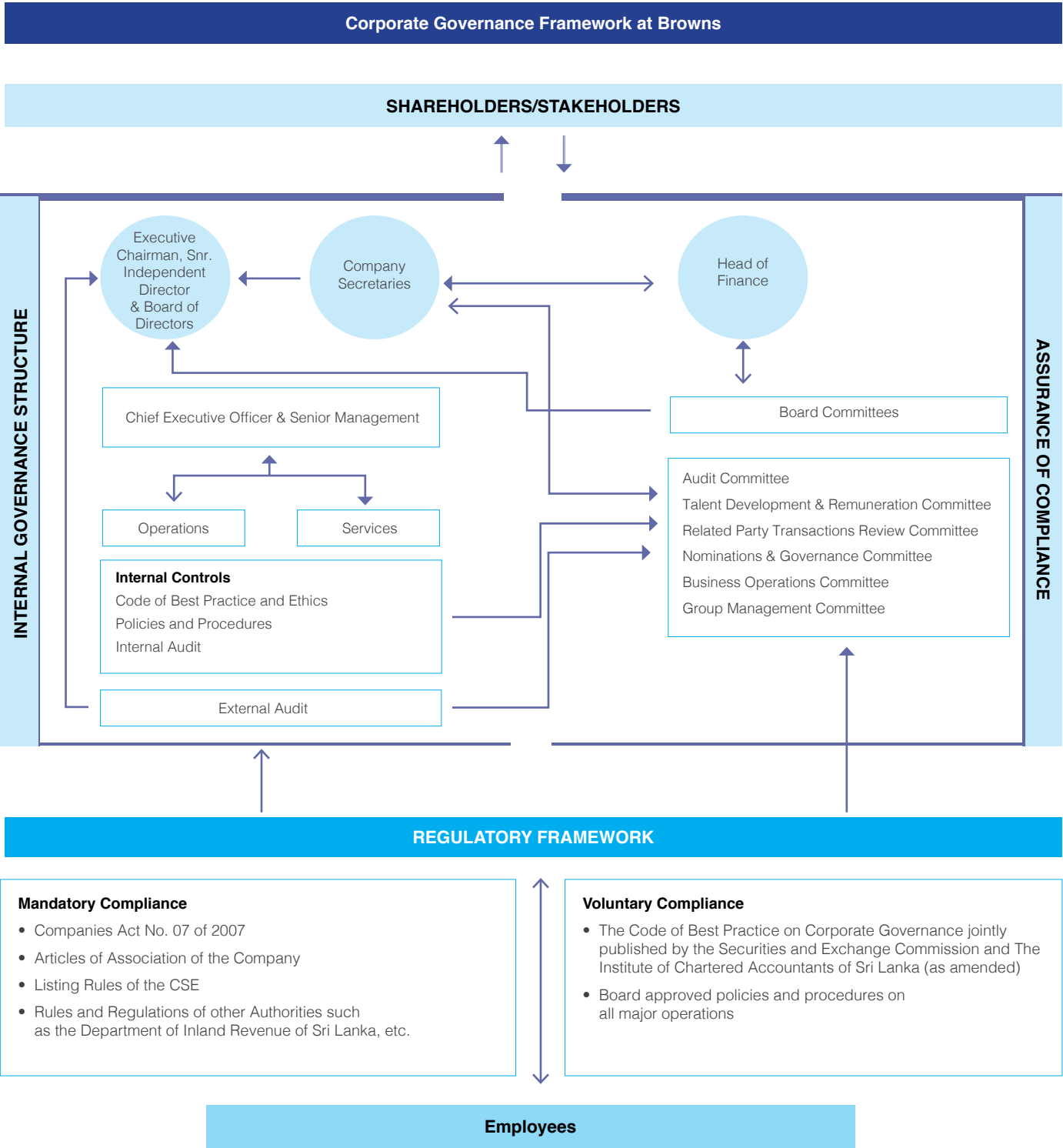
Having an effective corporate governance framework defines responsibilities, helps the Board to deliver the Group's strategy and is vital to its decision making. It

supports long-term sustainable growth while operating within a framework of effective controls. Having the right systems and controls in place ensure the Board and its Committees effectively oversee the business, maintain the highest standards of corporate governance and allow Directors to provide challenge where necessary. The Board has overall responsibility for ensuring adequate resource is available to deliver on its strategic priorities. The Board has a delegation of authority schedule in place to ensure the Board has the right level of oversight for matters that are material to the Group. The Board has established a risk management framework to manage and report the risks we face as a business, which are reviewed quarterly. The Board also undertakes a robust assessment of the Company's emerging and principal risks. Efficient internal reporting, effective internal controls and oversight of current and emerging risks are embedded into our business processes, which align

to our strategic priorities, purpose and values. The Board, with the support of its Committees, places great importance on ensuring we achieve a high level of governance across the Group.

Directors are allowed to raise their concerns about the Company or a proposed action and oppositions if any are recorded in the Board minutes. No such concerns were raised in 2024/25. Directors report actual or potential conflicts of interest to the Board for consideration and if such conflicts exist, Directors excuse themselves from consideration of the relevant matter. The Company maintains an interest register which is reviewed annually.

CORPORATE GOVERNANCE REPORT



HIGHLIGHTS OF BOARD DECISIONS DURING THE YEAR

- Approved the Quarterly and Audited Financial Statements for the FY 2024/2025
- Approved acquisition of material assets
- Approved the Annual Budget for the FY 2025/2026
- Recommended the re-appointment of External Auditors
- Approved the appointment of SID
- Recommended the re-election of Directors

BOARD ACTIVITY

The Board has a detailed programme of activities that ensures operational and financial performance, risk, governance, strategy, culture and stakeholder matters are discussed frequently to support Directors' oversight and understanding. This ensures that any consideration and decision making is appropriate for the business, our stakeholders and the markets in which we operate. During the year, the Board reviewed and approved entry into material contracts taking into consideration the associated operational and financial benefits and risks. It also considered the impact on all stakeholders including financial returns, security of supply, improved pricing and quality of products. The Director/CEO holds an annual strategic planning session at which senior managers of all business units are present. The aim is to better understand market trends, technology developments, innovation and people strategies. Updates to the Board from the Group Director/CEO and other members of senior management are scheduled in respect of all material matters to ensure the delivery of strategy in line with our purpose and values.

BOARD COMPOSITION

The Group is led by an effective and committed Board, with a culture of openness and transparency at Board meetings. As at the date of this report, the Board comprises seven Directors with a wide range of knowledge and experience from a variety of sectors. Our values and leadership behaviours are a vital part of our culture, helping us ensure that through our conduct we do the right thing for the business and our stakeholders.

No	Name of Director	Executive / Non-Executive	Independent/ Non-independent	Involvement/ interest in shareholding	Gender representation
1	Ishara Nanayakkara	Executive	Non-independent	Yes	Male
2	Kapila Jayawardena	Non-Executive	Non-independent	No	Male
3	Mrs. Kalsha Amarasinghe	Non-Executive	Non-independent	No	Female
4	Chitral Wijesinha	Non-Executive	Independent	No	Male
5	K.Sundararaj	Non- Executive	Independent	No	Male
6	Danesh Abeyrathne	Executive	Non-independent	No	Male
7	Thamotharampillai Sanakan	Executive	Non-independent	No.	Male

The Board considers that the two Independent Non-Executive Directors are independent in character and judgement and that they are each free from any business or other relationships which would materially interfere with the exercise of their independent judgement. The Independent Non- Executive Directors have submitted signed confirmations of their independence.

Based on the said declarations, the Board of Directors observed that both Mr. Janaka de Silva and Mr. Tissa Bandaranayake have declared that they are over 70 years of age and have stepped down from the Board with effect from 1st January 2025. Accordingly, in compliance with the rules, M/s Chitral Wijesinha and K. Sundararaj were appointed as Independent Directors to the Board with effect from 1st January 2025.

BOARD EXPERTISE

We are satisfied that our members of the Board and its Committees have and maintain the necessary skills to deliver the Group's strategic priorities, taking into account the Board's diversity and inclusion policy.

CORPORATE GOVERNANCE REPORT

APPOINTMENT, INDUCTION AND DEVELOPMENT

PRIOR TO APPOINTMENT

Nominees are requested to make known their various interests that could potentially be in conflict with the interests of the Company.

ONCE APPOINTED

Directors obtain Board clearance prior to engaging in any transaction that could create a potential conflict of interest.

All Non-Executive Directors shall notify the Executive Chairman of any changes to their current Board representations or interest including related parties.

All Directors should make a general disclosure of interest every year and also of any changes thereto.

DURING BOARD MEETINGS

Directors who have an interest in a matter under discussion;

- Excuse themselves from deliberations on the subject matter
- Abstain from voting on the subject matter (abstentions where applicable to form decisions are duly minuted)
- Declare interest and comment if needed

Upon appointment, all new Directors receive a comprehensive induction programme designed to facilitate their understanding of the business and is tailored to their individual needs. The Board believes strongly in the development of its Directors and colleagues throughout the Group.

To assist the Board in undertaking its responsibilities, ongoing training is provided for all Directors and training needs are assessed as part of the Board evaluation procedure. The Board programme includes regular presentations from management, site visits if necessary, and informal meetings to build their understanding of the business and sector. During the past year, Directors received regular training on our local markets, our operating environment and recent legal and governance developments impacting Browns.

DIVERSITY AND INCLUSION

The Board believes that it is vital to have a diverse Board, with a mix of skills, knowledge and experience across professional backgrounds, gender, tenure, age and ethnicity. A diverse Board with different perspectives, insights and

viewpoints in decision making ultimately benefits the Group's stakeholders through better business performance and decision making. The Board understands that supporting our workforce in a culture of trust and respect is essential to the success of the Company where colleagues feel valued and rewarded for the work they do. All colleagues are given equal opportunities through recruitment, learning and development and actively champion and support our colleague networks and training on the importance of inclusion.

BOARD EVALUATION

To ensure the Board remains effective, a performance evaluation is carried out each year, to review the effectiveness of the Board, its Committees and Directors. The Board was satisfied with their independence and through previous reviews identify further opportunities for improvement.

Re-election of Directors

The Company's Articles of Association require one of the Directors in office to retire at each Annual General Meeting. The Director who retires will be the one who has been longest in office since

his/her appointment/ re- appointment. Retiring Directors are generally eligible for re-election by the shareholders.

COMPANY SECRETARIES

The Group Company Secretaries are responsible for advising the Board on all governance matters and for ensuring that Board procedures are followed, applicable rules and regulations are complied with, and that due account is taken of relevant codes of best practice. They are also responsible for ensuring communication flows between the Board and its Committees, and between senior management and Non-Executive Directors. All Directors have access to the advice of the Company Secretaries and, in appropriate circumstances, may obtain independent professional advice at the Company's expense. In addition, a Directors' and Officers' liability insurance policy is maintained for all Directors. The appointment and removal of the Company Secretaries is a matter reserved for the Board as a whole.

AUDIT, RISK AND INTERNAL CONTROL

The Board is responsible for ensuring the risks facing the Group are effectively identified and controlled through the work of the internal audit activities. The Board has continued to monitor the established risk management and internal control procedures to ensure that they continue to be appropriate and effective within the specific context of the Group's activities.

The Internal Auditors monitor and report on the adequacy of the Financial and Operational systems of the Business Units, in order to strengthen internal controls. The Internal Audit team comprises the necessary skills and experience relevant to the operation of each business. All of the internal audit activities are coordinated centrally by the LOLC-Enterprise Risk Management Team.

The Audit Committee assists the Board in discharging its responsibilities with regard to external and internal audit activities and controls including reviewing audit reports, internal controls and risk management systems. The Audit Committee is satisfied that the Group's risk management and internal control framework in relation to the Group's risk profile and strategy was effective and adequate. The Board therefore remained satisfied that the system of internal control continued to be effective in identifying and assessing the various risks to the Group and in monitoring and reporting progress on their potential impact.

Some of the policies which play a key role in this respect are:

1) Code of Business Conduct and Ethics

This applies to all the employees of the Company. The code ensures that there is no conflict of interest where individuals' interest conflicts with the interests of the Company, and makes timely disclosure of such situations; maintains confidentiality of information, ensures fair dealing with the Company's customers and suppliers and refrains from any unfair dealing and manipulations, thereby promoting ethical behaviour within the Company.

2) IT Governance

The Company believes that IT environment and the controls over this are the fundamental building block upon which our internal control environment is built.

The strong IT governance structure in place at Browns ensures that the effective and efficient use of IT enables the Company to create innovations to increase our digital savviness across the business. A thorough review was undertaken of our cyber environment to ensure that we have appropriate data and information governance processes and controls, e-commerce defences, proactive security and strong incident management processes across the business.

LOLC Technology Services Limited (LOITS), a subsidiary of the Parent Company, LOLC Holdings PLC provides the IT related services to the Company.

3) Enterprise Resources Planning (ERP)

Browns, adapting to the constantly changing technological world and ever-evolving company trends embarked on the digital transformation journey by launching the company's third ERP system, Microsoft Dynamics 365 Business Central SaaS. Prior to the newly implemented system, Browns has been using Microsoft Dynamics AX which was implemented in 2012 to accelerate the operational processes. Microsoft Business Central is based on cloud, enabling employees a wide range of capabilities with regard to their everyday work. With the implementation of ERP, a major change was that the entire organisation was converted to a full time Microsoft ERP platform. The overall business information model has improved tremendously and further improvements were added in the areas of after sales and front-end services. This enhanced the quality of information processes along with the new standard operating procedure and ERP functional user manuals which were developed in order

to set the ground rules for continued good administration. The ERP also assisted the organisation in its business expansion programme by providing flexibility in decision making with both speed and volume of data availability.

GOING CONCERN AND VIABILITY

The Board is responsible for assessing the Group's long-term viability and deciding if it is appropriate to adopt the going concern basis in preparing the Group and Company accounts. The Audit Committee reviews and challenges, where necessary, the Group's assumptions, process and assessment of its going concern and viability.

SUBSIDIARY COMPANIES' MONITORING FRAMEWORK

All subsidiary companies of Brown and Company PLC are managed by their respective Boards according to the respective companies' Articles of Associations and in the best interest of their stakeholders. Brown and Company PLC monitors the performance of subsidiary companies.

ASSURANCE OF COMPLIANCE

The Board, through the Group Legal and Secretarial Division, the Group Finance Division and its other operating structures, monitors and assesses the level of compliance of the Company with laws and regulations. It also reviews the changes in regulations and strives to ensure that the Company is in compliance with the regulatory requirements of the country. The Board receives updated reports on compliance at each Board meeting held after a Financial Quarter with regard to the significant legal and regulatory frameworks that are applicable to its operations.

When carrying out the function of compliance, the Internal and External audit as well as Board Committees also play a vital role in the governance structure of the Company.

CORPORATE GOVERNANCE REPORT

ACCOUNTABILITY

The Board recognises its responsibility to present a fair, balanced and understandable assessment of the Company's position, performance, business model and strategy. This extends to interim and other price-sensitive public reports, reports to regulators, and information required to be presented by statutory regulations. In relation to this, reference is made to the Statement of Directors' Responsibility for preparing the Financial Statements set out on page 134 of this Annual Report and Accounts. A description of the Company's business model for sustainable growth is set out in the Management Discussion & Analysis on pages 31 to 49. This section provides an explanation of the basis on which the Group generates value and preserves it over the long term and its strategy for delivering its objectives.

EXTERNAL AUDIT

The External Audit Report enables the Board to determine the adequacy and effectiveness of the Company's internal controls. M/s.Deloitte Partners, Chartered Accountants acted as the External Auditors of the Company for the reporting year. The Company has the necessary mechanisms in place to ensure the independence of the External Auditors, and the Audit Committee verifies that the services provided by the Auditors comply with applicable legislation.

STAKEHOLDER ENGAGEMENT

The Board is accountable to stakeholders for ensuring the Group is appropriately managed and achieves its objectives in a way that is supported by the right culture and behaviours. The Board spends time listening to and understanding the views of its key stakeholders and, when discussing matters at Board meetings, these views form an integral part of decision making. We also take other factors into account that we consider relevant to our decision making, including the interests and views of the communities we operate in.

SHAREHOLDER RELATIONS

The Company reports formally to shareholders in a number of ways. Significant matters relating to trading or development of the business, and routine reporting obligations, are disseminated by way of Stock Exchange announcements and by press releases. The Board considers the Annual General Meeting as a prime opportunity to communicate with shareholders. Shareholders are given the opportunity of exercising their rights at the Annual General Meeting. Each resolution brought before the shareholders at the Annual General Meeting is voted on separately by them. The notice of the Annual General Meeting and the relevant documents required are published within the statutory period. The Annual General Meeting provides an opportunity for shareholders to seek and obtain clarifications and information on the performance of the Company. The External Auditors are also present

at the Annual General Meeting to render any professional assistance that may be required. Shareholders who are not in a position to attend the Annual General Meeting in person are entitled to have their voting rights exercised by a proxy of their choice.

Shareholders can also contact the Company directly via a dedicated email address or via dedicated telephone numbers, provided on the inside back cover of this report. The Company's website also contains information for institutional and retail shareholders alike. The Company's Registrars provides access facility for registered shareholders, providing details of their shareholdings. Facilities are also provided for shareholders to lodge proxy appointments electronically.

CORPORATE SOCIAL RESPONSIBILITY

The Board actively takes part in defining and overseeing the corporate culture and values, particularly in the corporate social responsibility policy. The Board continuously reviews the policies for sustainability, corporate culture and values, and on relations with stakeholders, especially employees, customers and consumers in countries where the Group operates. The corporate social responsibility policy is structured in line with the business strategy and risk appetite and putting into place mechanisms to ensure that all Group entities know how they fit into these strategies and that their processes and mechanisms are consistent with those of the policy of the Ultimate Parent.

CODE OF BEST PRACTICES OF CORPORATE GOVERNANCE JOINTLY ISSUED BY THE SECURITIES AND EXCHANGE COMMISSION OF SRI LANKA (SEC) AND THE INSTITUTE OF CHARTERED ACCOUNTANTS OF SRI LANKA (CA SRI LANKA) (ISSUED ON 1ST JULY 2008 AND INCLUDES AMENDMENTS TO 2023)

Section	Principle	Level of Compliance
A.	DIRECTORS	
A.1	The Board	
	The Company to be headed by an effective Board to direct, lead and control the Company	Complied with. The Company is headed by an effective Board of Directors who are responsible and accountable for the stewardship function of the Company.
A.1.1	Regular Board meetings	The Board meets quarterly and as and when required
A.1.2	The Board should be responsible for matters including implementation of business strategy, skills and succession of the management team, integrity of information, internal controls and risk management, compliance with laws and ethical standards, stakeholder interests, adopting appropriate accounting policies and fostering compliance with financial regulations and fulfilling other Board functions	Powers specifically vested in the Board to execute their responsibility include: • Providing direction and guidance to the Company in the formulation of its strategies, with emphasis on the medium and long term, in the pursuance of its operational and financial goals. • Reviewing and approving annual budget plans. • Reviewing HR processes with emphasis on top management succession planning Monitoring systems of governance and compliance • Overseeing systems of internal control and risk management. • Determining any changes to the discretions/ authorities delegated from Board to executive levels. • Reviewing and approving major acquisitions, disposals and capital expenditure. • Approving any amendments to constitutional documents.
A.1.3	Act in accordance with the laws of the country and obtain professional advice as and when required	The Board seeks independent professional advice when deemed necessary. During the year under review, professional advice was sought on various matters, including the following: • Impacts on BCL's business operations as a result of the current and future economic and geo-political shifts. • The Company obtained professional guidance from the Employers' Federation of Ceylon (EFC) on labour law compliance, employee relations, and union affairs, ensuring adherence to regulations and fostering workplace harmony. • Legal, tax and accounting aspects, particularly where independent external advice was deemed necessary in ensuring the integrity of the subject decision. • Market surveys, as necessary for business operations. • Valuation of property including that of investment property. • Specific technical know-how and domain knowledge required for identified project feasibilities and evaluations.

CORPORATE GOVERNANCE REPORT

Section	Principle	Level of Compliance
A.1.4	Access to advice and services of the Company Secretary Appropriate insurance cover as recommended by the Nominations Committee for the Board, Directors and KMPs	Complied with To ensure robust deliberation and optimum decision making, the Directors have access to the services of the Company Secretaries whose appointment and/or removal is the responsibility of the Board. The Company has appropriate insurance cover for KMPs according to the Group policy.
A.1.5	Bring independent judgment on various business issues and standard of business conduct	Complied with Collectively, the Non-Executive Directors bring a wealth of value adding knowledge, ranging from domestic and international experience to functional know-how, thus ensuring adequate Board diversity in accordance with principles of Corporate Governance. Furthermore, every member of the Board brings independent judgment on various business issues
A.1.6	Dedication of adequate time and effort	Complied with Allowing for Non-Executive Director's involvement in various Board Committees and time spent by them in considering various matters that require discussion and decision in between the formal Board meetings, the Company estimates that Non-Executive Directors devoted sufficient time for the Group during the year
A.1.7	One third of Directors can call for a resolution to be presented to the Board in the best interests of the Company.	All Directors are encouraged to submit any items/ proposals to the agendas of the Board meetings.
A.1.8	Board induction and training	In instances where Non-Executive Directors are newly appointed to the Board, they are apprised of the: • Values and culture • Operations of the Group and its strategies • Operating model • Policies, governance framework and processes • Responsibilities as a Director in terms of prevailing legislation • Important developments in the business activities of the Group
A.2	The Chairman	
A.2.1	Maintain a clear division between Chairman and the Chief Executive Officer	Complied with
A.3	The Chairman's role	
A.3.1	The Chairman should ensure Board proceedings are conducted in a proper manner	Refer Chairman's role in Corporate Governance section in this Annual Report
A.4	Financial Acumen	
	The Board should ensure the availability within it of those with sufficient financial acumen and knowledge to offer guidance on matters of finance	Two Board members hold membership in professional accounting bodies. Refer Board Member Profiles for more information
A.5	Board Balance	
A.5.1	The Board should include Non-Executive Directors of sufficient calibre.	Complied with Refer Board Member Profiles section

Section	Principle	Level of Compliance
A.5.2	Three or two third of Non-Executive Directors appointed to the Board of Directors whichever is higher should be "independent"	Two out of the four Non-Executive Directors are independent
A.5.3	Definition of Independent Directors	Complied with Both the Independent Directors of the Company are independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgement.
A.5.4	Declaration of Independent Directors	Complied with Each Non-Executive Director has submitted a signed and dated declaration of his independence
A.5.5	Board determinations on independence or non-independence of Non-Executive Directors on annual basis	Complied with Both of the Independent Directors of the Company meet the criteria for independence specified in this rule
A.5.6	Alternate Director	Not Applicable
A.5.7	In the event the Chairman and the CEO are the same person, the Board should appoint one of the Independent Non-Executive Directors to be the 'Senior Independent Director' (SID)	Complied with The Chairman and CEO positions are held by two separate individuals
A.5.8	The Senior Independent Director should make himself available for confidential discussions with other Directors who may have concerns	Complied with Refer Senior Independent Director's Report
A.5.9	The Chairman should hold meetings with the Non-Executive Directors only, without the Executive Directors being present, at least once each year	Informal discussions have been held with the Non- Executive Directors without the Executive Directors being present
A.5.10	Where Directors have concerns about the matters of the Company which cannot be unanimously resolved, they should ensure their concerns are recorded in the Board Minutes	All the Board meeting proceedings are comprehensively recorded in the Board minutes
A.6	Supply of information	
A.6.1	Board should be provided with timely information to enable it to discharge its duties	The Board is provided with: • Information as is necessary to carry out their duties and responsibilities effectively and efficiently. • Information updates from management on topical matters, new regulations and best practices as relevant to the Group's business • External and Internal Auditors' opinions • Experts and other external professional services • The services of the Company Secretaries. • Periodic performance reports

CORPORATE GOVERNANCE REPORT

Section	Principle	Level of Compliance
A.6.2	Timely submission of the minutes, agenda and papers required for the Board meeting	Board agendas and necessary Board Papers and minutes are dispatched in advance of the Board meetings
A.7	Appointment to the Board	
A.7.1	Formal and transparent procedure for Board appointments	Complied with Board appointments are done according to a transparent and formal process.
A.7.2	Assessment of the capability of Board to meet strategic demands of the Company	Complied with The Board as a whole assesses its own composition to ascertain whether the experience and exposure of the Board members are adequate to meet the strategic demands faced by the Company Currently, the Board members have varying qualifications in economic, environmental and social topics and are involved in many committees and associations that serve the business community as a whole
A.7.3	Disclosure of new Board member profile and interest	Complied with. The required disclosures with regard to the new director appointment was made as per the regulatory requirements.
A.8	Re-election	
A.8.1/A.8.2	Re-election at regular intervals and should be subject to election and re-election by Shareholders	Complied with The Directors are subject to re-election on the basis of 'longest in the office' as provided in the Articles of Association. One Director shall retire by rotation on the basis prescribed in the Articles of the Company. A Director who is subject to appointment or a Director retiring by rotation is eligible for election and re-election by a shareholder resolution at the AGM.
A.8.3	In the event of a Director resigns prior to his appointed term, shall give reasons for resignation	Noted for compliance
A.9	Appraisal of Board performance	
A.9.1.	The Board should annually appraise itself on its performance in the discharge of its key responsibilities	Complied with The Board continued with its annual Board performance appraisal. This is a formalised process of self-appraisal, whereby each member assesses, on an anonymous basis, the performance of the Board
A.9.2.	The Board should also undertake an annual self-evaluation of its performance and that of its Committees.	Evaluations were carried out under the areas of: • Role clarity and effective discharge of responsibilities • People mix and structures • Systems and procedures • Quality of participation • Board image
A.9.3.	The Board should review the performance of each Director at the time of re-election	Complied with Reviews are conducted annually according to the Constitution of the Company.

Section	Principle	Level of Compliance
A.9.4	The Board should state how such performance evaluations have been conducted	Complied with The performance evaluation is analysed to give the Board an indication of its effectiveness as well as areas that required addressing and/or strengthening. Despite the original anonymity of the remarks, the open and frank discussions that follow, including some Directors identifying themselves as the person making the remark, reflects the keenness of the Board.
A.10	Disclosure of information in respect of Directors	
A.10.1	» Profiles of the Board of Directors » Directors' interests » Board meeting attendance » Board Committee memberships	Refer Board profiles and Corporate Governance sections
A.11	Appraisal of CEO	Appraisal of the CEO was conducted according to the Group Policy
B.	DIRECTORS' REMUNERATION	
B.1	Remuneration Procedure	
B.1.1	The Board of Directors should set up a Remuneration Committee	Complied with
B.1.2.	Remuneration Committee should consist exclusively of Non-Executive Directors	Complied with Refer Committee Report
B.1.3.	The Chairman and members of the Remuneration Committee should be listed in the Annual Report each year	Complied with
B.1.4.	Determination of the remuneration of Non-Executive Directors	Complied with Compensation is determined in reference to fees paid to other NEDs of comparable companies. NEDs receive a fee for devoting time and expertise for the benefit of the Group in their capacity as Directors and additional fees for either chairing or being a member of a Committee.
B.1.5	The Remuneration Committee should consult the Chairman about its proposals relating to the remuneration of other Executive Directors	Complied with Remuneration of the Executive Directors are governed by the Remuneration Policy of the Group
B.2	The level and make up of remuneration	
B.2.1/ B.2.2	The Remuneration Committee should provide the packages needed to attract, retain and motivate Executive Directors and designed to promote the long term success of the Company	Complied with The Remuneration Committee as a whole is aware that the reward structure should be designed to attract and motivate high calibre people in a highly competitive environment.
B.2.3	The Remuneration Committee should judge where to position levels of remuneration of the Company, relative to other companies	
B.2.4 / B.2.5	Comparison of remuneration with other Companies in the Group	Complied with Having taken into account the complexities associated with the Group, it was established that the compensation is in line with the market. Benchmarking exercises of this nature will continue to take place in the future at regular intervals.

CORPORATE GOVERNANCE REPORT

Section	Principle	Level of Compliance
B.2.6	Executive share options not to be offered at a discount	No share options were given during the year under review.
B.2.7	Remuneration Committee should follow schedule E in designing schemes of performance-related remuneration	Complied with The remuneration scheme is in line with the Group policies.
B.2.8/B.2.9	Compensation for termination of contracts of Directors	Complied with The compensation scheme is in line with the Group policies.
B.2.10	Level of remuneration of NEDs	Complied with The fees received by NEDs are determined by the Board and reviewed annually.
B.3	DISCLOSURE OF REMUNERATION	
B.3	Disclosure of remuneration policy and aggregate remuneration	Complied with Please refer Annual Report of the Directors & the Remuneration Committee Report
C.	RELATIONS WITH SHAREHOLDERS	
C.1	Constructive use of the Annual General Meeting (AGM) and conduct of General Meetings	
C.1.1	The Notice of AGM and related papers to be sent to shareholders as determined by the Statute, before the meeting.	Complied with Notice of the AGM and related documents are sent to shareholders along with the Annual Report within the specified period. The contents of this Annual Report will enable existing and prospective stakeholders to make better informed decisions in their dealings with the Company.
C.1.2	Separate resolution to be proposed for each item and the proxy appointment forms to have options to vote for or against each of the item	Complied with Two-way proxy forms are provided
C.1.3.	Counting of proxy votes	Complied with As a matter of practice, proxy votes together with the votes of the shareholders present at the AGM are considered for each resolution.
C.1.4.	Heads of Board Committees to be available to answer queries	Complied with All the NEDs who are the Heads of Board Committees are available at the Meeting to answer queries.
C.1.5	Summary of procedures governing voting at General meetings to be informed	Complied with Refer Form of Proxy
C.2	Communication with Shareholders	
C.2.1 – C.2.7	Effective communication with shareholders	Complied with Refer Shareholder Relations section in the Corporate Governance Section
C.3	Major and Material Transactions	
C.3.1	Disclosure of all material facts involving any proposed acquisition, sale or disposition of assets	Complied with All material and price sensitive information about the Company is promptly communicated to the Colombo Stock Exchange where the shares of the Company are listed, and released to the employees, press and shareholders.
C.3.2	Compliance with the disclosure requirements and shareholder approval by special resolution as required by the rules and regulations of the SEC/ CSE for listed companies	

Section	Principle	Level of Compliance
D.	ACCOUNTABILITY AND AUDIT	
D.1.	Financial reporting	
D.1.1	The Board should present an annual report including financial statements that is true and fair, balanced and understandable and prepared in accordance with the relevant laws and regulations and any deviation being clearly explained.	Complied with Refer Introduction to the Report, Corporate Governance Section and Statement of Directors' Responsibility
D.1.2	Disclosure of interim and other price sensitive and statutorily mandated reports to regulators	Complied Directors have taken all reasonable steps to ensure accuracy and timeliness of published information with a view of presenting the true and fair view of the interim and annual financial statements.
D.1.3	The Board should obtain compliance statements and declarations from the CEO and the Head of Finance before approving the financial statements	Complied with Declarations are obtained from the Director/CEO & Head of Finance that in their opinion the financial statements comply with the appropriate accounting standards and give a true and fair view of the financial position and performance of the Company. Refer Group CEO's and Head of Finance's statement.
D.1.4	Declaration by the Directors that the Company has not engaged in any activities, which contravene laws and regulations, declaration of all material interests in contracts, equitable treatment of shareholders and going concern with supporting assumptions or qualifications as necessary	Complied with Refer Corporate Governance and Annual Report of the Board of Directors
D.1.5.	Statement of Directors' Responsibility	Complied with Refer Statement of Directors' Responsibility
D.1.6.	Management Discussion and Analysis	Complied with Refer Management Discussion and Analysis.
D.1.7.	Remedial action at Extraordinary General Meeting (EGM) if net assets fall below half of value of Shareholders funds	Complied with In the unlikely event that the net assets of the Company fall below a half of Shareholders funds, shareholders would be notified, and the requisite resolution would be passed on the proposed way forward.
D.1.8	Disclosure of Related party Transactions	Complied with Refer Notes to the Financial Statements
D.2	Risk Management and Internal Control	
D.2.1	Annual review of effectiveness of system of risk management and internal control and report to management and internal control and report to shareholders as required	Complied with The Board has taken the necessary steps to ensure the integrity of the Group's accounting and financial reporting systems and internal control systems that remain effective via the review and monitoring of such systems on a periodic basis.
D.2.2	Robust assessment of the principal risks faced by the Company	Complied with Refer Risks and Opportunities section

CORPORATE GOVERNANCE REPORT

Section	Principle	Level of Compliance
D.2.3.	Internal Audit Function	Complied with The internal audit function of the Company is not outsourced to the External Auditors of the Company to ensure the independence of the External Auditors of the Company. The Auditors' report on the Financial Statements of the Company for the year under review is found in the financial information section of the Annual Report.
D.2.3/ D.2.4	Maintaining sound system of internal control	Complied with Refer Corporate Governance Report
D.3	Audit Committee	
D.3.1.	The Audit Committee should comprise a minimum of three non-executive directors of whom at least two should be Independent. The Chairman of the Committee should be an Independent Non-Executive Director. At least one member should have recent and relevant experience in financial reporting and control.	Complied with The Audit Committee comprises two Independent Non-Executive Directors and one Non-Executive Director. The Committee is chaired by an Independent Non-Executive Director who is a member of a professional accounting body.
D.3.2.	The Audit Committee to have written terms of reference covering the salient aspects as stipulated in the section	Complied with The Audit Committee has written terms of reference outlining the Scope.
D.3.3.	Duties and responsibilities of the Committee	Complied with The Audit Committee has the overall responsibility for overseeing the preparation of Financial Statements in accordance with the laws and regulations of the country and also recommending to the Board, on the adoption of best accounting policies. The Committee is also responsible for maintaining the relationship with the External Auditors. Refer Audit Committee Report
D.4	Related Party Transactions Review Committee (RPTR Committee)	
D.4.1	Definition of a Related Party and Related Party Transactions	Refer Notes to the Financial Statements
D.4.2	The RPTR Committee should comprise exclusively of non-executive directors with a minimum of three. Majority should be independent. The Chairman of the Committee should be an Independent Non-Executive Director.	Complied with The Committee comprises of four Non-Executive Directors out of which two are independent. One Independent Non-Executive Director acts as the Chairman of the Committee.
D.4.3.	The RPTR Committee to have written terms of reference covering the salient aspects as stipulated in the section	Complied with The RPTR Committee has written terms of reference outlining the Scope.
D.5	Business Conduct and Ethics	
D.5.1	Adoption of Code of Business Conduct and Ethics	Complied with Business ethics at the Company ensure the business is carried out in an ethical manner
D.6	Corporate Governance disclosure	
D.6.1.	The Directors should include in the Company's Annual Report a Corporate Governance Report	Complied with This report serves the purpose

Section	Principle	Level of Compliance
E.	INSTITUTIONAL INVESTORS	
E.1	Shareholder voting	
	A listed Company should conduct a regular and structured dialogue with shareholders based on a mutual understanding of objectives.	Complied with The Company has a well-developed investor relations programme to address the information needs of investment institutions and analysts regarding the Company, its strategy, performance and competitive position
E.2	Evaluation of governance disclosures	
	When evaluating the company's governance arrangements, particularly those relating to the Board structure and composition, institutional investors should be encouraged to give due weight to all relevant factors drawn to their attention	Institutional investors are informed of any changes to the governance structure.
F.	OTHER INVESTORS	
F.1	Investing/divesting decisions	
F.1.1	Individual shareholders, investing directly in shares of companies should be encouraged to carry out adequate analysis or seek independent advice in investing or divesting decisions	The Company maintains an active dialogue with shareholders, potential investors, investment banks, stockbrokers and other interested parties. Any concerns raised by a Shareholder are addressed promptly and forwarded, when necessary, to the Company Secretaries for consideration and advice.
F.2	Shareholder voting	
	Individual shareholders should be encouraged to participate in General Meetings of Companies and exercise their voting rights.	Complied with All steps are taken to facilitate the exercise of shareholder rights at AGMs, including the receipt of notice of the AGM and related documents within the specified period. Shareholders exercise their voting rights for each resolution passed at the AGM.
G.	INTERNET OF THINGS AND CYBER SECURITY	
G.1– G.5	A review with regard to the cyber environment to ensure that appropriate data and information governance processes and controls, e-commerce defences, proactive security and strong incident management processes across the business are in place.	LOITS, a subsidiary of the Parent Company, LOLC Holdings PLC manages the cyber security of the Company and the Parent Company reviews and monitors the cyber environment of the Group.
H.	ENVIRONMENT, SOCIETY AND GOVERNANCE	
H.1 – H.5.	Adherence to the ESG principles	Complied with Refer Introduction to the Report and Social and Relationship Capital Report.

CORPORATE GOVERNANCE REPORT

COMPLIANCE WITH SECTION 9 OF THE LISTING RULES ISSUED BY COLOMBO STOCK EXCHANGE

Section	Principle, compliance and implementation	Compliance Status
9.1.3	Disclosure in the Annual report with regard to the extent of compliance with the Rule	Complied with The status of compliance with the Rule 9 is given below.
9.2.1	The Company shall disclose the fact of existence of the list of following policies as set out in the rule together with the details relating to the implementation of such policies in the Annual report and make those policies available on its website (a) Policy on the matters relating to the Board of Directors (b) Policy on Board Committees (c) Policy on Corporate Governance, Nominations and Re-election (d) Policy on Remuneration (e) Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities (f) Policy on Risk management and Internal controls (g) Policy on Relations with Shareholders and Investors (h) Policy on Environmental, Social and Governance Sustainability (i) Policy on Control and Management of Company Assets and Shareholder Investments (j) Policy on Corporate Disclosures (k) Policy on Whistleblowing (l) Policy on Anti-Bribery and Corruption	Complied with
9.2.2	Any waivers from compliance with the Internal Code of business conduct and ethics or exemptions granted.	None
9.2.3	(i) List of policies in place as per Rule 9.2.1, with reference to website (ii) Any changes to policies adopted	Complied with
9.2.4	The Company shall make available all such policies as set out in 9.2.1 to shareholders upon a written request being sent for such policy	Noted for compliance
9.3.1/9.3.2	The following Board subcommittees should be established and maintained at a minimum and shall function effectively: - a) Nominations & Governance Committee b) Remuneration Committee c) Audit Committee d) Related Party Transactions Review Committee	Complied with Complied with Complied with Complied with
9.3.3	The Chairperson of the Board cannot be a Chairperson in any of the aforesaid subcommittees	Complied with The Chair of the board does not also serve as the chair of any board subcommittee

Section	Principle, compliance and implementation	Compliance Status
9.4.1	Maintenance of records of all resolutions and other information stipulated in section 9.4.1 of the listing rules and shall provide copies of the same at the request of the Exchange and or SEC. All records of resolutions and information relating to General Meetings; i.e. upon a resolution being considered valid proxy votes, votes in favour, against and abstained for the resolutions, etc. are maintained by the Company Secretary.	Complied with
9.4.2	Communication and relations with shareholders and investors	Complied with A policy on communication with shareholders and investors is already in place. The Company Secretary has been designated as the contact person for such corporate communication by the Company. Any significant/ material issues raised by the shareholders/investors are communicated to all directors and addressed where necessary in a transparent manner. The company conducted its shareholder meetings through virtual or hybrid means by complying with the guidelines issued by the CSE.
9.5.1 & 9.5.2	A Policy on governing matters relating to the Board of Directors should be established with specific requirements prescribed by the Exchange (a) to (j) and to disclose the level of compliance or non-compliance with reasons/remedial actions	Complied with A Policy on governing matters relating to the Board of Directors is in place
9.6.1	The Chairperson should be a Non-executive Director and the positions of Chairperson and CEO shall not be held by one person; unless a Senior Independent Director (SID) is appointed by the Listed entity	Complied with The positions of Chairman & CEO are held by 2 individuals. Mr. I. C. Nanayakkara serves as the Executive Chairman while Mr. T. Sanakan serves as the Executive Director & Chief Executive Officer performs as the Group Chief Executive Officer of the Company. In compliance with the rule, Mr K Sundararaj has been appointed as the Senior Independent Director
9.6.2 & 9.6.3	The Market announcement with regard to the non-compliance with Rule 9.6.1 and the rationale for appointing the SID	Complied with Since the Chairmanship is held by Mr. I C Nanayakkara, an Executive Director, the Board intends to retain him in the capacity of an Executive Director considering his business acumen which navigated the Group to become one of the most profitable institutions in Sri Lanka. Thus, Mr K Sundararaj has been appointed as the SID w.e.f. from 1st Jan 2025 replacing the former SID Mr. Janaka De Silva who retired on the same day. Disclosures in this regard have been duly made on the Colombo Stock Exchange.

CORPORATE GOVERNANCE REPORT

Section	Principle, compliance and implementation	Compliance Status
9.7.5	(a) Statement on Directors and CEO satisfying Fit and Proper Assessment Criteria (b) Any non-compliance/s and remedial action taken	Complied with Annual Fit & Proper Declarations we have been obtained as per the requirement of Rule 9.7.4. and the board members have complied with the relevant criteria. The said criteria were considered when recommending the re-election of directors retiring by rotation before the AGM.
9.8.1 & 9.8.2	The Minimum number of Directors on the Board should be 5 and the total minimum number of Independent Directors should be 2 or 1/3 of the Board, whichever is higher	Complied with The Board comprised of 7 Directors including 2 Independent Non-Executive Directors
9.8.3	A director shall not be considered independent if he/she does not fulfil the criteria defining independence under sections 9.8.3 and 9.8.4 of the Rules.	Complied with Both Independent Directors have been appointed in accordance with the rule.
9.8.5	The listed entity shall ensure; a) Each independent director submits a declaration with criteria specified by the Exchange b) The Board shall make an annual determination as to independence / non independence and set out the names of directors determined to be independent in the Annual Report c) If the Board determines that the independence of and independent director has been impaired against any criteria set out in 9.8.3 it shall make an immediate market announcement thereof	Complied with The Company has established a process for determination of independence based on the requirements of this Rule.
9.9	An alternate Director can be only appointed for a minimum period of one year under special circumstances and he/she should be of the same nature of Directorship	Noted for future compliance should the need arise.
9.10.1	A policy on the maximum number of directorships its board members shall be permitted to hold A director shall hold office as director in any number of companies/societies/bodies including subsidiaries and associates of the Company, subject to however, in the case of listed entities, such appointments being limited to 20.	Complied with
9.10.2	Immediate market announcement upon appointment of new director setting out resume, capacity of directorship, statement indicating if such appointment has been reviewed by the Nominations & Governance Committee	Complied with
9.10.3	Immediate market announcement regarding any changes to the composition of the Board / subcommittees specified in Rule 9.3	Complied with
	Listed entities shall disclose the following in relation to Directors in the Annual Report: a) name qualifications, brief profile, b) nature of expertise in relevant functional area c) whether either the director or close family member/s has any material business relationship with the directors of the listed entity, d) whether executive, non executive and or independent.	Complied with

Section	Principle, compliance and implementation	Compliance Status
9.10.4	e) Total number of names of companies in which the director concerned serves as a director/KMP indicating if these are listed f) Capacity of the position held whether executive or non executive g) Number of board meetings of the listed entity attended during the year h) Names of board committees in which the director serves as chairperson or member i) Details of attendance of committee j) Terms of reference and powers of the SID	Please refer Board profiles, SID report, Board of Directors and subcommittee reports for the details.
9.11 & 9.11.4	Nomination and Governance Committee The Company shall have a Nominations and Governance Committee to maintain a formal procedure for the appointment of new Directors and re-election of Directors to the Board together with written Terms of Reference. Composition The members of the Nominations and Governance Committee shall; (1) Comprise of a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors of the Listed Entity. (2) Not comprise of Executive Directors of the Listed Entity. (3) An Independent Director shall be appointed as the Chairperson of the Nominations and Governance Committee by the Board of Directors. (4) The Chairperson and the members of the Nominations and Governance Committee shall be identified in the Annual Report of the Listed Entity	Complied with The Committee has been established with effect from 1st October 2024 and comprises the following members: - C. Wijesinha - Committee Chairman (appointed w.e.f . 01.01.2025) - K Sundararaj - Committee Member (appointed w.e.f . 01.01.2025) - Mrs K U Amarasinghe – Committee Member The following Directors who were Committee members during the year under review had retired with effect from 1st January 2025. H P J de Silva – Committee Chairman T K Bandaranayake – Committee Member Please refer Committee Report.
9.12 & 9.12.6	Talent Development & Remuneration Committee The Company shall have a Remuneration Committee that conforms to the requirements of these regulations and shall have a written Terms of Reference Composition of the Remuneration Committee The Committee shall comprise; (1) A minimum of 3 Directors out of which a minimum of 2 shall be independent (2) Not consist of Executive Directors (3) Chairperson to be an Independent Director	Complied with As of 31st March 2025 the Committee comprised 3 Non-Executive Directors of whom 2 are independent. - K Sundararaj - Committee Chairman (appointed w.e.f . 01.01.2025) - C Wijesinha - Committee Member (appointed w.e.f . 01.01.2025) - Mrs K U Amarasinghe – Committee Member The following Directors who were Committee members during the year under review had retired with effect from 1st January 2025. T K Bandaranayake – Committee member H P J de Silva – Committee member Please refer committee report

CORPORATE GOVERNANCE REPORT

Section	Principle, compliance and implementation	Compliance Status
9.13	Audit Committee	Complied with
9.13.1	The listed entity shall have an Audit Committee conforming with the requirements set out in Rule 9.13	- K Sundararaj - Committee Chairman (appointed w.e.f . 01.01.2025)
	Where Listed Entities do not maintain separate Committees to perform the Audit and Risk Functions, the Audit Committee of such Listed Entities shall additionally perform the Risk Functions set out in Rule 9.13 of these Rules.	- C Wijesinha - Committee Member (appointed w.e.f . 01.01.2025)
	The Audit Committee shall have a written terms of reference clearly defining its scope, authority	- Mrs K U Amarasinghe – Committee Member
9.13.2	The Committee shall have written Terms of Reference clearing defining scope, authority and duties	Mr Sundararaj is suitably qualified to act as the Audit Committee Chairman
9.13.3	1) Should comprise minimum of 3 directors of the listed entity of whom a minimum of 2 or a majority which ever is higher shall be independent directors; and shall not comprise any executive directors of the listed entity;	The following Directors who were Committee members during the year under review had retired with effect from 1st January 2025.
	2) The quorum for a meeting of the Audit Committee shall require the majority in attendance to be independent	T K Bandaranayake – Committee Chairman
	3) The Committee may meet as often as required provided that it compulsorily meets on a quarterly basis prior to recommending the financials to be released to the market	H P J de Silva – Committee member
	4) If both parent company and subsidiary are listed entities the Audit Committee of the Parent may function as the Audit Committee of the Subsidiary	Please refer Report of the Audit Committee.
	5) An independent director shall be appointed as chairperson of the committee	
	6) Unless otherwise determined by the Audit Committee, the CEO and the CFO of the listed entity shall attend meetings by invitation.	
	7) The Chairperson of the Audit Committee shall be a member of a recognised professional accounting body	
9.13.4	Functions of the Audit Committee	
9.13.5	Disclosures in the Annual Report	
	The Audit Committee is comprised of two Independent Non-Executive Directors and Mr K Sundararaj- Independent Non-Executive Director is the Chairman of the Committee who is a Fellow member of the Institute of Chartered Accountants of Sri Lanka.	
	The Committee does not include any Executive Directors and GCEO and the Head of Finance attend the meetings by invitation.	
9.14	Related Party Transactions Review Committee	

Section	Principle, compliance and implementation	Compliance Status
9.14.2	Composition of the Related Party Transactions Review Committee	Complied with The RPTR Committee is comprised of two Independent Non-Executive Directors and two Non Executive Directors. - C Wijesinha - Committee Chairman (appointed w.e.f . 01.01.2025) - K Sundararaj -Committee Member (appointed w.e.f . 01.01.2025) - Mrs K U Amarasinghe – Committee Member - W D K Jayawardena-Committee Member The following Directors who were Committee members during the year under review had retired with effect from 1st January 2025. T K Bandaranayake – Committee Chairman H P J de Silva – Committee member Please refer Report of the RPTR Committee.
9.14.3-9.14.4	Functions and general requirements	Complied with
	Refer Report of the Related Party Transactions Review Committee for details	
9.14.8(1)	Disclosure of non-recurrent Related Party Transactions exceeding 10% of the Equity or 5% of the Total Assets, whichever is lower (in the specified format) Refer Note no 41 to the Financial Statements.	Complied with
9.14.8(2)	Disclosure of recurrent Related Party Transactions exceeding 10% of the gross revenue/ income (in the specified format)	Complied with
	Refer Note no 41 to the Financial Statements.	
9.14.8(3)	Disclosure requirements regarding the Related Party Transaction Review Committee under Rule 9.14	Complied with
	Please refer Report of the RPTR Committee	
9.14.8(4)	Affirmative declaration by the Board of Directors on compliance with RPT Rules or negative statement to that effect.	Complied with
	Please refer Report of the RPTR Committee and Board of Directors report	
9.16	Additional disclosures by Board of Directors under Rule 9.16	Complied with
	The relevant declarations by the Board of Directors are included in their report	

AUDIT COMMITTEE REPORT

THE AUDIT COMMITTEE PLAYS AN IMPORTANT ROLE IN ENSURING THE INTEGRITY OF FINANCIAL REPORTING, THE INTERNAL CONTROL ENVIRONMENT AND RISK MANAGEMENT PROCESSES

COMMITTEE MEMBERSHIP, INDEPENDENCE AND EXPERIENCE

The Committee membership is solely comprised of Non-Executive Directors namely:

- » **Mr. K.Sundararaj**
Independent Non-Executive Director - Chairman
- » **Mr.Chitral Wijesinha**
Independent Non-Executive Director - Member
- » **Mrs. Kalsha Amarasinghe**
Non-Executive Director - Member

Mr. K.Sundararaj is a Fellow member of the Institute of Chartered Accountants of Sri Lanka. Mr. Chitral Wijesinha is a licensed financial adviser in New Zealand and an active member of the Wealthpoint Financial Adviser Provider (FAP) network). Both Committee Members have recent and relevant financial experience as required by the Code. The Board considers that the Committee members collectively have competence relevant to the Group's sectors, in addition to their general management and commercial experience.

TERMS OF REFERENCE (TOR) OF THE COMMITTEE

The Audit Committee Charter clearly defines the Terms of Reference, the composition and role and responsibilities of the Committee and is reviewed periodically to ensure that emerging trends in the business environment are adequately addressed within the Committee's functions.

ROLE OF THE COMMITTEE

The Committee's main role is to monitor and review the integrity of the Company's financial information. This includes recommending to the Board whether the Company's Annual Report and Accounts, taken as a whole, simple

and fair, balanced and understandable and whether the assessment of the group's going concern assumptions and longer term viability are reasonable.

The Committee is also responsible for providing assurance to the Board that the Group's internal control and risk management systems are fit for the purpose and regularly reviewed as well as overseeing the effectiveness and independence of the external auditors including recommending to the Board the approval of fees and appointment.

MEETINGS

Meetings of the Committee are scheduled to take place four times a year and occur in line with the financial and reporting cycles of the Company. Meetings are generally held prior to Board meetings so that optimum collaboration with the Board is maintained. Members and their attendance at meetings during the year are set out in the table below. Each meeting followed a distinct agenda to reflect the financial reporting cycle and particular matters for the Committee's consideration. Committee members hold private sessions with the External Auditors

to provide an additional opportunity for open dialogue and feedback without management present.

The invitations to attend Audit committee meetings are extended to all Directors including the Chair of the Board, the Group Chief Executive Officer/Chief Financial Officer (GCFO), the Company Secretary, AGM Finance, Head of Finance and Chief Manager Enterprise Risk Management. The External Auditors are invited prior to releasing the interim financial statements for the last quarter as well as to discuss key audit matters and the Management Letter. The Head of IT is invited at the time of any updates required on the Group's information security strategy. Heads of relevant departments and HR are invited when relevant Internal Audits report are being discussed.

The Chair provides updates to the Board on the proceedings, considerations and findings of each meeting.

During the year under review four meetings were held and the attendance were as follows:

	31.05. 2024	15.08.2024	13.11.2024	14.02.2025	Total
T. K. Bandaranayake (resigned wef 01.01.25)	✓	✓	✓	-	3/4
J. de Silva (resigned wef 01.01.25)	✓	✓	✓	-	3/4
Mrs K U Amarasinghe	✓	x	✓	✓	3/4
K Sundararaj (Chairman) Appointed on 01.01.2025	-	-	-	✓	1/4
C Wijesinha Appointed on 01.01.2025	-	-	-	✓	1/4

FINANCIAL REPORTING

The primary role of the Committee in relation to financial reporting is to monitor the integrity of the Group's published financial information including reviewing its full-year and quarterly financial results. The Committee undertakes this with both management and the External Auditors and concentrates on ensuring compliance with the relevant financial and governance reporting requirements. The Committee considers the principal accounting policies that are used when preparing these results as well as reviewing the

significant accounting issues and areas of judgements made and other key areas of focus. The Committee receives regular reports from the Director/GCFO to support this work. The Committee has continued to focus on the key audit matters. All of these matters were conducted to the satisfaction of the Committee.

FAIR, BALANCED AND UNDERSTANDABLE REPORTING

The Committee considered whether the overall reporting was consistent with the quarterly financial statements, the industry as a whole and the wider economic environment. In addition, the Committee assessed whether suitable accounting policies had been adopted by the Group and reviewed papers prepared by the Senior Management on the main financial reporting judgements as well as the External Auditor's reports on the yearly results.

RISK MANAGEMENT

The Committee reviewed the Group's principal and emerging risks and mitigation strategies, with particular discussion around prioritised risks and risk movements. A robust assessment of the Group's principal risks were carried out.

The Committee continued to oversee the Group's progress across Risk & Audit, People and Technology. This included monitoring the continued progress in relation to IT general controls, technology security and control initiatives to mitigate the Group's risk exposure and responsiveness to changing environments. The Committee reviewed assessments undertaken by the Internal Audit and was satisfied that the issues had been identified promptly and that appropriate remediation of underlying controls were implemented.

INTERNAL AUDIT

Internal Audit functions are provided by the Enterprise Risk Management (ERM) division of the parent Company, LOLC Holdings PLC. The Assistant General Manager of ERM reports directly to the Committee and administratively to the Director/CEO, with a remit to provide

independent and objective assurance over the Group's prioritised risks and management structures. Internal Audit plays an integral role in the Group's governance structure and provides regular reports to the Committee on the effectiveness of systems, processes and controls across the Group.

Internal Audit's activity is primarily driven by the Internal Audit Plan (the Audit Plan) that reflects the key risks the Group faces, the governance frameworks, management structures and the operations. Following approval by the Committee and the Board, on an annual basis, the Audit Plan remains under review and subject to change throughout the year to ensure changes to the risk profile or key drivers are appropriately considered. The Committee reviews and approves if any changes to the Audit Plan and receives regular updates on the outcome of the work performed.

Management culture is considered through evaluation of the control environment as part of every audit undertaken. Several other assurance activities are conducted including continuous controls reviews, post-implementation audits, and other management-requested assurance. The results of these reviews are also presented and reviewed by the Committee. The Committee approved the Audit Plan for the FY 2024/2025. The Committee satisfied itself with the effectiveness of Internal Audit by considering the results of the assessments, as well as through ongoing review and oversight of the assurance activities.

INTERNAL CONTROLS

Management is responsible for identifying and managing risks, and for maintaining a sound system of internal control. The internal control framework is intended to effectively manage rather than eliminate the risk of failure to achieve the business objectives. It can only provide reasonable, but not absolute, assurance against the risk of material misstatement or financial loss. The key elements of the Group's internal control framework

are monitored throughout the year and the Committee has conducted a review of the effectiveness of the Group's risk management and internal control systems on behalf of the Board. The Committee's review of the effectiveness of internal controls has encompassed a review of various reports provided by management, Internal Audit and External Audit.

EXTERNAL AUDITORS

M/s. Deloitte Partners continued as the Group's External Auditors for the 2024/25 financial year. The Committee reviewed the role of the External Auditors and the scope of its work. The Committee also considered the effectiveness of the External Auditors on an ongoing basis during the year. Amongst others, the review covered the Auditors' independence, objectivity and professional aspects. The Committee is satisfied that the External Auditors have been independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements, based on their annual declaration provided to the Committee.

The group has restricted the areas where the external auditors can provide non-audit services, such that only certain types of non-audit services which are closely related to an audit or required by law or regulation can be provided. The Committee oversees the process for approving all non-audit work provided by the External Auditors to safeguard the objectivity and independence of the auditors and comply with regulatory and ethical guidance. Details of fees charged by the External Auditors during the year under review are set out in Note 8 to the Consolidated Financial Statements.

M/s. Deloitte Partners were first appointed in 2018 and re-appointed each year at the AGM. The Committee reviews the re-appointment of the External Auditors annually. Having considered the matters detailed above, the Committee recommended to the Board the re-appointment of Deloitte Partners as the External Auditors of the Company for the financial year ending 31st March

AUDIT COMMITTEE REPORT

2026 subject to the approval of the shareholders, at a remuneration to be agreed by the Board.

The effectiveness of the Committee was evaluated at the conclusion of the period under consideration by each member of the Committee and the results communicated to the Board.

FAIR, BALANCED AND UNDERSTANDABLE STATEMENT

The Committee considered this Annual Report and Financial Statements, taken as a whole, and concluded that the disclosures, as well as the processes and controls underlying its production, were appropriate and complied with financial reporting requirements under the relevant financial reporting related regulations and other regulatory requirements. The Committee recommended to the Board that the Annual Report and Financial Statements for the year ended 31st March 2025 is fair, balanced and understandable while providing the necessary information to assess the Company's position and performance, business model and strategy.



K.Sundararaj

Chairman - Audit Committee

28th August 2025

TALENT DEVELOPMENT AND REMUNERATION COMMITTEE REPORT

This year saw another very strong performance for the Company, reflecting the continued work our people have done in strengthening our position in the sectors we operate. We have grown our market share and delivered strong profit growth, global supply chain disruptions and cost inflation.

We have invested in talent, empowered our leaders and incentivised our teams with stretching targets. This has been key to the exceptional Group performance. Given the importance of our people, the Group ensured that we continued to offer competitive pay and benefits during the year.

This review took into account the resilience of delivery given the impact of ongoing external challenges that were outside of management's direct and indirect control, as well as the overall experience of the Group's stakeholders.

The Committee undertook the annual review of incentives taking into account, a range of relevant factors. Salary adjustments during the year under review was in line with the framework offered by the Parent Company. The annual bonus was based on a balanced set of key financial and strategic priorities for the year.

COMPOSITION

The members of the Talent Development & Remuneration Committee are:

- » **Mrs. Kalsha Amarasinghe**
Chairperson(until 01.01.25)/Non-Executive Director
- » **Tissa Bandaranayake**
Member/Independent Non - Executive Director
(Retired W.e.f. 1st Jan 2025)
- » **Janaka de Silva**
Member/Senior Independent Non-Executive Director
(Retired w.e.f. 1st Jan 2025)
- » **Mr.K.Sundararaj**
Chairman – Independent Non Executive Director
(Appointed on 1st Jan 2025)

- » **Mr.Chitral Wijesinha**
(Member- Independent Non Executive Director)
(Appointed on 1st Jan 2025)

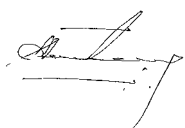
Director/GCEO and Human Resources Manager of the Company are invited to the meetings, with the Company Secretaries functioning as its Secretary.

ACTIVITIES FOR THE YEAR UNDER REVIEW

The Committee met once during the year to review of the effectiveness of remuneration policies and practices in support of strong historical performance, and the next phase of the Company's development was conducted. The Committee was satisfied that purpose of the remuneration policy remains to attract, retain and motivate the talent capable of delivering the Group's purpose and strategy and provide clear leadership. In this way, it aims to create long-term sustainable performance and increased shareholder value. The aggregate remuneration of the Executive and Non-Executive Directors are given in Note No. 8 to the Financial statements.

The Committee also considered on the incentives provided for staff and reviewed the methods imposed by the management to attract new talent into the Group. The Committee was satisfied that the Management had been able to retain key talents amidst prevailing economic crisis and political instability.

The effectiveness of the Committee was evaluated at the conclusion of the period under review by each member of the Committee and the results were communicated to the Board.



K. Sundararaj

Chairman - Talent Development & Remuneration Committee

28th August 2025

THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

The Board has established the Related Party Transactions Review Committee (RPTR Committee) in order to review the related party transactions of Brown and Company PLC and its subsidiaries.

COMPOSITION

The Committee is appointed by the Board and comprises four Non-Executive Directors out of which two are independent. An Independent Non-Executive Director acts as the Chairman of the Committee.

The members are;

- » **Mr.C.Wijesinha**
Chairman /Independent Non-Executive Director
- » **K.Sundararaj**
Member/ Independent Non-Executive Director
- » **Mrs. Kalsha Amarasinghe**
Member /Non-Executive Director
- » **Kapila Jayawardena**
Member/Non-Executive Director

The Director/CEO of the Group attend the meetings by invitation.

The Company Secretaries provide assistance to the members of the Committee, including but not limited to assisting the Committee Chair in planning the work of the Committee, formulating meeting agendas, maintenance of committee minutes, collation and distribution of information required by the Committee and providing practical support, as and when needed.

COMMITTEE MEETINGS

The Committee met four times during the year under review. The minutes of all meetings were properly documented and communicated to the Board of Directors.

Any member of the Committee who has a potential interest in any Related Party Transaction will disclose his/her interests therein and excuse and abstain from discussions leading to the eventual voting and approval of the Related Party Transaction/s. The RPTR Committee considers all relevant facts and circumstances respecting such transaction/s.

The attendance details during the year under review were as follows:

	31.05. 2024	15.08.2024	13.11.2024	14.02.2025	Total
Tissa Bandaranayake (Retired w.e.f. 01.01.25)	✓	✓	✓	-	3/4
Janaka de Silva (retired w.e.f. 01.01.25)	✓	✓	✓	-	3/4
Kalsha Amarasinghe	✓	✗	✓	✓	3/4
Kapila Jayawardane	✓	✗	✗	✓	2/4
Chitral Wijesinha (appointed w.e.f. 01.01.2025) Chairman	-	-	-	✓	1/4
K.Sundararaj (appointed w.e.f. 01.01.2025)	-	-	-	✓	1/4

ROLE OF THE COMMITTEE

The RPTR Committee is tasked with reviewing all Related Party Transactions of the Company and ensuring that they comply with the Listing Rules of the Colombo Stock Exchange (CSE). The Committee reviews and pre-approves all proposed non-recurrent Related Party Transactions of the Company. Further, the Committee reviews all recurrent Related Party Transactions on a quarterly basis and annually to ensure compliance with the limits and reporting guidelines specified by the Listing Rules of CSE.

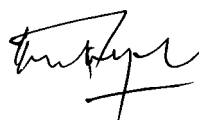
REVIEW OF THE YEAR

- » The Committee reviewed all related party transactions, and ensured there were neither any non-recurrent transaction nor transactions that require the approval of shareholders of the Company (except for the exempted transactions under Rule 9.14.10 of the CSE Listing Rules);
- » Obtained required information from the management, employees or external parties with regard to any transaction entered into with a related party;
- » After each meeting, the Committee updated the Board on any disclosures that need to be made in Quarterly Financial Statements or the Annual Report, any other market disclosures with regard to any particular related party transaction and any other observations or comments that may require the attention of the Board;

- » Ensured that no Director of the Company participated in any discussion of a proposed related party transaction for which he or she is a related party, unless such Director was requested to do so by the Committee for the express purpose of providing information concerning the Related Party Transaction to the Committee;
- » Established guidelines and policies for the management and reporting of related party transactions. The Committee also considered the necessary market disclosures in a timely and detailed manner and disclosures in the Annual Report as required by the applicable rules/regulations;
- » Assessed the adequacy of related party reporting systems along with the advice of the External Auditors;
- » Ensured that all reporting requirements of the CSE Listing Rules and other relevant statutes and regulations are met;
- » The Committee was satisfied that all related party transactions of the entity were transacted on normal commercial terms and were not prejudicial to the interests of the entity and its minority shareholders.
- » The effectiveness of the Committee was reviewed at year end by each member and results reviewed and gaps communicated to the Board.

DECLARATION

The Committee has reviewed all related party transactions during the period which were communicated to the Board of Directors by the Committee and has established that they are in the best interest of the Company and comply with all standards of best practice and reporting. A declaration by the Board of Directors as an affirmative statement of compliance with the Listing rules pertaining to RPTs is given on pages 56 to 60 of this report. The recurrent and non-recurrent related party transactions of the Company under Rule 9.14.8 are given in detail on pages 159 to 166.



Chitral Wijesinha

Chairman - Related Party Transactions
Review Committee

28th August 2025

BUSINESS OPERATIONS COMMITTEE REPORT

This Committee was formed in 2006 to strengthen the business operations of the Company.

The Committee presently comprises of the Executive Chairman and two Non-Executive Directors namely,

- » **Ishara Nanayakkara**
Executive Chairman
- » **Kalsha Amarasinghe**
Non-Executive Director
- » **Kapila Jayawardena**
Non-Executive Director

The primary responsibility of this Committee is to look at strategic directives and investments for the Group,

prior to being ratified by the Board, so as to have a better representation in this process and to expedite decisions.

The Committee meets depending on need and urgency.

The Browns Group is in the process of expanding, which includes not only investments into the existing manufacturing and trading operations but also in areas that are strategic and would complement the core growth strategies of the organisation. The Committee also evaluates the pros and cons of such substantial investments and the related opportunity costs of funds, to have a better balance between

the growth strategies and stakeholder requirements. In such evaluations the Committee endeavours to strike a balance between the short, medium and long-term investments in order to post continuous and harmonious growth without interruption.



Ishara Nanayakkara
Executive Chairman

28th August 2025

REPORT OF THE NOMINATIONS & GOVERNANCE COMMITTEE

Established on 1st October 2024 in terms of Rule 9.11 of the Listing Rules of the Colombo Stock Exchange, the Nomination and Governance Committee comprises of 3 Non-Executive Directors, a majority of whom are independent. The composition of the Committee is as follows :-

- » **Mr C Wijesinha**
(Committee Chairman)
- » **Mr K Sundararaj**
Independent Director
- » **Mrs K U Amarasinghe**
Non-Executive Director

The main responsibilities and duties of the Committee, among others, include, the provision of advice and recommendations to the Board on the appointment of new Directors as well as assessing whether the incumbent Directors are fit and proper for re-election.

In terms of the Articles of Association, one Director is required to retire by rotation at every Annual General Meeting. Accordingly, during the year under review, having assessed the fitness and

propriety of the incumbent Directors, the Committee recommended the following Directors for re-election for the ensuing year.

- » **Mr I C Nanayakkara**
in terms of Article 24(6)
- » **Mr C Wijesinha**
in terms of Article 24(2)
- » **Mr K Sundararaj**
in terms of Article 24(2)

Having reviewed the other Directorships of each Board member, the Committee was satisfied that they were compliant with regulations in terms of the period of service and age.



Chitral Wijesinha
Committee Chairman

28th August 2025

ANNUAL REPORT OF THE BOARD OF DIRECTORS

The Directors of Brown and Company PLC have pleasure in presenting to members their Report and the Audited Consolidated Financial Statements for the year ended 31st March 2025.

The Financial Statements and the disclosures made herein conform to the requirements of the Companies Act No. 7 of 2007. The Report also includes relevant disclosures required to be made under the Listing Rules of the Colombo Stock Exchange and is guided by the recommended best practices on accounting and corporate governance.

BROWN AND COMPANY PLC

Brown and Company PLC is a public limited liability Company incorporated in Sri Lanka on 17th August 1892 under the Joint Stock Companies Ordinance 1861 and the Company was re-registered as required under the provisions of the Companies Act No. 07 of 2007 on 25th July 2007. The Company was listed on the Main Board of the Colombo Stock Exchange on 25th April 1991 and was transferred to Diri Savi Board with effect from 15th October 2018. The Registered Office of the Company is No. 481, T.B. Jayah Mawatha, Colombo 10. The Business Office is situated at No. 34, Sir Mohamed Macan Markar Mawatha, Colombo 3.

VISION, MISSION AND CORPORATE CONDUCT

The Vision and Mission statements are given on 03 of this Annual Report.

The Company conducts its business activities at a high level and maintains ethical standards in achieving its vision and mission. The Board of Directors of the Company as well as its employees have pledged to abide by and comply with the respective Codes of Conduct and Ethics.

PRINCIPAL ACTIVITIES

Browns Group consists of a portfolio of diverse business operations in the commercial market today by continuously expanding in all business segments in line with the core strategy of creating wealth for all stakeholders.

The principal activities of Brown and Company PLC and the review of the Group's progress and performance during the year with comments on the financial results and prospects are given in the Management Discussion and Analysis section on pages 31 to 49 of this Report.

REVIEW OF BUSINESS AND FUTURE DEVELOPMENTS

The Browns Group will continue to align itself with strategic areas in the national economy, with Sri Lanka well positioned to grow in sectors such as leisure and tourism, construction, agri business, trading and manufacturing, among others. Large construction projects that are in the pipeline offer significant potential for related goods and services marketed by the organisation.

GROUP REVENUE

The Revenue of the Group was Rs.108 Bn as compared with Rs. 81 Bn in the previous year. A detailed analysis of the Group Revenue is given in Note No 4 of the Financial Statements.

GROSS PROFIT

The Group's Gross Profit for the year was Rs. 25 Bn compared with the Group's Gross Profit of Rs.19 Bn for the previous year.

GROUP INVESTMENTS

Investments of the Group and the Company in subsidiaries, associates, joint ventures, long term and short term investments amounted to Rs. 48 Bn (2024 - Rs. 57 Bn) and Rs. 125 Bn (2024 - Rs. 91 Bn) respectively. A detailed description of the subsidiaries, associates, joint ventures, long term and short term investments are fully described in Notes 17 to 19 and Note 26 respectively.

PROPERTY, PLANT AND EQUIPMENT

Information relating to the movement in Property, Plant and Equipment is given in Note 11 of this Financial Statements.

MARKET VALUE OF PROPERTIES

Revaluations are made with sufficient regularity for land and buildings owned by the Group and the Company by independent professional valuers. A detailed description is given in Notes 11 and 12 to the Financial Statements.

STATED CAPITAL

The Stated Capital of the Company as at the date of this Report is Rs.9,093,101,000 consisting of 212,625,000 ordinary shares. (2024 - Rs. 9,093,101,000 consisting of 212,625,000 ordinary shares).

RESERVES

The total Group Reserves as at 31st March 2025 amounts to Rs. 91 Bn as compared with Rs. 61 Bn in the previous year.

SEGMENT REPORTING

Segment wise contribution to the Group revenue, results, assets and liabilities is provided in Note 46 to the Financial Statements.

TAXATION

Income tax expense for the Group is Rs. 3 Bn compared to Rs. 2 Bn in the previous year. Income tax expense for the Company is (Rs. 1 Bn) compared to Rs.2 Bn in the previous year. Taxation has been provided at the appropriate rates indicated in Note No 9 of the Financial Statements.

SHARE HOLDINGS / SHARE INFORMATION

The market value of an ordinary share of the Company as at 31st March 2025 was Rs. 158/25 (31st March 2024 - Rs. 110/-) The number of shareholders as at 31st March 2025 was 4856.(31st March 2024 - 4,799). An analysis of shareholders based on shares held, the distribution of ownership and market values for the last five years are provided on pages 280 to 281.

The information in respect of earnings, dividends, net assets per share is given on page 278.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

SHAREHOLDERS

It is the Group's policy to treat its shareholders equitably and maximise shareholder wealth. Quarterly returns of financial results with any developments or changes are hosted on the CSE website.

EVENTS OCCURRING AFTER THE BALANCE SHEET DATE

Events Occurring after the Balance Sheet Date are disclosed in Note No 45 to the Financial Statements.

EMPLOYMENT POLICIES

The Group employment policies respect the individuals and offer equal career opportunities, regardless of sex, race or religion and consider the relationship with the employees to be good. The number of persons employed in Brown and Company PLC and its Direct Subsidiaries (Excluding Browns Investments PLC) as at 31st March 2025 was 1,078 (31st March 2024 was 971).

The Company promotes a culture of teamwork, integrity and dedication and remuneration is linked to performance by annual appraisals of both qualitative and quantitative performance of all employees.

CUSTOMERS

The Group firmly believes in investing time and effort in discovering exactly what the customer wants and then giving it to them at the best price and building relationship and loyalty by supplying the demand in the best manner possible every single time. In other words, we believe in selling customer excellence. In addition the Company also carries out customer awareness programs and customer service campaigns. The Company deals with both corporate and retail customers.

SUPPLIER POLICY

The Group places great emphasis on the importance of suppliers to the Group and building loyalty and ensure payments promptly. Further a clear communication terms of payment as part of commercial agreements is being maintained.

STATUTORY PAYMENTS

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company and its Group

Companies, all contributions, levies and taxes payable on behalf of, and in respect of the employees of the Company and its Group Companies and all other known statutory dues as were due and payable by the Company and Group Companies as at the Statement of Financial Position date have been paid or, where relevant provided for.

ENVIRONMENTAL PROTECTION

It is the Group policy to keep the adverse effect on the environment to a minimum and to promote co-operation and compliance with the relevant authorities and regulations.

CORPORATE GOVERNANCE & INTERNAL CONTROL

The Board of Directors has acknowledged the responsibility to ensure good governance in conducting the Business activities of the Company and confirms that the Company is compliant with section 9 of the Listing Rules of the Colombo Stock Exchange and has also adopted the relevant Corporate Governance practices recommended by the Securities and Exchange Commission of Sri Lanka and the Institute of Chartered Accountants of Sri Lanka.

Through participation in various workshops / forums and updates from the Company Secretaries and the Management, the Board of Directors keeps abreast of laws, rules, regulations and changes thereto,

particularly to Listing Rules and applicable capital market provisions.

The Board of Directors declare that they have conducted a review of the internal controls covering financial, operational and compliance controls and risk management through the Audit Committee.

The Enterprise Risk Management Division (ERM) periodically assesses procedures in relation to established guidelines for risk management and internal controls. The Audit Committee receive the ERM findings and any flaws or vulnerabilities found are communicated with the pertinent operational staff to ensure that the gravity of the position is understood by all and to expedite remedial action. Decisions are followed up on in later Board or Committee meetings. For the year under review, the Directors affirm that they have received a reasonable guarantee of their effectiveness and successful adherence.

GOING CONCERN

As in the Statement of Directors' Responsibility given on page 134 the Directors are satisfied that the Company, its subsidiaries and associates have adequate resources to continue in operational existence for the foreseeable future to justify in adopting the going concern basis in preparing the Financial Statements.

PROFIT AND APPROPRIATIONS

Group	2025 Rs. 000	2024 Rs. 000
Balance as at 1st April	33,838,400	36,572,209
Profit/ (Loss) for the year	32,427,654	2,381,520
Other Comprehensive income	(739,318)	(30,973)
Adjustments due to change in group holdings	11,325,066	(5,084,356)
Balance as at 31st March	76,851,802	33,838,400

Company	2025 Rs. 000	2024 Rs. 000
Balance as at 1st April	33,838,400	36,572,208
Profit/ (Loss) for the year	32,427,654	2,381,520
Other Comprehensive income	(739,318)	(30,973)
Other equity adjustment of Equity accounting of Investees	11,325,066	(5,084,356)
Balance as at 31st March	76,851,802	33,838,400

DIRECTORATE

The Directors of the Company during the year under review were as follows:

- » **Ishara Nanayakkara**
Executive Chairman
- » **Kapila Jayawardena**
Non-Executive Director
- » **Kalsha Amarasinghe**
Non-Executive Director
- » **Danesh Abeyrathne**
Executive Director
- » **Thamotharampillai Sanakan**
Executive Director /Chief Executive Officer
- » **Chitral Wijesinha**
Independent Non-Executive Director
(Appointed w.e.f. 01.01.2025)
- » **Kandiah Sundararaj**
Senior Independent Non-Executive Director
(Appointed w.e.f. 01.01.2025)
- » **Janaka de Silva**
Senior Independent Non-Executive Director
(Retired w.e.f 01.01.2025)
- » **Tissa Bandaranayake**
Independent Non-Executive Director
(Retired w.e.f 01.01.2025)

The Board of Directors hereby declare that the Directors and the CEO of the entity satisfy the Fit and Proper Assessment Criteria as stipulated in the Listing Rules of the Colombo Stock Exchange as per their respective declarations made during the year.

Mr. Ishara Nanayakkara, being an Executive Director the Board intends to retain him in the capacity of an Executive Director (being also a shareholder) taking into consideration his business acumen in navigating the group to become one of the most profitable institutions in Sri Lanka. Therefore, Mr K Sundararaj has been appointed as the Senior Independent Director (SID) with effect from 1st January 2025 in terms of rule 9.6 of the Listing Rules, replacing Mr Janaka de Silva who occupied the position of SID. The statement of SID is given on page 136.

APPRECIATION OF PAST DIRECTORS

Mr Janaka de Silva and Mr Tissa Bandaranayake have served the board for over 9 years and retired to comply with the listing rules. During his tenure spanning 14 years as the Senior Independent Director, Mr de Silva's experience and knowledge in finance and information technology made a significant contribution to the Board's and sub-committee's deliberations.

Mr Bandaranayake has served the Company since 2014 as an Independent Director and his contributions to the decisions of the Board and sub-committees based on his commercial and professional experience including finance and auditing were invaluable. Being a Fellow member of the Institute of Chartered Accountants of Sri Lanka, Mr Bandaranayake also chaired the Audit Committee and Related Party Transactions Review Committee during his tenure. The Board wishes M/s de Silva and Bandaranayake a happy retirement and places on record its profound gratitude and appreciation for the tremendous support they offered throughout their tenure at Browns.

The Board warmly welcomes Messrs Kandiah Sundararaj and Chitral Wijesinha who were appointed as Independent Directors during the year under review.

DIRECTORS' MEETINGS

The Directors conduct Board Meetings at least once a Quarter and as and when necessary. Board decisions are resolved by resolutions at meetings, by circulation and also through circular Board papers which are approved and signed by all the Directors and tabled at the Board Meetings. The Minutes of the Board Meetings, the Agenda for the next meeting and the Management Reports are circulated to all the Directors in advance of the meetings.

The schedules of Directors' attendance at Board Meetings and at the Board Committee Meetings are appended in the Corporate Governance Report on pages 98 to 121.

RE-ELECTION OF DIRECTORS

In accordance with Article No. 24(6) of the Articles of Association of the Company Mr Ishara Nanayakkara Chairman/Executive Director retires by rotation and being eligible, offers himself for re-election.

In accordance with Article No. 24(2) of the Articles of Association of the Company Mr Chitral Wijesinha, Independent Director retires by rotation and being eligible, offers himself for re-election

In accordance with Article No. 24(2) of the Articles of Association of the Company Mr K Sundararaj, Independent Director retires by rotation and being eligible, offers himself for re-election

BOARD COMMITTEES

The Board has established committees for better monitoring and guidance of different aspects of operations and control.

AUDIT COMMITTEE

- » **Kandiah Sundararaj**
Chairman /Senior Independent Non-Executive Director
- » **Chitral Wijesinha**
Member/ Independent Non-Executive Director
- » **Kalsha Amarasinghe**
Member/ Non-Executive Director

The report of the Audit Committee is given on pages 122 to 124.

TALENT DEVELOPMENT & REMUNERATION COMMITTEE

- » **K.Sundararaj**
Chairman/Senior Independent Non-Executive Director
- » **Kalsha Amarasinghe**
Member/ Non-Executive Director
- » **Chitral Wijesinha**
Member/ Independent Non Executive Directors

The report of the Committee is given on page 125.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

- » **Chitral Wijesinha**
Chairman/ Independent Non-Executive Director
- » **K.Sundararaj**
Member/ Senior Independent Non-Executive Director
- » **Kapila Jayawardena**
Member/ Non-Executive Director
- » **Kalsha Amarasinghe**
Member/ Non-Executive Director

The report of the Related Party Transactions Review Committee is given on pages 126 to 127.

BUSINESS OPERATIONS COMMITTEE

- » **Ishara Nanayakkara**
Executive Chairman
- » **Kalsha Amarasinghe**
Non-Executive Director
- » **Kapila Jayawardena**
Non-Executive Director

The report of the Business Operations Committee is given on page 128.

GROUP MANAGEMENT COMMITTEE

- » **Ishara Nanayakkara**
Executive Chairman

The Members of the Senior Management

NOMINATIONS AND GOVERNANCE COMMITTEE

- » **C. Wijesinha**
Independent Non-Executive Director (Committee Chairman)
- » **K. Sundararaj**
Independent Non-Executive Director
- » **Mrs K Amarasinghe**
Non-Executive Director

FIT AND PROPER ASSESSMENT OF DIRECTORS

In accordance with Rule 9.7.4 of the Colombo Stock Exchange's Listing Rules, declarations were obtained from the directors attesting to their continuous satisfaction of the Listing Rules' fit and proper assessment criteria as of the declaration date and throughout the financial year under review.

DIRECTORS' INTEREST IN CONTRACTS

The Directors in terms of Section 192 of the Companies Act No 7 of 2007, have declared their interests in contracts with the Company.

The Directors confirm that all material interests in contracts involving the Company have been disclosed to the Board and wherever any Director is materially interested in a contract or proposed contract with the Company, they would refrain from voting on such contracts. Other directorships held by the Directors are disclosed in Board profiles on pages 94 to 96 Directors of subsidiaries are given on pages 282 to 290.

INTEREST REGISTER

The Directors have made the declarations required by the Companies Act No. 7 of 2007. These have been entered into the Interest Register which is maintained by the Company.

The Company carried out transactions in the ordinary course of business with entities in which a Director of the Company is a Director. The transactions with entities where a Director of the Company either has control or exercises significant influence have been classified as related party transactions and disclosed in Note No 42 to the Financial Statements.

RELATED PARTY TRANSACTIONS

In terms of Section 9.14 of the Listing Rules of the CSE, there were no related party transactions that required shareholder approval or non-recurrent related party transactions that required immediate market disclosures during the year under review except those which were duly disclosed by way of market announcements via CSE website.

The Directors declare that the Company has complied with Section 9.14 of the Listing Rules of the CSE.

DIRECTORS' SHAREHOLDINGS

The Directors' interests in shares as at 31st March 2025 and 31st March 2024 were as follows :-

	As at 31st March 2025	As at 31st March 2024
Sampath Bank PLC/ Ishara Nanayakkara	299,700	299,700
Kapila Jayawardena	Nil	Nil
Kalsha Amarasinghe	Nil	Nil
Chitral Wijesinha	Nil	N/A
Kandiah Sundararaj	Nil	N/A
Danesh Abeyrathne	Nil	Nil
Thamotharampillai Sanakan	Nil	Nil

REMUNERATION OF DIRECTORS

The Directors' emoluments are disclosed in Note No 8 to the Financial Statements.

According to the Remuneration policy of the Company, compensation must be commensurate with performance and input in order to encourage and motivate employees. Both staff and director compensation has been determined with consideration for this policy.

The Talent Development & Remuneration Committee report is given on page 125.

LIST OF MAJOR SHAREHOLDERS

The list of 20 major shareholders and the percentage held by each as at 31st March 2025 is given on page 281 of the Financial Statements.

SUBSIDIARY AND ASSOCIATE COMPANIES AND ITS DIRECTORS

The Directors of subsidiary and associate companies as at date are given on pages 186 to 194 of this Annual Report.

AUDITORS' REPORT

The Auditors of the Company Messrs Deloitte Partners, Chartered Accountants have carried out the audit of the Consolidated Financial Statements for the financial year ended 31st March 2025 and their Report on the Financial Statements appear on pages 138 to 145 of this Annual Report.

ACCOUNTING POLICIES

The accounting policies adopted in the preparation of the Financial Statements are given on pages 155 to 176.

COMPANY SECRETARIES

L O L C Corporate Services (Private) Limited serves as the Company Secretaries of the Company.

ANNUAL REPORT

The Board of Directors approved the Consolidated Financial Statements on 28th August 2025. The appropriate number of copies of this report will be submitted to the Colombo Stock Exchange and to the Sri Lanka Accounting and Auditing Standards Monitoring Board in due course.

Furthermore, to the best of the knowledge of the Directors, the Company has not engaged in any activity that contravenes any applicable law or regulation, and has been in compliance with all prudential requirements, regulations and laws. Furthermore, the directors confirm that there were no fines which are material imposed on the Company by any governmental or regulatory authority in the country.

The Company is fully compliant with the Listing Rules of the Colombo Stock Exchange, subject to transitional provisions applicable to the revised rules relating to Corporate Governance.

ANNUAL GENERAL MEETING

The 133rd Annual General Meeting will be held on the Friday, 26th September 2025, at 11.00 a.m. as an online audio-visual meeting at LOLC Holdings PLC, No.100/1, Sri Jayawardenapura Mawatha, Rajagiriya. The Notice of the Annual General Meeting is given on page 292.

AUDITORS

In accordance with Section 154 (1) of the Companies Act No. 7 of 2007 a resolution proposing the re-appointment of Messrs. Deloitte Partners, Chartered Accountants as the Auditors of the Company for the ensuing financial year will be proposed at the Annual General Meeting.

In terms of Section 155 (a) of the Companies Act No. 7 of 2007 a resolution authorising the Directors to fix the remuneration of the Auditors Messrs.

Deloitte Partners, Chartered Accountants for the ensuing financial year will be proposed at the Annual General Meeting.

The fees paid to the Auditors are disclosed in Note 8 to the financial statements.

As far as the Directors are aware, the Auditors do not have any relationship (other than that of an Auditor) with the Company or any of its subsidiaries other than those disclosed above. The Auditors also do not have any interest in the Company or any of its Group Companies.

For and on behalf of the Board



Ishara Nanayakkara

Executive Chairman



Thamotharampillai Sanakan

Director/GCEO



Secretaries

L O L C CORPORATE SERVICES
(PRIVATE) LIMITED
Colombo

28th August 2025

THE STATEMENT OF DIRECTORS' RESPONSIBILITY

The responsibility of the Directors in relation to the Financial Statements for the year ended 31st March 2025 which have been prepared and presented in conformity with the requirements of the Sri Lanka Accounting Standards, the Listing Rules of the Colombo Stock Exchange and the Companies Act No.7 of 2007, is set out in the following statement.

The responsibility of the Auditors in relation to the Financial Statements is set out in the Report of the Auditors on page 138 of the Report. As per the provisions of the Companies Act No. 7 of 2007, the Directors are required to prepare Financial Statements, for each financial year and place before a General Meeting which comprise of:

- 1) An Income Statement, which presents a true and fair view of the profit and loss of the Company and its subsidiaries for the financial year;
- 2) A Statement of Financial Position, which presents a true and fair view of the state of affairs of the Company and its subsidiaries as at the end of the financial year;
- 3) A Statement of Changes in Equity which presents a true and fair view of the changes in the Company's and its Subsidiaries retained earnings for the financial year;
- 4) A Statement of Cash Flow which presents a true and fair view of the flow of cash in and out of the business for the financial year;

and which comply with the requirements of the Act.

The Directors are of the view that, in preparing these Financial Statements:

- » The appropriate accounting policies have been selected and applied in a consistent manner. Material deviations, if any have been disclosed and explained;
- » All applicable Accounting Standards, as relevant, have been followed;
- » Judgements and estimates have been made which are reasonable and prudent.

The Directors are also of the view that the Company has adequate resources to continue in operation and have applied the going concern basis in preparing these Financial Statements.

Further, the Directors have a responsibility to ensure that the Company maintains sufficient accounting records to disclose, with reasonable accuracy the financial position of the Company and of the Group, also to reflect the transparency of transactions and to ensure that the Financial Statements presented comply with the requirements of the Companies Act.

The Directors are also responsible for taking reasonable steps to safeguard the Assets of the Company and that of the Group and in this regard to give proper consideration to the establishment of appropriate internal control systems with a view to preventing and detecting fraud and other irregularities.

The Directors are required to prepare the Financial Statements and to provide the Auditors with every opportunity to take whatever steps and undertake whatever inspections they may consider to be appropriate to enable them to give their Audit Opinion.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company and its subsidiaries, all contributions levies and taxes payable on behalf of and in respect of the employees of the Company and its subsidiaries, and all other known statutory dues as were due and payable by the Company and its subsidiaries as at the Balance Sheet date have been paid or, where relevant provided for.

The Board of Directors confirms that the Company, based on the information available, satisfies the Solvency test as and when required according to the Section 56(2) of the Companies Act No 07 of 2007.

By order of the Board



Ishara Nanayakkara

Executive Chairman

28th August 2025

GROUP CHIEF EXECUTIVE OFFICER'S AND HEAD OF FINANCE'S RESPONSIBILITY STATEMENT

The Financial Statements of the Company are prepared in compliance with the following regulations;

- » Sri Lanka Accounting Standards (SLFRS/LKAS) issued by The Institute of Chartered Accountants of Sri Lanka
- » The Companies Act No. 07 of 2007
- » Sri Lanka Accounting & Auditing Standards Act No.15 of 1995
- » Code of Best Practice on Corporate Governance issued by CA Sri Lanka.

The Company has used the Accounting policies appropriately to prepare its Consolidated Financial Statements in a consistent manner except unless otherwise stated in the Notes accompanying the Financial Statements. No deviations from the prescribed Accounting Standards were reported in their adoption. The Audit committee of the Company has reviewed significant accounting policies and estimates that involved a high degree of judgement and complexity. The Comparative information has been provided whenever required to comply with the current presentation.

The Board and the Management hereby confirms that they are responsible for preparation and presentation of these financial statements which give a true and fair view of the financial performance and position of the Company. The relevant estimates and judgements were made on a prudent and reasonable basis. For this purpose, proper and adequate measures have been taken to adopt a system of internal controls and accounting records, which are reviewed and updated on a regular basis.

The Company continuously update its accounting controls to ensure prudence and completeness of the financial statements which ensures that the accounting records are free from error and omission. The existing internal controls are regularly reviewed and updated in order to ensure that it functions properly. All procedure manuals are updated whenever necessary and they are easily accessible to all the staff

The Financial Statements of the Company and its subsidiaries for the financial year end of 31st March 2025 were audited by Messrs. Deloitte, Chartered Accountants. Periodic internal audits have been conducted by the internal auditors of the Company to provide reasonable assurance that the Company has followed its established policies and procedures consistently. However, there are inherent limitations that should be recognised in weighing the assurances provided by any system of internal controls and accounting.

The internal and external auditors of the Company are invited to join the quarterly Audit Committee meetings as and when required to review the performance or to discuss on the audit procedures adopted. Major audit observations and issues regarding any internal controls are discussed with the management during the meetings. Both auditors have free and full access to the members of the Audit committee to discuss any matters of substance.



Thamotharampillai Sanakan

Director/GCEO



Priyantha Udagama

Head of Finance

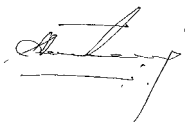
28th August 2025

STATEMENT OF THE SENIOR INDEPENDENT DIRECTOR

The Board of Directors of Brown & Company PLC is committed towards maintaining high standards of Corporate Governance and has been encouraging the Management to improve its governance practices and processes continuously. The Company ensures that it complies with the mandatory requirements whilst embracing voluntary requirements as and when required. In terms of the Section 9 of the Listing Rules, the Company has appointed the Senior Independent Director (SID), as the Chairman of the Board holds an Executive position, thereby to ensure that no individual has unfettered powers of a decision making within the Board.

The Executive Chairman is responsible to provide leadership to the Board whilst the SID is responsible to review the effectiveness of the Board's activities. Therefore, the presence of the SID will add value to the performance of the Board and support the Chairman performing his duties and responsibilities. With regard to governance related matters, as the SID, I am consulted by the Chairman and I make myself available to any Director to have confidential discussions on affairs of the Company, as and when required.

In order to create long-term value for our stakeholders, I firmly believe that responsible leadership, an engaged and capable Board, an extensive policy framework, efficient controls, and an organisational culture are essential.



K Sundararaj

Senior Independent Director

28th August 2025

A LEGACY OF STRENGTH

Brown & Company PLC demonstrates enduring stability and consistency through transparent and comprehensive financial reporting. Our strong fundamentals, prudent risk management, and disciplined approach enable us to deliver sustainable value, reinforcing stakeholder confidence in the strength of our financial foundation

FINANCIAL STATEMENTS

INDEPENDENT AUDITOR'S REPORT



Deloitte Partners
100 Braybrooke Place
Colombo 2
Sri Lanka

Tel: +94 11 771 9700,
+94 11 771 9838
Fax: +94 11 230 7237
www.deloitte.com

TO THE SHAREHOLDERS OF BROWN AND COMPANY PLC
REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Brown and Company PLC (the Company) and the consolidated financial statements of the Company and its subsidiaries (the Group), which comprise the statement of financial position as at 31 March 2025, the statement of profit or loss, the statement of comprehensive income, the statement of changes in equity, the statement of cash flows for the year then ended and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements of the Company and the consolidated financial statements of the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2025, and of their financial performance and their cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company and the Group in accordance with the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka ("CA Sri Lanka Code of Ethics") and we have fulfilled our other ethical responsibilities in accordance with the CA Sri Lanka Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the Key audit matter
Valuation of investment properties Refer to notes 3.10 and 13 of the consolidated financial statements for disclosures of related accounting policies, judgments, estimates and balances. As at 31 March 2025, the carrying value of the land and buildings, classified as investment properties of the Company and Group amounted to Rs. 20,186 Mn and Rs. 128,439 Mn respectively. The Company and the Group measures these investment properties at their fair values with the involvement of an independent valuer, annually.	Our audit procedures included the following key procedures: » Evaluating the design and implementation of the controls over management's assessment in determination of fair value of investment properties; » Through inquiries with management, and by inspecting the underlying supporting documents obtaining an understanding of the specific characteristics of selected individual properties including, amongst other things, any properties acquired during the year and changes, if any, in the use of the respective properties; » Meeting with management's independent valuer, who performed the investment property valuations, to assess the appropriateness of the methodologies adopted, and the reasonableness of assumptions and estimates used in the valuations;

C S Manoharan FCA, T U Jayasinghe FCA, M D B Boyagoda FCA, H A C H Gunaratne FCA, M P M T Gunasekara FCA, N R Gunasekera FCA, M S J Henry FCA, M M R Hilmy FCA, H P V Lakdeva FCA, K M D R P Manatunga ACA, M M M Manzeer FCA, L A C Tillekeratne ACA, D C A J Yapa ACA

Regd. Office: P.O. Box 918, 100 Braybrooke Place, Colombo 02, Sri Lanka. Reg. No.: w/4179



The Group and the Company:

Key audit matter	How our audit addressed the Key audit matter
Valuation of investment properties (Contd.) During the year ended 31 March 2025, the Company and the Group reported gains on changes in fair values of investment property of Rs. 17 Mn and Rs. 2,109 Mn respectively. The fair values of investment properties are dependent on the valuation methodology adopted by the independent valuer and the inputs into the valuation model. Factors such as prevailing market conditions, the nature, condition and location of each individual property and the expected future income from each property directly impact fair values. We focused on this matter because the: » Investment property balances in the Company's and Group's statements of financial position are significant; » Quantum of fair value gains reported in the Company's and the Group's financial statements; and » Inherently subjective nature of investment property valuations due to the use of estimates, assumptions and judgments in the valuation methodology.	Our audit procedures included the following key procedures: » Assessing the independence, qualifications, experience, and objectivity of the management's valuation expert; » Testing the completeness and accuracy of the information provided to the valuer by the management. » Comparing a sample of the recent transactions used by the management's valuation expert to ascertain the valuation of the Group's and the Company's properties with other publicly available sales listings for similar properties in proximity; » Inspecting the final valuation reports and agreeing the fair values, including the fair value gains recognised to the accounting records and to the financial statements; » Obtaining evidence over the ownership of the investment properties recorded at the statement of financial position date; » Reviewing the procedures performed by component auditors of those subsidiaries which own investment properties; and » Reviewing the adequacy and appropriateness of management's disclosures in the financial statements in relation to the investment properties.

Key audit matter	How our audit addressed the Key audit matter
Revaluation of freehold land and buildings Refer to notes 3.8 and 11 of the consolidated financial statements for disclosures of related accounting policies, judgments, estimates and balances. As at 31 March 2025, the carrying value freehold land and buildings classified as property, plant and equipment of the Group amounted to Rs. Rs. 31,122 Mn and Rs. 80,337 Mn respectively. The revaluation gain recognised by the Group from revaluation of freehold land and buildings for the year then ended amounted to Rs. 6,128 Mn and Rs. 6,391 Mn respectively. As at 31 March 2025, the carrying value freehold land and buildings classified as property, plant and equipment of the Company amounted to Rs. Rs. 3,028 Mn and Rs. 253 Mn respectively. The revaluation gain recognised by the Company from revaluation of freehold land and buildings for the year then ended amounted to Rs. 107 Mn and Rs. 35 Mn respectively.	Our audit approach mainly included substantive audit procedures as follows: » Obtaining the latest independent property market rates for freehold land and buildings to understand the prevailing market for comparable properties in similar conditions and locations; » Comparing historical valuations in relation to freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land against current year valuations, to assess whether the movements appear to be in line with overall movement in the market; » Obtaining the latest independent property market rates for freehold land and buildings to understand the prevailing market for comparable properties in similar conditions and locations; » Comparing historical valuations in relation to freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land against current year valuations, to assess whether the movements appear to be in line with overall movement in the market; » Meeting with management's external valuation experts, who performed the property valuations for the Group, to discuss the appropriateness of the methodologies adopted and reasonability of assumptions used in the valuations;

INDEPENDENT AUDITOR'S REPORT



TO THE SHAREHOLDERS OF BROWN AND COMPANY PLC (CONTD)

Report on the Audit of the Financial Statements (Contd)

Key audit matter	How our audit addressed the Key audit matter
Revaluation of freehold land and buildings (Contd.) The Group had chosen the revaluation model as its accounting policy for measurement after recognition of its freehold land and buildings which are accordingly measured at fair value with sufficient regularity, to ensure that the carrying amounts do not materially differ from that which would be determined using fair values at the reporting date. The Group engaged independent valuation experts to measure the value of these properties. Freehold land were valued at their fair value at reporting date using market approach and buildings were valued using the replacement cost at the reporting date. The fair values of these properties are dependent on the valuation methodology adopted and input into the valuation models. Factors such as current market conditions, the unique characteristics, location, and condition of each property, as well as recent comparable market transactions, directly impact the fair values.	Our audit approach mainly included substantive audit procedures as follows: » Assessing the qualifications and experience of the valuation experts of the Group; » Verifying the completeness and accuracy of the information provided to the valuation experts of the Group; » Comparing samples of recent transactions of freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land listed by the valuation experts with other similar sales transaction information available in the market and sales listings; » Comparing estimated price per perch of freehold land and cost per square foot of freehold buildings to a reasonable range determined based on benchmark market data. Where the prices/costs fell outside of the anticipated ranges, discussing with the management the reasons to support the variances; » Inspecting the final valuation reports and agreeing the fair values to the Group's accounting records and financial statements;
Key audit matter	How our audit addressed the Key audit matter
We focused on this matter because the: » Relative size and significance of the freehold land, buildings and reclaimed land in the consolidated statement of financial position; » Quantum of revaluation gains recognised by the Group, that directly impact the consolidated statements of profit or loss and other comprehensive income and; » Inherently subjective nature of property valuations due to use of estimates and judgment in the valuation methodology.	Our audit procedures performed included the following: » Reviewing of the procedures performed by component auditors of those subsidiaries which own freehold land and buildings; and » Checking the adequacy and appropriateness of management's disclosures in the financial statements. » Meeting with management's external valuation experts, who performed the property valuations for the Group, to discuss the appropriateness of the methodologies adopted and reasonability of assumptions used in the valuations; » Assessing the qualifications and experience of the valuation experts of the Group; » Verifying the completeness and accuracy of the information provided to the valuation experts of the Group; » Comparing samples of recent transactions of freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land listed by the valuation experts with other similar sales transaction information available in the market and sales listings; » Comparing estimated price per perch of freehold land and cost per square foot of freehold buildings to a reasonable range determined based on benchmark market data. Where the prices/costs fell outside of the anticipated ranges, discussing with the management the reasons to support the variances; » Inspecting the final valuation reports and agreeing the fair values to the Group's accounting records and financial statements; » Reviewing of the procedures performed by component auditors of those subsidiaries which own freehold land and buildings; and » Checking the adequacy and appropriateness of management's disclosures in the financial statements.

Key audit matter	How our audit addressed the Key audit matter
Valuation of consumable biological assets Refer to notes 3.14.2 and 16 of the consolidated financial statements for disclosures of related accounting policies, judgments, estimates and movements in the balance. The Group's consumable biological assets recognised in the consolidated financial statements amounted to Rs. 16,129 Mn as at 31 March 2025 and the gains on change in fair values of such biological assets amounted to Rs. 910 Mn for the year then ended. Consumable biological assets that are to be harvested as agricultural produce or sold as biological assets are stated at fair value less estimated point-of-sale cost at harvest. Management engaged internal and independent external valuation experts to assist them in determining the fair value of the consumable biological assets. We considered the valuation of consumable biological assets as a key audit matter because of the following: » it requires significant levels of judgment and technical expertise in selecting appropriate valuation models and assumptions; and » Changes in key assumptions such as discount rate, value of timber per cubic meter and available timber quantity, used for the estimation may have a material impact on the carrying value of biological assets recognised in the consolidated statement of financial position and the quantum of gain recognised in the consolidated statement of profit or loss.	Our audit procedures performed included the following: » Evaluating the design and implementation of the controls over determination of biological assets directly owned by the subsidiary companies; » Assessing the qualifications, independence, and objectivity of the internal and external valuation experts engaged by the Group; » Meeting with management and the management's valuation expert to understand the valuation models and assumptions used in the valuation; » Assessing the accuracy of the input data, used by the valuers and challenged the key assumptions used by the valuation experts. » Checking the completeness and accuracy of the information provided by management to the internal and external valuation expert; » Comparing historical valuations against current year valuations and checking whether the changes in pricing were in line with the overall movement in the market and the actual sales during the year; » Checking the reasonableness of the quantity and growth considered for the valuation, by selecting a sample, and comparing it to the historical timber content and growth; » Obtaining the valuation calculation and testing the mathematical accuracy; » Testing the physical existence of the biological assets that were subject to valuation by performing physical observations on a sample basis; » Agreeing the valuations to the value recorded in the consolidated statement of financial position and checking the resulting gain recognised in the consolidated statement of profit or loss; » Reviewing of the procedures performed by component auditors of those subsidiaries which own biological assets; and » Assessing the adequacy of disclosures made in the consolidated financial statements in relation to the valuation of consumable biological assets.

INDEPENDENT AUDITOR'S REPORT



TO THE SHAREHOLDERS OF BROWN AND COMPANY PLC (CONTD)

Report on the Audit of the Financial Statements (Contd)

Key audit matter	How our audit addressed the Key audit matter
Business Combination - Recognition of gain on bargain purchase on acquisition of subsidiaries See notes 3.2.6 and 17.6 of the consolidated financial statements for disclosures of related accounting policies, judgments, estimates and balances. During the year, B Commodities ME FZE, a fully owned subsidiary of Browns Investments PLC, a subsidiary of the Company, acquired controlling interests in several companies: Lipton Teas and Infusions Kenya PLC, Limuru Tea PLC, Lipton Teas and Infusions Rwanda Ltd, James Finlay Guizhou Company Ltd, Lipton Teas and Infusions Tanzania Ltd and Sierra Cables PLC. These acquisitions resulted in the Group recognising gains on bargain purchases amounting to Rs. 64,897 Mn. The gains on bargain purchases arose as the provisional fair value of the identifiable net assets acquired exceeded the consideration paid. We considered recognition of gain on bargain purchase as a key audit matter because of the following: » The amount recognised in profit or loss is significant, thereby having a considerable impact on the financial results; » It involves significant judgment particularly in the provisional fair value assessment of identifiable assets and liabilities; and » The fair value assessment of net assets acquired has a substantial influence, leading to the gain on bargain purchase.	Our audit procedures performed included the following: » Assessing of the controls over the acquisition and measurement of the subsidiary entities acquired, at initial recognition, to determine if they had been appropriately designed and implemented; » Reviewing the Sales and Purchase Agreements ("Agreements") and management's rationale for the transactions; » Verifying that identifiable assets and liabilities, including contingent liabilities, have been correctly identified for the Purchase Price Allocation with reference to subsidiary company's financial statements and other non-financial information available; » Evaluating whether the effective date of the acquisition was in compliance with the requirements of SLFRSs by inspecting the terms and conditions of the Agreements; » Testing the management's calculation of gain on bargain purchase amount by performing the following procedures: - Agreeing the purchase consideration paid on the acquisition to the Agreement and payment details; - Verifying the calculation of gain on bargain purchase as the excess of the fair value of identifiable net assets acquired over the purchase consideration, ensuring the arithmetic accuracy of the calculation; - Gaining an understanding of the work performed by the management's valuation expert by examining the valuation reports; - Assessing the reasonableness of the key assumptions used in the valuation by the management's valuation expert in deriving the fair values with reference to market comparable; and - Assessing the independence, qualifications, and objectivity of external valuation expert engaged by the management. » Assessing the disclosures in the consolidated financial statements, relating to business combinations per the requirements of SLFRSs.

Key audit matter	How our audit addressed the Key audit matter
Revaluation of reclaimed land and right-of-use assets relating to leasehold land Refer to notes 3.8, 3.11, 11 and 12 of the consolidated financial statements for disclosures of related accounting policies, judgments, estimates and balances. As at 31 March 2025, the carrying value reclaimed land classified as property, plant and equipment of the Group amounted to Rs. 24,048 Mn. The right-of-use assets relating to leasehold land as at 31 March 2025 amounted to Rs. 158,529 Mn. The revaluation gain recognised by the Group from revaluation of reclaimed land and right-of-use the asset relating to leasehold land for the year then ended amounted to Rs. 3,096 Mn and 6,923 Mn. The Group had chosen the revaluation model as its accounting policy for measurement after recognition of its reclaimed land and right-of-use assets relating to leasehold land which are accordingly measured at fair value with sufficient regularity, to ensure that the carrying amounts do not materially differ from that which would be determined using fair values at the reporting date. The Group engaged independent valuation experts to measure the value of these properties. Reclaimed land and right-of-use assets relating to leasehold land were valued at their fair value at reporting date using market approach at the reporting date. The fair values of these properties are dependent on the valuation methodology adopted and input into the valuation models. Factors such as current market conditions, the unique characteristics, location, and condition of each property, as well as recent comparable market transactions, directly impact the fair values. We focused on this matter because the: » Relative size and significance of the reclaimed land and right-of-use assets relating to leasehold land in the consolidated statement of financial position; » Quantum of revaluation gains recognised by the Group, that directly impact the consolidated statements of profit or loss and other comprehensive income and; » Inherently subjective nature of property valuations due to use of estimates and judgment in the valuation methodology.	Our audit approach mainly included substantive audit procedures as follows: » Obtaining the latest independent property market rates for reclaimed land and right-of-use assets relating to leasehold land to understand the prevailing market for comparable properties in similar conditions and locations; » Comparing historical valuations in relation to reclaimed land and right-of-use assets relating to leasehold land against current year valuations, to assess whether the movements appear to be in line with overall movement in the market; » Meeting with management's external valuation experts, who performed the property valuations for the Group, to discuss the appropriateness of the methodologies adopted and reasonability of assumptions used in the valuations; » Assessing the qualifications and experience of the valuation experts of the Group; » Verifying the completeness and accuracy of the information provided to the valuation experts of the Group; » Comparing samples of recent transactions of reclaimed land and right-of-use assets relating to leasehold land listed by the valuation experts with other similar sales transaction information available in the market and sales listings; » Comparing estimated price per perch of reclaimed land and right-of-use assets relating to leasehold land and cost per square foot of freehold buildings to a reasonable range determined based on benchmark market data. Where the prices/costs fell outside of the anticipated ranges, discussing with the management the reasons to support the variances; » Inspecting the final valuation reports and agreeing the fair values to the Group's accounting records and financial statements; » Reviewing of the procedures performed by component auditors of those subsidiaries which own reclaimed land and right-of-use assets relating to leasehold land; and » Checking the adequacy and appropriateness of management's disclosures in the financial statements.

INDEPENDENT AUDITOR'S REPORT



TO THE SHAREHOLDERS OF BROWN AND COMPANY PLC (CONTD)

Report on the Audit of the Financial Statements (Contd)

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company and the consolidated financial statements of the Group, management is responsible for assessing the Company's/ Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company/ Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company and the consolidated financial statements of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement

when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also::

- » Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- » Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's and the Group's internal control.
- » Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- » Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's and the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements of the Company and the consolidated financial statements of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company/ Group to cease to continue as a going concern.
- » Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements of the Company and the consolidated financial statements of the Group represent the underlying transactions and events in a manner that achieves fair presentation.
- » Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion..



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the Company and the consolidated financial statements of the Group of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act, No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4414.

Deloitte Partners.

CHARTERED ACCOUNTANTS
COLOMBO

28th August 2025

STATEMENT OF PROFIT OR LOSS

For the year ended 31st March	Notes	Group		Company	
		2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000 Restated
Revenue from Contracts with Customers	4	107,820,825	80,609,286	23,165,921	23,029,731
Cost of Sales		(83,086,792)	(62,047,498)	(17,204,203)	(18,493,477)
Gross Profit		24,734,033	18,561,788	5,961,718	4,536,254
Other Income/(Expenses)	5	5,695,979	4,335,116	1,130,417	705,921
Distribution Expenses		(4,244,464)	(3,197,344)	(769,555)	(947,529)
Administrative Expenses		(25,758,855)	(16,162,930)	(2,477,385)	(1,978,876)
Finance Income	6	2,375,344	5,357,459	1,021,762	638,872
Finance Costs	7	(46,106,205)	(54,818,210)	(8,099,054)	(10,315,717)
Net Finance Cost		(43,730,861)	(49,460,751)	(7,077,292)	(9,676,845)
Change in Fair Value of Investment Properties	13	2,109,701	13,492,767	16,957	1,041,414
Change in Fair Value of Consumable Biological Assets	16	910,096	1,087,485	-	-
Gain / (Loss) on disposal of subsidiaries	17.4	46,784	(27,242)	-	-
Gain on Bargain Purchase of Subsidiaries	17.5	64,896,817	20,331,398	-	-
Share of Profit of Equity Accounted Investees (Net of Tax)	17 & 18	1,235,781	4,530,639	40,408,678	6,628,163
Profit/ (Loss) before Taxation from Continuing Operations	8	25,895,011	(6,509,074)	37,193,538	308,500
Income Tax Expense	9	3,198,035	(2,021,601)	1,290,406	2,073,021
Profit/ (Loss) for the Year Continuing Operations		29,093,047	(8,530,675)	38,483,944	2,381,520
Profit/(loss) after tax for the period from discontinued operations	27	(9,382,323)	-	(6,056,290)	-
Profit/ (Loss) Attributable to: (Continuing Operations)					
Equity holders of the Company		38,483,944	2,381,520	38,483,944	-
Non-Controlling Interests		(9,390,897)	(10,912,195)	-	-
		29,093,047	(8,530,675)	38,483,944	-
Profit/ (Loss) Attributable to: (Discontinued Operations)					
Equity holders of the Company		(6,056,290)	-	(6,056,290)	-
Non-Controlling Interests		(3,326,033)	-	-	-
		(9,382,323)	-	(6,056,290)	-
Profit/ (Loss) Attributable to:					
Equity holders of the Company		32,427,654	2,381,520	32,427,654	2,381,520
Non-Controlling Interests		(12,716,930)	(10,912,195)	-	-
Profit/ (Loss) for the Year		19,710,724	(8,530,675)	32,427,654	2,381,520
Basic Earnings per Share (Rs.)	10.1	152.51	11.20	152.51	11.20
Diluted Earnings per Share (Rs.)	10.2	152.51	11.20	152.51	11.20

The Notes as set out in Pages 154 to 276 form an integral part of these Financial Statements.

The figures in brackets indicate deductions.

STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000 Restated
Profit/(Loss) for the Year	19,710,724	(8,530,675)	32,427,654	2,381,520
Other Comprehensive Income				
Items that will not be Reclassified to Profit or Loss				
Revaluation of Property, Plant and Equipment	16,401,412	787,213	212,493	-
Revaluation of Right-of-Use Assets	6,922,670	-	-	-
Deferred Tax impact on Revaluation	(4,967,951)	(61,980)	(63,748)	-
Actuarial Gain/ (Loss) on Retirement Benefit Obligation	(683,884)	(193,408)	(216)	(510)
Deferred Tax impact on Actuarial Gain/ (Loss) on Retirement Benefit Obligation	209,333	48,732	65	153
Share of Other Comprehensive Income of Equity Accounted Investees (Net of Tax)	1,254,116	607,020	4,543,833	2,033,213
Change in Fair Value of FVOCI Financial Assets	(21,957)	(74,323)	-	-
Deferred Tax impact on Change in Fair Value of FVOCI Financial Assets	5,465	(20)	-	-
Transfer on disposal	3,388	54,738	-	-
Items that may be Reclassified to Profit or Loss				
Exchange Differences on Translation of Foreign Operations	(3,009,030)	4,423	-	-
Other Comprehensive Income for the Year	16,113,562	1,172,395	4,692,427	2,032,856
Total Comprehensive Income for the Year (Net of Tax)	35,824,286	(7,358,280)	37,120,081	4,414,376
Attributable to:				
Equity Holders of the Company	37,120,081	4,414,376	37,120,081	4,414,376
Non-Controlling Interests	(1,295,795)	(11,772,656)	-	-
Total Comprehensive Income for the Year	35,824,286	(7,358,280)	37,120,081	4,414,376

The Notes as set out in Pages 154 to 276 form an integral part of these Financial Statements.

The figures in brackets indicate deductions.

STATEMENT OF FINANCIAL POSITION

As at 31st March	Notes	Group		Company		
		2025	2024	2025	2024	2023
		Rs.000	Rs.000	Rs.000	Rs.000 Restated	Rs.000 Restated
ASSETS						
Non-Current Assets						
Property, Plant and Equipment	11	260,688,541	195,621,016	3,646,249	3,400,941	3,567,497
Right-of-Use Assets	12	159,145,085	65,605,337	203,401	248,343	296,110
Investment Properties	13	128,438,647	126,202,988	20,186,450	20,152,400	19,073,660
Intangible Assets	14	2,208,107	2,127,311	353	8,393	20,286
Bearer Biological Assets	15	22,174,816	12,298,225	-	-	-
Consumable Biological Assets	16	16,128,615	10,599,662	-	-	-
Investments in Subsidiaries	17	-	-	99,759,592	83,672,870	87,233,124
Investments in Equity Accounted Investees	18	12,147,284	52,373,260	4,616,616	4,870,921	3,190,554
Other Financial Assets	19	542,276	284,072	55,000	55,000	55,000
Deferred Tax Assets	20	3,881,299	1,584,837	838,742	-	-
Total Non-Current Assets		605,354,670	466,696,708	129,306,403	112,408,868	113,436,230
Current Assets						
inventories	21	32,748,961	23,003,838	3,589,184	3,888,691	5,209,909
Trade and Other Receivables	22	62,502,496	59,971,290	7,248,544	4,222,583	5,460,852
Loans to Related Parties	23	2,836,542	502,804	3,438,219	2,914,126	2,415,846
Amounts due from Related Parties	24	522,016	949,108	2,775,720	2,022,292	618,410
Income Tax Recoverable	25	467,927	204,564	5,036	5,036	3,716
Other Financial Assets	26	8,110,209	4,754,056	3,070,624	1,958,553	1,391,633
Assets held for sale	27	27,450,749	-	17,719,459	-	-
Cash and Cash Equivalents	28	12,789,729	7,288,902	4,045,348	579,383	281,762
Total Current Assets		147,428,630	96,674,562	41,892,135	15,590,665	15,382,128
Total Assets		752,783,300	563,371,270	171,198,538	127,999,533	128,818,359
EQUITY AND LIABILITIES						
Equity						
Stated Capital	29	9,093,101	9,093,101	9,093,101	9,093,101	9,093,101
Capital Reserves	30	14,152,251	27,259,918	14,152,251	27,259,918	33,438,204
Revenue Reserve	31	76,851,802	33,838,400	76,851,802	33,838,400	36,572,208
Equity Attributable to Equity holders of the Company		100,097,154	70,191,419	100,097,154	70,191,419	79,103,514
Non-Controlling Interests		174,823,613	118,552,252	-	-	-
Total Equity		274,920,767	188,743,671	100,097,154	70,191,419	79,103,514

As at 31st March	Notes	Group		Company		
		2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000 Restated	2023 Rs.000 Restated
Non-Current Liabilities						
Loans and Borrowings	32	33,987,551	30,308,082	4,298,238	3,536,484	3,868,333
Lease Liabilities	33	15,522,278	14,601,936	237,447	292,547	291,849
Retirement Benefit Obligations	34	5,663,218	3,723,210	163,807	146,888	124,885
Deferred Tax Liabilities	35	52,649,203	28,466,727	-	387,980	2,461,154
Deferred Income	36	656,764	407,959	315,460	55,738	42,919
Loans from Related Parties	38	685,541	7,660,156	-	-	-
Total Non-Current Liabilities		109,164,555	85,168,070	5,014,952	4,419,637	6,789,141
Current Liabilities						
Trade and Other Payables	37	92,878,038	100,995,176	5,025,314	3,002,441	5,384,572
Loans and Borrowings	32	7,088,671	6,352,966	5,438,347	3,083,178	4,053,037
Lease Liabilities	33	167,455	275,440	67,705	57,477	95,589
Loans from Related Parties	38	37,120,418	23,422,663	33,552,991	20,280,894	16,819,118
Amounts due to Related Parties	39	173,495,983	126,730,570	4,536,794	11,337,492	731,547
Income Tax Payable	40	752,997	723,239	-	-	-
Dividend Payable		55,530	54,951	5,794	5,794	5,839
Short Term Borrowings		50,521,871	29,927,670	15,596,839	15,120,999	14,952,162
Bank Overdrafts	28	6,617,015	976,854	1,862,648	500,202	883,842
Total Current Liabilities		368,697,978	289,459,529	66,086,432	53,388,477	42,925,705
Total Equity and Liabilities		752,783,300	563,371,270	171,198,538	127,999,533	128,818,359

The Notes as set out in Pages 154 to 276 form an integral part of these Financial Statements.

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act No.7 of 2007.



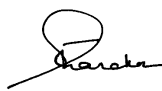
Priyantha Udagama
Head of Finance

The Board of Directors is responsible for the Preparation and Presentation of these Financial Statements.

Signed for and on behalf of the Board,



Ishara Nanayakkara
Executive Chairman



Thamotharampillai Sanakan
Director/GCEO

Colombo
28th August 2025

STATEMENT OF CHANGES IN EQUITY - GROUP

	Equity Attributable to Equity holders of the Company						Non-Controlling Interests	Total Equity
	Stated Capital	Revaluation Reserve	Fair Value through Other comprehensive income Reserve	Foreign Currency Translation Reserve	Retained Earnings	Total		
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Balance as at 1st April 2023	9,093,101	17,827,053	(348,618)	15,959,769	36,572,209	79,103,514	93,538,908	172,642,422
Profit for the year	-	-	-	-	2,381,520	2,381,520	(10,912,195)	(8,530,675)
Other Comprehensive Income	-	443,224	619,044	1,001,560	(30,973)	2,032,856	(860,461)	1,172,395
Total Comprehensive Income for the year	-	443,224	619,044	1,001,560	2,350,547	4,414,376	(11,772,656)	(7,358,280)
Transactions with owners directly recorded in the Equity								
Adjustments due to change in group holdings and other adjustments	-	-	-	-	2,762,675	2,762,675	(3,061,171)	(298,495)
On acquisition of subsidiaries	-	(19,592,067)	-	6,408,515	(7,865,317)	(21,048,869)	39,686,377	18,637,508
Share issue by subsidiaries to non-controlling interest	-	-	4,953,637	-	-	4,953,637	365,076	5,318,712
On disposal of subsidiary	-	(430,091)	-	-	57,132	(372,959)	(204,281)	(577,241)
Other Adjustments	-	417,891	-	-	(38,847)	379,045	-	379,045
Balance as at 31st March 2024	9,093,101	(1,333,989)	5,224,063	23,369,844	33,838,400	70,191,418	118,552,252	188,743,671
Profit for the year	-	-	-	-	32,427,654	32,427,654	(12,716,930)	19,710,724
Other Comprehensive Income	-	10,611,359	(3,229,652)	(1,949,962)	(739,318)	4,692,427	11,421,135	16,113,562
Total Comprehensive Income for the year	-	10,611,359	(3,229,652)	(1,949,962)	31,688,336	37,120,082	(1,295,795)	35,824,286
Other Comprehensive Income reclassified to Profit or loss	-	(5,580,222)	(12,153,204)	-	13,670,070	(4,063,356)	-	(4,063,356)
Transactions with owners directly recorded in the Equity								
Adjustments due to change in group holdings and other adjustments	-	-	-	-	(2,347,253)	(2,347,253)	-	(2,347,253)
Amalgamation/merger	-	-	-	-	23,566	23,566	(23,573)	(7)
On acquisition of subsidiaries (Note 17.5)	-	-	-	-	-	-	46,839,564	46,839,564
Other Adjustments	-	-	(805,986)	-	(21,317)	(827,303)	898,511	71,208
Share issue by subsidiaries to non-controlling interest	-	-	-	-	-	-	2,483,441	2,483,441
Pending share allotment to non-controlling interest	-	-	-	-	-	-	7,369,213	7,369,213
Balance as at 31st March 2025	9,093,101	3,697,148	(10,964,779)	21,419,882	76,851,802	100,097,154	174,823,613	274,920,767

The Notes as set out in Pages 154 to 276 form an integral part of these Financial Statements.

The figures in brackets indicate deductions.

STATEMENT OF CHANGES IN EQUITY - COMPANY

	Stated Capital	Revaluation Reserve	Fair Value through Other comprehensive income	Foreign Currency Translation Reserve	Retained Earnings	Total Equity
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Balance as at 1st April 2023	9,093,101	3,613,885	-	-	18,302,322	31,009,308
Impact due to change in accounting policy from Cost model to Equity accounting of Investment in subsidiaries and associates	-	14,213,168	(348,618)	15,959,769	18,269,886	48,094,205
Restated opening balance as at 1st April 2023	9,093,101	17,827,053	(348,618)	15,959,769	36,572,208	79,103,513
Profit for the period	-	-	-	-	2,381,520	2,381,520
Other Comprehensive Income						
Other Comprehensive Income for the year	-	443,224	619,044	1,001,560	(30,973)	2,032,856
Total Comprehensive Income for the year	-	443,224	619,044	1,001,560	2,350,547	4,414,376
Other equity adjustment of Equity accounting of Investees	-	(19,604,267)	4,953,637	6,408,515	(5,084,356)	(13,326,472)
Restated balance as at 31st March 2024	9,093,101	(1,333,989)	5,224,063	23,369,844	33,838,400	70,191,418
Profit for the year	-	-	-	-	32,427,654	32,427,654
Other Comprehensive Income						
Other Comprehensive Income for the year	-	10,611,359	(3,229,652)	(1,949,962)	(739,318)	4,692,428
Total Comprehensive Income for the year	-	10,611,359	(3,229,652)	(1,949,962)	31,688,336	37,120,082
Other equity adjustment of Equity accounting of Investees	-	(5,580,222)	(12,959,190)	-	11,325,066	(7,214,346)
Balance as at 31st March 2025	9,093,101	3,697,148	(10,964,779)	21,419,882	76,851,802	100,097,154

The Notes as set out in Pages 154 to 276 form an integral part of these Financial Statements.
The figures in brackets indicate deductions.

STATEMENTS OF CASH FLOWS

For the year ended 31st March	Notes	Group		Company	
		2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000 Restated
Cash flows from Operating Activities					
Profit/(loss) before taxation from continuing operations		25,895,011	(6,509,074)	37,193,538	308,500
Profit/(loss) before taxation from discontinued operations		(9,382,323)	-	(6,056,290)	-
Adjustments for:					
Share of Profit of Equity Accounted Investees (Net of Tax)	18	(1,235,781)	(4,530,639)	(40,408,678)	(6,628,163)
Share of Profit of Equity Accounted Investees (Net of Tax) discontinued operations	27	9,382,323	-	6,056,290	-
Depreciation on Property Plant and Equipment	11	6,381,029	3,911,804	120,034	134,336
Amortisation of ROU Assets	12	1,488,977	1,066,870	58,442	60,001
Amortisation of Bearer Biological Assets	15	1,550,568	706,815	-	-
Amortisation of Intangible Assets	14	209,994	93,805	8,040	12,047
Deferred Income	36	241,924	(8,356)	259,723	12,819
Provision for Retirement Benefit Obligations	34	1,008,963	391,613	34,655	30,161
Provision/ (Reversal of Provision) for Bad and Doubtful Debts	8	1,066,885	872,239	20,154	543,636
Reversal of Provision for Related Party Receivables	5	-	-	494,531	-
Provision/(Reversal of Provision) for Impairment Losses for Inventories	8	185,662	(310,964)	(69,045)	(270,302)
Gain on Bargain Purchase of Subsidiaries	17	(64,896,817)	(20,331,398)	-	-
Gain on disposal of subsidiary	17	46,784	27,242	-	-
Dividend Income	5	(162,859)	(223,897)	(148,231)	(36,441)
Interest Income	6	(2,375,344)	(5,357,459)	(1,021,762)	(638,872)
Change in Fair Value of Investment Properties	13	(2,109,303)	(13,492,767)	(16,957)	(1,041,414)
Change in Fair Value of Consumable Biological Assets	16	(910,096)	(1,087,485)	-	-
Gain on Disposal of Investments		(25,159)	(25,689)	-	-
(Gain)/ Loss on Changes in Fair Value of Short term Investments	5	(1,068,733)	(1,986,434)	(1,140,666)	(566,919)
Gain on Disposal of Property, Plant and Equipment	5	(73,173)	(982,617)	38	1,145
Interest Expense	7	46,106,205	54,818,209	8,099,054	10,315,717
Operating Profit before Working Capital Changes		11,324,735	7,041,821	3,482,869	2,236,252
Changes in					
Inventories		1,600,266	1,673,623	370,980	1,812,277
Trade and Other Receivables		6,674,555	(9,226,615)	(3,046,115)	694,632
Amounts due from Related Companies		2,875,893	(36,185)	(1,247,958)	(2,198,822)
Trade and Other Payables		(21,394,023)	38,884,559	1,673,224	(2,259,051)
Amounts due to Related Companies		38,827,314	27,890,468	(6,800,698)	17,826,105
Cash Generated from Operations		39,908,739	66,227,670	(5,567,698)	18,111,394
Interest Paid		(44,755,633)	(52,971,019)	(7,504,816)	(10,432,164)
Income Tax / ESC Paid	25,40	(791,487)	(563,051)	-	(1,321)
Retiring Gratuity Paid	34	(489,172)	(607,900)	(17,951)	(8,668)
Net Cash Generated from/(Used in) Operating Activities		(6,127,553)	12,085,701	(13,090,465)	7,669,242

For the year ended 31st March	Notes	Group		Company	
		2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000 Restated
Cash flows from Investing Activities					
Acquisition of Property, Plant and Equipment	11	(17,197,653)	(11,031,004)	(179,793)	(194,317)
Investment in Bearer Biological Assets	15	(1,166,954)	(1,447,235)	-	-
Proceeds from Disposal of Bearer Biological Assets	15	188,307	12,846	-	-
Acquisition of Investment Properties	13	(63,147)	(52,747)	(7,093)	(37,326)
Proceeds from Disposal of Subsidiaries	17.4	49,900	304,238	50,000	-
Proceeds from Disposal of Investment Properties		-	143,965	-	-
Acquisition of Intangible Assets	14	(92,214)	(15,578)	-	(154)
Disposals of Intangible Assets		1,370	-	-	-
Investment in Subsidiaries	17.5	(6,222,970)	(5,525,974)	(1,920,000)	(4,322,245)
Acquisition of Non-controlling Interests		-	(298,495)	-	-
Capital reduction by subsidiaries		-	-	-	1,537,036
Proceeds from disposal of Equity Accounted Investees	18	-	-	28,274	4,636
Net Investment in Financial Assets		(3,356,153)	2,030,123	320	-
Net Investment in Equity Accounted Investees		(33,261)	-	-	-
Deferred income Received	36	6,882	6,637	-	-
Net Additions/(Proceeds) from consumable biological assets		230,632	269,969	-	-
Net Movement in Loans Given to Related Parties		(2,333,738)	1,573,607	-	-
Proceeds from Loans Given to Related Parties		-	-	2,932,534	4,230,181
Loans Granted to Related Parties		-	-	(3,456,629)	(3,933,523)
Proceeds from Disposal of Property, Plant and Equipment		481,589	1,060,662	14,478	-
Dividend Income Received		1,643,305	223,898	148,231	36,441
Interest Income Received	6	2,375,344	5,357,459	1,021,762	638,872
Net Cash Used in Investing Activities		(25,488,762)	(7,387,629)	(1,367,914)	(2,040,399)
Cash flows from Financing Activities					
Proceeds from Interest Bearing Liabilities	32	23,437,302	13,578,753	3,775,630	1,950,308
Repayment of Interest Bearing Liabilities	32	(21,095,151)	(14,602,817)	(658,706)	(3,252,016)
Proceeds from Interest bearing Short term Borrowings		20,594,202	857,811	3,449,618	2,766,595
Repayment of Interest bearing Short term Borrowings		-	-	(3,174,882)	(2,568,140)
Lease Rentals Paid	33	(665,951)	(4,720,229)	(101,859)	(85,944)
Loans Obtained from Related Parties		-	-	24,440,384	41,677,382
Repayment of Loans from Related Parties		-	-	(11,168,287)	(45,435,766)
Net movement in Loans from Related Parties		6,723,140	2,915,191	-	-
Shares Issued by Subsidiaries to Non-Controlling interest		2,483,441	365,076	-	-
Net Cash Generated/(Used in) from Financing Activities		31,476,982	(1,606,215)	16,561,898	(4,947,582)
Net (decrease)/increase in Cash and Cash Equivalents during the year		(139,334)	3,091,857	2,103,519	681,261
Cash and Cash Equivalents at the beginning of the year		6,312,048	3,220,191	79,181	(602,080)
Cash and Cash Equivalents at the end of the year		6,172,714	6,312,048	2,182,700	79,181
Analysis of Cash and Cash Equivalents at the end of the year					
Cash at Bank and in Hand		12,789,729	7,288,902	4,045,348	579,383
Bank Overdrafts		(6,617,015)	(976,854)	(1,862,648)	(500,202)
	28	6,172,714	6,312,048	2,182,700	79,181

The Notes as set out in Pages 154 to 276 form an integral part of these Financial Statements.

The figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENTS

Note No	Note Name	Note No	Note Name
Note 01	: Reporting Entity	Note 25	: Income Tax Recoverable
Note 02	: Basis of Preparation	Note 26	: Other Current Financial Assets
Note 03	: Summary of Significant Accounting Policies	Note 27	: Non-Current Asset Held for Sale & Discontinued Operations
Note 04	: Revenue From Contracts With Customers	Note 28	: Cash and Cash Equivalents
Note 05	: Other Income/(Expenses)	Note 29	: Stated Capital
Note 06	: Finance Income	Note 30	: Capital Reserves
Note 07	: Finance Cost	Note 31	: Revenue Reserve
Note 08	: Profit/ (Loss) Before Taxation	Note 32	: Loans and Borrowings
Note 09	: Income Tax Expenses	Note 33	: Lease Liabilities
Note 10	: Earnings Per Share	Note 34	: Retirement Benefits Obligations
Note 11	: Property, Plant and Equipment	Note 35	: Deferred Tax Liabilities
Note 12	: Right-of-Use Assets	Note 36	: Deferred Income
Note 13	: Investment Properties	Note 37	: Trade and Other Payables
Note 14	: Intangible Assets	Note 38	: Loans from Related Parties
Note 15	: Bearer Biological Assets	Note 39	: Amounts due to Related Parties
Note 16	: Consumable Biological Assets	Note 40	: Income Tax Payables
Note 17	: Investments In Subsidiaries	Note 41	: Net Assets per Share
Note 18	: Investments In Equity Accounted Investees	Note 42	: Related Party Disclosures
Note 19	: Other Non-Current Financial Assets	Note 43	: Financial Instruments - Fair Value and Risk Management
Note 20	: Deferred Tax Assets	Note 44	: Commitments and Contingent Liabilities
Note 21	: Inventories	Note 45	: Events Occurring After the Reporting Date
Note 22	: Trade and Other Receivables	Note 46	: Segmental Information
Note 23	: Loans to Related Parties	Note 47	: Non-Controlling Interests
Note 24	: Amounts due from Related Parties		

1. REPORTING ENTITY

1.1 General

Brown and Company PLC ('the Company') is a public quoted company incorporated on 17th August 1892 and domiciled in Sri Lanka. The address of the Company's registered office is at No. 481, T. B. Jayah Mawatha, Colombo 10, Sri Lanka and the business office is situated at No. 34, Sir Mohamed Macan Markar Mawatha, Colombo 3.

The financial statements as at, and for the year ended 31st March 2025 comprise the separate financial statements of Company and consolidated financial statements of the Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in equity-accounted investees.

Ordinary shares of the Company are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

1.2 Principal activities and nature of operations

Principal activities of the Company and the Group are described in the 'Management Discussion and Analysis' in pages 31 to 49 of this report.

1.3 Parent entity and ultimate parent entity

In the opinion of the Board of Directors, the Group's ultimate parent undertaking and controlling party as at the date of financial position is LOLC Holdings PLC, a Company incorporated and domiciled in Sri Lanka.

2. BASIS OF PREPARATION

2.1 Statement of compliance

The consolidated financial statements of the Group and the separate financial statements of the Company have been prepared in accordance with the Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs), which comprise Sri Lanka Financial Reporting Standards ("SLFRS"s), Sri Lanka Accounting Standards ("LKAS"s), relevant interpretations of the Standing Interpretations Committee ("SIC") and International Financial Reporting Interpretations Committee ("IFRIC"). Sri Lanka Accounting Standards further comprises of Statements of Recommended Practices (SoRPs), Statements of Alternate Treatments (SoATs) and Financial Reporting Guidelines issued by the Institute of Chartered Accountants of Sri Lanka, and in compliance with the requirements of the Companies Act No. 07 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995. These financial statements also provide appropriate disclosures as required by the listing rules of the Colombo Stock Exchange.

2.2 Historical cost convention

The financial statements have been prepared on a historical cost basis, except for:

- » Certain financial assets, certain classes of property, plant and equipment, right-of-use assets and investment properties measured at fair value;
- » Biological assets are measured at fair value less costs to sell on initial recognition and at the end of each reporting period, and
- » Agricultural produce harvested from biological assets are measured at its fair value less costs to sell at the point of harvest.

2.3 Directors' Responsibility for Financial Reporting

The Board of Directors is responsible for the preparation and fair presentation of these financial statements in accordance with Sri Lanka Accounting Standards and as per the provisions of the Companies Act No. 07 of 2007. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

The Board of Directors acknowledges their responsibility as set out in the "Annual Report of the Board of Directors on the Affairs of the Company" and "Director's Responsibility for Financial Reporting".

These Financial Statements include the following components:

- » A Statement of Profit or Loss providing the information on the financial performance of the Group and the Company for the year under review;
- » A Statement of Other Comprehensive Income providing the information of the other comprehensive income of the Group and the Company;
- » A Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year-end;
- » A Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company;
- » A Statement of Cash Flows providing the information to the users, on the ability of the Group and the Company to generate cash and cash equivalents and the needs of entities to utilise those cash flows; and
- » Notes to the Financial Statements comprising Accounting Policies and other explanatory information.

NOTES TO THE FINANCIAL STATEMENTS

2.4 Approval of financial statements by the Board of Directors

The consolidated financial statements of the Group and the separate financial statements of the Company for the year ended 31st March 2025 were approved and authorised for issue by the Board of Directors on 28th August 2025. The directors have the power to amend and reissue the financial statements.

2.5 Functional currency and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The financial statements are presented in Sri Lankan Rupee (Rs.), which is Company's functional and Group's presentation currency.

Functional currency of all the Group companies is Sri Lankan Rupees, other than the following companies whose functional currency is given below.

Company	Country of Incorporation	Functional Currency
Bodufaru Beach Resorts (Private) Limited	Maldives	United States Dollar
NPH Investments (Private) Limited	Maldives	United States Dollar
Browns Ari Resorts (Private) Limited	Maldives	United States Dollar
Browns Raa Resorts (Private) Limited	Maldives	United States Dollar
Browns Kaafu N Resorts (Private) Limited	Maldives	United States Dollar
LOLC Global (Private) Limited	Singapore	United States Dollar
B Commodities ME (FZE)	United Arab Emirates (U.A.E.)	United States Dollar
Browns E&C Technical Services Contracting LLC	United Arab Emirates (U.A.E.)	United States Dollar
Sunbird Bioenergy (SL) Limited	Sierra Leone	Euro
Grey Reach Investments Limited	British Virgin Islands	United States Dollar
BI Leisure Holdings FZE	United Arab Emirates (U.A.E.)	United States Dollar
PL Resorts Limited	Mauritius	MUR -Rupee of Mauritius
Browns Plantations (Kenya) Limited	Kenya	British Sterling Pound
Browns Plantations (Rwanda) Limited (formally known as Lipton Teas and Infusions Rwanda Limited)	Rwanda	Rwandan Franc
Browns Plantations (Tanzania) Limited (formally known as Lipton Teas and Infusions Tanzania Limited)	Tanzania	Tanzania Shilling
Browns Plantations (East Africa) PLC (formally known as Lipton Teas and Infusions Kenya PLC)	Kenya	Kenya Shilling
Limuru Tea PLC	Kenya	Kenya Shilling
Browns Plantations (Guizhou) Limited (formally known as James Finlay Guizhou Company Limited)	China	Chinese Yuan
Browns Tea Trading FZCO	United Arab Emirates (U.A.E.)	United States Dollar

2.5.1 Foreign currency translation

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are generally recognised in profit or loss.

Foreign exchange gains and losses that relate to borrowings are presented in the statement of profit or loss, within finance costs. All other foreign exchange gains and losses are presented in the statement of profit or loss on a net basis within other income/other expenses.

Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined. Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognised in profit or loss as part of the fair value gain or loss and translation differences on non-monetary assets such as equities classified as at fair value through other comprehensive income are recognised in other comprehensive income.

2.5.2 Group companies

The results and financial position of foreign operations (none of which has the currency of a hyper-inflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- » assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position;
- » income and expenses for each statement of profit or loss and statement of comprehensive income are translated at average exchange rates (unless this is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- » all resulting exchange differences are recognised in statement of comprehensive income.

On consolidation, exchange differences arising from the translation of any net investment in foreign entities are recognised in other comprehensive income. When a foreign operation is sold the associated exchange differences are reclassified to profit or loss, as part of the gain or loss on sale.

Goodwill and fair value adjustments arising on the acquisition of a foreign operation are treated as assets and liabilities of the foreign operation and translated at the closing rate.

2.6 Comparative information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the financial statements in order to enhance the understanding of the current period's financial statements and to enhance the inter period comparability. The presentation and classification of the financial statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.7 Materiality and aggregation

Each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard - LKAS 1 on 'Presentation of Financial Statements'.

Notes to the financial statements are presented in a systematic manner which ensures the understandability and comparability of financial statements of the Group and the Company. Understandability of the financial statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

All amounts disclosed in the financial statements and notes have been rounded off to the nearest thousand currency units unless otherwise stated.

2.8 Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the statement of profit or loss, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the significant accounting policies.

2.9 Going concern

The Directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Company. Therefore, the financial statements continue to be prepared on the going concern basis.

2.10 Current versus non-current classification

The Group presents assets and liabilities in the statement of financial position based on current / non-current classification.

An asset is current when it is expected to be realised or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading.

Or

Is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period

Or

There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as non-current.

NOTES TO THE FINANCIAL STATEMENTS

2.11 Use of accounting estimates and judgements

The preparation of the financial statements of the Group and Company in conformity with SLFRSs/LKAS's requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

The Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results which form the basis of making the judgments about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are included in the following notes to these financial statements.

Critical accounting estimate/judgement	Note
Useful lives of bearer biological assets	15
Fair value of consumable biological assets	16
Determination of fair value of Investment Properties	13
Revaluation of Land and Buildings	11
Goodwill on Acquisition	14
Retirement Benefit Obligations	34
Deferred Tax Assets/ Liabilities	20 & 35
Useful lives of Property, Plant and Equipment	11
Useful lives of Intangible Assets	14
Provisions and contingencies	44
Fair Value of Financial Assets	3.29
Leases	3.11 & 12

3. SUMMARY OF MATERIAL ACCOUNTING POLICIES

This note provides a list of the material accounting policies adopted in the preparation of these financial statements. These policies have been consistently applied to all the years presented, unless otherwise stated. The financial statements are for the Group consisting of Brown and Company PLC and its subsidiaries.

3.1.1 Changes in accounting policies

The Group has consistently applied the accounting policies as set out in Note 3 to all periods presented in these consolidated financial statements except for the following.

While there are other amendments to the existing standards which are effective from 1st January 2025, those do not have a material effect on the Group/ separate financial statements.

Application of Equity Accounting for Investment in Subsidiaries, Associates and Joint Ventures in separate financial statement as per LKAS 27 the Company has voluntarily changed its accounting policy for investments in subsidiaries, Associates and Joint Ventures in Separate financial statement from Cost model to Equity Accounting with effect from 1st April 2024 in compliance to LKAS 27 Paragraph 10. As per LKAS 8, Company will adjust the opening balance of each affected component of equity for the earliest prior period presented and the other comparative amounts disclosed for each prior period presented as if the new accounting policy had always been applied

3.1.2 New standards and amendments – applicable for the first time for periods commencing 1 January 2024

The group has applied the following standards and amendments for the first time for their annual reporting periods commencing 1st April 2024:

- (i) **Disclosures on Supplier Finance Arrangements - Amendments to LKAS 7 - Statement of Cash Flows and SLFRS 7 - Financial Instruments**
The amendments add a disclosure objective to LKAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows. In addition, SLFRS 7 is amended to add supplier finance arrangements as an example within the requirements to disclose information about an entity's exposure to concentration of liquidity risk.
- (ii) **Classification of Liabilities as Current or Non-current - Amendments to LKAS 1 - Presentation of Financial Statements**

The amendments affect only the presentation of liabilities as current or non-current in the statement of financial position and not the amount or timing of recognition of any asset, liability, income or expenses, or the information disclosed about those items.

The amendments clarify that the classification of liabilities as current or non-current is based on rights that are in existence at the end of the reporting period, specify that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability, explain that rights are in existence if covenants are complied with at the end of the reporting period, and introduce a definition of 'settlement' to make clear that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services.

(iii) **Non-current Liabilities with Covenants - Amendments to LKAS 1 - Presentation of Financial Statements**

The amendments specify that only covenants that an entity is required to comply with on or before the end of the reporting period affect the entity's right to defer settlement of a liability for at least twelve months after the reporting date (and therefore must be considered in assessing the classification of the liability as current or non-current). Such covenants affect whether the right exists at the end of the reporting period, even if compliance with the covenant is assessed only after the reporting date

It also specifies that the right to defer settlement of a liability for at least twelve months after the reporting date is not affected if an entity only has to comply with a covenant after the reporting period. However, if the entity's right to defer settlement of a liability is subject to the entity complying with covenants within twelve months after the reporting period, an entity discloses information that enables users of financial statements to understand the risk of the liabilities becoming repayable within twelve months after the reporting period. This would include information about the covenants.

(iv) **Lease Liability in a Sale and Leaseback - Amendments to SLFRS 16 - Leases**

The amendments to SLFRS 16 add subsequent measurement requirements for sale and leaseback transactions that satisfy the requirements in SLFRS 15 Revenue from Contracts with Customers to be accounted for as a sale. The amendments require the seller-lessee to determine 'lease payments' or 'revised lease payments' such that the seller-lessee does not recognise a gain or loss that relates to the right of use retained by the seller-lessee, after the commencement date.

The amendments do not affect the gain or loss recognised by the seller-lessee relating to the partial or full termination of a lease. Without these new requirements, a seller-lessee may have recognised a gain on the right of use it retains solely because of a remeasurement of the lease liability applying the general requirements in SLFRS 16. This could have been particularly the case in a leaseback that includes variable lease payments that do not depend on an index or rate.

A seller-lessee applies the amendments retrospectively in accordance with LKAS 8 to sale and leaseback transactions entered into after the date of initial application, which is defined as the beginning of the annual reporting period in which the entity first applied SLFRS 16.

Most of the amendments listed above did not have any impact on the amounts recognised in prior periods and are not expected to significantly affect the current or future periods.

3.1.3. New standards and amendments issued but not effective or early adopted in 2024/2025

The following standards and interpretations had been issued by IASB, but not mandatory for annual reporting periods ending 31st March 2025. Further, the group has not early adopted these new standards and/or amendments.

- » Amendments to LKAS 21 The Effects of Changes in Foreign Exchange Rates - Lack of Exchangeability
- » Amendments to SLFRS 9 and SLFRS 7 - Classification and Measurement of Financial Instruments
- » Amendments to SLFRS 18 Presentation and Disclosures in Financial Statements.

The directors do not expect that the adoption of the Standards listed above will have a material impact on the financial statements of the group in future periods, except if indicated below.

(i) **Amendments to LKAS 21 The Effects of Changes in Foreign Exchange Rates - Lack of Exchangeability**

The amendments specify how to assess whether a currency is exchangeable, and how to determine the exchange rate when it is not. The amendments state that a currency is exchangeable into another currency when an entity is able to obtain the other currency within a time frame that allows for a normal administrative delay and through a market or exchange mechanism in which an exchange transaction would create enforceable rights and obligations.

An entity assesses whether a currency is exchangeable into another currency at a measurement date and for a specified purpose. If an entity is able to obtain no more than an insignificant amount of the other currency at the measurement date for the specified purpose, the currency is not exchangeable into the other currency. The assessment of whether a currency is exchangeable into another currency depends on an entity's ability to obtain the other currency and not on its intention or decision to do so.

When a currency is not exchangeable into another currency at a measurement date, an entity is required to estimate the spot exchange rate at that date. An entity's objective in estimating the spot exchange rate is to reflect the rate at which an orderly exchange transaction would take place at the measurement date between market participants under prevailing economic conditions.

The amendments do not specify how an entity estimates the spot exchange rate to meet that objective. An entity can use an observable exchange rate without adjustment or another estimation technique.

The amendments are effective for annual reporting periods beginning on or after 1 January 2025, with earlier application

NOTES TO THE FINANCIAL STATEMENTS

permitted. An entity is not permitted to apply the amendments retrospectively. Instead, an entity is required to apply the specific transition provisions included in the amendments.

The Company anticipate that the application of these amendments may have/not have an impact on the Company's financial statements in future periods.

(ii) Amendments to IFRS 9 and IFRS 7 - Classification and Measurement of Financial Instruments

These amendments clarify the requirements for the timing of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system. These amendments further clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion.

These amendments add new disclosures for certain instruments with contractual terms that can change cash flows (such as some instruments with features linked to the achievement of environment, social and governance (ESG) targets); and make updates to the disclosures for equity instruments designated at Fair Value through Other Comprehensive Income (FVOCI).

The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

The Company anticipate that the application of these amendments may have/not have an impact on the Company's financial statements in future periods

(iii) Amendments to IFRS 18 Presentation and Disclosures in Financial Statements

IFRS 18 replaces IAS 1, carrying forward many of the requirements in IAS 1 unchanged and complementing them with new requirements. In addition, some IAS 1 paragraphs have been moved to IAS 8 and IFRS 7. Furthermore, the IASB has made minor amendments to IAS 7 and IAS 33 Earnings per Share.

IFRS 18 introduces new requirements to:

- » present specified categories and defined subtotals in the statement of profit or loss
- » provide disclosures on management-defined performance measures (MPMs) in the notes to the financial statements
- » improve aggregation and disaggregation.

An entity is required to apply IFRS 18 for annual reporting periods beginning on or after 1 January 2027, with earlier application permitted. The amendments to IAS 7 and

IAS 33, as well as the revised IAS 8 and IFRS 7, become effective when an entity applies IFRS 18. IFRS 18 requires retrospective application with specific transition provisions

The Company anticipate that the application of these amendments may have/not have an impact on the Company's financial statements in future periods.

(iv) IFRS 19 Subsidiaries without Public Accountability: Disclosures

IFRS 19 permits an eligible subsidiary to provide reduced disclosures when applying IFRS Accounting Standards in its financial statements.

A subsidiary is eligible for the reduced disclosures if it does not have public accountability and its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS Accounting Standards. IFRS 19 is optional for subsidiaries that are eligible and sets out the disclosure requirements for subsidiaries that elect to apply it.

An entity is only permitted to apply IFRS 19 if, at the end of the reporting period:

- » it is a subsidiary (this includes an intermediate parent)
- » it does not have public accountability, and
- » its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS Accounting Standards.

Eligible entities can apply IFRS 19 in their consolidated, separate or individual financial statements. An eligible intermediate parent that does not apply IFRS 19 in its consolidated financial statement may do so in its separate financial statements. The new standard is effective for reporting periods beginning on or after 1 January 2027 with earlier application permitted.

The Company anticipate that the application of these amendments may have/not have an impact on the Company's financial statements in future periods.

3.2 Principles of consolidation and equity accounting

3.2.1 Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the Group (refer to note 3.2.6).

Inter-company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

Non-controlling interests in the results and equity of subsidiaries are shown separately in the consolidated statement of profit or loss, comprehensive income, statement of changes in equity and statement of financial position respectively.

3.2.2 Associates

Associates are all entities over which the Group has significant influence but not control or joint control. This is generally the case where the Group holds between 20% and 50% of the voting rights. Investments in associates are accounted for using the equity method of accounting (see (3.2.4) below), after initially being recognised at cost.

The determination of significant influence over an investee involves significant judgment by management. In assessing whether significant influence exists, management considers various qualitative factors in accordance with LAKS 28, Investments in Associates and Joint Ventures. The key qualitative factors considered by management in exercising this judgment include participation in policy decisions, the nature and frequency of the material transactions with the investee, provision of managerial expertise by the Company and any other factors that may indicate the Company's ability to affect the decisions of the investee.

Management has evaluated these qualitative factors to determine whether significant influence exists and has concluded that the Company has significant influence over the investee based on the assessment of these factors. The exercise of judgment in this area reflects management's evaluation of the relevant circumstances and the application of professional expertise.

3.2.3 Joint arrangements

Under SLFRS 11 Joint Arrangements investments in joint arrangements are classified as either joint operations or joint ventures. The classification depends on the contractual rights and obligations of each investor, rather than the legal structure of the joint arrangement. Interests in joint ventures are accounted for using the equity method (see (3.2.4) below), after initially being recognised at cost in the consolidated statement of financial position.

3.2.4 Equity method

Under the equity method of accounting, the investments are initially recognised at cost and adjusted thereafter to recognise the Group's share of the post-acquisition profits or losses of the investee in profit or loss, and the Group's share of movements in other comprehensive income of the investee in statement of comprehensive income. Dividends received or receivable from associates and joint ventures are recognised as a reduction in the carrying amount of the investment.

When the Group's share of losses in an equity-accounted investment equals or exceeds its interest in the entity, including any other unsecured long-term receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the other entity.

Unrealised gains on transactions between the Group and its associates and joint ventures are eliminated to the extent of the Group's interest in these entities. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of equity accounted investees have been changed where necessary to ensure consistency with the policies adopted by the Group.

The carrying amount of equity-accounted investments is tested for impairment in accordance with the policy described in note 3.13.

3.2.5 Changes in ownership interests

The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Group. A change in ownership interest results in an adjustment between the carrying amounts of the controlling and non-controlling interests to reflect their relative interests in the subsidiary. Any difference between the amount of the adjustment to non-controlling interests and any consideration paid or received is recognised within equity attributable to owners of Company.

When the Group ceases to consolidate or equity account for an investment because of a loss of control, joint control or significant influence, any retained interest in the entity is remeasured to its fair value with the change in carrying amount recognised in statement of profit or loss. This fair value becomes the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in statement of comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in statement of comprehensive income are reclassified to profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

If the ownership interest in a joint venture or an associate is reduced but joint control or significant influence is retained, only a proportionate share of the amounts previously recognised in statement of comprehensive income are reclassified to profit or loss where appropriate.

3.2.6 Business combinations

The acquisition method of accounting is used to account for all business combinations, regardless of whether equity instruments or other assets are acquired. The consideration transferred for the acquisition of a subsidiary comprises the:

- » fair values of the assets transferred;
- » liabilities incurred to the former owners of the acquired business;
- » equity interests issued by the Group;
- » fair value of any asset or liability resulting from a contingent consideration arrangement; and
- » fair value of any pre-existing equity interest in the subsidiary.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are, with limited exceptions, measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquired entity on an acquisition-by-acquisition basis either at fair value or at the non-controlling interest's proportionate share of the acquired entity's net identifiable assets.

Acquisition-related costs are expensed as incurred.

- » The excess of the
- » consideration transferred,
- » amount of any non-controlling interest in the acquired entity, and
- » acquisition-date fair value of any previous equity interest in the acquired entity

over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognised directly in profit or loss as a bargain purchase.

Where settlement of any part of cash consideration is deferred, the amounts payable in the future are discounted to their present value as at the date of exchange. The discount rate used is the entity's incremental borrowing rate, being the rate at which a similar borrowing could be obtained from an independent financier under comparable terms and conditions.

Contingent consideration is classified either as equity or a financial liability. Amounts classified as a financial liability are subsequently remeasured to fair value with changes in fair value recognised in profit or loss.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date. Any gains or losses arising from such remeasurement are recognised in profit or loss.

SLFRS 3, Business Combination, provides a 'measurement period', to finalise the accounting for a business combination. The measurement period ends on the earlier of the date when the acquirer receives the information that it needs (or determines that it cannot obtain the information) and one year after the acquisition date.

3.3 Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.

The Board of Directors of the Company which assesses the financial performance and position of the Group, and makes strategic decisions have been identified as being the chief operating decision maker.

The Group's reportable segments comprise of Trading, Manufacturing & Construction, Plantation, Investments, Leisure, Real Estate and others.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period.

Expenses that cannot be directly identified to a particular segment are allocated on bases decided by the management and applied consistently throughout the year.

3.4 Revenue from Contracts with Customers

3.4.1 Sale of goods - wholesale

The Group imports / manufactures and sells a range of products in the wholesale market. Sales are recognised when control of the products has transferred, being when the products are delivered to the wholesaler / dealer, the wholesaler / dealer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the wholesaler's / dealer's acceptance of the products. Delivery occurs when the products have been shipped to the specific location, the risks of obsolescence and loss have been transferred to the wholesaler / dealer, and either the wholesaler / dealer has accepted the products in accordance with the sales contract, the acceptance

provisions have lapsed, or the Group has objective evidence that all criteria for acceptance have been satisfied. The Group's obligation to repair or replace faulty products under the standard warranty terms is recognised as a provision, see note 3.22.1.

A receivable is recognised when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

Payment of the transaction price is due immediately when the customer purchases the products and takes delivery in store.

3.4.2 Sale of goods - retail

The Group operates retail stores selling range of products. Revenue from the sale of goods is recognised when a Group entity sells a product to the customer.

Payment of the transaction price is due immediately when the customer purchases the products and takes delivery in store. The Group's obligation to repair or replace faulty products under the standard warranty terms is recognised as a provision, see note 3.22.1.

3.4.3 Sale of goods - export

In relation to sales with foreign customers, the Group take in to account the term related to each shipment of goods. A receivable is recognised when the term related to each shipment of goods is satisfied as this is the point in time that the consideration is unconditional.

3.4.4 Sale of goods - plantation produce

Black tea and Rubber produce are sold at the Colombo tea/rubber Auction and the highest bidder whose offer is accepted shall be the buyer, and a sale shall be completed at the fall of the hammer, at which point control is transferred to the customer. Revenue from sale of other crops are recognised at the point in time when the control of the goods has transferred to the customer generally upon delivery of the goods to the location specified by the customer and the acceptance of the goods by the customer.

3.4.5 Sale of services

Revenue from providing services is recognised in the accounting period in which the services are rendered. All revenues are recognised on an accrual basis over the time duration of the providing of the services to the customer. Payment of the transaction price is due immediately when the customer receives the services.

3.4.6 Construction contracts

Revenue from construction-related contracts is recognised upon satisfaction of a performance obligation agreed in the contract. At contract inception, the Group determines whether

it satisfies the performance obligation over time or at a point in time. The revenue recognition occurs at a point in time when control of the asset is transferred to the customer. For each performance obligation satisfied over time, the Group recognises the revenue over time by measuring the progress towards complete satisfaction of that performance obligation.

The progress is assessed based on surveys of work performed. When the outcome of construction contract cannot be estimated reliably, contract revenue is recognised only to the extent of contract costs incurred that are likely to be recoverable.

The Group provides aluminium fabricators, doors and windows design, manufacturing, civil, telecommunication, engineering, installation and support services under fixed-price and variable price contracts. Revenue from providing services is recognised in the accounting period in which the services are rendered. For fixed-price contracts, revenue is recognised based on the actual service provided to the end of the reporting period as a proportion of the total services to be provided because the customer receives and uses the benefits simultaneously. This is determined based on the actual costs spent relative to the total expected costs.

Some contracts include multiple deliverables, such as the sale of products and related installation services. However, the installation is simple, does not include an integration service and could be performed by another party. It is therefore accounted for as a separate performance obligation. Where the contracts include multiple performance obligations, the transaction price will be allocated to each performance obligation based on the stand-alone selling prices. Where these are not directly observable, they are estimated based on expected cost plus margin. If contracts include the installation of products, revenue for the products is recognised at a point in time when the products are delivered, the legal title has passed, and the customer has accepted the products.

Estimates of revenues, costs or extent of progress toward completion are revised if circumstances change. Any resulting increases or decreases in estimated revenues or costs are reflected in profit or loss in the period in which the circumstances that give rise to the revision become known by management.

In case of fixed-price contracts, the customer pays the fixed amount based on a payment schedule. If the services rendered by the Group exceed the payment, a contract asset is recognised. If the payments exceed the services rendered, a contract liability is recognised.

If the contract includes an hourly fee, revenue is recognised in the amount to which the Group has a right to invoice. Customers are invoiced based on actual services provided and consideration is payable when invoiced.

NOTES TO THE FINANCIAL STATEMENTS

3.4.7 Hotel Operations

Apartment revenue is recognised for the rooms occupied on a daily basis. All revenues are recognised on an accrual basis over the time of the duration of the stay of the customer and matched with the related expenditure where they simultaneously receive and consumes the benefits of the services rendered.

Restaurant revenue includes the revenue recognised on the sale food and beverage. All revenue is accounted for at the time of sale.

Bar revenue are accounted for at the time of sale.

Spa is operated by a third party and invoices are raised together with the spa bills. Spa related revenue is recognised gross after completion of service/treatments.

Transfers and excursions include the consideration earned from providing excursions to customers. Revenue is recognised for at the time of rendering the service.

Telephone, laundry, and diving represents the services provided to customers which are implied as business practice in the industry. All revenue is recognised for at the time of rendering the service.

3.4.8 Sale of live timber trees and rubber trees

Revenue from the sale of live timber trees and Rubber trees is recognised at the point that the legal ownership, risk of loss and the rewards have been passed to the purchaser and the quantity sold is determinable. Revenue on harvesting of live timber trees and Rubber trees is recognised when the purchaser acquires the right to harvest specified no of trees on a tract of land, at an agreed-to price by entering into a contractual agreement at which point the risk and rewards are transferred. Those revenue are deducted from the relevant biological assets to arrive at gain/ (loss) on valuation in statement of profit or loss.

Payment of the sale of the timber trees is due at the time of entering an agreement with the customer for the sale of timber.

3.4.9 Energy Supplied

Revenue from energy supplied is recognised upon delivery of energy. Delivery of electrical energy shall be completed when electrical energy meets the specifications as set out in Power Purchase Agreements (PPA) is received at the metering point.

Payment for the energy supplied is due when invoiced on a monthly basis.

3.4.10 Commission income

When the Group acts in the capacity of an agent rather than the principal in a transaction, the revenue recognition is the net amount of commission earned by the Group.

Payment of the commission price is due when invoiced on pre-agreed terms.

3.4.11 Other Income

Rent income is accounted for on accrual basis.

Dividend income is recognised when the right to receive payment is established.

Interest income is recognised in profit or loss as it accrues, using the effective interest method.

Gain on disposal of property, plant and equipment and other non-current assets, including investments held by the Group have been accounted for in the Statement of profit or loss, after deducting from the net sales proceeds on disposal of the carrying amount of such assets.

3.4.12 Financing components

The Group does not expect to have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, the Group does not adjust any of the transaction prices for the time value of money.

3.5 Government grants and subsidies

Government grants are recognised where there is reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the grant relates to an asset, it is recognised as deferred income and released to income in equal amounts over the expected useful life of the related asset.

Where the Company receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and released to the Profit or loss over the expected useful life and pattern of consumption of the benefit of the underlying asset by equal annual instalments.

Where loans or similar assistance are provided by governments or related institutions with an interest rate below the current applicable market rate, the effect of this favourable interest is regarded as additional government grant.

Grants related to property, plant and equipment and bearer biological assets are initially deferred and allocated to the Profit or loss on a systematic basis over the useful life of the related property, plant and equipment.

Revenue grants are recognised in the profit or loss in the period in which they are receivable.

3.6 Expenses recognition

Expenses are recognised in the statement of profit or loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to income in arriving at the profit for the year.

For the presentation of the statement of profit or loss the Directors are of the opinion that the function of the expenses method present fairly the elements of the Group's performance, and hence such a presentation method is adopted.

Preliminary and pre-operational expenditure is recognised in the statement of profit or loss.

Repairs and renewals are charged to the Statement of profit or loss in the year in which the expenditure is incurred.

3.7 Income tax

The income tax expense or credit for the period is the tax payable on the current period's taxable income based on the applicable income tax rate for each jurisdiction adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period in the countries where the Company and its subsidiaries and associates operate and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill. Deferred income tax is also not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting

nor taxable profit or loss. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

The deferred tax liability in relation to investment property that is measured at fair value is determined assuming the property will be recovered entirely through sale.

Deferred tax assets are recognised only if it is probable that future taxable amounts will be available to utilise those temporary differences and losses.

Deferred tax liabilities and assets are not recognised for temporary differences between the carrying amount and tax bases of investments in foreign operations where the company is able to control the timing of the reversal of the temporary differences and it is probable that the differences will not reverse in the foreseeable future.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Current and deferred tax is recognised in profit or loss, except to the extent that it relates to items recognised in statement of comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

Companies enjoying tax holidays

Group companies enjoying a tax exemption period shall only recognise deferred tax in their financial statements for temporary differences, where reversals of such differences extend beyond the tax exemption period.

Deferred Tax shall not be considered nor provided for assets / liabilities for which tax impacts and reversals take place within the tax exemption period. If there will be no tax implications that take place after the expiration of the tax exemption period for such assets.

Where a Company is entitled to claim the total value or any part of expenditure made during the tax holiday period, as deductions for tax purposes after the tax holiday period, such an entity will treat such amount of expenditure as part of the tax base throughout the tax holiday period in the purpose of recognising deferred tax.

NOTES TO THE FINANCIAL STATEMENTS

3.8 Property, plant and equipment

3.8.1 Freehold property, plant and equipment

i) Basis of recognition

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the assets will flow to the Group and cost of the asset can be reliably measured.

ii) Basis of measurement

Items of property, plant and equipment other than freehold land and building, are measured at cost less accumulated depreciation and any impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site at which they are located and capitalised borrowing costs.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property, plant and equipment.

iii) Cost model

The Group applies the cost model to all property, plant and equipment except freehold land and buildings and motor vehicles which are recorded at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

iv) Revaluation model

The Group revalues its freehold land and buildings and motor vehicles which are measured at its fair value at the date of revaluation less any subsequent accumulated depreciation and any accumulated impairment losses. Revaluations are made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date.

On revaluation of land and buildings and motor vehicles, any increase in the revaluation amount is credited to the revaluation reserve in shareholder's equity unless it offsets a previous decrease in value of the same asset that was recognised in profit or loss. A decrease in value is recognised in profit or loss where it exceeds the increase previously recognised in the revaluation reserve. Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not taken into account in arriving at the gain or loss on disposal.

v) Subsequent costs

The cost of replacing part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is de-recognised. The costs of the day-to-day servicing of property, plant and equipment are expensed as incurred.

vi) Depreciation

Depreciation is based on the cost / revalued amount of an asset less its residual value. Significant components of individual assets are assessed and if a component has a useful life that is different from the remainder of that asset, that component is depreciated separately.

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful life of each component of an item of property, plant and equipment. Land is not depreciated.

Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is de-recognised.

Depreciation methods, useful lives, residual values are assessed at the reporting date and adjusted if appropriate.

The estimated useful lives for the current year are listed below.

Property, Plant & Equipment	No. of years range	Rate range
Building	20-60 Years	2% to 5%
Plant and Machinery	4-30 Years	3.33% to 20%
Motor Vehicles	1-15 Years	6.66% to 100%
Furniture and Office Equipment	4-20 Years	5% to 20%
Ergonomic Equipment	25 Years	4%
Land Preparation/Land Improvements	20-30 Years	3% to 5%
Sugar Cane Roots	20 Years	20%
Pivots and Pump Stations in Plantations	5-25 Years	4% to 20%
Water, Sanitation and Others	20 Years	5%
Roads and Bridges	50 Years	2%
Penstock Pipeline	20 Years	5%
Security Fences	3 Years	33.33%
Air Conditioners	5 Years	20%

Property, Plant & Equipment	No. of years range	Rate range
Generator	8 Years	12.5%
Cutlery, Crockery and Glassware	2-5 Years	20%
Linen	3 Years	20% to 50%
Sewage System	20 Years	5%
Solar Power Plant	10 - 20 Years	5% to 10%
Surge Arrestors 33 kv	20 Years	5%

The cost of areas coming into bearing are transferred to mature plantations and depreciated as follows.

Bearer Biological Assets	No. of years range	Rate range
Tea	30 to 33 1/3 years	3% to 3.33%
Mixed/Other Crops	10 to 15 years	6.66% to 10%

vii) De-recognition

An item of property, plant and equipment is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal.

The gain or loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of the property, plant and equipment, and is recognised net within other income/other expenses in the Statement of profit or loss. When revalued assets are sold, the amounts included in the revaluation surplus reserve are transferred to retained earnings.

3.9 Capital work-in progress

Capital work-in-progress is stated at cost. These are expenses of a capital nature directly incurred in the construction of capital assets.

3.10 Investment properties

3.10.1 Basis of recognition

Investment property is a property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

3.10.2 Basis of measurement

i) Fair value model

Investment properties are initially recognised at cost. Subsequent to initial recognition the investment properties are stated at fair values, which reflect market conditions at the reporting date. Gains or losses arising from changes in fair value are included in profit or loss in the year in which they arise.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the consolidated financial statements, and accounted for as per LKAS 16 - Property, Plant and Equipment.

ii) De-recognition

Investment properties are de-recognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in profit or loss in the year of retirement or disposal.

iii) Subsequent transfers to / from investment property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

For a transfer from investment property to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the Group as an owner-occupied property becomes an investment property, the Group, accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

iv) Determining Fair Value

External and independent valuers, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued, values the investment property portfolio every year.

The fair values are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably.

3.11 Leases

The Group leases various offices, warehouses, equipment and vehicles.

Contracts may contain both lease and non-lease components. The Group allocates the consideration in the contract to the lease and non-lease components based on their relative stand-alone prices. However, for leases of real estate for which the Group is a lessee, it has elected not to separate lease and non-lease components and instead accounts for these as a single lease component.

NOTES TO THE FINANCIAL STATEMENTS

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- » fixed payments (including in-substance fixed payments), less any lease incentives receivable
- » variable lease payments that are based on an index or a rate, initially measured using the index or rate as at the commencement date
- » amounts expected to be payable by the group under residual value guarantees
- » the exercise price of a purchase option if the group is reasonably certain to exercise that option, and
- » payments of penalties for terminating the lease, if the lease term reflects the group exercising that option

Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, which is generally the case for leases in the Group, the lessee's incremental borrowing rate is used, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

To determine the incremental borrowing rate, the Group:

- » where possible, uses recent third-party financing received by the individual lessee as a starting point, adjusted to reflect changes in financing conditions since third party financing was received;
- » uses a build-up approach that starts with a risk-free interest rate adjusted for credit risk for leases held by the Group, which does not have recent third-party financing; and
- » makes adjustments specific to the lease, e.g. term, country, currency and security.

Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of

interest on the remaining balance of the liability for each period.

- » Right-of-use assets are measured at cost comprising the following:
- » the amount of the initial measurement of lease liability;
- » any lease payments made at or before the commencement date less any lease incentives received;
- » any initial direct costs; and
- » restoration costs.

The Group revalue Right-Of-Use Assets relating to Lands which meets the definition of a property, plant and equipment. Revaluations are made with sufficient regularity, by carrying out a valuation by an independent valuer who holds a recognised and relevant professional qualification and has recent experience in the location and category of the Right-of-use assets being valued.

Right-of-use assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. While the Group revalues its land and buildings that are presented within property, plant and equipment, it has chosen not to do so for the right-of-use buildings held by the Group.

Payments associated with short-term leases of equipment and vehicles and all leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise IT equipment and small items of office furniture.

3.11.1 Permanent land development costs

Permanent land development costs are those costs incurred making significant infrastructure development and building new access roads on leasehold lands.

These costs have been capitalised and amortised over the remaining lease period.

Permanent impairments to land development costs are charged to the Profit or loss in full or reduced to the net carrying amounts of such assets in the year of occurrence after ascertaining the loss.

3.12 Intangible assets

3.12.1 Goodwill

Goodwill is measured as described in note (3.2.6). Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill is not amortised but it is tested for impairment annually, or more frequently if events or changes in circumstances indicate that it might be impaired, and is carried at cost less accumulated impairment losses. Gains

and losses on the disposal of an entity include the carrying amount of goodwill relating to the entity sold.

Goodwill is allocated to cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose. The units or groups of units are identified at the lowest level at which goodwill is monitored for internal management purposes, being the operating segments.

3.12.2 Right to Generate Solar Power

Separately acquired Right to Generate Solar Power are shown at historical cost. They have a finite useful life and are subsequently carried at cost less accumulated amortisation and impairment losses.

3.12.3 Software

Costs associated with maintaining software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognised as intangible assets when the following criteria are met:

- » it is technically feasible to complete the software so that it will be available for use;
- » management intends to complete the software and use or sell it;
- » there is an ability to use or sell the software;
- » it can be demonstrated how the software will generate probable future economic benefits;
- » adequate technical, financial and other resources to complete the development and to use or sell the software are available; and
- » the expenditure attributable to the software during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software include employee costs and an appropriate portion of relevant overheads.

Capitalised development costs are recorded as intangible assets and amortised from the point at which the asset is ready for use.

3.12.4 Subsequent expenditure

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied by these assets. All other expenditure is expensed when incurred.

3.12.5 De-recognition

Intangible assets are de-recognised on disposal or when no future economic benefits are expected from its use. The

gain or loss arising from de-recognition of intangible assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset.

3.12.6 Amortisation

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows;

Computer Software	3 - 8 years
-------------------	-------------

Right to Generate Solar Power	20 years
-------------------------------	----------

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

3.13 Impairment of assets

Goodwill and intangible assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

3.14 Biological assets

Biological assets are classified in to mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, rubber, standing sugar cane, commercial grass, other plantations and nurseries are classified as biological assets.

Biological assets are further classified as bearer biological assets and consumable biological assets. Bearer biological asset includes tea and rubber trees, those that are not intended to be sold or harvested, however used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets include managed timber trees those that are to be harvested as agricultural produce or sold as biological assets.

NOTES TO THE FINANCIAL STATEMENTS

The entity recognise the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

3.14.1 Bearer biological assets

- i) The cost of land preparation, rehabilitation, new planting, replanting, crop diversification, inter-planting and fertilising, etc., incurred between the time of planting and harvesting (when the planted area attains maturity), are classified as immature plantations. These immature plantations are shown at direct costs plus attributable overheads, including interest attributable to long-term loans used for financing immature plantations. The expenditure incurred on bearer plants (Tea, Rubber & Coconut fields), which come into bearing during the year, has been transferred to mature bearer biological assets and depreciated over their useful life in accordance with the LKAS16 – Property, Plant and Equipment.

The fair value of produce growing on trees prior to year end is classified as agricultural produce attached to bearer biological assets. Such agricultural produce prior to harvest continues to be in the scope of LKAS 41 - Agriculture and measured at fair value less cost to sell.

When deriving the estimated quantity, the Group limits to one harvesting cycle and measured based on the last day of the harvest in the immediately preceding cycle.

In order to ascertain the fair value of produce growing on trees, 50% of estimated crop in that harvesting cycle is used for the valuation as follows,

- » Tea - 3 days crop (50% of 6 days Cycle)
- » Rubber 1 day Crop (50% of 2 days Cycle)
- » Coconut 1 months (50% of 2 months Cycle)

For the valuation of the produce it was agreed to use the farm gate price of the produce adjusted for the cost of harvest. Hence market value on the crop in the bush should be based on the selling value of agricultural produce adjusted for the cost of harvesting and transport.

- » Tea - Bought Leaf rate (current month) less cost of harvesting & transport
- » Rubber - latex Price (95% of current RSS1 Price) less cost of tapping & transport

Further it was not considered the risk adjustments for weather and other factors of the plant in to biological transformation in the valuation.

ii) Immature and Mature Plantations

The cost of replanting and new planting are classified as immature plantations up to the time of being ready for harvesting.

Further, the general charges incurred on the plantation are apportioned based on the labour days spent on respective replanting and new planting areas and capitalised on the immature areas. The remaining portion of the general charges is expensed in the accounting period in which it is incurred.

The cost of areas coming into bearing is transferred to mature plantations at end of the financial year.

iii) Growing Crop Nurseries

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads.

iv) Infilling Costs on Bearer Biological Assets

The land development costs incurred in the form of infilling have been capitalised to the relevant mature field, only where the number of plants per hectare exceeded 3,000 plants and, also if it increases the expected future benefits from that field, beyond its pre-infilling standard of performance assessment. Infilling costs so capitalised are depreciated over the newly assessed remaining useful life of the relevant mature plantation or the unexpired lease period, whichever is lower.

Infilling cost that are not capitalised have been charged to the Profit or loss for the year in which they are incurred.

v) Amortisation

The cost of areas coming into bearing are transferred to mature plantations and depreciated as follows.

Bearer Biological Assets (Mature Plantations) at Cost - Replanting and New Planting.

Category	No. of Years
Tea	30 - 33 1/3 Years
Rubber	20 Years
Coconut	50 Years
Cinnamon	15 Years
Other Crops	5 – 30 Years

No amortisation is provided for immature plantations.

3.14.2 Consumable Biological Assets

Consumable biological assets include managed timber trees that are to be harvested as agricultural produce or sold as biological assets.

The managed timber trees of the Group are measured on initial recognition and at the end of each reporting period at its fair value less costs to sell in terms of LKAS 41 – Agriculture. The cost of young plants which are below 4 years is treated as an approximation to the fair value as the impact on biological transformation of such plants to price during the period is immaterial. All assumptions and sensitivity analysis are given in note 16.

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads, less provision for overgrown plants.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in the profit or loss for the period in which it arises.

3.15 Investments and other financial assets and liabilities

3.15.1 Investments and other financial assets

(i) Classification

The Group classifies its financial assets in the following measurement categories:

- » those to be measured subsequently at fair value (either through OCI or through profit or loss); and
- » those to be measured at amortised cost.

The classification depends on the entity's business model for managing the financial assets and the contractual terms of the cash flows.

For assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income (FVOCI).

The Group reclassifies debt investments when and only when its business model for managing those assets changes.

(ii) Recognition and derecognition

Regular way purchases and sales of financial assets are recognised on trade-date, the date on which the Group commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

(iii) Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are

directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. There are three measurement categories into which the Group classifies its debt instruments:

- » Amortised cost: Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/(losses) together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the statement of profit or loss.
- » FVOCI: Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains/(losses). Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains/(losses) and impairment expenses are presented as separate line item in the statement of profit or loss.

- FVPL: Assets that do not meet the criteria for amortised cost or FVOCI are measured at FVPL. A gain or loss on a debt investment that is subsequently measured at FVPL is recognised in profit or loss and presented net within other gains/(losses) in the period in which it arises.

Equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the

NOTES TO THE FINANCIAL STATEMENTS

investment. Dividends from such investments continue to be recognised in profit or loss as other income when the Group's right to receive payments is established.

Changes in the fair value of financial assets at FVPL are recognised in other income/ (expenses) in the statement of profit or loss as applicable. Impairment losses (and reversal of impairment losses) on equity investments measured at FVOCI are not reported separately from other changes in fair value.

(iv) Impairment

The Group assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortised cost and FVOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade receivables, the Group applies the simplified approach permitted by SLFRS 9, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

3.15.2 Non-derivative financial liabilities

i) Other financial Liabilities

All financial liabilities other than those at fair value through profit and loss are classified as other financial liabilities.

All other financial liabilities are recognised initially at fair value plus directly attributable transaction costs. Subsequent to initial recognition these financial liabilities are measured at amortised cost using the effective interest rate method. The financial liabilities include trade and other payables, bank overdrafts, loans and borrowings.

Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

Subsequent to initial recognition, these financial liabilities are measured at amortised cost using the effective interest method.

ii) Derecognition of financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged, cancelled or expired.

3.15.3 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

3.16 Inventories

Raw materials, work in progress and finished goods are stated at the lower of cost and net realisable value. Cost comprises direct materials, direct labour and an appropriate proportion of variable and fixed overhead expenditure, the latter being allocated on the basis of normal operating capacity. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

The cost incurred in bringing inventories to its present location and condition is accounted using the following cost formula:

Agricultural Produce Harvested from Biological Assets

Agricultural produce harvested from the Group's biological assets is measured at its fair value less cost to sell at the point of harvest. Such measurement is deemed to be the cost at the time of transferring the harvested crop to inventories.

Finished goods manufactured from agricultural produce of biological assets

These are valued at the lower of cost and estimated net realisable value, after making due allowance for obsolete and slow moving items.

Input Material, Spares and Consumables

At actual cost on weighted average basis.

Finished Goods

First In First Out (FIFO) basis.

Food and Beverages

Weighted average cost basis.

3.17 Trade receivables

Trade receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less loss allowance.

Trade receivables are amounts due from customers for goods sold or services performed in the ordinary course of business. They are generally due for settlement within 180 days and therefore are all classified as current. Trade receivables are recognised initially at the amount of consideration that is unconditional unless they contain significant financing components, when they are recognised at fair value. The Group holds the trade receivables with the objective to collect the contractual cash flows and therefore measures them subsequently at amortised cost using the effective interest method.

The Group applies the SLFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables and contract assets.

To measure the expected credit losses, trade receivables and contract assets have been grouped based on shared credit risk characteristics and the days past due. The contract assets relate to unbilled work in progress and have substantially the same risk characteristics as the trade receivables for the same types of contracts. The Group has therefore concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets.

The expected loss rates are based on the payment profiles of sales over a period of 36 months before the reporting date and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables.

Trade receivables and contract assets are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group, and a failure to make contractual payments according to an agreed repayment plan with the Group.

Impairment losses on trade receivables and contract assets are presented as net impairment losses within operating profit. Subsequent recoveries of amounts previously written off are credited against the same line item.

3.18 Cash and cash equivalents

For the purpose of presentation in the statement of cash flows, cash and cash equivalents includes cash on hand, deposits held at call with financial institutions, other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities in the statement of financial position.

3.19 Trade and other payables

Trade and other payables represent liabilities for goods and services provided to the Group prior to the end of financial year which are unpaid. The amounts are unsecured and are usually paid within 90 days of recognition. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period. They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest method.

3.20 Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in profit or loss over the period of the borrowings using the effective interest method. Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Borrowings are removed from the statement of financial position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss as other income or finance costs.

Where the terms of a financial liability are renegotiated and the entity issues equity instruments to a creditor to extinguish all or part of the liability (debt for equity swap), a gain or loss is recognised in profit or loss, which is measured as the difference between the carrying amount of the financial liability and the fair value of the equity instruments issued.

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting period.

3.21 Borrowing costs

General and specific borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Qualifying assets are assets that necessarily take a substantial period of time to get ready for their intended use or sale.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Other borrowing costs are expensed in the period in which they are incurred.

3.22 Provisions

Provisions for legal claims, service warranties and make good obligations are recognised when the Group has a present

NOTES TO THE FINANCIAL STATEMENTS

legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. The discount rate used to determine the present value is a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as interest expense.

3.22.1 Warranties

A provision for warranties is recognised when the underlying products or services are sold. The provision is based on historical warranty data and a weighting of all possible outcomes against their associated probabilities.

3.23 Deferred income

3.23.1 PHDT Lease Rentals

Premises at St. Andrew's Drive in Nuwara Eliya has been leased out to Plantation Human Development Trust (PHDT) for a period of 20 years commencing from August 2005 at a total lease rental of Rs.10,734,696/-.

Lease Rentals received are deferred and amortised over the lease period commenced from August 2005.

3.23.2 Rain Forest Eco Loge (Private) Limited (RFELL)

Value of 6,399,375 Ordinary Shares received by Maturata Plantations Limited, which is equivalent to 14.5% of the issued Ordinary Shares of RFELL at Rs.10/= each in lieu of releasing the company's right to use the leasehold land of 488 Hectares in Enselwatte, Deniyaya to RFELL for Eco Tourism Project is deferred and amortised as income to the statement of profit or loss over the unexpired balance lease period.

3.24 Employee benefits

3.24.1 Defined contribution plans

A Defined Contribution Plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to Defined Contribution Plans are recognised as an employee benefit expense to profit or loss in the periods during which services are rendered by employees.

i) Employee provident fund and employee trust fund – Sri Lanka

For employees in Sri Lanka the Group contributes a sum not less than 12% of the gross emoluments as provident fund benefits and a sum equivalent 3% of the gross emoluments as trust fund benefits.

ii) Employees' pension scheme – Maldives

All Maldivian employees of the Group are members of the retirement pension scheme established in the Maldives. The Group contributes 7% of the pensionable wage of such employees to this scheme.

iii) Voluntary Pension – Sierra Leone

The Sierra Leone employees of the Group, makes a voluntary contribution towards the retirement of its employees at a rate of 5% of employees' basic salary on a monthly basis. These contributions are kept in a separate fund account and are paid to employees upon their retirement.

3.24.2 Defined benefit plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company's net obligation in respect of defined benefit pension plans is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognised past service costs are deducted.

The calculation is performed every year by a qualified actuary using the projected unit credit method. For the purpose of determining the charge for any period before the next regular actuarial valuation falls due, an approximate estimate provided by the qualified actuary is used.

The Group recognises all actuarial gains and losses arising from the defined benefit plan in Statement of Comprehensive Income and all other expenses related to defined benefit plans are recognised in profit loss. The retirement benefit obligation is not externally funded.

3.24.3 Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

3.25 Stated capital and equity

Ordinary shares are classified as equity.

Incremental costs directly attributable to the issue of new shares or options are shown in equity as a deduction, net of tax, from the proceeds.

3.26 Dividends

Provision is made for the amount of any dividend declared, being appropriately authorised and no longer at the discretion of the entity, on or before the end of the reporting period but not distributed at the end of the reporting period.

3.27 Related party transactions

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in LKAS 24 - "Related Party Disclosures". Disclosure has been made in respect of the related party transactions in which one party has the ability to control or exercise significant influence over the financial and operating policies / decisions of the other, irrespective of whether a price is being charged or not.

3.27.1 Transactions with key management personnel

According to LKAS 24 - Related Party Disclosures, Key Management Personnel, are those having authority and responsibility for planning, directing and controlling the activities of the entity.

3.28 Earnings per share

3.28.1 Basic earnings per share

Basic earnings per share is calculated by dividing:

the profit attributable to owners of the company, excluding any costs of servicing equity other than ordinary shares

by the weighted average number of ordinary shares outstanding during the financial year, adjusted for bonus elements in ordinary shares issued during the year.

3.28.2 Diluted earnings per share

Diluted earnings per share adjusts the figures used in the determination of basic earnings per share to take into account:

the after income tax effect of interest and other financing costs associated with dilutive potential ordinary shares, and

the weighted average number of additional ordinary shares that would have been outstanding during the financial year.

3.29 Determination of fair values

A number of the Group's accounting policies and disclosures require the determination of fair values, for both financial and non-financial assets and liabilities. Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

3.29.1 Fair value hierarchy

This section explains the judgements and estimates made in determining the fair values of the assets and liabilities that

are recognised and measured at fair value in the financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the Group has classified its assets and liabilities into the three levels prescribed under the accounting standards. An explanation of each level is disclosed in note 42 to the financial statements.

There were no transfers between levels 1 and 2 for recurring fair value measurements during the year.

Level 1: The fair value of financial instruments traded in active markets is based on quoted market prices at the end of the reporting period. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1.

Level 2: The fair value of financial instruments that are not traded in an active market is determined using valuation techniques which maximise the use of observable market data and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

Level 3: If one or more of the significant inputs are not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity securities.

3.29.2 Valuation techniques used to determine fair values

Specific valuation techniques used to value assets and liabilities include:

i) Property, plant and equipment acquired in business combinations

The fair value of property, plant and equipment recognised as a result of a business combination is the estimated amount for which a property could be exchanged on the date of acquisition between a willing buyer and a willing seller in an arm's length transaction. The fair value of items of plant, equipment fixtures and fittings is based on market prices for similar items when available and depreciated replacement cost when appropriate.

ii) Property, plant and equipment owned by the Group including the right-of-use assets on Land

External, independent qualified valuers having appropriate experience in valuing properties in locations of properties being valued, value the land and building owned by the Group based on market values, this is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

iii) Investment property

External, independent qualified valuers having appropriate experience in valuing properties in locations of properties being valued, value the land and building owned by the

NOTES TO THE FINANCIAL STATEMENTS

Group based on market values, this is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

iv) **Equity securities**

The fair value of the equity securities is determined by reference to their quoted share price at the reporting date if quoted; or if unquoted either using discounted cash flow analysis using expected future cash flows and a market related discounted rate or based on the adjusted net assets of the investee company.

v) **Financial instruments other than equity securities carried at fair value through profit or loss and fair value through other comprehensive income**

Fair value of these financial instruments is estimated by discounting the difference between the contractual price of the instrument and the current price of the instrument for the residual maturity of the contract based on quoted price, or obtained from brokers if not quoted, using a credit adjusted risk free interest rate.

vi) **Consumable Biological Assets**

The fair value of timber trees is determined using a discounted cash flow model based on the expected timber content and the market prices of timber after allowing for harvesting costs and other costs yet to be incurred in getting the trees up to a harvestable size.

4 REVENUE FROM CONTRACTS WITH CUSTOMERS

For the year ended 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Gross Revenue (Note 4.1)	107,820,825	80,609,286	23,165,921	23,029,731
4.1 Revenue				
Manufacturing	216,962	3,167,894	-	-
Trading	45,858,265	38,677,466	23,165,921	23,029,731
Hotelier revenue	13,221,784	11,136,394	-	-
Provision of services	7,742,711	9,500,301	-	-
Plantation	40,781,103	18,127,231	-	-
Total Revenue	107,820,825	80,609,286	23,165,921	23,029,731

5 OTHER INCOME/(EXPENSES)

For the year ended 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Rent Income	174,660	185,425	120,382	100,084
Gain/ (Loss) on Disposal of Property, Plant and Equipment	73,173	982,617	(38)	(1,145)
Gain/ (Loss) on Translation of Foreign Currency	1,215,137	427,701	-	-
Change in Fair Value of Other Financial Assets	1,068,733	806,720	1,140,667	566,919
Change in fair value of derivatives - forward contracts	-	1,179,714	-	-
Change in fair Value of bearer biological assets	1,180	5,089	-	-
Gain on Disposal of Other Financial Assets	25,160	25,689	-	-
Dividend Income	162,859	223,897	148,231	36,441
Provision for Inter Company Receivables	-	-	(494,531)	-
Miscellaneous Income/ (Expenses)	2,975,077	498,264	215,706	3,622
	5,695,979	4,335,116	1,130,417	705,921

6 FINANCE INCOME

For the year ended 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Interest Income	2,375,344	5,357,459	1,021,762	638,872
	2,375,344	5,357,459	1,021,762	638,872

NOTES TO THE FINANCIAL STATEMENTS

7 FINANCE COST

For the year ended 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Interest on Borrowings	(44,755,633)	(52,971,019)	(8,056,798)	(10,267,188)
Interest on Lease Assets	(1,350,572)	(1,847,191)	(42,256)	(48,529)
	(46,106,205)	(54,818,210)	(8,099,054)	(10,315,717)
Net Finance Cost	(43,730,861)	(49,460,751)	(7,077,292)	(9,676,845)

8 PROFIT/(LOSS) BEFORE TAXATION

For the year ended 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000

Profit/(Loss) before Taxation is stated after charging / (crediting) all expenses / (income) including the following:

Directors' Emoluments	163,833	109,173	5,716	5,716
Auditors' Remuneration	123,171	85,879	7,378	4,011
Depreciation on Property, Plant and Equipment	6,381,029	3,911,804	120,033	134,335
Amortisation of Finite Life Intangible Assets	209,994	93,805	8,040	12,047
Provision/ (Reversal of Provision) for Bad and Doubtful Debts	1,066,885	872,239	20,154	543,636
Provision/ (Reversal of Provision) for Impairment Losses for Inventories	185,662	(310,964)	(69,045)	(270,302)
Amortisation of Right-of-Use Assets	1,488,977	1,066,870	58,442	60,001
Amortisation of Bearer Biological Assets	1,550,568	706,815	-	-
Salaries and Wages	18,569,196	9,394,187	552,602	483,729
Defined Contribution Plan Cost- EPF and ETF	279,810	363,490	74,409	66,284
Defined Benefit Plan Cost- Retiring Gratuity	1,008,963	391,613	34,655	30,161

9 INCOME TAX EXPENSE

The Company and its Subsidiaries operating in Sri Lanka, are liable to taxation at the rate of 30% in accordance with the provisions of Inland Revenue Act No. 24 of 2017 and subsequent amendments there to.

For the year ended 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000

9.1 Income Tax Expense

Current Tax Expense				
Income Tax on current year profits (Note 9.2)	985,578	268,034	-	-
Under/(Over) Provision in respect of previous years	(117,518)	36,907	-	-
Irrecoverable economic service charge	-	5,802	-	-
	868,060	310,743	-	-
Deferred Tax				
Origination and (Reversal) of Temporary Differences (Note 9.4)	(4,066,095)	1,710,858	(1,290,406)	(2,073,021)
	(3,198,035)	2,021,601	(1,290,406)	(2,073,021)

For the year ended 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
9.2 Reconciliation of Accounting Profit/(Loss) to Income Tax				
Accounting Profit/(Loss) before Taxation	25,895,011	(6,509,074)	37,193,538	308,500
Adjustment on Disallowable Expenses	7,040,231	32,669,354	410,375	56,993
Adjustment on Allowable Expenses	(64,839,793)	(22,109,425)	(241,075)	(6,870,751)
Income from Other Sources and Exempt Income	(8,432,975)	(15,996,000)	(42,329,534)	(1,196,919)
Tax Losses Utilised (Note 9.3)	(1,052,302)	(16,322,846)	(641,714)	(775,397)
Tax Loss incurred for the year (Note 9.3)	44,702,654	29,161,436	5,608,410	8,477,574
Taxable Income	3,312,826	893,447	-	-
Income Tax @ 30%	944,226	268,034	-	-
Income Tax @ 25%	41,351	-	-	-
Income Tax on Current year Profits	985,578	268,034	-	-

For the year ended 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
9.3 Tax Losses Utilised				
Tax Loss Brought Forward	53,030,793	40,430,309	11,933,067	4,408,501
Adjustments for brought forward tax losses	(3,300,483)	(238,106)	(66,482)	(66,482)
Tax Losses Utilised during the year	(1,052,302)	(16,322,846)	(775,397)	(775,397)
Loss incurred during the year	44,702,654	29,161,436	8,366,445	8,366,445
Tax Losses carried forward	93,380,662	53,030,793	19,457,633	11,933,067
9.4 Deferred Tax Expense				
Origination and Reversal of Temporary Differences	(4,066,095)	1,710,858	(1,290,406)	(2,073,021)
	(4,066,095)	1,710,858	(1,290,406)	(2,073,021)

9.5 Companies Exempt From Income Tax

Company	Statute	Exemption period
Companies exempt from income tax under the Board of Investment (BOI) Law		
Sun and Fun Resorts Ltd	Section 17 of BOI Law no .04 of 1978.	15 years from the year in which the enterprise commences to make profits or any year of assessment not later than two (02) years reckoned from the date of commencement of commercial operations, which year is earlier

NOTES TO THE FINANCIAL STATEMENTS

9 INCOME TAX EXPENSE (CONTD.)

9.6 Companies Incorporated and Operating Outside Sri Lanka

Company	Country	Rate
Bodufaru Beach Resort (Pvt) Ltd.	Republic of Maldives	15%
NPH Investments (Pvt) Ltd.	Republic of Maldives	15%
Browns Ari Resorts (Pvt) Ltd.	Republic of Maldives	15%
Browns Raas Resorts (Pvt) Ltd.	Republic of Maldives	15%
Browns Kaafu N Resorts (Pvt) Ltd.	Republic of Maldives	15%
Sunbird Bioenergy (SL) Limited	Republic of Sierra Leone	25%
B Commodities ME (FZE)	United Arab Emirates (U.A.E.)	Nil
PL Resorts Limited	Mauritius	15%
BI Leisure Holdings FZE	United Arab Emirates (U.A.E.)	Nil
Grey Reach Investments Ltd.	British Virgin Islands	Nil
Browns Plantations (Kenya) Ltd.	Kenya	30%
Browns Plantations Rwanda Ltd.	Rwanda	28%
Browns Plantations Tanzania Ltd.	Tanzania	30%
Browns East Africa Plantations Ltd.	Kenya	30%
Browns Plantations (Guizhou) Tea Co., Ltd.	China	25%
Browns Tea Trading FZCO	United Arab Emirates (U.A.E.)	Nil

10 EARNINGS PER SHARE

10.1 Basic Earnings per Share

The calculation of basic earnings/(loss) per share is based on the profit/(loss) attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding during the year.

Basic Earnings per share is calculated as follows:

	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Profit/(Loss) Attributable to Equity holders of the Company (Rs.000)	32,427,654	2,381,520	32,427,654	2,381,520
Weighted Average Number of Ordinary Shares in Issue ('000)	212,625	212,625	212,625	212,625
Basic Earnings per Share (Rs.)	152.51	11.20	152.51	11.20

10.2 Diluted Earnings/(Loss) Per Share

There were no potentially dilutive ordinary shares outstanding at any time during the year / previous year, hence diluted earnings/(loss) per share is equal to the basic earnings/(loss) per share.

11
11.1

PROPERTY, PLANT AND EQUIPMENT
Property, Plant and Equipment - Group

As at 31st March	Immovable (JEDB/ SLSPC) Assets on Finance Lease Rs.000	Freehold Land Rs.000	Reclaimed Land Rs.000	Freehold Buildings Rs.000	Buildings on leasehold land Rs.000	Plant and Machinery Rs.000	Furniture and Office Equipment Rs.000	Freehold Motor Vehicles Rs.000	Leasehold Motor Vehicles Rs.000	Loose Tools & Computers Rs.000	Other Tangible Assets Rs.000	Capital Work-in- -progress (Note -11.6) Rs.000	Total 2025 Rs.000	Total 2024 Rs.000
Cost/Valuation														
Balance at the beginning of the year	901,057	18,875,833	21,867,369	58,042,850	567,782	71,404,921	3,508,542	9,235,153	62,479	1,846,139	54,473,522	32,646,214	273,431,661	237,084,680
On Acquisition of subsidiary	-	6,126,771	-	24,486,955	-	19,965,525	359,985	2,726,941	-	780,257	488,336	6,051,812	60,986,583	37,311,466
Disposal of Subsidiaries	-	-	-	-	-	-	-	-	-	-	-	(3,116)	(3,116)	(804,472)
Additions	-	49,490	-	1,440,729	25,685	1,830,054	235,351	254,186	-	88,660	462,427	12,811,071	17,197,653	11,031,004
Revaluation	-	6,128,142	2,716,570	4,581,648	-	21	-	487,071	11,064	-	51,664	-	13,976,180	162,348
Disposals/ Derecognitions	-	-	-	(415,345)	-	(1,071,636)	(220,472)	(760,606)	-	(14,901)	(376)	-	(2,483,337)	(230,402)
Impairment Losses	-	-	-	(58,587)	-	-	-	(330,320)	-	-	(5,023)	(3,725)	(997,654)	-
Transfers from/(to) PPE/ WIP/ROU	(18,349)	-	-	(352,690)	576	926,291	(12,377)	(140,980)	(9,031)	48,310	76,317	(3,474,625)	(2,956,558)	(342,072)
Transfers from/(to) Investment	-	-	-	-	-	-	-	-	-	-	-	-	(10,000)	206,402
Properties	-	(10,000)	-	-	-	-	-	-	-	-	-	-	(10,000)	206,402
Exchange Translation Difference	-	(48,300)	(385,413)	(88,612)	-	(1,672,105)	(7,350)	107,942	-	15,759	(1,010,980)	(510,788)	(3,599,850)	(10,987,295)
Balance at the end of the year	882,707	31,121,936	24,198,526	87,636,747	594,044	91,383,070	3,863,679	11,579,387	64,512	2,764,225	54,535,889	47,516,841	356,141,561	273,431,661
Accumulated Depreciation														
Balance at the beginning of the year	859,067	-	-	5,852,569	399,946	26,976,166	1,995,068	6,868,195	17,204	1,333,264	33,509,166	-	77,810,644	62,954,897
On Acquisition of subsidiary	-	3	-	2,187,241	-	11,414,058	264,829	2,243,301	-	506,073	22	-	16,615,527	14,008,983
Charge for the year	11,612	-	545,765	1,468,526	30,671	2,314,118	340,546	332,994	4,649	244,184	1,087,964	-	6,381,029	3,911,804
Disposal of Subsidiaries	-	-	-	-	-	-	-	-	-	-	(6)	-	(6)	(315,189)
Disposals	-	-	-	(351,507)	-	(842,239)	(211,447)	(655,292)	354	(14,779.91)	(10)	-	(2,074,921)	(152,357)
On Revaluation	-	-	(373,927)	(1,809,747)	-	19	-	(201,174)	(11,627)	-	(76,599)	-	(2,473,055)	-
Impairment Losses	-	-	-	(67,135)	-	(8,306)	(423)	9,302	-	(706)	-	-	(67,268)	-
Transfers	(9,274)	-	-	(21,258)	576	(56,433)	(128)	(165,924)	(6,565)	128	68,511	-	(190,365)	97,854
Exchange Translation Difference	-	-	(20,947)	41,122	-	(41,711)	1,456	69,726	-	18,007	(616,218)	-	(548,565)	(2,685,348)
Balance at the end of the year	861,405	3	150,891	7,299,811	431,194	39,755,673	2,389,901	8,501,127	4,014	2,086,171	33,972,830	-	95,453,020	77,810,645
Carrying Value														
As at 31st March 2025	21,302	31,121,933	24,047,635	80,336,936	162,850	51,627,398	1,473,778	3,078,260	60,497	678,054	20,563,058	47,516,841	260,688,541	
As at 31st March 2024	41,990	18,875,833	21,867,369	52,190,081	167,836	44,428,755	1,513,474	2,366,958	45,275	512,876	20,964,356	32,646,214	195,621,016	

11.1.1 The fully depreciated Property, Plant and Equipment of the group, which are still in use as at the reporting date is Rs. 38,140 Mn (2023/24 - Rs. 31,882 Mn) and of the company which are still in use as at the reporting date is Rs 970 Mn (2023/24 - Rs. 579 Mn)

11.1.2 During the year the group capitalised borrowing cost amounting to Rs. 5,605 Mn (2023/24 - Rs. 1,105 Mn).

11.1.3 As at the reporting date, the Group had no idle property, plant and equipment, and no items had been retired from active use. There were no restrictions on the title of property, plant and equipment, nor were any items pledged as security other than those disclosed in Note 32 to these financial statements. Further, no compensation was received during the year from third parties for items of property, plant and equipment that were impaired, lost, or disposed of.

NOTES TO THE FINANCIAL STATEMENTS

11 PROPERTY, PLANT AND EQUIPMENT (CONTD.)

11.2 Property, Plant and Equipment - Company

As at 31st March,	Freehold Land	Freehold Buildings	Buildings on leasehold land	Plant and Machinery	Furniture and Office Equipment	Freehold Motor Vehicles	Computers	Capital Work-in-progress (Note - 11.6)	Total 2025	Total 2024
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Cost/Valuation										
Balance at the beginning of the year	2,882,050	228,027	420,658	133,657	202,170	118,691	190,380	104	4,175,736	4,221,281
Additions	49,490	7,566	25,685	24,139	30,606	19,025	20,958	2,324	179,793	194,317
On Revaluation	106,510	24,829	-	-	-	(362)	-	-	130,978	-
Transfers	(10,000)	-	-	-	-	(11,078)	-	(2,428)	(23,506)	(220,778)
Disposals	-	-	-	(3,708)	-	(14,125)	(124)	-	(17,957)	(19,084)
Balance at the end of the year	3,028,050	260,422	446,343	154,088	232,777	112,152	211,214	-	4,445,043	4,175,736
Accumulated Depreciation										
Balance at the beginning of the year	-	11,965	345,337	79,472	141,053	77,267	119,701	-	774,795	653,784
Charge for the year	-	5,911	22,287	15,457	21,660	22,274	32,445	-	120,033	134,336
On Disposals	-	-	-	(692)	-	(2,625)	(124)	-	(3,441)	(13,325)
Transfers	-	-	-	-	-	(11,078)	-	-	(11,078)	-
On Revaluation	-	(9,985)	-	-	-	(71,530)	-	-	(81,515)	-
Balance at the end of the year	-	7,891	367,624	94,237	162,713	14,308	152,021	-	798,794	774,795
Carrying Value										
As at 31st March 2025	3,028,050	252,532	78,719	59,851	70,064	97,843	59,192	-	3,646,249	-
As at 31st March 2024	2,882,050	216,062	75,321	54,185	61,117	41,424	70,679	104	3,400,941	-

11.3 The carrying value of the company's land and building that would have been recognised had the assets been carried out under cost model amounts to Rs. 3,281 Mn.

Land and Buildings	2025 Rs.000
Cost	3,288,472
Accumulated depreciation	7,891
Net book amount	3,280,581

11.4 Property, Plant and Equipment - Group

11.4.1 Revaluation of Land and Buildings

Details of Group's land and building stated at valuation are indicated below;

Company	Property	Effective Date of Valuation	Total Land Extent	Main Building Sq.Ft.	Land and Building Rs.000
Brown & Company PLC	Land & Building At No. 75, Devanampiyatissa Mawatha, Colombo-10	31st March 2025	A0-R3-P39.7	33,090	2,572,757
Brown & Company PLC	Land & Building At Dambulla	31st March 2025	A0-R3-P00	3,842	388,025
Brown & Company PLC	Land At Palle Bogala, Kegalle	31st March 2025	A0-R1-P16.5	-	800
Brown & Company PLC	Land & Building At Ranala	31st March 2025	A0-R3-P27.25	13,534	218,000
Brown & Company PLC	Land No 25/366, 3rd Lane, Dharmapala Mawatha , Pamburana, Matara .	31st March 2025	A0-R0-P18.50	-	101,000
Dolphin Hotels PLC	Land & Building At Waikkal	31st March 2025	A15- R3 -P27	231,254	3,951,200
Frontier Capital Lanka (Pvt) Ltd.	Land & Building At Lantern Boutique Hotel Mirissa	31st March 2025	A0-R1-P30.80	10,069	378,800
Frontier Capital Lanka (Pvt) Ltd.	Land At Lantern Boutique Hotel at Kamburugamuwa	31st March 2025	A0-R1-P5.24	-	136,000
Frontier Capital Lanka (Pvt) Ltd.	Land & Building At Ubuntu 1 Beach Villa at Mirissa	31st March 2025	A0-R1-P34	9,283	402,000
Frontier Capital Lanka (Pvt) Ltd.	Land & Building At Ubuntu 1 Beach Villa 2 at Mirissa	31st March 2025	A0-R1-P38.40	9,283	415,000
Sansun Boutique Hotels Ltd.	Land & Building At Pothana in Dambulla	31st March 2025	A53-R1-P09	61,546	1,336,540
Hotel Sigiriya PLC	Building At Sigiriya	31st March 2025	-	68,167	645,671
Maturata Plantations Limited.	Building	31st March 2025	-	-	156,372
Browns Properties (Pvt) Ltd.	Building No.19,Dudley Senanayake Mw,Colombo 08	31st March 2025	-	-	1,298,588
Samudra Beach Resorts (Pvt) Ltd.	Land & Building At Okade Road, Kosgoda	31st March 2025	A5-R1-P00.50	244,126	8,660,000
Samudra Beach Resorts (Pvt) Ltd.	Land & Building At Okade Road, Kosgoda	31st March 2025	A0-R1-P17.00	900	29,500
Samudra Beach Resorts (Pvt) Ltd.	Land & Building At Okade Road, Kosgoda	31st March 2025	A0-R0-P15.70	1,730	28,500
Samudra Beach Resorts (Pvt) Ltd.	Land & Building At Okade Road, Kosgoda	31st March 2025	A0-R1-P32	280	104,000

NOTES TO THE FINANCIAL STATEMENTS

11 PROPERTY, PLANT AND EQUIPMENT (CONTD.)

11.4 Property, Plant and Equipment - Group (Contd.)

11.4.1 Revaluation of Land and Buildings (Contd.)

Company	Property	Effective Date of Valuation	Total Land Extent	Main Building Sq.Ft.	Land and Building Rs.000
Samudra Beach Resorts (Pvt) Ltd.	Land At Okade Road, Kosgoda	31st March 2025	A0-R1-P10.50	-	38,000
Samudra Beach Resorts (Pvt) Ltd.	Land At Okade Road, Kosgoda	31st March 2025	A0-R01-P16.30	-	50,000
Samudra Beach Resorts (Pvt) Ltd.	Land At Okade Road, Kosgoda	31st March 2025	A0-R0-P44.00	-	46,000
Samudra Beach Resorts (Pvt) Ltd.	Land At Okade Road, Kosgoda	31st March 2025	A0-R0-P09.90	-	12,000
Samudra Beach Resorts (Pvt) Ltd.	Land At Okade Road, Kosgoda	31st March 2025	A0-R3-P6.50	-	323,000
Palm Garden Hotels PLC	Land Area Fronting at Galle Road	31st March 2025	A2-R1-P27	-	774,000
Palm Garden Hotels PLC	Land At Middle Area Galle Road	31st March 2025	A8-R0-P11.69	-	2,389,000
Palm Garden Hotels PLC	Land Area with Beach Frontage at Galle Road	31st March 2025	A7-R2-P0	-	3,000,000
Serendib Hotels PLC	Land & Building At Bentota	31st March 2025	A0-R0-P20	98,829	1,015,831
Browns Engineering & Construction (Pvt) Ltd.	Land At Battaramulla	31st March 2025	A0-R1-P36.33	-	1,445,900
Browns Engineering & Construction (Pvt) Ltd.	Building At Sapugaskanda	31st March 2025	-	16,216	679,891
Newburgh Green Teas (Pvt) Ltd.	Building	31st March 2025	-	-	5,617
Browns Metal and Sands (Pvt) Ltd.	Land & Building At Neboda Village Dodangoda	31st March 2025	A198-R0-P12.8	2,369	372,000
Dikwella Resort (Pvt) Ltd.	Land & Building At Batheegama, Dickwella	31st March 2025	A6-R2-P3.93	96,648	3,587,050
Dikwella Resort (Pvt) Ltd.	Land At Batheegama, Dickwella	31st March 2025	A1-R3-P29.25	-	309,000
BI Commodities and Logistics (Pvt) Ltd.	Land At Hendala, Wattala	31st March 2025	A3-R0-P30	-	442,534
BI Commodities and Logistics (Pvt) Ltd.	Building At Hendala, Wattala	31st March 2025	-	24,050	103,172
Green Paradise (Pvt) Ltd.	Land & Building At Dambulla	31st March 2025	A11-R0-P13.27	103,866	2,471,000
Browns Ari Resort (Pvt) Ltd.	Reclaimed Land At South Ari Atoll in Republic of Maldives	31st March 2025	69,550 sqm	-	18,886,052
Bodufaru Beach Resort (Pvt) Ltd.	Reclaimed Land At North Male Atoll in Maldives	31st March 2025	299,000 sqm	-	14,972,127
Browns Raa Resort (Pvt) Ltd.	Reclaimed Land At Raa atoll in Republic of Maldives	31st March 2025	52,500 sqm	-	1,477,295

Company	Property	Effective Date of Valuation	Total Land Extent	Main Building Sq.Ft.	Land and Building Rs.000
Sunbird Bioenergy (SL) Limited.	Land & Building Sierra Leone	31st March 2025	23,500 ha	257,110	1,519,990
Browns Investments PLC	Land At Hiddaruwa, Kosgoda	31st March 2025	A0-R1-P36.7	-	61,000
Sun & Fun Resorts Ltd.	Building At Pasikuda Village, Kalkuda	31st March 2025	-	109,240	1,782,000
Tropical Villas (Pvt) Ltd.	Land At Moragalle, Beruwala	31st March 2025	A2-R1-P27	-	696,000
Browns Leisure (Pvt) Ltd.	Building At Kotmalgama, Katukitula, Pussellawa	31st March 2025	-	29,324	279,500
Browns Leisure (Pvt) Ltd.	Building Ayr bungalow, Bope village, Padukka	31st March 2025	-	15,337	260,500
Eden Hotels Lanka PLC	Land & Building At Kaluwamodara, Aluthgama	31st March 2025	A6-R1-P25.82	237,571	6,380,000
Tropical Island Commodities (Pvt) Ltd.	Land & Building At Kamburugoda, Bandaragama	31st March 2025	A0-R0-P16	1,200	98,000
Tropical Island Commodities (Pvt) Ltd.	Land At Ethkandura, Kurundugaha Hathapma	31st March 2025	A0-R1-P39.5	-	12,000
Tropical Island Commodities (Pvt) Ltd.	Land At Aluthwala, Baddegama	31st March 2025	A0-R3-P14	-	33,500
Browns Piling (Pvt) Ltd.	Land At Hanwella	31st March 2025	A5-R0-P26	-	229,000
Sierra Cables PLC	Land and Buildings At Galwarusa Road, Korathota, Kaduwela.	31st March 2025	A11-R1-P05	177,387	2,323,883
Sierra Cables PLC	Land and Buildings At Kananvila Village, Horana	31st March 2025	A0-R1-P18	6,950	37,610
Mahaweli Agro Trading (Pvt) Ltd.	Building At Sandunpura, Dehiattakandiya	31st March 2025	-	41,600	101,390
Agstar PLC	Land & Building At Puliyankulama Village in Anuradhapura	31st March 2025	A3-R2-P19.22	59,894	552,000
Agstar PLC	Land & Building At No.93, Minuwangoda Road, Ekala	31st March 2025	A8-R3-P19.55	190,988	3,185,860
Agstar PLC	Land & Building At Dambulla Matale Road at Panampitiya Village	31st March 2025	A0-R1-P23.75	8,645	76,000
Agstar PLC	Building At No-2012/Thama/05 Habarana Polonnaruwa road at Bendiwewa	31st March 2025	-	14,300	108,000
Udapussellawa Plantations PLC	Building	31st March 2025	-	2,049,844	190,735
Hapugastenne Plantation PLC	Building	31st March 2025	-	4,596,022	235,947

NOTES TO THE FINANCIAL STATEMENTS

11 PROPERTY, PLANT AND EQUIPMENT (CONTD.)

11.4 Property, Plant and Equipment - Group (Contd.)

11.4.1 Revaluation of Land and Buildings (Contd.)

Company	Property	Effective Date of Valuation	Total Land Extent	Main Building Sq.Ft.	Land and Building Rs.000
PL Resorts Limited.	Building	31st March 2025	-	8,556.60 Sq.m	2,353,433
LOLC Investment Holding Four (Pvt) Ltd.	Land At Thambiliyana Kuruwita	*Cost	A3-R0-P16	-	15,700
Browns Plantations Kenya Ltd	Land and Buildings Kenya	31st December 2023	A-26628		14,987,811
Browns Plantations East Africa Ltd	Land and Buildings Kenya	31st July 2024			14,256,706
Browns Plantations Tanzania Ltd	Land and Buildings Tanzania	31st December 2024			3,805,879
Browns Plantations Rwanda Ltd	Buildings Rwanda	31st July 2024	-		1,715,913
Browns Plantations (Guizhou) Tea Co., Ltd.	Buildings China	31st July 2024	-		374,564
Limiru PLC	Land and Buildings Kenya	31st July 2024			3,824,362
ISIN Lanka (Pvt) Ltd.	Land & Building At Rahula Road, Andiambalama, Katunayake	31st March 2025	A8-R2-P28.16	186,623	2,787,000
					135,506,505

The above land and buildings have been revalued by qualified valuers, who hold recognised and relevant professional qualifications and have recent experience in the location and category of the revalued properties on the basis of current market value method of valuation.

In determining the fair value, the current condition of the properties, future usability and market evidence of transaction prices for similar properties are considered on the basis of current market value method of valuation.

Land and buildings are considered under Level 03 of the fair value hierarchy.

Significant unobservable inputs used as follows;

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Land and Buildings				
Brown & Company PLC	DCC/CM	Rs.800,000 - Rs.15,465,000	Rs.3,000-Rs.15,000	Positive
Dolphin Hotels PLC	DCC/CM	Rs.600,000	Rs. 3,000 - Rs.18,000	Positive
Frontier Capital Lanka (Pvt) Ltd.	DCC/CM	Rs.3,000,000	Rs.6,000-Rs.25,000	Positive
Sansun Boutique Hotels Ltd	DCC/CM	Rs.45,000-Rs.73,400	Rs.3,800-Rs.25,000	Positive
Hotel Sigiriya PLC	CM	-	Rs.500-Rs.20,000	Positive
Samudra Beach Resorts (Pvt) Ltd.	DCC/CM	Rs.500,000-Rs.1,700,000	Rs.3,500-Rs.32,000	Positive
Palm Garden Hotels PLC	DCC	Rs.1,850,000-Rs.2,500,000	-	Positive
Serendib Hotels PLC	DCC/CM	Rs.500,000	Rs.3,000-Rs.21,000	Positive
Browns Engineering & Construction (Pvt) Ltd.	DCC/CM	Rs.18,942,000	Rs.3,000-Rs.5,000	Positive
Browns Metal and Sands (Pvt) Ltd.	DCC/CM	Rs.1,300,000-Rs.2,200,000	Rs.2,000-Rs.2,500	Positive
Dikwella Resort (Pvt) Ltd.	DCC/CM	Rs.1,000,000-Rs.2,200,000	Rs.1000-Rs.27,000	Positive
BI Commodities and Logistics (Pvt) Ltd.	DCC/CM	Rs.850,000	Rs.1,000-Rs.8,000	Netagtive
Green Paradise (Pvt) Ltd.	DCC/CM	Rs.350,000	Rs.9,000-Rs.30,000	Positive
Browns Investments PLC	DCC/CM	Rs.800,000-Rs.1,200,000		Positive
Sun & Fun Resorts Ltd.	CM	-	Rs.4,000-Rs.23,000	Positive
Tropical Villas (Pvt) Ltd.	DCC	Rs.1,800,000	-	Positive
Browns Leisure (Pvt) Ltd.	CM	-	Rs.2,000-Rs.22,500	Positive
Eden Hotels Lanka PLC	DCC/CM	Rs.1,000,000-Rs.2,500,000	Rs.1,000-Rs.27,000	Positive
Tropical Island Commodities (Pvt) Ltd.	DCC/CM	Rs.150,000-Rs.700,000	Rs.6,500	Positive
Browns Piling (Pvt) Ltd.	DCC	Rs.450,000-Rs.650,000	-	Positive
Agstar PLC	DCC/CM	Rs.300,000-Rs.1,200,000	Rs.2,000-Rs.25,000	Positive
Mahaweli Agro Trading (Pvt) Ltd.	CM	-	Rs.3,300-Rs.8,000	Positive
Sierra Cables PLC	DCC/CM	Rs.200,000 -850,000	Rs. 250 -Rs.9,500	Positive

Summary description of valuation methodologies;

Open market value method (OMV)

Open market value method uses prices and other relevant information generated by market transactions involving identical or comparable assets, liabilities or a group of assets and liabilities, such as a business.

Direct capital comparison method (DCC)

This method may be adopted when the rental value is not available from the property concerned, but there are evidences of sale price of properties as a whole. In such cases, the capitalised value of the property is fixed by direct comparison with capitalised value of similar property in the locality.

Contractors method (CM)

The replacement cost (contractor's) method is used to value properties which do not generally exchange on the open market and for which comparable evidence therefore does not exist. The valuations are based on two components: the depreciated cost of the building element and the market value of the land. Current building costs and often the land price will be established by comparison.

Investment method (IM)

The investment method is used to value properties which are let to produce an income for the investor. Conventionally, investment value is a product of rent and yield. Each of these elements is derived using comparison techniques.

NOTES TO THE FINANCIAL STATEMENTS

11 PROPERTY, PLANT AND EQUIPMENT (CONTD.)

11.5 Property, Plant and Equipment - Company

11.5.1 Revaluation of Land and Buildings - Company

Property	Effective Date of Valuation	Total Land Extent	Main Building Sq.Ft.	Carrying Value of Land & Building Rs.000	No of Buildings
Land & Building At No. 75, Devanampiyatissa Mawatha, Colombo-10	31st March 2025	A0-R3-P39.7	33,090	2,572,757	1
Land & Building At Dambulla	31st March 2025	A0-R3-P00	3,842	388,025	1
Land At Palle Bogala, Kegalle	31st March 2025	A0-R1-P16.5	-	800	-
Land & Building At Ranala	31st March 2025	A0-R3-P27.25	13,534	218,000	5
Land At No 25/366, 3rd Lane, Dharmapala Mawatha , Pamburana, Matara.	31st March 2025	A0-R0-P18.50	-	101,000	-
				3,280,582	7

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Land and Building				
Brown & Company PLC	DCC/CM	Rs.800,000 - Rs.15,465,000	Rs.3,000-Rs. 15,000	Positive

11.5.2 Summary description of valuation methodologies;

Open market value method (OMV)

Open market value method uses prices and other relevant information generated by market transactions involving identical or comparable assets, liabilities or a group of assets and liabilities, such as a business.

Direct capital comparison method (DCC)

This method may be adopted when the rental value is not available from the property concerned, but there are evidences of sale price of properties as a whole. In such cases, the capitalised value of the property is fixed by direct comparison with capitalised value of similar property in the locality.

Contractors method (CM)

The replacement cost (contractor's) method is used to value properties which do not generally exchange on the open market and for which comparable evidence therefore does not exist. The valuations are based on two components: the depreciated cost of the building element and the market value of the land. Current building costs and often the land price will be established by comparison.

Investment method (IM)

The investment method is used to value properties which are let to produce an income for the investor. Conventionally, investment value is a product of rent and yield. Each of these elements is derived using comparison techniques.

11.6 Capital Work in Progress

Capital Work in Progress includes the construction of capital assets which mainly consists of buildings and plant & machinery.

12 RIGHT OF USE ASSETS

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Balance at the beginning of the year	65,605,337	33,160,603	248,343	296,110
Additions	269,378	441,632	17,839	12,010
Amortisation expense	(1,488,977)	(1,066,870)	(58,442)	(60,001)
Transferred to Property, Plant and Equipment	(60,644)	(302,738)	-	-
Acquisition of Subsidiaries	88,666,781	31,529,470	-	-
Reversal on Disposal	1,863	(62,847)	-	-
Other Adjustments	969,969	4,759,208	(4,340)	224
Revaluation gain during the year	6,922,670	-	-	-
Exchange difference	(1,741,292)	(2,853,121)	-	-
As at 31st March	159,145,085	65,605,337	203,401	248,343

12.1 Right-of-Use-Assets of the Group Include the Following

As at 31st March	2025 Rs.000
Land	158,528,519
Buildings	533,775
Vehicles	43,162
Machinery	39,629
	159,145,085

The above Right of use asset land and buildings have been revalued by qualified valuers, who hold recognised and relevant professional qualifications and have recent experience in the location and category of the revalued properties on the basis of current market value method of valuation.

In determining the fair value, the current condition of the properties, future usability and market evidence of transaction prices for similar on the basis of current market value method of valuation.

NOTES TO THE FINANCIAL STATEMENTS

13 INVESTMENT PROPERTIES

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Balance at the beginning of the year	126,202,988	111,248,257	20,152,400	19,073,660
Additions	63,147	52,747	7,093	37,326
Acquisitions	-	1,366,618	-	-
Disposals	-	(143,965)	-	-
Transfers from Property, Plant and Equipment	10,000	(206,402)	10,000	-
Reversal on disposal	-	(444,131)	-	-
Change in Fair Value	2,109,303	13,492,767	16,957	1,041,414
Exchange difference	53,209	837,097	-	-
Balance at the end of the year	128,438,647	126,202,988	20,186,450	20,152,400

13.1 Income Earned from Investment Properties

For the year ended 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Rental income	1,041,311	579,446	85,038	79,272
Direct Operating expenses	(33,244)	(106,877)	-	-

13.2 Details of Investment Properties

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Owned properties	32,335,647	31,847,988	19,312,450	19,304,400
Properties held under operating leases	96,103,000	94,355,000	874,000	848,000
	128,438,647	126,202,988	20,186,450	20,152,400

13.3 Investment Properties of the Group Include the Following

Company	Property	Effective Date of Valuation	Total Land Extent	Land Rs.000	Buildings Rs.000
Brown & Company PLC	Land & Building At No. 481, T.B. Jayah Mawatha, Colombo-10	31st March 2025	A1-R2-P3.20	5,350,000	1,077,000
Brown & Company PLC	Land At Dunbar Rd, Dumburugiriya, Hatton	31st March 2025	A1-R1-P0	82,450	-
Brown & Company PLC	Land At Negombo-Divulapitiya Road, Demanhandiya	31st March 2025	A25-R1-P15	406,000	-
Brown & Company PLC	Land At Main Street, Ambalantota	31st March 2025	A0-R1-P24.8	168,000	-
Brown & Company PLC	Land At Glennie Street, Colombo-02	31st March 2025	A0-R2-P18.59	2,465,000	-
Brown & Company PLC	Land At T.B. Jayah Mawatha, Colombo-10	31st March 2025	A2-R3-P11.41	9,720,000	44,000
Brown & Company PLC	Land & Building At Orugodawatta	31st March 2025	A1-R0-P6.77	812,000	62,000
S. F. L. Services (Pvt) Ltd.	Land At Glennie Street, Colombo-02	31st March 2025	A0-R0-P30.50	808,000	-
S. F. L. Services (Pvt) Ltd.	Land At Malabe Rd, Malabe	31st March 2025	A0-R2-P33.50	381,000	-
Browns Group Industries (Pvt) Ltd.	Land At Shantha Sebastian Mw, Mudungoda, Kadawatha	31st March 2025	A0-R1-P25	40,000	-
Browns Industrial Park Ltd.	Land & Building At Gonawila, Markandura	31st March 2025	A21-R2-P19.80	386,000	2,406,000
Millennium Development (Pvt) Ltd.	Land & Building At No.381, T.B. Jayah Mawatha, Colombo-10	31st March 2025	A5-R2-P17.17	5,279,000	367,000
Browns Properties (Pvt) Ltd.	Land & Building At No.19, Dudley Senanayake Mawatha, Colombo-08	31st March 2025	A0-R1-P9.5	1,039,000	628,876
Browns Properties (Pvt) Ltd.	Land At No.05, Summer Place, Colombo 08.	31st March 2025	A0-R0-P33.75	439,000	-
Browns Investments PLC	Land At Kuchchaveli, Trincomalee	31st March 2025	A5-R0-P14.5	171,000	-
Browns Investments PLC	Land At Nos.781 & 781/2, Nalluruwa, Panadura	31st March 2025	A0-R1-P38.32	235,000	-
Browns Investments PLC	Land At No.328, Kaduwela Rd, Malabe	31st March 2025	A0-R2-P5.05	553,000	-

NOTES TO THE FINANCIAL STATEMENTS

13 INVESTMENT PROPERTIES (CONTD.)

13.3 Investment Properties of the Group Include the Following (Contd.)

Company	Property	Effective Date of Valuation	Total Land Extent	Land Rs.000	Buildings Rs.000
Browns Investments PLC	Land At Egoda Uyana, Moratuwa	31st March 2025	A1-R0-P32.75	347,000	-
Browns Investments PLC	Land & Building At "Nadungahalanda", Dampe, off Diggala Piliyandala road, Kesbewa	31st March 2025	A3-R0-P5	815,000	39,000
Browns Investments PLC	Land & Building At Pahala Yagoda, Gampaha	31st March 2025	A0-R1-P4.50	25,000	9,200
Browns Investments PLC	Land At Sunethradevi Road, Kohuwala	31st March 2025	A0-R2-P1.81	368,000	-
Browns Investments PLC	Land & Building At Batawala Road, Meegoda, Homagama	31st March 2025	A2-R3-P12.9	172,000	102,000
Browns Hotels & Resorts Ltd.	Land At Duwemodara, Kosgoda	31st March 2025	A1-R0-P16.98	122,000	-
Browns Piling (Pvt) Ltd	Land At Waththala, Gampaha	31st March 2025	A0-R1-P25.66	85,000	-
Agstar PLC	Land & Building At Bawa Place, Colombo 08	31st March 2025	0A-0R-16.32P	220,000	50,000
Browns Developments Ltd.	Land & Building At Havelock Road, Colombo 05	31st March 2025	A0-R1-P16.40	1,128,000	3,681,000
Ceylon Real Estate Holdings (Pvt) Ltd.	Land At Port City, Colombo	31st March 2025	A7-R2-P11.01	37,231,000	-
Colombo Marina Development (Pvt) Ltd.	Land At Port City, Colombo	31st March 2025	A7-R2-P16.79	34,497,000	-
Marina Hotel Holdings (Pvt) Ltd.	Land At Port City, Colombo	31st March 2025	A3-R0-P34.21	15,063,000	-
Browns Plantations Kenya Ltd.	Building Kenya	31st March 2025	-	-	1,565,122
Group Total				118,407,449	10,031,198

The fair value of the above investment property was determined based on an independent valuation carried out by Mr. W. M. Chandrasena, Chartered Valuation Surveyor, and Mr. C. U. Suwandarathna, who possess experience in valuing properties in similar locations on the basis of current market value method of valuation. Investment Property is appraised in accordance with LKAS 40 - "Investment Property" and International Valuation Standards published by the Royal Institute of Chartered Surveyors (RICS), by an Independent Valuer.

In determining the fair value, the current condition of the properties, future usability and associated re-development requirements have been considered. Also, the Valuer has made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are rounded within the range of values.

Investment Properties are considered under Level 3 of the fair value hierarchy.

Significant unobservable inputs used as follows;

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Land and Building				
Brown & Company PLC	DCC / CM	Rs.50,000 - Rs.25,000,000	Rs.9,000 - Rs.20,000	Positive
S. F. L. Services (Pvt) Ltd.	DCC	Rs.2,500,000 - Rs.26,500,000	-	Positive
Browns Group Industries (Pvt) Ltd.	DCC	Rs.620,000	-	Positive
Browns Industrial Park Ltd.	DCC / CM	Rs.250,000	Rs.800 - Rs.18,400	Positive
Millennium Development (Pvt) Ltd.	DCC / CM	Rs.16,500,000	Rs.2,000 - Rs.7,300	Positive
Browns Properties (Pvt) Ltd.	DCC / CM	Rs.13,000,000 - Rs.21,000,000	Rs.27,000	Positive
Browns Investments PLC	DCC / CM	Rs.210,000 - Rs.6,500,000	Rs.2,800 - Rs.8,500	Positive
Browns Hotels & Resorts Ltd.	DCC	Rs.120,000 - Rs.750,000	-	Positive
Eden Hotel Lanka PLC	DCC	Rs.1,000,000 - Rs.1,500,000	-	Positive
Agstar PLC	DCC / CM	Rs.13,500,000	Rs.12,000	Positive
Browns Developments Ltd.	DCC / CM	Rs.20,000,000	Rs.20,000 - Rs.30,500	Positive
Ceylon Real Estate Holdings (Pvt) Ltd.	DCC	Rs.32,520,000	-	Positive
Colombo Marina Development (Pvt) Ltd.	DCC	Rs.30,000,000	-	Positive
Marina Hotel Holdings (Pvt) Ltd.	DCC	Rs.31,000,000	-	Positive

13.3.1 Summary description of valuation methodologies;

Open market value method (OMV)

Open market value method uses prices and other relevant information generated by market transactions involving identical or comparable assets, liabilities or a group of assets and liabilities, such as a business.

Direct capital comparison method (DCC)

This method may be adopted when the rental value is not available from the property concerned, but there are evidences of sale price of properties as a whole. In such cases, the capitalised value of the property is fixed by direct comparison with capitalised value of similar property in the locality.

Contractors method (CM)

The replacement cost (contractor's) method is used to value properties which do not generally exchange on the open market and for which comparable evidence therefore does not exist. The valuations are based on two components: the depreciated cost of the building element and the market value of the land. Current building costs and often the land price will be established by comparison.

Investment method (IM)

The investment method is used to value properties which are let to generate an income for the investor. Conventionally, investment value is a product of rent and yield. Each of these elements is derived using comparison techniques.

NOTES TO THE FINANCIAL STATEMENTS

13 INVESTMENT PROPERTIES (CONTD.)

13.4 Summary of Investment Properties - Group

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
Land	118,407,449	116,735,270
Buildings	10,031,198	9,467,718
	128,438,647	126,202,988

13.5 Investment Properties of the Company Include the Following

Company	Property	Effective Date of Valuation	Total Land Extent	Land Rs.000	Buildings Rs.000	No of Buildings in Each Location
Brown & Company PLC.	Land & Building At No. 481, T.B. Jayah Mawatha, Colombo-10	31st March 2025	A1-R2-P3.20	5,350,000	1,077,000	5
Brown & Company PLC.	Land At Dunbar Rd, Dumburugiriya, Hatton	31st March 2025	A1-R1-P0	82,450	-	-
Brown & Company PLC.	Land At Negombo-Divulapitiya Road, Demanhandiya	31st March 2025	A25-R1-P15	406,000	-	-
Brown & Company PLC.	Land At Main Street, Ambalantota	31st March 2025	A0-R1-P24.8	168,000	-	-
Brown & Company PLC.	Land At Glennie Street, Colombo-02	31st March 2025	A0-R2-P18.59	2,465,000	-	-
Brown & Company PLC.	Land At T.B. Jayah Mawatha, Colombo-10	31st March 2025	A2-R3-P11.41	9,720,000	44,000	3
Brown & Company PLC.	Land & Building At Orugodawatta	31st March 2025	A1-R0-P6.77	812,000	62,000	1
				19,003,450	1,183,000	9

Significant unobservable inputs used as follows;

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Land and Building				
Brown & Company PLC	DCC / CM	Rs.50,000 - Rs.25,000,000	Rs.9,000 - Rs.20,000	Positive

13.5.1 Summary description of valuation methodologies;

Open market value method (OMV)

Open market value method uses prices and other relevant information generated by market transactions involving identical or comparable assets, liabilities or a group of assets and liabilities, such as a business.

Direct capital comparison method (DCC)

This method may be adopted when the rental value is not available from the property concerned, but there are evidences of sale price of properties as a whole. In such cases, the capitalised value of the property is fixed by direct comparison with capitalised value of similar property in the locality.

Contractors method (CM)

The replacement cost (contractor's) method is used to value properties which do not generally exchange on the open market and for which comparable evidence therefore does not exist. The valuations are based on two components: the depreciated cost of the building element and the market value of the land. Current building costs and often the land price will be established by comparison.

Investment method (IM)

The investment method is used to value properties which are let to produce an income for the investor. Conventionally, investment value is a product of rent and yield. Each of these elements is derived using comparison techniques.

13.6 Summary of Investment Properties - Company

As at 31st March	Company	
	2025 Rs.000	2024 Rs.000
Land	19,003,450	18,994,400
Buildings	1,183,000	1,158,000
	20,186,450	20,152,400

14 INTANGIBLE ASSETS

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Gross Value				
Balance at the beginning of the year	3,827,374	2,495,513	167,673	167,519
On Acquisition of Subsidiary	195,843	1,219,087	-	-
Disposals	(9,019)	-	-	-
Disposal of Subsidiaries	(196)	(1,666)	-	-
Additions/ Adjustments during the year	92,214	15,578	-	154
Exchange Difference	68,932	98,862	-	-
Balance at the end of the year	4,175,147	3,827,374	167,673	167,673
Amortisation and impairment				
Balance at the beginning of the year	1,700,062	738,786	159,280	147,233
Amortisation during the year	209,994	93,805	8,040	12,047
Disposals	(7,649)	-	-	-
On Acquisition of Subsidiary	25,936	815,434	-	-
Disposal of Subsidiaries	(196)	(1,326)	-	-
Exchange Difference	38,893	53,363	-	-
Balance at the end of the year	1,967,040	1,700,062	167,320	159,280
Carrying Value	2,208,107	2,127,311	353	8,393

NOTES TO THE FINANCIAL STATEMENTS

14 INTANGIBLE ASSETS (CONTD.)

14.1 Summary of Intangible Assets - Group

As at 31st March	2025				2024		
	Goodwill Rs.000	Software Rs.000	Brand value Rs.000	Total Rs.000	Goodwill Rs.000	Software Rs.000	Total Rs.000
Gross value							
Balance at the beginning of the year	1,650,183	2,177,191	-	3,827,374	1,650,183	845,330	2,495,513
Additions/ Adjustments during the year	-	42,214	50,000	92,214	-	15,578	15,578
Disposals	-	(9,019)	-	(9,019)	-	-	-
Acquisition of subsidiary	191,293	4,550	-	195,843	-	1,219,087	1,219,087
Disposal of Subsidiaries	-	(196)	-	(196)	-	(1,666)	(1,666)
Exchange Difference	-	68,932	-	68,932	-	98,862	98,862
Balance at the end of the year	1,841,476	2,283,671	50,000	4,175,147	1,650,183	2,177,191	3,827,374
Amortisation and impairment							
Balance at the beginning of the year	66,314	1,633,748	-	1,700,063	66,314	672,472	738,786
Amortisation during the year	-	209,994	-	209,994	-	93,805	93,805
Disposals	-	(7,649)	-	(7,649)	-	-	-
On Acquisition of Subsidiary	-	25,936	-	25,936	-	815,434	815,434
Disposal of Subsidiaries	-	(196)	-	(196)	-	(1,326)	(1,326)
Exchange Difference	-	38,893	-	38,893	-	53,363	53,363
Balance at the end of the year	66,314	1,900,726	-	1,967,040	66,314	1,633,748	1,700,063
Carrying Value	1,775,162	382,945	50,000	2,208,107	1,583,869	543,442	2,127,311

14.2 Summary of Intangible Assets - Company

As at 31st March	2025		2024	
	Software Rs.000	Total Rs.000	Software Rs.000	Total Rs.000
Gross value				
Balance at the beginning of the year	167,673	167,673	167,519	167,519
Additions/ Adjustments during the year	-	-	154	154
Balance at the end of the year	167,673	167,673	167,673	167,673
Amortisation and impairment				
Balance at the beginning of the year	159,281	159,281	147,233	147,233
Amortisation during the year	8,040	8,040	12,047	12,047
Balance at the end of the year	167,320	167,320	159,281	159,281
Carrying Value	353	353	8,393	8,393

14.3 Summary of Goodwill - Group

As at 31st March	Carrying Value	
	2025 Rs.000	2024 Rs.000
Klevenberg (Pvt) Ltd.	51,805	51,805
Browns Healthcare Negombo (Pvt) Ltd.	250	250
Browns Investments PLC	9,564	9,564
Ajax Engineers (Pvt) Ltd.	25,057	25,057
Excel Restaurants (Pvt) Ltd.	20,524	20,524
Browns Hotels & Resorts Ltd.	1,205,258	1,205,258
NPH Investments (Pvt) Ltd.	151,646	151,646
Gurind Accor (Pvt) Ltd.	8,490	8,490
Tropical Island Commodities (Pvt) Ltd.	111,276	111,276
ISIN Lanka (Pvt) Ltd.	6,926	-
Sierra Cables PLC	184,367	-
	1,775,162	1,583,869

- 14.4** Goodwill as at the reporting date has been tested for impairment and appropriate adjustments has been made for the impairment loss for the year.

The group tests whether goodwill has suffered any impairment on an annual basis. For the 2025 and 2024 reporting periods, the recoverable amount was determined based on value-in-use calculations which require the use of assumptions. The calculations use cash flow projections based on financial budgets approved by management covering a five-year period. Cash flows beyond the five-year period are extrapolated using the estimated growth rates stated below. These growth rates are consistent with forecasts included in industry reports specific to the industry in which each entity operates.

The key assumptions used are given below;

Business growth rate – Based on the long term average growth rate for each business unit.

Inflation rate – Based on current inflation rate.

Discount rate – Risk free rate adjusted for the specific risk relating to the industry.

- 14.5** Software with a finite life is amortised over the period of the expected economic benefit. As per the Group policy, software is amortised over 3 to 8 years.
- 14.6** The right to generate solar power represents the approvals and licenses obtained by Sagasolar Power (Pvt) Ltd. for the solar power project. The Company has obtained these approvals and right to generate solar power from the initial shareholders of the Company and these rights are amortised over 20 years.

NOTES TO THE FINANCIAL STATEMENTS

15 BEARER BIOLOGICAL ASSETS

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
On Finance Lease (Note 15.1)	15,629,662	6,352,353
Investments after formation of the Company (Note 15.2)	6,373,822	5,937,202
Growing Crop Nurseries (Note 15.3)	171,331	8,670
	22,174,816	12,298,225

As at 31st March	On Finance Lease Rs.000	Investments after formation of the Company Rs.000	Growing Crop Nurseries Rs.000	Total 2025 Rs.000	On Finance Lease Rs.000	Investments after formation of the Company Rs.000	Growing Crop Nurseries Rs.000	Total 2024 Rs.000
Cost	23,185,450	17,187,103	171,331	40,543,885	9,792,186	15,732,257	8,670	25,533,113
Accumulated amortisation	(7,555,788)	(10,813,281)	-	(18,369,069)	(3,439,833)	(9,795,055)	-	(13,234,888)
	15,629,662	6,373,822	171,331	22,174,816	6,352,353	5,937,202	8,670	12,298,225

15.1 On Finance Lease

As at 31st March	Mature Plantations Tea		Mature Plantations Rubber		Mature Plantations Coconut		Total	Total
	2025	2024	2025	2024	2025	2024	2025	2024
Cost								
Balance as at the beginning of the year	9,783,686	203,272	227	227	8,271	8,271	9,792,184	211,770
Additions	130,913	-	-	-	-	-	130,913	-
Disposals	(280,279)	(28,853)	(227)	-	-	-	(280,506)	(28,853)
Changes due to Business Combinations	13,598,980	8,684,562	-	-	-	-	13,598,980	8,684,562
Transfer in	293,289	-	-	-	-	-	293,287	-
Exchange Differences	(349,409)	924,705	-	-	-	-	(349,409)	924,705
Balance as at the end of the year	23,177,180	9,783,686	-	227	8,271	8,271	23,185,450	9,792,184
Accumulated Amortisation								
Balance as at the beginning of the year	3,431,333	197,935	227	227	8,271	8,030	3,439,831	206,192
Disposals	(161,919)	(27,914)	(227)	-	-	-	(162,146)	(27,914)
Charge for the year	380,426	86,094	-	-	-	241	380,426	86,335
Written off during the year	2,172	-	-	-	-	-	2,172	-
Changes due to Business Combinations	3,763,287	2,872,418	-	-	-	-	3,763,287	2,872,418
Exchange Differences	132,219	302,800	-	-	-	-	132,219	302,800
Balance as at the end of the year	7,547,518	3,431,333	-	227	8,271	8,271	7,555,788	3,439,831
Carrying amount								
As at 31st March 2025	15,629,662	6,352,353	-	-	-	-	15,629,662	
As at 31st March 2024	6,352,353	5,336	-	-	-	241	6,352,353	

15.2 Investments after formation of Subsidiaries

As at 31st March	Immature Plantations					Mature plantations					Total 2025 Rs.000	Total 2024 Rs.000
	Tea Rs.000	Rubber Rs.000	Coconut Rs.000	Mixed Crops Rs.000	Total Rs.000	Tea Rs.000	Rubber Rs.000	Coconut Rs.000	Mixed Crops Rs.000	Sugar Cane Rs.000	Total Rs.000	
Cost/Valuation												
Balance as at the beginning of the year	344,045	195,701	19,990	319,836	879,573	2,349,087	1,328,214	72,730	890,317	10,212,338	14,852,686	15,437,944
Additions	232,684	49,591	2,560	40,214	325,049	-	-	-	-	710,197	710,197	1,440,419
Disposals	(46,716)	(18,622)	(4,609)	-	(69,947)	-	-	-	-	-	-	(20,045)
Transfers	(96,117)	(34,118)	(5,421)	(184,400)	(320,056)	93,643	34,118	5,421	182,587	-	315,769	(182,586)
Acquisition of Subsidiaries	720,500	-	-	-	720,500	-	-	-	-	-	-	-
Exchange Differences	(37,401)	-	-	-	(37,401)	-	-	-	371	(189,635)	(189,264)	(943,474)
Balance as at the end of the year	1,116,994	192,553	12,520	175,650	1,497,718	2,442,730	1,362,332	78,151	1,073,275	10,732,900	15,689,387	15,732,257
Accumulated Depreciation												
Balance as at the beginning of the year	-	-	-	-	-	1,113,894	243,341	9,448	102,707	8,010,487	9,795,055	9,930,052
Charge for the year	-	-	-	-	-	71,433	62,779	1,662	35,908	998,359	1,170,142	620,480
Disposals	-	-	-	-	-	-	-	-	-	-	-	(8,229)
Exchange Differences	-	-	-	-	-	-	-	-	-	(151,916)	(151,916)	(747,247)
Balance as at the end of the year	-	-	-	-	-	1,185,327	306,120	11,110	138,615	8,856,930	10,813,281	9,795,055
Carrying amount												
As at 31st March 2025	1,116,994	192,553	12,520	175,650	1,497,718	1,257,403	1,056,212	67,041	934,660	1,875,970	4,876,106	6,373,822
As at 31st March 2024	344,045	195,701	19,990	319,836	879,573	1,235,192	1,084,873	63,282	787,610	2,201,852	5,057,631	5,937,202

NOTES TO THE FINANCIAL STATEMENTS

15 BEARER BIOLOGICAL ASSETS (CONTD.)

15.3 Growing Crop Nurseries

As at 31st March	2025			2024		
	Tea	Mixed Crops	Total	Tea	Mixed Crops	Total
Cost						
Balance as at the beginning of the year	8,670	-	8,670	1,855	91	1,946
Additions	795	-	795	6,815	-	6,815
Disposals/ Written off	-	-	-	-	(91)	(91)
Changes due to Business Combinations	170,744	-	170,744	-	-	-
Exchange Differences	(8,878)	-	(8,878)	-	-	-
Balance as at the end of the year	171,331	-	171,331	8,670	-	8,670

15.4 Amortisation/ Depreciation for the year recognised for bearer biological assets

For the year ended 31st March	2025 Rs.000	2024 Rs.000
On Finance Lease (15.1)	380,426	86,335
Investments after formation of the Company (15.2)	1,170,142	620,480
	1,550,568	706,815

These are investments in bearer biological assets carried at cost (Tea, Rubber, Coconut, Cinnamon and Mixed Crop) which comprises of immature/mature plantations since the formation of the Company. Further, investment in immature plantations taken over by way of leases are shown in this note. When such plantations become mature, the additional investments since, taken over to bring them to maturity will be reclassified from immature to mature under this note.

16 CONSUMABLE BIOLOGICAL ASSETS

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
Balance as at the beginning of the year	10,599,662	7,847,595
Increase due to new planting	24,858	45,956
Net increase/ (decrease) due to births/deaths (Growing Crop Nurseries)	(218)	(120)
Acquisition of subsidiary	4,971,146	1,755,067
Written off during the year	(4,270)	(133)
Decrease due to harvesting of timber trees	(251,002)	(315,673)
Change in fair value less estimated costs to sell	910,096	1,087,485
Exchange Differences	(121,657)	179,485
Balance as at the end of the year	16,128,615	10,599,662

16.1 Change in fair value less estimated costs to sell

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
Due to price changes	585,322	546,008
Due to physical changes	324,774	541,477
	910,096	1,087,485

16.1.1 The carrying value of Consumable biological assets as at the year end has been computed as follows;

As at 31st March	Notes	Group	
		2025 Rs.000	2024 Rs.000
Valuation of consumable biological assets		15,807,117	10,363,100
Carrying value of immature timber trees		318,160	233,007
Growing Crop Nurseries	16.1.2	3,338	3,555
		16,128,615	10,599,662

Managed timber trees include commercial timber plantations cultivated on estates. The above carrying amount as at 31st March 2025 includes a sum of Rs. 316.53 Mn /- (As at 31st March 2024 - Rs. 233.01 Mn/-) which is the cost of immature trees up to the age of 4 years which is treated as approximate fair value particularly on the ground of little biological transformation taking place and impact of such transformation on price is expected to be immaterial.

No borrowing costs (Previous year - Rs. 12.31 Mn) have been capitalised during the year in to immature fields.

16.1.2 Growing crop nurseries

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
Balance as at 01st April	3,555	756
Additions	-	3,350
Impairment/write-off	(217)	(551)
	3,338	3,555

16.1.3 Plantation area

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
Mature plantations	9,512,633	8,628,882
Immature Plantations	170,221	172,131
	9,682,854	8,801,013

NOTES TO THE FINANCIAL STATEMENTS

16 CONSUMABLE BIOLOGICAL ASSETS (CONTD.)

16.2 Valuation techniques and significant unobservable inputs

Following table shows the valuation techniques in measuring Level 3 fair value of consumable biological assets as well as the significant unobservable inputs used.

Valuation Technique	Significant observable and unobservable inputs	Interrelationship between key inputs and fair value measurement
Discounted cash flows The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis . Expected cash flows are discounted using a risk-adjusted discount rate of 16.5% comprising a risk premium of 4%.	Determination of Timber Content Timber trees in inter-crop areas and pure crop areas have been identified field-wise and spices were identified and harvestable trees were separated, according to their average girth and estimated age. Timber trees that have not come up to a harvestable size are valued working out the period that would take for those trees to grow up to a harvestable size. Determination of Price of Timber Trees have been valued as per the current timber prices per cubic meter based on the price list of the State Timber Corporation and prices of timber trees sold by the estates and prices of logs sawn timber at the popular timber traders in Sri Lanka. In this exercise, following factors have been taken into consideration. a) Cost of obtaining approval of felling b) Cost of felling and cutting into logs c) Cost of transportation d) Sawing cost Risk-adjusted discount rate 2024/2025 - 15% (Risk Premium - 4%) 2023/2024 - 16.5% (Risk Premium - 4%)	The estimated fair value would increase / (decrease) if; - the estimated timber content were higher/(lower) - the estimated timber prices per cubic meter were higher/(lower) - the estimated timber prices per cubic meter were higher/(lower) - the estimated selling related costs were lower/(higher) - the estimated maturity age were higher/(lower) - the risk-adjusted discount rate were lower/(higher)

16.3 The valuation of consumable biological assets was carried by Mr.W.M.Chandrasena, an independent Chartered Valuation Surveyor, using Discounted Cash Flow (DCF) methods. In ascertaining the fair value of timber, a physical verification was carried covering all the estates.

16.4 Timber Trees namely Eucalyptus Torariyana, Albezzia, Graveelia, Eucalyptus Grandis, Astonia, Pinus, Toona, Mahogany, Teak, Jak, Turpentine, Nadun, Mango, Pellen, Hora, Domba, Lunumidella, Wal Del and Mara on the plantations have been taken into consideration in this valuation of Timber Trees.

16.5 In valuing the timber plantations, the following factors have been taken into consideration.

- 1 The present age of trees
- 2 Maturity age of the tree - Maturity of the tree is based on the variety of the species of the tree
- 3 Annual marginal increase in timber content
- 4 Number of years to harvest
- 5 Timber content of harvestable trees on maturity
- 6 Timber Plants having below three years of age have not been taken into the valuation
- 7 The timber content of immature trees at an estimated future harvestable year
- 8 The current price of species of timber per cubic foot at the relevant year

16.6 Trees have been valued as per the current timber prices in the domestic market based on the price list of the State Timber Corporation and prices of timber trees sold by estates and prices of logs and sawn timber in the popular timber traders in Sri Lanka.

16.7 The fair value is determined on the basis of net present value of expected future cash flows using a discount rate of 15% per annum. The significant assumptions used in the valuation of Consumable Biological Assets are as follows:

- 1 Future cash flows are determined by references to current timber prices without considering the inflationary effect
- 2 The ongoing cost of growing trees which are deducted in determining the net cash flows are constant in real terms
- 3 Timber trees that have not come up to a harvestable size are valued working out the period that would take for those trees to grow up to a harvestable size
- 4 The present value of the trees is worked out based on the projected size and the estimated number of years it would take to reach the size. This is worked out on the basis of an annual marginal increase of timber content which normally ranges from 0.50 to 1.50 cm per year for trees of diameter girth over 10 cm
- 5 The value of each matured species of timber is worked out on the price of a cubic foot of timber in the market of the species and the available cubic content of timber in the tree
- 6 Due consideration has been given for cost of felling, transport, sawing, cost to sell including obtaining of approval for felling

16.8 Managed trees include commercial timber plantations cultivated in estates. The cost of immature trees are measured at approximate fair value particularly on the ground of little biological transformation has taken place and impact of the biological transformation on price is not material. When such plantations become mature, the additional investments since taken over to bring them to maturity are transferred from immature to mature.

16.9 The fair value of managed trees was ascertained since LKAS 41 is only applicable for managed agricultural activity in terms of the ruling issued by the Institute of Chartered Accountants of Sri Lanka. The valuation was carried out by using Discounted Cash Flow (DCF) methods. In ascertaining the fair value of timber a physical verification was carried out covering all the estates.

16.10 The valuations, as presented in the external valuation models based on net present values, take into account the long-term exploitation of the timber plantation. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors retains their view that commodity markets are inherently volatile and that long-term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this note allows every investor to reasonably challenge the financial impact of the assumptions used in LKAS 41 against his own assumptions.

16.11 The biological assets of Group is cultivated in the leasehold lands. When measuring the fair value of the biological assets it was assumed that these concessions can and will be renewed at normal circumstances. Timber content expects to be realised in future and is included in the calculation of the fair value that takes into account the age of the timber plants and not the expiration date of the lease.

NOTES TO THE FINANCIAL STATEMENTS

16 CONSUMABLE BIOLOGICAL ASSETS (CONTD.)

16.12 Sensitivity analysis for biological assets

16.12.1 Sensitivity variation on sales price

Values as appearing in the Statement of Financial Position are sensitive to price changes with regard to the average sales prices applied. Simulation made for timber to show that a increase or a decrease by 10% of the estimated future selling price has the following effect on the net present value of biological assets:

As at 31st March	Notes	Group	
		2025 Rs.000	2024 Rs.000
Carrying amount	16.1.1	16,128,615	10,599,662
Sensitivity on sales price	+10%	933,603	862,887
	-10%	(933,603)	(862,887)

16.12.2 Sensitivity variation on discount rate

Values as appearing in the Statement of Financial Position are sensitive to changes of the discount rate applied. Simulations made for rubber, coconut and timber show that a increase or decrease by 1% of the estimated future discount rate would have the following effect on the net present value of biological assets;

As at 31st March	Notes	Group	
		2025 Rs.000	2024 Rs.000
Carrying amount	16.1.1	16,128,615	10,599,662
Sensitivity on Discount Rate	+1%	(424,156)	(527,087)
	-1%	709,975	541,678

16.13 Risk factors

The Group is exposed to a number of risks related to its timber plantations;

Regulatory and environmental risks

The Group is subject to laws and regulations imposed by the environmental authorities of Sri Lanka. The Group established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks.

Supply and demand risk

The Group is exposed to risks arising from fluctuations in the price and sales volume of timber. When possible Group manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analyses to ensure that Group's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand.

Climate and other risks

The Group's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Group has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

17 INVESTMENTS IN SUBSIDIARIES

Company

Application of Equity Accounting for Investment in Subsidiaries, Associates and joint Ventures in Separate Financial Statements

The Company has voluntarily changed the accounting policy on accounting for Investment in Subsidiaries, Associates and Joint Ventures from cost model to Equity Accounting model in compliance to LKAS 27 - "Separate Financial Statements" with effect from 01 April 2023. This policy change was done to provide more reliable and relevant information on the financial position and financial performance of the Company to the economic decision-making needs of users.

Equity method prescribed in LKAS 28, enables the recognition of the investment initially at cost and is adjusted thereafter for the post acquisition change in the investor's share of the investee's net assets. This will represent the investor's share of the investee's profit / loss and is recognised in the investor's financial statements thereby enabling a fair value of the investment.

As per LKAS 8 - "Accounting Policies, Changes in Accounting Estimates and Errors", the change in accounting policy from cost model to Equity Accounting model requires to be applied retrospectively by adjusting the opening balance of each affected component of equity for the earliest prior period presented and the other comparative amounts disclosed for each prior period presented as if the new accounting policy had always been applied. Accordingly Statement of Financial Position and Statement of Changes in Equity as at 1st April 2023 has been presented with restated balances which is the opening balance of earliest prior period presented.

Refer note no. 17.1 for the adjustments made to the financial statements due to the above policy change.

NOTES TO THE FINANCIAL STATEMENTS

17 INVESTMENTS IN SUBSIDIARIES (CONTD.)

17.1 Company

As at 31st March	No. of shares Rs.000	Group		Company		Cost 2023 Rs.000	
		Holding %		Holding %			
		2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000		
Browns Group Motels Ltd.	15,762,359	99.37%	99.37%	99.37%	99.37%	160,364	
CFT Engineering Ltd.	3,075,950	99.99%	99.99%	99.99%	99.99%	307,698	
The Hatton Transport & Agency Co. (Pvt) Ltd.	1,537,250	100%	100%	100%	100%	153,835	
S.F.L. Services (Pvt) Ltd.	1,627,500,000	100%	100%	100%	100%	18,382,332	
Browns Group Industries (Pvt) Ltd.	18,162,500	100%	100%	100%	100%	275,744	
Browns Thermal Engineering (Pvt) Ltd.	16,862,497	100%	100%	100%	100%	269,913	
Snowcem Products Lanka (Pvt) Ltd.	15,762,500	100%	100%	100%	100%	156,999	
Klevenberg (Pvt) Ltd.	30,962,500	100%	100%	100%	100%	358,889	
Browns Healthcare Negombo (Pvt) Ltd.	158,625,000	100%	100%	100%	100%	158,625	
Walker & Greig (Pvt) Ltd.	15,362,501	100%	100%	100%	100%	192,263	
Browns Investments PLC	6,618,280,773	64.55%	64.55%	46.06%	46.06%	17,051,228	
Browns Pharma Ltd.	25,362,500	100%	100%	100%	100%	253,625	
BI Holdings (Pvt) Ltd.	100	100%	100%	17.58%	17.58%	3,010,000	
Browns Agri Solutions (Pvt) Ltd.	32,500,001	100%	100%	100%	100%	325,000	
Browns Global Farm (Pvt) Ltd.	11,837,608	100%	100%	20%	20%	56,702	
Browns Leisure (Pvt) Ltd.	4,500,000	90%	90%	90%	90%	45,000	
Browns Property Holdings (Pvt) Ltd	1	100%	100%	100%	100%	0.01	
Browns Fabric Limited	5,000,000	100%	100%	100%	100%	0.01	
Agstar PLC	286,509,384	58.77%	59%	58.77%	58.77%	-	
ISIN Lanka (Pvt) Ltd	40,935	100%	-	100%	-	-	
Equity Investments through Indirect Holdings							
Share of Equity Accounted Investees - subsidiaries						41,158,219	
Share of Equity Accounted Investees - Associates						1,227,958	
Total						42,386,177	

	Impairment	Equity accounting adjustment	Balance as at 1st April 2023	New Investment and Disposals	Share of Profit/(loss) net of Tax	Equity accounting adjustment	Balance as at 31st March 2024	New Investment and Disposals	Share of Profit/(loss) net of Tax	Equity accounting adjustment	Balance as at 31st March 2025
	-	151,578	311,942	-	(1)	(29,244)	282,697.38	-	(1)	45,107.31	327,803.70
	-	31,682	339,380	-	(1)	(29,426)	309,952.66	-	(1)	45,388.75	355,340.41
	-	152,774	306,609	-	(23)	(29,429)	277,157.35	-	-	45,393.29	322,550.64
	-	(471,980)	17,910,352	(1,537,036)	120,950	(29,429)	16,464,836.54	-	(1,446,497)	45,393.29	15,063,732.40
	-	113,154	388,898	-	(122,326)	(29,128)	237,445	-	(152,389)	57,419	142,474
	-	31,106	301,019	-	(163,379)	(27,845)	109,795	-	(10,671)	51,186	150,310
	-	123,800	280,799	-	(1)	(29,429)	251,369	-	(1)	45,393	296,761
	-	233,301	592,190	-	13,374	(29,351)	576,213	-	12,102	45,506	633,821
	-	222,885	381,510	-	(70,429)	(25,149)	285,932	-	-	45,393	331,325
	-	114,692	306,956	-	-	(29,429)	277,526	-	(1)	45,393	322,919
	-	(4,996,261)	12,054,967	-	(6,406,375)	5,288	5,653,880	-	(4,321,893)	19,014	1,351,001
	-	138,197	391,822	-	-	(29,429)	362,393	-	(1)	45,393	407,785
	-	(417)	3,009,583	-	(2)	-	3,009,582	-	(2)	-	3,009,580
	-	(65,582)	259,418	-	69,487	(1,179)	327,726	-	157,014	466	485,206
	(56,702)	-	-	-	-	-	-	-	-	-	-
	-	(45,000)	-	-	-	-	-	-	-	-	-
	-	-	0.01	-	-	-	0.01	-	-	-	0.01
	-	(0.01)	-	50,000	(893)	(45,891)	3,216	(3,216)	-	-	-
	-	-	-	4,272,245	124,379	(565,078)	3,831,546	-	(143,275)	548,042	4,236,313
	-	-	-	-	-	-	-	1,920,000	88,635	119,630	2,128,265
	-	50,397,678	50,397,678	-	12,808,442	(11,794,516)	51,411,604	-	40,074,632	(3,572,370)	87,913,866
	(56,702)	46,131,607	87,233,124	2,785,209	6,373,202	(12,718,664)	83,672,870	1,916,784	34,257,652	(2,368,252)	117,479,051
	-	1,962,596	3,190,554	-	254,961	1,425,407	4,870,921	-	94,736	(349,041)	4,616,616
	(56,702)	48,094,203	90,423,677	2,785,209	6,628,163	(11,293,258)	88,543,791	1,916,784	34,352,388	(2,717,293)	122,095,667

NOTES TO THE FINANCIAL STATEMENTS

17 INVESTMENTS IN SUBSIDIARIES (CONTD.)

17.2 Provision for fall in value of Investments

As at 31st March	2025 Rs.000	2024 Rs.000
Browns Global Farm (Pvt) Ltd.	56,702	56,702
	56,702	56,702

17.3 Group Holdings in Subsidiaries

As at 31st March Subsidiary	Principal Place of Business	Principal Activity	2025		2024	
			No of Shares	Control Holding %	No of Shares	Control Holding %
Ajax Engineers (Pvt) Ltd.	Sri Lanka	Aluminium Fabrication	469,987	100%	469,987	100%
B G Air Services (Pvt) Ltd.	Sri Lanka	Travel	50,000	100%	50,000	100%
BI Commodities and Logistics (Pvt) Ltd.	Sri Lanka	Manufacturing	35,500,250	100%	35,500,250	100%
B.I Leisure Holdings (FZE)	United Arab Emirates	Investments holding	300	100%	300	100%
BI Zhongtian Holdings (Pvt) Ltd.	Sri Lanka	Pre-Operational	25,500,000	51%	25,500,000	51%
Bodufaru Beach Resorts (Pvt) Ltd.	Maldives	Hotelier - Pre operational	235,800	88.32%	235,800	88.32%
Browns Agri Solutions (Pvt) Ltd.	Sri Lanka	Trading	32,500,001	100%	32,500,001	100%
Browns Ari Resort (Pvt) Ltd.	Maldives	Hotelier - Pre operational	40,100	100%	40,100	100%
Browns Kaafu N Resort (Pvt) Ltd.	Maldives	Hotelier - Pre operational	100	99.96%	100	99.96%
Browns Raa Resort (Pvt) Ltd.	Maldives	Hotelier - Pre operational	100	99.96%	100	99.96%
Browns Engineering and Construction (Pvt) Ltd.	Sri Lanka	Construction and Engineering	350,000,002	50%	350,000,002	50%
Browns Metal and Sands (Pvt) Ltd.	Sri Lanka	Pre-Operational	1	100%	1	100%
B Commodities ME(FZE).	United Arab Emirates	Pre-Operational	150,000	100%	150,000	100%
Browns Development Ltd	Sri Lanka	Construction	4,310,005	100%	4,310,005	100%
Browns Teas (Pvt) Ltd.	Sri Lanka	Pre-Operational	1	100%	1	100%
Browns Global Farm (Pvt) Ltd.	Sri Lanka	Agriculture	58,295,328	100%	58,295,328	100%
Browns Group Industries (Pvt) Ltd.	Sri Lanka	Trading	18,162,500	100%	18,162,500	100%
Browns Group Motels Ltd.	Sri Lanka	Non-operating	15,762,359	99.37%	15,762,359	99.37%
Browns Hotels and Resorts Ltd.	Sri Lanka	Holding Company	1,191,919,624	100%	1,191,919,624	100%
Browns Industrial Park Ltd.	Sri Lanka	Renting Premises	30,767,637	100%	30,767,637	100%
Browns Investments PLC	Sri Lanka	Holding Company	9,275,581,367	64.55%	9,275,581,367	64.55%
Browns Healthcare Negambo (Pvt) Ltd.	Sri Lanka	Pre-Operational	158,625,000	100%	158,625,000	100%
Browns Leisure (Pvt) Ltd.	Sri Lanka	Leisure	4,500,000	90%	4,500,000	90%
Browns Pharma Ltd.	Sri Lanka	Pre-Operational	25,362,500	100%	25,362,500	100%
Browns Fabric Limited.	Sri Lanka	Manufacturing	-	-	1	100%
BI Holding Ltd.	Sri Lanka	Holding Company	1,712,300,000	100%	1,712,300,000	100%
Browns Thermal Engineering (Pvt) Ltd.	Sri Lanka	Trading	16,862,497	100%	16,862,497	100%
CFT Engineering Ltd.	Sri Lanka	Non-operating	3,076,130	99.99%	3,076,130	99.99%
Ceylon Roots Lanka (Pvt) Ltd.	Sri Lanka	Pre-Operational	12,000,000	60%	12,000,000	60%
Dickwella Resort (Pvt) Ltd.	Sri Lanka	Hotelier	481,314	100%	481,314	100%
Eden Hotels Lanka PLC	Sri Lanka	Hotelier	1,508,252,227	95.22%	1,508,252,227	95.22%
Excel Global Holdings (Pvt) Ltd.	Sri Lanka	Holding Company	53,448,329	100%	53,448,329	100%
Excel Restaurants (Pvt) Ltd.	Sri Lanka	Food & beverages	10,004	100%	10,004	100%
F L C Estates Bungalows (Pvt) Ltd.	Sri Lanka	Liquidation	100,000	100%	100,000	100%
Browns Power Holdings (Pvt) Ltd.	Sri Lanka	Investing	100,000,000	100%	100,000,000	100%
Browns Properties (Pvt) Ltd.	Sri Lanka	Real estate	82,500,000	100%	82,500,000	100%
F L P C Management (Pvt) Ltd.	Sri Lanka	Plantation management	92,052,838	95.34%	92,052,838	95.34%
Green Paradise (Pvt) Ltd.	Sri Lanka	Hotelier	5,000,007	100%	5,000,007	100%
Gurind Accor (Private) Limited.	Sri Lanka	Manufacturing	10,761,000	60%	10,761,000	60%
Klevenberg (Pvt) Ltd.	Sri Lanka	Trading	30,962,500	100%	30,962,500	100%

As at 31st March Subsidiary	Principal Place of Business	Principal Activity	2025		2024	
			No of Shares	Control Holding %	No of Shares	Control Holding %
LOLC Investment Holdings Four (Pvt) Ltd.	Sri Lanka	Trading	1	100%	1	100%
Maturata Plantations Ltd.	Sri Lanka	Plantations	25,200,000	72%	25,200,000	72%
Millennium Development (Pvt) Ltd.	Sri Lanka	Renting Premises	44,390,823	100%	44,390,823	100%
NPH Investments (Pvt) Ltd.	Maldives	Investing	141,555,600	51%	141,555,600	51%
Palm Garden Hotels PLC	Sri Lanka	Holding Company	470,800,660	98.92%	470,800,660	98.92%
PL Resorts Ltd.	Mauritius	Hotelier	100	100%	100	100%
Riverina Resort (Pvt) Ltd.	Sri Lanka	Hotelier - Pre operational	35,050,000	100%	35,050,000	100%
S.F.L. Services (Pvt) Ltd.	Sri Lanka	Intra-Group Funding	1,776,000,000	100%	1,776,000,000	100%
Sifang Lanka (Pvt) Ltd.	Sri Lanka	Trading	17,362,500	100%	17,362,500	100%
Sifang Lanka Trading (Pvt) Ltd.	Sri Lanka	Non-operating	2,997,750	100%	2,997,750	100%
Snowcem Products Lanka (Pvt) Ltd.	Sri Lanka	Non-operating	15,762,500	100%	15,762,500	100%
Samudra Beach Resorts (Pvt) Ltd.	Sri Lanka	Hotelier	219,027,500	100%	219,027,500	100%
Sun & Fun Resorts Ltd.	Sri Lanka	Hotelier	16,287,848	51%	16,287,848	51%
Sunbird Bioenergy (SL) Limited.	Siera Leone	Plantations	2,816	75.10%	2,816	75.10%
Serendib Hotels PLC	Sri Lanka	Hotelier	182,739,232	55.75%	182,739,232	55.75%
Dolphin Hotels PLC	Sri Lanka	Hotelier	43,849,317	69.33%	43,849,317	69.33%
Hotel Sigiya PLC	Sri Lanka	Hotelier	11,300,770	64.29%	11,300,770	64.29%
Frontier Capital Lanka (Pvt) Ltd.	Sri Lanka	Hotelier	3,216,295	100%	3,216,295	100%
Serendib Leisure Mgt Ltd.	Sri Lanka	Holding Company	6,050,000	100%	6,050,000	100%
Sanctuary Resorts Lanka (Pvt) Ltd.	Sri Lanka	Hotelier	2	100%	2	100%
Sri Spice (Pvt) Ltd	Sri Lanka	Plantations	65,000	65%	65,000	65%
Grey Reach Investment Limited.	United Arab Emirates	Investing	20,000	66.67%	20,000	66.67%
The Tea Leaf Resort Holding (Pvt) Ltd.	Sri Lanka	Leisure	250,000	50%	250,000	50%
The Hatton Transport & Agency Company (Pvt) Ltd.	Sri Lanka	Non-operating	153,725,000	100%	153,725,000	100%
Tropical Island Commodities (Pvt) Ltd.	Sri Lanka	Cinnamon export	65,000	65%	65,000	65%
Tropical Villas (Pvt) Ltd.	Sri Lanka	Non-operating	14,959,232	100%	14,959,232	100%
Walker & Greig (Pvt) Ltd.	Sri Lanka	Non-operating	15,362,501	100%	15,362,501	100%
Hapugastenne Plantations PLC	Sri Lanka	Plantations	46,315,790	90%	46,315,790	90%
Udapussellawa Plantations PLC	Sri Lanka	Plantations	17,458,966	90%	17,458,966	90%
Newburgh Green Teas (Pvt) Ltd.	Sri Lanka	Plantations	6,500,000	54%	6,500,000	54%
ICONIC Trust (Pvt) Ltd.	Sri Lanka	Investment	1	100%	1	100%
Browns Piling (Pvt) Ltd.	Sri Lanka	Construction	4,310,005	100%	4,310,005	100%
Agstar PLC	Sri Lanka	Trading	269,308,461	55%	269,308,461	55%
AgStar Cropcare (Pvt) Ltd.	Sri Lanka	Trading	5,000,000	100%	5,000,000	100%
AgStar Seeds (Pvt) Ltd.	Sri Lanka	Trading	5,000,000	100%	5,000,000	100%
AgStar Grains (Pvt) Ltd.	Sri Lanka	Trading	34,000,000	100%	34,000,000	100%
Mahaweli Agro Trading (Pvt) Ltd.	Sri Lanka	Trading	19,549,996	100%	19,549,996	100%
AgStar Exports (Pvt) Ltd.	Sri Lanka	Trading	4,500,000	100%	4,500,000	100%
Prith Seeds (Pvt) Ltd.	Sri Lanka	Trading	10,000	100%	10,000	100%
Royal Seeds (Pvt) Ltd.	Sri Lanka	Trading	2	100%	2	100%
Sansun Boutique Hotels Ltd.	Sri Lanka	Leisure	50,100,868	88%	50,100,868	88%
Colombo Marina Development (Pvt) Ltd	Sri Lanka	Investment	1	100%	1	100%
Marina Hotel Holdings (Pvt) Ltd	Sri Lanka	Investment	1	100%	1	100%
Ceylon Real Estate Holdings (Pvt) Ltd	Sri Lanka	Investment	1	100%	1	100%

NOTES TO THE FINANCIAL STATEMENTS

17 INVESTMENTS IN SUBSIDIARIES (CONTD.)

17.3 Group Holdings in Subsidiaries (Contd.)

As at 31st March Subsidiary	Principal Place of Business	Principal Activity	2025		2024	
			No of Shares	Control Holding %	No of Shares	Control Holding %
Browns Engineering & Construction (Fiji) Pte Ltd	Fiji	Construction	600,000	50%	600,000	50%
Browns Plantations Kenya Ltd	Kenya	Plantations	6,375,000	85%	6,375,000	85%
Browns E&C Technical Services Contracting LLC	United Arab Emirates	Construction	300	100%	300	100%
Browns Plantation Holdings (Pvt) Ltd	Sri Lanka	Holding Company	1,000	100%	1,000	100%
Browns Plantations Rwanda Ltd	Rwanda	Plantations	20,745,293	100%	-	-
Browns Plantations Tanzania Ltd	Tanzania	Plantations	8,014,373,342	100%	-	-
Browns Plantations East Africa Ltd	Kenya	Plantations	65,644,010	98.94%	-	-
Limuru Tea PLC	Kenya	Plantations	2,400,000	52%	-	-
Browns Plantations (Guizhou) Tea Co., Ltd.	China	Plantations	1	100%	-	-
ISIN Lanka (Private) Limited	Sri Lanka	Real estate	40,934,550	100%	-	-
Colombo Marina International (private) Limited	Sri Lanka	Real estate	1	100%	-	-
Marina Hotel (Private) Limited	Sri Lanka	Real estate	1	100%	-	-
Three Tips Ella (Pvt) Limited	Sri Lanka	Leisure	1	100%	-	-
Browns Tea Trading FZCO	United Arab Emirates	Trading	12,500	60%	-	-
Sierra Cables PLC	Sri Lanka	Manufacturing	537,512,430	56.59%	-	-

17.4 Disposal of Subsidiaries

Following is a summary of the results on disposal of Group Investments during the period.

Subsidiaries	Date of Disposal	Controlling Interest Sold Rs. 000	Cash and Cash Equivalent Received Rs. 000	Total Consideration of Disposal Rs. 000
Browns Fabric Limited	05/31/2023	100%	50,000	50,000

Fair values of the identifiable assets and liabilities of the disposed entities;

Subsidiaries	Browns Fabric Limited
Assets	
Property, plant and equipment	3,116
Cash and cash equivalents	100
Total assets	3,216
Liabilities	
Total liabilities	-
Net assets disposed	3,216
Gain on disposal of subsidiaries	
Total consideration received	50,000
Fair value of net assets disposed	(3,216)
Gain/ (Loss) on disposal	46,784
Net cash received from divestment	
Purchase consideration received	50,000
Less - Disposal related costs	-
Positive cash balances	(100)
Net cash received from divestment	49,900

NOTES TO THE FINANCIAL STATEMENTS

17 INVESTMENTS IN SUBSIDIARIES (CONTD.)

17.5 Acquisition of Subsidiaries

Brown & Company PLC acquired a 100% stake in ISIN Lanka (Pvt) Ltd on 24th September 2024, for a consideration of Rs 1.9 Bn.

B Commodities ME FZE, incorporated in United Arab Emirates, a subsidiary of Browns Investments PLC acquired below mentioned companies during the period.

Company Name	Country of Incorporation	Percentage of acquired	Effective Holding of Brown & Company PLC	Date of Acquisition
Lipton Teas and Infusions Kenya PLC	Kenya	98.94%	63.86%	30th July 2024
Limuru Tea PLC *	Kenya	51.99%	33.57%	30th July 2024
Lipton Teas and Infusions Rwanda Ltd	Rwanda	100.00%	64.55%	30th July 2024
James Finaly Guizhou Company Ltd	China	100.00%	64.55%	31st July 2024
Lipton Teas and Infusions Tanzania Ltd	Tanzania	100.00%	64.55%	20th December 2024

* The 51.99% of Limuru Tea Plc is held by Lipton Teas and Infusions Kenya PLC.

Browns Investments PLC, a subsidiary of Brown & Company PLC, acquired an additional 27.41% stake in Sierra Cables PLC, in addition to the 29.18% stake held as of 20th March 2025. The effective holding of Brown & Company PLC is 36.53%.

The provisional fair values of the identifiable assets and liabilities of the acquiree as at the date of acquisition were;

Company Name	Lipton Teas and Infusions Kenya PLC	Limuru Tea PLC	Lipton Teas and Infusions Rwanda Ltd	James Finaly Guizhou Company Ltd	Lipton Teas and Infusions Tanzania Ltd	ISIN Lanka (Pvt) Ltd	Sierra Cables PLC	Total Rs. '000
Assets								
Property, plant and equipment	21,108,285	3,882,936	4,128,342	632,393	8,729,430	2,188,088	3,701,582	44,371,056
Right-of-use assets (Land)	66,982,251	17,532,169	2,034,747	-	2,117,614	-	-	88,666,781
Intangible assets	-	-	-	-	-	-	4,550	4,550
Investment in Subsidiaries	56,497	-	-	-	-	-	-	56,497
Investment in Associates	-	-	-	-	-	-	31,610	31,610
Bearer biological assets	6,757,342	184,552	1,215,475	-	2,228,080	-	-	10,385,449
Consumable biological assets	3,427,617	34,723	-	-	1,508,806	-	-	4,971,146
Other non current assets	260,056	-	-	-	-	-	-	260,056
Other current assets	-	-	-	-	-	-	73,677	73,677
Deferred tax assets	-	-	-	-	1,238,663	-	-	1,238,663
Inventories	2,556,101	-	306,743	446,666	1,401,110	240,604	3,752,990	8,704,214
Trade and other receivables	5,003,558	254,555	856,259	247,507	1,877,292	7,313	2,026,161	10,272,645
Amount due from related parties	-	-	-	-	-	-	2,448,801	2,448,801
Current Tax Assets	514,743	-	-	-	-	-	-	514,743
Cash and cash equivalents	647,139	16,340	84,547	80,274	457,733	38,900	769,478	2,094,411
Total Assets	107,313,589	21,905,275	8,626,113	1,406,840	19,558,728	2,474,906	12,808,849	174,094,300

Company Name	Lipton Teas and Infusions Kenya PLC	Limuru Tea PLC	Lipton Teas and Infusions Rwanda Ltd	James Finlay Guizhou Company Ltd	Lipton Teas and Infusions Tanzania Ltd	ISIN Lanka (Pvt) Ltd	Sierra Cables PLC	Total Rs. '000
Liabilities								
Retirement benefit obligations	165,308	48,844	5,859	-	363,953	-	106,206	690,170
Deferred tax liabilities	16,567,797	3,258,135	57,078	-	1,238,663	553,440	676,809	22,351,922
Amounts due to related parties	-	-	-	-	-	-	568,887	568,887
Income tax payable	-	-	-	-	-	-	280,330	280,330
Other short term borrowings	-	-	-	-	-	-	2,396,807	2,396,807
Loan and Borrowings	-	-	-	104,529	5,447	-	2,168,506	2,278,482
Trade and other Payables	5,842,755	49,676	746,106	513,458	2,515,567	8,391	484,740	10,160,693
Total Liabilities	22,575,860	3,356,655	809,043	617,987	4,123,630	561,832	6,682,285	38,727,292
Fair value of identifiable net assets acquired	84,737,729	18,548,620	7,817,070	788,853	15,435,098	1,913,074	6,126,564	135,367,008
Results of the acquisitions of above subsidiaries are as follows;								
Less - Fair value of consideration paid	15,767,136	-	2,233,688	-	91,783	1,920,000	3,752,816	23,765,423
Non-controlling interests acquired (Net)	30,620,481	5,970,868	1,971,165	279,655	5,439,280	-	2,558,115	46,839,564
Intra Group Investment	56,497	-	-	-	-	-	-	56,497
Gain on bargain purchase	38,293,616	12,577,752	3,612,217	509,198	9,904,035	-	-	64,896,817
Goodwill on acquisition	-	-	-	-	-	6,926	184,367	191,293
Net cash used in acquisition								
Purchase consideration	15,767,136	-	2,233,688	-	91,783	1,920,000	3,752,816	23,765,423
Consideration payable	11,820,806	-	1,615,193	-	-	-	-	13,435,999
Consideration paid	3,946,330	-	618,495	-	91,783	1,920,000	1,740,773	8,317,381
Fair value of existing consideration	-	-	-	-	-	-	2,012,043	2,012,043
Consideration paid	3,946,330	-	618,495	-	91,783	1,920,000	1,740,773	8,317,381
Cash & cash equivalents acquired	(647,139)	(16,340)	(84,547)	(80,274)	(457,733)	(38,900)	(769,478)	(2,094,411)
Net cash used in acquisition	3,299,191	(16,340)	533,948	(80,274)	(365,950)	1,881,100	971,295	6,222,970

NOTES TO THE FINANCIAL STATEMENTS

18 INVESTMENTS IN EQUITY ACCOUNTED INVESTEEES

18.1 Investments in Equity Accounted Investees - Group

As at 31st March	Group			
	Holding %		No. of shares	
	2025	2024	2025	2024
Unquoted Investments				
Gal Oya Holdings (Pvt) Ltd. (GHPL)	50%	50%	1,300,000	1,300,000
Associated Battery Manufacturers (Cey) Ltd. (ABM)	38.50%	38.50%	2,439,355	2,439,355
Gal Oya Plantations (Pvt) Ltd.(GPPL)	22.10%	22.10%	22,309,412	22,309,412
Verginia International Investments Ltd. (VIIL)	40%	40%	800,000	800,000
NPH Developments (Pvt) Ltd. (NPHD)	50%	50%	999	999
LOLC Global (Pvt) Ltd.	43.08%	43.08%	19,000,000	19,000,000
Sierra Cables PLC (SCABLES)	-	29.18%	-	156,866,167
Hatton National Bank (HNB) - Voting Shares	-	9.99%	-	42,781,221
-Non Voting Shares	45.87%	45.87%	49,131,696	49,131,696
T & G Lanka (Private) Limited (TGL)	22%	-	30	-
Cables PTE Limited (CPTE)	30%	-	360,000	-
SEAMS Mule Ltd (SEAMS)	50%	-	51,000	-

18.1.1 Group share of Net Assets of Equity Accounted Investees

	Equity Value of Investment in Equity Accounted Investees - Group											
	LOLC Global Rs.000	VIII Rs.000	NPHD Rs.000	ABM Rs.000	GHPL Rs.000	GPPL Rs.000	HNB Rs.000	SCABLES Rs.000	SEAMS Rs.000	CPTe Rs.000	TGL Rs.000	Total Rs.000
Equity Value of Investment as at 1st April 2023	5,714,750	5,138	175,311	210,924	19,601	1,186,509	32,924,778	2,044,957	-	-	-	42,281,967
Share of Profit/(Loss) of Equity Accounted Investees (Net of Tax)	(33,833)	-	(104,921)	233,903	37,950	225,276	3,946,536	225,728	-	-	-	4,530,639
Share of other comprehensive income of equity accounted investees (Net of Tax)	(436,289)	-	(36,854)	-	-	-	1,077,856	2,305	-	-	-	607,018
Dividend Paid	-	-	-	-	-	-	(1)	-	-	-	-	(1)
Contributions by and distributions to owners	4,953,637	-	-	-	-	-	-	-	-	-	-	4,953,637
Equity Value of Investment as at 31st March 2024	10,198,265	5,138	33,537	444,827	57,550	1,411,784	37,949,169	2,272,989	-	-	-	52,373,260
Further Investments in Equity Accounted Investees	-	-	-	-	-	-	-	53,705.61	-	-	-	53,706
Share of Profit/(Loss) of Equity Accounted Investees (Net of Tax)	958,163	-	(25,566)	192,708	6,891	(160,043)	-	263,630	-	-	-	1,235,781
Share of profit/(loss) of equity accounted investees (Net of tax) discontinuing operations	-	-	-	-	-	-	8,117,155	-	-	-	-	8,117,155
Share of other comprehensive income of equity accounted investees (Net of Tax)	(164,167)	-	(6,829)	-	-	-	1,343,282	81,830	-	-	-	1,254,116
Acquisition	-	-	-	-	-	-	-	-	1,651	28,310	3,300	33,261
Other adjustments	(962,319)	-	-	-	(537)	124,621	-	-	-	-	-	(838,235)
Reclassification	-	-	-	-	-	-	(45,929,161)	-	-	-	-	(45,929,161)
Dividend Paid	-	-	-	-	-	-	(1,480,446)	-	-	-	-	(1,480,446)
Disposals	-	-	-	-	-	-	-	(2,672,155)	-	-	-	(2,672,155)
Equity value of Investment as at 31st March 2025	10,029,941	5,138	1,142	637,535	63,905	1,376,362	-	-	1,651	28,310	3,300	12,147,284

NOTES TO THE FINANCIAL STATEMENTS

18 INVESTMENTS IN EQUITY ACCOUNTED INVESTEEES (CONTD.)

18.1 Investments in Equity Accounted Investees - Group (Contd.)

Summarised Financial Information of Equity Accounted Investees

Statement of Profit & loss	For the year ended 31st March 2025					
	LOLC Global Rs.000	VIIL Rs.000	NPHD Rs.000	ABM Rs.000	GHPL Rs.000	GPPL Rs.000
Revenue/Net operating Income	18,303,743	-	7,200,950	7,448,775	20,494	7,835,840
Cost of sales	-	-	(7,756,345)	(6,548,463)	-	(5,459,309)
Other Income	-	-	-	37,287	-	18,807
Expenses	(16,079,595)	-	(82,179)	(237,760)	(793)	(3,234,683)
Profit/(Loss) before taxation	2,224,147	-	(637,574)	699,838	19,701	(839,345)
Income tax expenses	-	-	-	(199,298)	(5,911)	(131,889)
Profit/(Loss) for the year	2,224,147	-	(637,574)	500,540	13,789	(971,234)

Statement of Profit & loss	For the year ended 31st March 2024							
	LOLC Global Rs.000	VIIL Rs.000	NPHD Rs.000	ABM Rs.000	GHPL Rs.000	GPPL Rs.000	HNB Rs.000	SCABLES Rs.000
Revenue/Net operating Income	1,596,806	-	2,757	8,838,453	112,983	8,031,788	108,456,762	8,150,444
Cost of sales	-	-	-	(7,571,200)	-	(3,776,836)	-	(6,322,575)
Other Income	-	-	-	45,667	-	70,875	-	203,989
Expenses	(1,667,872)	-	(201,400)	(516,736)	(1,029)	(3,291,929)	(71,321,564)	(1,108,906)
Profit/(Loss) before taxation	(71,067)	-	(198,643)	796,184	111,954	1,033,898	37,135,198	922,952
Income tax expenses	(7,468)	-	-	(188,644)	(33,588)	(9,196)	(13,370,409)	(195,224)
Profit/(Loss) for the year	(78,535)	-	(198,643)	607,540	78,366	1,024,702	23,764,789	727,728

Statement of Financial Position	As at 31st March 2025					
	LOLC Global Rs.000	VIIL Rs.000	NPHD Rs.000	ABM Rs.000	GHPL Rs.000	GPPL Rs.000
Non Current Assets	3,686,003	-	-	549,456	29	29,470,572
Current Assets	42,389,453	12,767	-	3,836,553	134,042	5,388,543
Total Assets	46,075,456	12,767	1,698,445	4,386,009	134,071	34,859,115
Non Current Liabilities	-	-	-	(557,534)	-	(21,178,352)
Current Liabilities	(22,719,945)	(190)	-	(2,174,106)	(6,261)	(7,452,883)
Total Liabilities	(22,719,945)	(190)	(2,607,460)	(2,731,639)	(6,261)	(28,631,234)
Net Assets	23,355,511	12,577	(909,015)	1,654,370	127,810	6,227,881

Statement of Financial Position	As at 31st March 2024							
	LOLC Global Rs.000	VIIL Rs.000	NPHD Rs.000	ABM Rs.000	GHPL Rs.000	GPPL Rs.000	HNB Rs.000	SCABLES Rs.000
Non Current Assets	633,244	-	-	617,833	-	22,908,305	-	2,889,021
Current Assets	50,338,266	12,767	-	3,962,524	147,948	5,845,285	-	6,076,001
Total Assets	50,971,509	12,767	13,399,685	4,580,357	147,948	28,753,590	1,858,771,745	8,965,022
Non Current Liabilities	-	-	-	(741,048)	-	(16,332,939)	-	(700,452)
Current Liabilities	(27,225,276)	(190)	-	(2,685,480)	(33,926)	(5,251,316)	-	(3,234,003)
Total Liabilities	(27,225,276)	(190)	(13,697,732)	(3,426,528)	(33,926)	(21,584,255)	(1,661,072,759)	(3,934,456)
Net Assets	23,746,234	12,577	(298,047)	1,153,829	114,022	7,169,335	197,698,986	5,030,566

18.2 Investments in Equity Accounted Investees - Company

As at 31st March	Holding %		No. of shares	
	2025	2024	2025	2024
Unquoted Investments				
Gal Oya Plantations (Pvt) Ltd.	22.10%	22.10%	22,309,412	22,309,412
Gal Oya Holdings (Pvt) Ltd.	50%	50%	1,300,000	1,300,000
LOLC Global (Pvt) Ltd.	13.60%	13.60%	6,000,000	6,000,000

Gal Oya Plantations (Pvt) Ltd. is a private-public partnership entered into by the Group where a total of 49% of the Company is held by LOLC Holdings PLC and Brown & Company PLC.

Gal Oya Holdings (Pvt) Ltd. is the management company of Gal Oya Plantations (Pvt) Ltd.

	Equity Value of Investment in Equity Accounted Investees - Company			
	LOLC Global	GHPL	GPPL	Total
	Rs.000	Rs.000	Rs.000	Rs.000
Equity Value of Investment as at 31st March 2023	965,960	13,000	248,998	1,227,958
Equity accounted adjustment	848,119	4,828	1,109,649	1,962,596
Equity Value of Investment as at 1st April 2023	1,814,079	17,828	1,358,647	3,190,554
Share of Profit/(Loss) of Equity Accounted Investees (Net of Tax)	(10,681)	39,182	226,459	254,961
Share of other comprehensive income of equity accounted investees (Net of Tax)	(137,733)	-	(683)	(138,416)
Contributions by and distributions to owners	1,563,822	-	-	1,563,822
Equity value for Investment as at 31st March 2024	3,229,488	57,010	1,584,423	4,870,921
Share of Profit/(Loss) of Equity Accounted Investees (Net of Tax)	302,484	6,895	(214,643)	94,736
Share of other comprehensive income of equity accounted investees (Net of Tax)	(355,622)	-	6,581	(349,041)
Equity value for Investment as at 31st March 2025	3,176,349	63,905	1,376,362	4,616,616

NOTES TO THE FINANCIAL STATEMENTS

19 OTHER NON CURRENT FINANCIAL ASSETS

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Quoted Investments (Notes 19.1)	347	347	-	-
Unquoted/ Other Investments (Notes 19.2, 19.3)	541,929	283,725	55,000	55,000
	542,276	284,072	55,000	55,000

19.1 Quoted Investments - Group

As at 31st March	Holding %		Number of shares		Fair Value	
	2025	2024	2025	2024	2025 Rs.000	2024 Rs.000
Fair Value Through OCI						
LOLC Finance PLC	0.001%	0.001%	34,621	34,621	347	452
					347	452

19.2 Unquoted/ Other Investments - Group

As at 31st March	Number of shares		Fair Value	
	2025	2024	2025 Rs.000	2024 Rs.000
Fair Value Through OCI				
Rain Forest Eco Lodge (Pvt) Ltd.	7,683,376	7,683,376	38,409	51,528
Sri Lanka Institute of Nanotechnology	3,810,180	3,810,180	55,000	55,000
Jada Resorts & SPA (Pvt) Ltd.	24,449,480	24,449,480	122,222	122,222
Kenya Tea Parkers	4,215,142	-	247,229	-
			462,860	228,750
Investments at amortised cost				
Investment in Term Deposits			79,069	54,975
Others			-	-
			541,929	283,725

19.3 Unquoted/ Other Investments - Company

As at 31st March	Number of shares		Carrying Value	
	2025	2024	2025 Rs.000	2024 Rs.000
Sri Lanka Institute of Nanotechnology	3,810,180	3,810,180	55,000	55,000
			55,000	55,000

20 DEFERRED TAX ASSETS

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Balance at the beginning of the year	1,584,837	1,905,037	-	-
On Acquisition of Subsidiary	1,238,663	-	-	-
Disposal of subsidiaries	-	-	-	-
Transfer from Deferred Tax Liabilities	-	-	-	-
Origination/ (reversal) of temporary differences recognised in,				
- income statement	1,223,508	(275,843)	902,425	-
- other comprehensive income	(116,997)	3,491	(63,683)	-
Impact due to rate change	69,188	-	-	-
Exchange differences on translation of foreign operations	(117,901)	(47,848)	-	-
Balance at the end of the year	3,881,299	1,584,837	838,742	-

20.1 The Closing Deferred Tax Asset relates to the following Temporary Differences;

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Property, Plant & Equipment / Investment Properties/ROU Assets	(15,754,213)	81,916	(15,817,592)	-
Employee Benefit Liabilities	2,569,788	1,992,805	163,808	-
Losses available for offset against future Taxable Income	35,391,108	20,648,253	16,870,501	-
Provision for Slow Moving Stocks	652,813	64,132	611,864	-
Provision for Bad and Doubtful Debts	971,627	91,538	865,475	-
Net Lease Liability - SLFRS 16	393,755	-	101,751	-
	24,224,878	22,878,644	2,795,807	-

21 INVENTORIES

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Raw Material	10,263,112	3,341,228	466	224
Work-in-Progress	2,410,735	1,475,974	12,340	3,298
Finished Goods	12,177,104	12,511,379	3,367,638	3,846,229
Ethanol	1,111,858	535,695	-	-
Input Material	208,441	268,513	-	-
Growing crop nurseries	48,983	41,857	-	-
Unharvested produce stock at fair value	31,267	102,146	-	-
Harvested crops				
- Tea	955,500	801,511	-	-
- Rubber	4,411	10,372	-	-
- Coconut	3,144	513	-	-
- Commercial cane	554,415	106,243	-	-
- Other	8,973	3,550	-	-
Food and beverages	264,459	284,777	-	-
Real Estate Stock	4,452	3,696	-	-
Consumables and Spares	4,281,073	3,554,882	-	-
Vehicle stocks	18,291	-	-	-
Goods - in - Transit	1,556,241	929,338	820,605	719,849
	33,902,459	23,971,674	4,201,049	4,569,600
Less: Impairment of Inventories	(1,153,498)	(967,836)	(611,864)	(680,909)
	32,748,961	23,003,838	3,589,184	3,888,691

The stock-in-trade of each category has been shown after netting off the provision made for NRV adjustments in respect of each category.

NOTES TO THE FINANCIAL STATEMENTS

22 TRADE AND OTHER RECEIVABLES

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Trade Receivables	25,703,327	29,118,062	5,315,322	4,012,367
Other Receivables (Note 22.1)	39,818,681	32,805,856	2,732,735	1,318,711
	65,522,009	61,923,918	8,048,057	5,331,079
Less: Impairment of Trade Receivables	(2,489,063)	(1,778,739)	(774,370)	(1,082,382)
Less: Provision For other Receivables	(530,450)	(173,889)	(25,143)	(26,113)
	62,502,496	59,971,290	7,248,544	4,222,583

22.1 Other Receivables

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Value Added Tax Recoverable	7,664,830	2,522,738	-	60,203
Economic Service Charge Recoverable	3,193	2,936	-	-
Staff Loan	14,558	9,467	4,330	587
Withholding Tax Recoverable	264,354	191,069	39,010	6,048
Deposits, Advances and prepayments	8,243,797	7,058,043	66,202	34,390
Mobilisation Advances	4,836,165	5,106,511	-	-
Share holder receivable	12,701,441	12,909,567	-	-
Reimbursement of expenses	3,445	44,333	2,623,193	1,217,484
GST Recoverable	-	619,568	-	-
Others	6,086,898	4,341,624	-	-
	39,818,681	32,805,856	2,732,735	1,318,711

23 LOANS TO RELATED PARTIES

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Browns Agri Solutions (Pvt) Ltd.	-	-	925,335	753,951
Browns Thermal Engineering (Pvt) Ltd.	-	-	1,044,224	918,630
Browns Group Industries (Pvt) Ltd.	-	-	868,464	645,513
Klevenberg (Pvt) Ltd.	-	-	584,131	501,046
NPH Development Pvt Ltd.	175,453	242,656	-	-
Browns Industrial Park Ltd	-	-	-	35,068
Gurind Accor (Pvt) Ltd	-	-	16,065	59,917
Chain Holdings Ltd.	540,537.29	-	-	-
LOLC Finance PLC	2,009,384	-	-	-
Sierra Cables PLC.	-	260,148	-	-
Fusion X Global FZC	111,168	-	-	-
	2,836,542	502,804	3,438,219	2,914,126

23.1 Security and Repayment Terms of Related Party Loans

Name of the Company	Repayment	Security	Outstanding As at 31st March 2025	
			Group Rs.000	Company Rs.000
Browns Agri Solutions (Pvt) Ltd.	On demand	Unsecured	-	925,335
Browns Thermal Engineering (Pvt) Ltd.	On demand	Unsecured	-	1,044,224
Browns Group Industries (Pvt) Ltd.	On demand	Unsecured	-	868,464
Klevenberg (Pvt) Ltd.	On demand	Unsecured	-	584,131
Gurind Accor (Pvt) Ltd	On demand	Unsecured	-	16,065
NPH Development Pvt Ltd.	On demand	Unsecured	175,453	-
Chain Holdings Ltd.	On demand	Unsecured	540,537	-
Fusion X Global FZC	On demand	Unsecured	111,168	-
LOLC Finance PLC	On demand	Unsecured	2,009,384	-
			2,836,542	3,438,219

NOTES TO THE FINANCIAL STATEMENTS

24 AMOUNTS DUE FROM RELATED PARTIES

24.1 Amounts Due from Related Parties - Due Within One Year

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Associated Battery Manufacturers (Cey) Ltd.	313	313	-	-
Ajax Engineers (Pvt) Ltd.	-	-	44,096	27,597
BG Air Services (Pvt) Ltd.	-	-	14,284	12,086
Browns Group Industries (Pvt) Ltd.	-	-	7,362	3,848
Browns Industrial Park Ltd.	-	-	-	2,901
Browns Investments PLC	-	-	-	44,603
Browns Thermal Engineering (Pvt) Ltd.	-	-	5,601	4,861
Browns Global Farm (Pvt) Ltd.	-	-	178	178
Browns Tours (Pvt) Ltd.	118,306	70,083	-	-
C.F.T. Engineering Ltd.	-	-	8,844	8,844
Engineering Services (Pvt) Ltd.	24,474	24,474	24,474	24,474
Gal Oya Holdings (Pvt) Ltd.	72	102	72	72
Gal Oya Plantations (Pvt) Ltd.	542	-	-	-
Klevenberg (Pvt) Ltd.	-	-	5,090	-
Masons Mixture Ltd.	10,301	10,301	10,092	10,092
Sifang Lanka Trading (Pvt) Ltd.	-	-	3	3
Browns Holdings Limited.	100	100	-	-
Snowcem Products Lanka (Pvt) Ltd.	-	-	27,026	27,026
LOLC Holdings PLC	55,451	18,828	-	-
Taprobane Plantations Ltd.	112,500	128,447	-	-
Browns Health Care Negombo (Pvt) Ltd.	-	-	-	-
LOLC Advanced Technologies (Pvt) Ltd.	1,903	2,148	-	-
Browns Agri Solutions (Pvt) Ltd.	-	-	202	-
LOLC Finance PLC	-	321	-	-
East Coast Land Holdings (Pvt) Ltd.	3,984	984	-	-
Walker & Greig (Pvt) Ltd.	-	-	2,050	2,050
The Hatton Transport Agency Company (Pvt) Ltd.	-	-	1,055	1,055
Samudra Beach Hotels (Pvt) Ltd.	-	-	-	1,002
S.F.L.Services (Pvt) Ltd.	-	-	1,980,942	1,543,679
Maturata Plantations Ltd.	-	-	-	4,765
Tropical Island Commodities (Pvt) Ltd	-	-	35	-
Leapstitch Apparel (Pvt) Ltd	-	-	10,391	24,874
Leapstitch Technologies (Pvt) Ltd	-	-	177	12,451
Browns Leisure (Pvt) Ltd.	-	-	-	265,833
Ishara Traders (Private) Limited	250	653,392	-	-
LOLC Ventures FZE	127,429	39,154	-	-
Sun Yield Bio Ingredients (Pvt) Ltd	25,461	461	-	-
Agstar PLC	-	-	17,623	-
Sunbird Bioenergy (SL) Ltd	-	-	806,663	-
ISIN Lanka (Pvt) Ltd	-	-	303,990	-
Patronus Holdings (Pvt) Ltd	25,015	-	-	-
Fusion X Global FZC (UAE)	1,812	-	-	-
Lanka Orix Information Services	14,102	-	-	-
	522,016	949,108	3,270,250	2,022,292
Less: Provision for Intercompany Receivables (Note 24.2)	-	-	(494,531)	-
	522,016	949,108	2,775,720	2,022,292

24.2 PROVISION FOR INTERCOMPANY RECEIVABLES

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Sunbird Bioenergy (SL) Ltd	-	-	494,531	-
	-	-	494,531	-

25 INCOME TAX RECOVERABLE

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Balance at the beginning of the year	204,564	69,155	5,036	3,716
Transfer from Income Tax payables	9,135	6,282	-	-
Over provision in respect of previous years	(15,550)	-	-	-
Provision for the year	(512,396)	(209)	-	-
Acquisition of Subsidiaries	514,743	122,671	-	-
On Disposal of Subsidiary	-	(11,899)	-	-
Payments made during the year	229,369	1,321	-	1,321
Exchange Differences	38,063	17,243	-	-
Balance at the end of the year	467,927	204,564	5,036	5,036

26 OTHER CURRENT FINANCIAL ASSETS

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Fixed deposits and Commercial Papers	4,404,855	1,832,202	-	-
Investment in Quoted Shares (Notes 26.1, 26.2)	3,705,354	2,921,854	3,070,624	1,958,553
	8,110,209	4,754,056	3,070,624	1,958,553

NOTES TO THE FINANCIAL STATEMENTS

26 OTHER CURRENT FINANCIAL ASSETS (CONTD.)

26.1 Investments in Quoted Shares

As at 31st March	Group					
	Number of Shares		Cost		Carrying Values	
	2025	2024	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Fair Value through profit or loss						
John Keells Holdings PLC	3,820	343	32	26	77	68
Seylan Bank PLC- Voting	41,169,196	41,169,196	2,122,020	2,122,020	3,070,478	1,934,952
Hayleys PLC	1,050	287,050	40	11,314	144	23,567
Ambeon Holdings PLC	100	100	539	539	8	4
CT Land Development PLC	19,500	19,500	470	470	663	448
Vallibel Finance PLC	90,400	90,400	249	249	4,891	3,526
Raigam Wayamba Salterns PLC	26,200	26,200	66	66	223	178
Hatton National Bank PLC.	417	407	62	62	106	61
DFCC Bank PLC	84,530	4,530	10,368	267	9,080	345
Hapugastenna Plantation PLC	100	100	1	1	4	4
Sierra Cables PLC	7,400	7,400	22	22	116	88
Overseas Reality PLC	-	18,862,530	-	359,820	-	317,603
Colombo Land and Development Company PLC	2,722	2,722	74	74	61	48
Pan Asia Bank PLC	296,698	296,698	4,500	4,500	10,533	6,320
Wealth Trust Securities (Pvt) Ltd	3,156,480	3,156,480	250,000	250,000	557,346	634,642
Commercial Bank of Ceylon PLC	350,000	-	52,969	-	51,625	-
			2,441,412	2,749,430	3,705,354	2,921,854

26.2 Investments in Quoted Shares

As at 31st March	Company					
	Number of Shares		Cost		Carrying Values	
	2025	2024	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Fair Value through profit or loss						
John Keells Holdings PLC	3,820	343	32	26	77	68
Seylan Bank PLC- Voting	42,351,420	42,351,420	2,122,020	2,122,020	3,070,478	1,934,952
Hayleys PLC	-	286,000	-	11,279	-	23,481
Colombo Land and Development Company PLC	2,722	2,722	74	74	61	48
Ambeon Holdings PLC	100	100	539	539	8	4
			2,122,664	2,133,938	3,070,624	1,958,553

27 NON-CURRENT ASSET HELD FOR SALE & DISCONTINUED OPERATIONS

The Group's investment in Hatton National Bank PLC [HNB], previously classified as an equity-accounted investee in accordance with LKAS 28 – Investments in Associates and Joint Ventures, has been reclassified as a non-current asset held for sale in line with the requirements of SLFRS 5 – Non-Current Assets Held for Sale and Discontinued Operations.

Following a strategic review, the Group's Investment Committee resolved to divest certain non-core long-term listed equity investments. As of the balance sheet date, the Group had initiated an active plan to sell the investment, including engagement with potential buyers. Subsequently, on 27th May 2025, the Group disposed of 45,529,624 listed ordinary voting shares of HNB, representing 9.99% of HNB's issued voting share capital.

Accordingly, the Group has assessed the investment under SLFRS 5 and determined that the criteria for classification as a non-current asset held for sale have been met. As required, the investment was remeasured at the lower of its carrying amount and fair value less costs to sell, resulting in a fair value loss of LKR 17.5 billion, which has been recognised in the income statement under "Fair value Gain/(Loss) on Non-Current Assets Held for Sale."

In accordance with SLFRS 5, both the current year and prior comparative period results relating to the investment in HNB (including the share of profit from the equity-accounted investee, net of tax) have been separately presented as part of discontinued operations in the Income Statement, Statement of Financial Position and Statement of Cash Flows of Consolidated Financial Statements of Brown & Company PLC.

	Group	Company
	Rs.000	Rs.000
Carrying value	45,485,325	29,360,777
Fair value Gain/(Loss) recognised to income statement	(17,499,478)	(11,295,913)
Fair value Gain/(Loss) recognised to Other comprehensive income	(535,098)	(345,406)
Carrying value non-current asset held for sale	27,450,749	17,719,459
Profit/(loss) after tax for the period from discontinued operations and assets held for sale		
Share of profits of equity accounted investees (Net of Tax) (Note 1)	8,117,155	5,239,624
Fair value Gain/(Loss) recognised to income statement	(17,499,477)	(11,295,913)
	(9,382,322)	(6,056,290)

NOTES TO THE FINANCIAL STATEMENTS

28 CASH AND CASH EQUIVALENTS

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Cash at Bank	11,075,095	6,287,932	3,927,216	569,955
Cash in Hand	256,508	135,498	6,532	9,428
Short Term Deposits	1,458,126	865,471	111,601	-
	12,789,729	7,288,902	4,045,348	579,383
Bank Overdraft	(6,617,015)	(976,854)	(1,862,648)	(500,202)
Cash and Cash Equivalents for the purpose of Statement of Cash Flows	6,172,715	6,312,048	2,182,701	79,181

29 STATED CAPITAL

As at 31st March	Number of shares		Group		Company	
	2025	2024	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Ordinary Shares	212,625,000	212,625,000	9,093,101	9,093,101	9,093,101	9,093,101

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per individual present at meetings of the shareholders.

30 CAPITAL RESERVES

As at 31st March	Group		Company		
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000 Restated	2023 Rs.000 Restated
Revaluation Reserve	3,697,148	(1,333,989)	3,697,148	(1,333,989)	17,827,053
Fair Value through Other Comprehensive Income Reserve	(10,964,779)	5,224,063	(10,964,779)	5,224,063	(348,618)
Foreign Currency Translation Reserve	21,419,882	23,369,844	21,419,882	23,369,844	15,959,769
	14,152,251	27,259,918	14,152,251	27,259,918	33,438,204

30.1 Revaluation Reserve

The Revaluation reserve relates to the revaluation surplus of property, plant & equipment. Once the respective revalued items have been disposed, the relevant portion of the revaluation surplus is transferred to retained earnings.

30.2 Fair Value through Other Comprehensive Income Reserve - FVOCI Reserve

The FVOCI reserve comprises the cumulative net changes in the fair value through OCI financial assets until the assets are derecognised or impaired.

30.3 Foreign Currency Translation Reserve

The Foreign Currency Translation Reserve comprises the cumulative net change in foreign currency translation.

31 REVENUE RESERVE

As at 31st March	Group		Company		
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000 Restated	2023 Rs.000 Restated
Retained Earnings	76,851,802	33,838,400	76,851,802	33,838,400	36,572,208
	76,851,802	33,838,400	76,851,802	33,838,400	36,572,208

32 LOANS AND BORROWINGS

32.1 Long-Term Borrowings

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Balance at the beginning of the year	34,409,348	34,729,341	4,619,662	5,921,370
Obtained during the year	23,437,302	13,578,753	3,775,630	1,950,308
Amortised Interest	1,140,058	2,362,710	-	-
Exchange translation difference	(1,345,517)	(2,186,939)	-	-
Acquisition of subsidiaries	2,278,482	-	-	-
Repayments	(21,095,151)	(14,074,517)	(658,706)	(3,252,016)
Balance at the end of the year	38,824,522	34,409,348	7,736,585	4,619,662

32.2 Debentures

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Debentures (Note 32.5.3)	2,251,700	2,251,700	2,000,000	2,000,000
Balance at the end of the year	2,251,700	2,251,700	2,000,000	2,000,000
Total (32.1 and 32.2)	41,076,222	36,661,048	9,736,585	6,619,662
Due after one Year	33,987,551	30,308,082	4,298,238	3,536,484
Due within one Year	7,088,671	6,352,966	5,438,347	3,083,178
	41,076,222	36,661,048	9,736,585	6,619,662

NOTES TO THE FINANCIAL STATEMENTS

32 LOANS AND BORROWINGS (CONTD.)

32.3 Analysis of Loans and Borrowings - Company

Name of the Lending Institution	Payable Within One year Rs.000	Payable after One year			As at 31st March 2025 Rs.000	As at 31st March 2024 Rs.000
		Payable 1-2 years Rs.000	Payable 2-5 Years Rs.000	More than 5 Years Rs.000		
Commercial Bank of Ceylon PLC	100,008	24,962	-	-	124,970	224,978
Sampath Bank PLC	-	-	-	-	-	198,000
Seylan Bank PLC	-	-	-	-	-	149,830
Amana Bank PLC	452,350	1,251,840	-	-	1,704,190	384,429
Pan Asia Bank PLC	62,930	-	-	-	62,930	145,825
National Development Bank PLC	1,498,000	506,000	-	-	2,004,000	1,422,000
National Development Bank PLC	958,626	-	-	-	958,626	1,086,599
Peoples Bank PLC - Trustee Loans	824,100	140,500	-	-	964,600	263,000
LOLC Finance PLC	1,370,000	-	-	-	1,370,000	370,000
State Mortgage and Investment Bank	172,333	374,935	-	-	547,269	375,000
Total	5,438,347	2,298,237	-	-	7,736,584	4,619,661

32.4 Analysis of Short Term Loans - Company

Name of the Lending Institution	As at 31st March 2025 Rs.000	As at 31st March 2024 Rs.000
Cargils Bank PLC	150,000	150,000
Commercial Bank of Ceylon PLC	725,000	946,585
DFCC Bank PLC	782,318	615,925
Hatton National Bank PLC	993,730	1,170,053
ICICI Bank	-	68,402
LOLC Finance PLC	4,502,206	5,597,984
MCB Bank Limited	550,000	550,000
Nations Trust Bank PLC	250,000	254,976
Pan Asia Bank PLC	250,000	250,000
Peoples Bank	345,878	623,431
Sampath Bank PLC	2,068,019	2,089,843
Seylan Bank PLC	500,000	500,000
The National Development Bank PLC	1,135,379	1,100,000
Union Bank PLC	-	250,000
Total	12,252,530	14,167,200
Commercial Papers		
LOLC Life Assurance Limited	1,583,067	529,877
LOLC General Insurance PLC	852,220	-
Individual Persons	393,642	-
Safe Holdings (Pvt) Ltd	362,291	324,012
Dolphin Hotel PLC	153,090	99,910
Total	3,344,310	953,798
Balance at the end of the year	15,596,839	15,120,998

32.5 Security and Repayment Terms

32.5.1 Security and Repayment Terms - Company

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
Commercial Bank of Ceylon PLC	Term Loan	50 equal monthly instalments of Rs. 8.334 Mn & final instalment of Rs. 8.294 Mn.	Mortgage over Land and Buildings at Dambulla and stocks of Brown & Company PLC.	124,970
Amana Bank PLC	Term Loan	72 monthly instalments - Rs 200 Mn + interest from the date of first disbursement.	1) Mortgage over two properties of S. F. L Services Pvt Ltd (Subsidiary of Brown & Company PLC).	240,142
		72 monthly instalments - Rs 520 Mn + interest from the date of first disbursement.	2) Lien Over shares owned by Brown & Company PLC in Agstar PLC held in custodial/ collateral account.	
			3) Corporate Guarantee by S. F. L services Pvt Ltd.	
		60 monthly instalments - Rs 1.5 Bn + interest from the date of first disbursement.	1) Mortgage of Rs.605M over the property bearing assessment No.88,Glennie Street,Colombo 02 by SFL services (Pvt) Ltd.	1,464,047
			2) Rs.1B of Corporate Guarantee by SFL Services (Pvt)Ltd	
			3) Primary Mortgage for Rs.75M over the property of Jalthara, Homagama by Brown and Company PLC.	
			4) Primary Mortgage for Rs.1.5B Over the property of Rahula Mawatha,Andiambalama by ISIN Lanka (Pvt) Ltd.	
Hatton National Bank PLC	Trustee Loan	Securitisation	Trade debtors of the Company	1,000,000
		Tranche 1		
		1. Maturity at 304 days: Rs.60.0Mn + interest		
		2. Maturity at 334 days: Rs.60.0Mn + interest		
		3. Maturity at 362 days: Rs.50.0Mn + interest		
		4. Maturity at 365 days: Rs.15.0Mn + interest		
		5. Maturity at 365 days: Rs.2.0Mn + interest		
		6. Maturity at 365 days: Rs.10.0Mn + interest		
		7. Maturity at 365 days: Rs.7.0Mn + interest		
		8. Maturity at 365 days: Rs.10.0Mn + interest		
		9. Maturity at 365 days: Rs.10.0Mn + interest		
		10. Maturity at 365 days: Rs.4.0Mn + interest		

NOTES TO THE FINANCIAL STATEMENTS

32 LOANS AND BORROWINGS (CONTD.)

32.5 Security and Repayment Terms (Contd.)

32.5.1 Security and Repayment Terms - Company (Contd.)

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
		11. Maturity at 396 days: Rs.3.0Mn + interest		
		12. Maturity at 396 days: Rs.10.0Mn + interest		
		13. Maturity at 423 days: Rs.25.0Mn + interest		
		14. Maturity at 426 days: Rs.5.0Mn + interest		
		15. Maturity at 912 days: Rs.20.0Mn + interest		
		16. Maturity at 365 days: Rs.35.0Mn + interest		
		17. Maturity at 730 days: Rs.84.0Mn + interest		
		18. Maturity at 359 days: Rs.90.0Mn + interest		
		Tranche 2		
		1. Maturity at 457 days: Rs.40.0Mn + interest		
		2. Maturity at 457 days: Rs.2.0Mn + interest		
		3. Maturity at 457 days: Rs.1.5Mn + interest		
		4. Maturity at 457 days: Rs.1.0Mn + interest		
		5. Maturity at 457 days: Rs.11.0Mn + interest		
		6. Maturity at 457 days: Rs.10.0Mn + interest		
		7. Maturity at 488 days: Rs.40.0Mn + interest		
		8. Maturity at 516 days: Rs.40.0Mn + interest		
		9. Maturity at 516 days: Rs.35.0Mn + interest		
		10. Maturity at 547 days: Rs.40.0Mn + interest		
		11. Maturity at 547 days: Rs.20.0Mn + interest		
		12. Maturity at 547 days: Rs.30.0Mn + interest		
		13. Maturity at 547 days: Rs.1.0Mn + interest		
		14. Maturity at 577 days: Rs.40.0Mn + interest		
		15. Maturity at 608 days: Rs.20.0Mn + interest		
		16. Maturity at 608 days: Rs.10.0Mn + interest		
		17. Maturity at 638 days: Rs.10.0Mn + interest		
		18. Maturity at 638 days: Rs.30.0Mn + interest		
		19. Maturity at 669 days: Rs.25.0Mn + interest		
		20. Maturity at 669 days: Rs.2.0Mn + interest		
		21. Maturity at 700 days: Rs.30.0Mn + interest		
		22. Maturity at 700 days: Rs.2.0Mn + interest		
		23. Maturity at 730 days: Rs.40.0Mn + interest		
		24. Maturity at 730 days: Rs.1.5Mn + interest		
		25. Maturity at 853 days: Rs.5.0Mn + interest		
		26. Maturity at 853 days: Rs.1.0Mn + interest		
		27. Maturity at 669 days: Rs.12.0Mn + interest		

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
National Development Bank	Trustee Loan	Securitisation Trust 01 - Tranche 01 1. Maturity at 365 days: Rs.45.2Mn + interest 2. Maturity at 365 days: Rs.19.8Mn + interest 3. Maturity at 365 days: Rs.30.7Mn + interest 4. Maturity at 396 days: Rs.45.2Mn + interest 5. Maturity at 396 days: Rs.19.6Mn + interest 6. Maturity at 396 days: Rs.59.4Mn + interest 7. Maturity at 396 days: Rs.14.7Mn + interest 8. Maturity at 426 days: Rs.45.1Mn + interest 9. Maturity at 426 days: Rs.19.4Mn + interest 10. Maturity at 426 days: Rs.53.5Mn + interest 11. Maturity at 426 days: Rs.22.0Mn + interest 12. Maturity at 457 days: Rs.45.0Mn + interest 13. Maturity at 457 days: Rs.43.9Mn + interest 14. Maturity at 488 days: Rs.51.2Mn + interest 15. Maturity at 488 days: Rs.17.1Mn + interest 16. Maturity at 512 days: Rs.14.6Mn + interest Trust 01- Tranche 02 1. Maturity at 365 days: Rs.49.1Mn + interest 2. Maturity at 365 days: Rs.14.3Mn + interest 3. Maturity at 365 days: Rs.26.6Mn + interest 4. Maturity at 396 days: Rs.17.6Mn + interest 5. Maturity at 396 days: Rs.26.3Mn + interest 6. Maturity at 426 days: Rs.49.2Mn + interest 7. Maturity at 426 days: Rs.23.4Mn + interest 8. Maturity at 457 days: Rs.48.7Mn + interest 9. Maturity at 457 days: Rs.23.2Mn + interest 10. Maturity at 457 days: Rs.31.8Mn + interest 11. Maturity at 488 days: Rs.19.7Mn + interest 12. Maturity at 488 days: Rs.31.4Mn + interest 13. Maturity at 512 days: Rs.19.5Mn + interest 14. Maturity at 512 days: Rs.31.2Mn + interest	Trade debtors of the Company	2,927,226

NOTES TO THE FINANCIAL STATEMENTS

32 LOANS AND BORROWINGS (CONTD.)

32.5 Security and Repayment Terms (Contd.)

32.5.1 Security and Repayment Terms - Company (Contd.)

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
		Trust 02 - Tranche 01		
		1. Maturity at 214 days: Rs.2.0Mn + interest		
		2. Maturity at 275 days: Rs.1.0Mn + interest		
		3. Maturity at 275 days: Rs.2.0Mn + interest		
		4. Maturity at 275 days: Rs.3.0Mn + interest		
		5. Maturity at 275 days: Rs.1.0Mn + interest		
		6. Maturity at 275 days: Rs.5.0Mn + interest		
		7. Maturity at 275 days: Rs.5.0Mn + interest		
		8. Maturity at 275 days: Rs.5.0Mn + interest		
		9. Maturity at 275 days: Rs.5.0Mn + interest		
		10. Maturity at 275 days: Rs.8.0Mn + interest		
		11. Maturity at 275 days: Rs.1.5Mn + interest		
		12. Maturity at 275 days: Rs.5.0Mn + interest		
		13. Maturity at 306 days: Rs.50.0Mn + interest		
		14. Maturity at 306 days: Rs.30.0Mn + interest		
		15. Maturity at 337 days: Rs.70.0Mn + interest		
		16. Maturity at 337 days: Rs.50.0Mn + interest		
		17. Maturity at 365 days: Rs.7.0Mn + interest		
		18. Maturity at 365 days: Rs.15.0Mn + interest		
		19. Maturity at 365 days: Rs.5.0Mn + interest		
		20. Maturity at 365 days: Rs.10.0Mn + interest		
		21. Maturity at 365 days: Rs.10.0Mn + interest		
		22. Maturity at 365 days: Rs.2.5Mn + interest		
		23. Maturity at 365 days: Rs.1.0Mn + interest		
		24. Maturity at 365 days: Rs.1.5Mn + interest		
		25. Maturity at 365 days: Rs.18.0Mn + interest		
		26. Maturity at 365 days: Rs.50.0Mn + interest		
		27. Maturity at 365 days: Rs.20.0Mn + interest		
		28. Maturity at 365 days: Rs.10.0Mn + interest		
		29. Maturity at 365 days: Rs.2.0Mn + interest		
		30. Maturity at 365 days: Rs.5.5Mn + interest		
		31. Maturity at 365 days: Rs.1.0Mn + interest		
		32. Maturity at 365 days: Rs.1.0Mn + interest		
		33. Maturity at 365 days: Rs.1.0Mn + interest		
		34. Maturity at 365 days: Rs.5.0Mn + interest		
		35. Maturity at 365 days: Rs.10.0Mn + interest		

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
		36. Maturity at 365 days: Rs.1.0Mn + interest		
		37. Maturity at 365 days: Rs.20.0Mn + interest		
		38. Maturity at 365 days: Rs.5.0Mn + interest		
		39. Maturity at 396 days: Rs.100.0Mn + interest		
		40. Maturity at 396 days: Rs.2.5Mn + interest		
		41. Maturity at 396 days: Rs.20.0Mn + interest		
		42. Maturity at 396 days: Rs.11.0Mn + interest		
		43. Maturity at 396 days: Rs.50.0Mn + interest		
		44. Maturity at 396 days: Rs.10.0Mn + interest		
		45. Maturity at 426 days: Rs.20.0Mn + interest		
		46. Maturity at 426 days: Rs.2.0Mn + interest		
		47. Maturity at 426 days: Rs.3.0Mn + interest		
		48. Maturity at 426 days: Rs.5.0Mn + interest		
		49. Maturity at 426 days: Rs.2.0Mn + interest		
		50. Maturity at 426 days: Rs.8.0Mn + interest		
		51. Maturity at 426 days: Rs.4.5Mn + interest		
		52. Maturity at 457 days: Rs.40.0Mn + interest		
		53. Maturity at 457 days: Rs.60.0Mn + interest		
		54. Maturity at 457 days: Rs.5.0Mn + interest		
		55. Maturity at 487 days: Rs.10.0Mn + interest		
		56. Maturity at 487 days: Rs.2.0Mn + interest		
		57. Maturity at 518 days: Rs.4.0Mn + interest		
		58. Maturity at 518 days: Rs.10.0Mn + interest		
		59. Maturity at 518 days: Rs.10.0Mn + interest		
		60. Maturity at 518 days: Rs.5.0Mn + interest		
		61. Maturity at 518 days: Rs.10.0Mn + interest		
		62. Maturity at 518 days: Rs.15.0Mn + interest		
		63. Maturity at 549 days: Rs.100.0Mn + interest		
		64. Maturity at 610 days: Rs.10.0Mn + interest		
		65. Maturity at 610 days: Rs.10.0Mn + interest		
		66. Maturity at 610 days: Rs.4.0Mn + interest		
		67. Maturity at 610 days: Rs.20.0Mn + interest		
		68. Maturity at 640 days: Rs.2.0Mn + interest		
		69. Maturity at 730 days: Rs.5.0Mn + interest		
		70. Maturity at 730 days: Rs.2.0Mn + interest		
		71. Maturity at 365 days: Rs.5.0Mn + interest		
		72. Maturity at 457 days: Rs.10.0Mn + interest		
		73. Maturity at 549 days: Rs.10.5Mn + interest		
		74. Maturity at 730 days: Rs.28.5Mn + interest		

NOTES TO THE FINANCIAL STATEMENTS

32 LOANS AND BORROWINGS (CONTD.)

32.5 Security and Repayment Terms (Contd.)

32.5.1 Security and Repayment Terms - Company (Contd.)

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
		75. Maturity at 730 days: Rs.10.0Mn + interest		
		Trust 02 - Tranche 02		
		1. Maturity at 275 days: Rs.1.0Mn + interest		
		2. Maturity at 275 days: Rs.10.0Mn + interest		
		3. Maturity at 275 days: Rs.10.0Mn + interest		
		4. Maturity at 275 days: Rs.2.0Mn + interest		
		5. Maturity at 337 days: Rs.5.0Mn + interest		
		6. Maturity at 337 days: Rs.5.5Mn + interest		
		7. Maturity at 337 days: Rs.5.0Mn + interest		
		8. Maturity at 337 days: Rs.5.0Mn + interest		
		9. Maturity at 337 days: Rs.5.0Mn + interest		
		10. Maturity at 337 days: Rs.5.0Mn + interest		
		11. Maturity at 337 days: Rs.5.0Mn + interest		
		12. Maturity at 337 days: Rs.5.0Mn + interest		
		13. Maturity at 337 days: Rs.10.0Mn + interest		
		14. Maturity at 365 days: Rs.10.0Mn + interest		
		15. Maturity at 365 days: Rs.10.0Mn + interest		
		16. Maturity at 365 days: Rs.1.0Mn + interest		
		17. Maturity at 365 days: Rs.1.0Mn + interest		
		18. Maturity at 365 days: Rs.10.0Mn + interest		
		19. Maturity at 365 days: Rs.2.0Mn + interest		
		20. Maturity at 365 days: Rs.10.0Mn + interest		
		21. Maturity at 396 days: Rs.20.0Mn + interest		
		22. Maturity at 396 days: Rs.32.0Mn + interest		
		23. Maturity at 426 days: Rs.12.0Mn + interest		
		24. Maturity at 426 days: Rs.5.0Mn + interest		
		25. Maturity at 457 days: Rs.5.0Mn + interest		
		26. Maturity at 487 days: Rs.5.0Mn + interest		
		27. Maturity at 487 days: Rs.20.0Mn + interest		
		28. Maturity at 518 days: Rs.20.0Mn + interest		
		29. Maturity at 730 days: Rs.5.0Mn + interest		
		30. Maturity at 730 days: Rs.40.0Mn + interest		
		31. Maturity at 275 days: Rs.10.0Mn + interest		
		32. Maturity at 334 days: Rs.20.0Mn + interest		
		33. Maturity at 365 days: Rs.1.0Mn + interest		
		34. Maturity at 365 days: Rs.15.0Mn + interest		

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
		35. Maturity at 730 days: Rs.10.0Mn + interest		
		36. Maturity at 730 days: Rs.53.5Mn + interest		
		37. Maturity at 730 days: Rs.10.0Mn + interest		
		Trust 02 - Tranche 03		
		1. Maturity at 305 days: Rs.5.0Mn + interest		
		2. Maturity at 305 days: Rs.2.5Mn + interest		
		3. Maturity at 334 days: Rs.10.0Mn + interest		
		4. Maturity at 334 days: Rs.5.0Mn + interest		
		5. Maturity at 365 days: Rs.10.0Mn + interest		
		6. Maturity at 395 days: Rs.10.0Mn + interest		
		7. Maturity at 456 days: Rs.10.0Mn + interest		
		8. Maturity at 426 days: Rs.33.0Mn + interest		
		9. Maturity at 457 days: Rs.33.0Mn + interest		
		10. Maturity at 488 days: Rs.34.0Mn + interest		
		11. Maturity at 365 days: Rs.10.0Mn + interest		
		12. Maturity at 548 days: Rs.5.5Mn + interest		
		Trust 03 - Tranche 01		
		1. Maturity at 304 days: Rs.10.0Mn + interest		
		2. Maturity at 365 days: Rs.15.0Mn + interest		
		3. Maturity at 365 days: Rs.15.0Mn + interest		
		4. Maturity at 395 days: Rs.100.0Mn + interest		
		5. Maturity at 457 days: Rs.1.0Mn + interest		
		6. Maturity at 546 days: Rs.5.0Mn + interest		
		7. Maturity at 546 days: Rs.8.0Mn + interest		
		8. Maturity at 711 days: Rs.100.0Mn + interest		
		Trust 03 - Tranche 02		
		1. Maturity at 343 days: Rs.41.1Mn + interest		
		2. Maturity at 324 days: Rs.26.0Mn + interest		
		3. Maturity at 372 days: Rs.60.0Mn + interest		
		4. Maturity at 373 days: Rs.1.0Mn + interest		
		5. Maturity at 597 days: Rs.10.0Mn + interest		
		Trust 03 - Tranche 03		
		1. Maturity at 324 days: Rs.20.0Mn + interest		
		2. Maturity at 324 days: Rs.10.0Mn + interest		
		3. Maturity at 354 days: Rs.20.0Mn + interest		
		4. Maturity at 354 days: Rs.10.0Mn + interest		
		5. Maturity at 354 days: Rs.5.0Mn + interest		
		6. Maturity at 385 days: Rs.200.0Mn + interest		

NOTES TO THE FINANCIAL STATEMENTS

32 LOANS AND BORROWINGS (CONTD.)

32.5 Security and Repayment Terms (Contd.)

32.5.1 Security and Repayment Terms - Company (Contd.)

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
		Trust 03 - Tranche 04 1. Maturity at 308 days: Rs.30.0Mn + interest 2. Maturity at 338 days: Rs.10.0Mn + interest 3. Maturity at 400 days: Rs.50.0Mn + interest 4. Maturity at 400 days: Rs.10.0Mn + interest 5. Maturity at 400 days: Rs.60.0Mn + interest Trust 03 - Tranche 05 1. Maturity at 295 days: Rs.5.0Mn + interest 2. Maturity at 295 days: Rs.5.0Mn + interest 3. Maturity at 386 days: Rs.60.0Mn + interest 4. Maturity at 414 days: Rs.60.0Mn + interest 5. Maturity at 537 days: Rs.17.5Mn + interest		
LOLC Finance PLC	Term Loan	On Demand	Corporate Guarantee issued by Browns Investment PLC	1,370,000
State Mortgage & Investment Bank	Term Loan	60 Months Capital to be repaid by 20 equal quarterly instalments of Rs.25Mn.+Interest	1)Corporate Guarantee of LOLC Holdings PLC 2)Hypothecation bond for Rs. 770Mn over dealer receivables attributable to Brown & Company P:C ,Browns Exide Battery Division	275,000
		36 equal monthly instalments of Rs. 2.56Mn.+interest	Fixed Deposit of Rs.108M	82,269
		60 Months Capital to be repaid by 20 equal quarterly instalments of Rs.10Mn.+interest	1)Corporate Guarantee of LOLC Holdings PLC for Rs.200Mn. 2)Mortgage Bond for 200Mn over Dealer receivables attributable to Brown and Company PLC,Exide Battery Division.	190,000
Pan Asia Bank PLC	Term Loan	35 equal monthly instalments of Rs. 6.945 Mn & final instalment of Rs. 6.925 Mn.+interest	Loan agreement	62,930
Company Total				7,736,584

32.5.2 Security and Repayment Terms - Group

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
Maturata Plantation Limited				
Commercial Bank OF Ceylon PLC	Term Loan		Floating Primary Registered mortgage bond totalling to Rs.1,500Mn Over Land 4 Building owned by Browns Properties (Pvt) Ltd.	799,600
				799,600
Browns Ari Resort (Pvt) Ltd - Maldives				
People's Bank PLC	Term Loan	1) The term loan is to repaid within seven years including one year grace period from the date drawdown. 2) The tenor of the loan facility is 72 months from the first drawdown date under the agreement comprising of a grace period of 12 months + interest.	The facility was secured by a mortgage over head lease right of Browns Ari Resort Private Limited, situated in Bodufinolhu Island, South Ari Atoll, Republic of Maldives.	1,001,735
Bank of Maldives	Term Loan	The term loan is to repaid within 10 years including one year grace period from the date drawdown.	Mortgage over head lease rights of Browns Ari Resort Pvt Ltd, situated in Bodufinolhu island , South Ari Atoll, Republic of Maldives	940,390
				1,942,125

NOTES TO THE FINANCIAL STATEMENTS

32 LOANS AND BORROWINGS (CONTD.)

32.5 Security and Repayment Terms (Contd.)

32.5.2 Security and Repayment Terms - Group (Contd.)

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
Browns Development Ltd				
National Development Bank PLC	Term Loan	1. 12 monthly instalments X Rs 150,000,000.00 + interest 2. 24 monthly instalments X Rs 15,000,000.00 + interest 3. 27 monthly instalments X Rs 45,000,000.00 + interest 4. 30 monthly instalments X Rs 45,000,000.00 + interest 5. 33 monthly instalments X Rs 45,000,000.00 + interest 6. 36 monthly instalments X Rs 45,000,000.00 + interest 7. 39 monthly instalments X Rs 45,000,000.00 + interest 8. 42 monthly instalments X Rs 45,000,000.00 + interest 9. 45 monthly instalments X Rs 45,000,000.00 + interest 10. 48 monthly instalments X Rs 45,000,000.00 + interest 11. 51 monthly instalments X Rs 45,000,000.00 + interest 12. 54 monthly instalments X Rs 45,000,000.00 + interest 13. 57 monthly instalments X Rs 45,000,000.00 + interest 14. 60 monthly instalments X Rs 45,000,000.00 + interest 15. 63 monthly instalments X Rs 45,000,000.00 + interest 16. 66 monthly instalments X Rs 45,000,000.00 + interest 17. 69 monthly instalments X Rs 42,500,000.00 + interest 18. 72 monthly instalments X Rs 42,500,000.00 + interest 19. 75 monthly instalments X Rs 40,000,000.00 + interest 20. 78 monthly instalments X Rs 40,000,000.00 + interest 21. 81 monthly instalments X Rs 40,000,000.00 + interest 22. 84 monthly instalments X Rs 40,000,000.00 + interest	In year 2019 the company has fully settled Commercial Bank loan and obtained a Finance facility from National Development Bank. The amount of the loan facility is Rs. 1,200 Mn. The agreement to mortgage for Rs. 1,200 Mn to be executed over the land at No. 112, Havelock Road, Colombo 05, owned by the subsidiary. Repayment terms of the loan facility is in 26 tranches after grace period of 11 months.	362,500

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
		23. 87 monthly instalments X Rs 40,000,000.00 + interest		
		24. 90 monthly instalments X Rs 40,000,000.00 + interest		
		25. 93 monthly instalments X Rs 40,000,000.00 + interest		
		26. 96 monthly instalments X Rs 40,000,000.00 + interest		
				362,500
Samudra Beach Resorts (Pvt) Ltd.				
Bank Of Ceylon PLC	Term Loan	60 monthly instalments + interest	Primary mortgage over property and project assets at Hiddaruwa, Kosgoda	127,430
				127,430
Browns Investments PLC				
Sampath Bank PLC	Term Loan	10 Bi-annually instalments.	1) Lien of 42,024,032 voting shares of Hatton National Bank of PLC. 2) Lien of 45,968,883 non voting shares of Hatton National Bank of PLC.	2,000,000
				2,000,000
NPH Investments Pvt Ltd.				
Bank Of Ceylon PLC	Term Loan	105 monthly instalments with the grace period of 45 months and capital to be repaid over remaining 60 months. The term loan facility were extended by further 12 months from 105 months up to 117 months including 42 months of capital moratorium period and 6 months interest moratorium in addition to the already granted 9 months interest moratorium.	1) Mortgage over the lease hold rights of Nasandhura Palace Hotel, Male, Maldives. 2) Joint and Several guarantee of Directors of the Company. 3) Corporate guarantee obtained from LOLC Holdings PLC.	2,193,146
Barcelo Hotel Group Gulf DMCC		Quarterly Instalments		2,963,472
				5,156,618
B Commodities ME(FZE)				
Peoples Bank	Term Loan	02 Years from the date of disbursement including 01 year grace period Interest to be serviced monthly including grace period commencing one month after the 1st drawdown date Capital to be settled by 12 monthly instalments after the expiry of the grace period as follows: USD 1,250,000*12= 15,000,000	Personal guarantee by Directors of the Group	1,897,706
				1,897,706

NOTES TO THE FINANCIAL STATEMENTS

32 LOANS AND BORROWINGS (CONTD.)

32.5 Security and Repayment Terms (Contd.)

32.5.2 Security and Repayment Terms - Group (Contd.)

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
PL Resorts Limited				
Mauritius Commercial Bank LTD	Term Loan	1) 2 bi annual instalments X MUR 7,500,000 + interest 2) 2 bi annual instalments X MUR 10,000,000 + interest 3) 2 bi annual instalments X MUR 15,000,000 + interest 4) 2 bi annual instalments X MUR 20,000,000 + interest 5) 4 bi annual instalments X MUR 22,500,000 + interest 6) 3 bi annual instalments X MUR 27,500,000 + interest 7) 1 bi annual instalments X MUR 32,700,000 + interest	1) Mortgage over the leasehold rights of lot 18B and 18C at Roches - Noires and lot 1A and 1B at Posta Lafayette	867,363
				867,363
Tropical Island Commodities (Pvt) Ltd				
Commercial Bank of Ceylon PLC	Term Loan	In 60 equal monthly instalments of Rs.5,000,000/- plus interest	Lien over saving account for USD 69,748.41	210,000
				210,000
Browns Engineering & Construction (FIJI) Pte Ltd				
Bank of South Pacific	Term Loan			1,784
				1,784
Browns Plantations Kenya Ltd				
Diamond Trust Bank Kenya PLC	Term Loan	36 monthly instalments	Land mortgage LR No 5469 LR No 5470 LR 7797/4	12,022,059
				12,022,059
James Finlay Guizhou Company Limited				
Sinan	Term Loan			101,988
				101,988

Name of the Lending Institution	Nature of facility	Repayment Terms	Security	Outstanding Balance as at 31 st March 2025 Rs.000
Sierra Cables PLC				
Sampath Bank PLC	Long Term Loan	48 monthly instalments	Mortgage over HDPE pipe machine for Rs. 90 Mn	4,400
		59 monthly instalments	Loan Agreement for Rs.85 Mn	3,500
Commercial Bank of Ceylon PLC	Long Term Loan	60 monthly instalments	Primary Mortgage Bond for Rs.150 Mn over Machinery and Equipment	295,000
DFCC Bank	Long Term Loan	114 monthly instalments	A primary mortgage over movable assets (Solar PV system and Inverter)	36,842
				339,742
Other borrowings from non-financial institutions				5,259,024
Group Total				38,824,522

32.5.3 Debentures

Year of Issue	Year of Redemption	Type of Issue	Interest Payable			Group		Company	
			Fixed Rate Annually	Fixed Rate Semi-annually	Fixed Rate Quarterly	2025	2024	2025	2024
2022	2027	Listed Rated Guaranteed Senior Redeemable	-	-	15.42%	1,932,700	1,932,700	1,932,700	1,932,700
2022	2027	Listed Rated Guaranteed Senior Redeemable	15.50%	-	-	67,300	67,300	67,300	67,300
2023	2025	Senior Unlisted Secured Redeemable	16.75%	-	-	251,700	251,700	-	-
Total						2,251,700	2,251,700	2,000,000	2,000,000

32.5.3.1 Trading at Colombo Stock Exchange

Debenture Type	Highest Value (Rs)	Lowest Value (Rs)	Last Traded Value (Rs)
Listed Rated Guaranteed Senior Redeemable - 15.42%	Not Traded	Not Traded	Not Traded
Listed Rated Guaranteed Senior Redeemable - 15.5%	Not Traded	Not Traded	Not Traded

Comparable interest rate of government security is 10.72%

NOTES TO THE FINANCIAL STATEMENTS

33 LEASE LIABILITIES

Set out below are the carrying amounts of lease liabilities and the movements for the year ended 31 March 2025.

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Balance at the beginning of the year	14,877,376	17,714,616	350,024	387,438
Additions	60,194	284,438	17,839	-
Interest expense	1,350,572	1,847,191	42,256	48,529
Payments	(665,951)	(4,720,229)	(101,859)	(85,944)
Acquisition of Subsidiaries	5,157	-	-	-
Other Adjustments	255,070	806,108	(3,108)	-
Disposal of Subsidiaries	-	(17,332)	-	-
Exchange difference	(192,686)	(1,037,416)	-	-
Lease liabilities as at 31 March	15,689,733	14,877,376	305,152	350,024

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Current	167,455	275,440	67,705	57,477
Non Current	15,522,278	14,601,936	237,447	292,547
Total lease liabilities as at 31 March	15,689,733	14,877,376	305,152	350,024

34 RETIREMENT BENEFIT OBLIGATIONS

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000

Change in the Retirement Benefit Obligations are as follows,

Defined Benefit Obligation at the beginning of the year	3,723,210	2,467,941	146,888	124,885
Interest Cost (Note 34.1)	302,591	332,520	19,095	17,581
Current Service Cost (Note 34.1)	706,372	59,093	15,559	12,580
Actuarial Loss / (Gain)	683,884	193,408	216	510
On acquisition of Subsidiary	690,170	1,173,406	-	-
On disposal of Subsidiary	-	(13,348)	-	-
Benefit paid	(489,172)	(607,900)	(17,951)	(8,668)
Exchange translation difference	46,163	118,090	-	-
Defined Benefit Obligation at the end of the year	5,663,218	3,723,210	163,807	146,888

The provision for retirement benefits obligations for the year is based on the actuarial valuation carried out by professionally qualified actuaries, as at 31st March 2025. The actuarial present value of the promised retirement benefits as at 31st March 2025 amounted to Rs. 5,663 Mn (Company - Rs. 164 Mn). The liability is not externally funded.

34.1 The total amount charged to the Income Statement in respect of Retirement Benefit Obligations is made up as follows:

For the Year Ended	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Retiring Gratuity charge for the year				
Interest charge for the year	302,591	332,520	19,095	17,581
Current service cost	706,372	59,093	15,559	12,580
	1,008,963	391,613	34,655	30,161

34.2 The principal assumptions used in the actuarial valuation are as follows:

34.2.1 Financial Assumptions

As at 31st March	Group	
	2025	2024

a)	Discount rate		
	(The rate of interest used to discount the future cash flows in order to determine the present value)	12%	13%
b)	Future salary increase		
	Executive	10.0%	11.0%
	Non - Executive	10.0%	11.0%
c)	Retirement age	60yrs	60yrs
d)	The Company will continue as a going concern		

NOTES TO THE FINANCIAL STATEMENTS

34 RETIREMENT BENEFIT OBLIGATIONS (CONTD.)

34.2 The Principal Assumptions Used In The Actuarial Valuation Are As Follows (Contd.)

34.2.2 Demographic Assumptions

In addition to the above, demographic assumptions such as mortality, withdrawal and disability, and retirement age were considered for the actuarial valuation. "A 67/07 mortality table" issued by the Institute of Actuaries, London was used to estimate the gratuity liability of the Company.

34.2.3 Sensitivity of assumptions employed in actuarial valuation

The following table demonstrates the sensitivity to a reasonable possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

For the Year Ended	Group			
	Discount rate		Future salary increases	
	-1% Rs.000	1% Rs.000	-1% Rs.000	1% Rs.000
Impact on profit and loss	(10,912)	10,059	(12,139)	11,359

For the Year Ended	Company			
	Discount rate		Future salary increases	
	-1% Rs.000	1% Rs.000	-1% Rs.000	1% Rs.000
Impact on profit and loss	(7,852)	7,179	8,067	(8,694)

34.2.4 The following payments are expected on employee benefit plan - gratuity in future years.

	Company					
	Within the next 12 months	Between 1 and 2 years	Between 3 and 5 years	Between 6 and 10 years	Beyond 10 years	Total expected payments
Retirement Benefit Obligation	27,212	39,870	40,430	37,194	19,102	163,808

35 DEFERRED TAX LIABILITIES

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Balance at the beginning of the year	28,466,727	14,907,757	387,980	2,461,154
Acquisition of Subsidiaries	22,351,922	11,193,410	-	-
Disposal of Subsidiaries	-	(186,042)	-	-
Origination/ (reversal) of temporary differences recognised in,				
- income statement	(2,842,587)	1,435,016	(387,980)	(2,073,021)
- other comprehensive income	4,542,949	16,759	-	(153)
Other adjustments / transfers	308,779	2,346,553	-	-
Exchange translation difference	(178,587)	(1,246,726)	-	-
Balance at the end of the year	52,649,203	28,466,727	-	387,980

35.1 The Closing Deferred Tax Liabilities balance relates to the following temporary differences;

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Property, Plant & Equipment / Investment Properties/ROU Assets	35,617,751	46,290,254	-	15,359,957
Bearer Biological Assets	3,718,854	3,732,630	-	-
Consumable Biological Assets	9,675,054	8,801,012	-	-
Warranty Provision	-	(108,446)	-	(108,446)
Provision for Slow Moving Stocks	(3,666)	(680,909)	-	(680,909)
Provision for Bad and Doubtful Debts	(57,314)	1,136,650	-	(1,082,382)
Employee Benefit Liabilities	(113,483)	(20,481)	-	(146,888)
Losses available for offset against future taxable income	21,374,058	24,159,010	-	(11,946,382)
Other	598,247	(150,437)	-	(101,681)
	70,809,502	83,159,284	-	1,293,270

36 DEFERRED INCOME

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Capital Grants (Note 36.1)	300,219	311,996	-	-
PHDT Lease Rentals (Note 36.2)	189	726	-	-
Income Received in Advance (Note 36.3)	318,718	55,738	315,460	55,738
Rain Forest Eco Lodge (Pvt) Ltd. (Note 36.4)	37,638	39,499	-	-
	656,764	407,959	315,460	55,738

NOTES TO THE FINANCIAL STATEMENTS

36 DEFERRED INCOME (CONTD.)

36.1 Capital Grants

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
Gross Value		
Balance at the beginning of the year	467,845	461,208
Additions during the year	6,882	6,637
Balance at the end of the year	474,727	467,845
Amortisation		
Balance at the beginning of the year	155,849	137,072
Amortisation during the year	18,659	18,777
Balance at the end of the year	174,508	155,849
Balance at the end of the year- Net	300,219	311,996

The above represents the following.

Funds received from the Plantation Housing and Human Development Trust (PHDT), MTIP, MPI for the development of workers welfare facilities and improvements to institutional facilities.

Funds received from the Plantation Reform Project for the development of Forestry Plantations.

The amounts spent is capitalised under the relevant classification of Property, Plant and Equipment. The corresponding grant component is reflected under Deferred Income and is being amortised over the useful life span of the related asset.

36.2 PHDT Lease Rentals

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
Balance at the beginning of the year	726	1,263
Amortisation during the year	(537)	(537)
Balance at the end of the year	189	726

Premises at St.Andrew's Drive in Nuwara Eliya has been leased out to Plantation Human Development Trust (PHDT) for a period of 20 years commencing from August 2005 at a total lease rental of Rs.10.7 Mn.

Lease rentals received are deferred and amortised over the lease period commencing from August 2005.

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
Maturity analysis		
Not later than one year	537	537
Later than one year and not later than five years	(348)	189
	189	726

36.3 Income Received in Advance

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Balance at the beginning of the year	55,738	42,919	55,738	42,919
Additions during the year	369,281	30,808	366,024	30,808
Amortisation during the year	(106,301)	(17,989)	(106,301)	(17,989)
Balance at the end of the year	318,718	55,738	315,460	55,738

This represents income received in advance in respect of maintenance agreements with customers.

36.4 Rain Forest Eco Lodge (Pvt) Ltd. (RFELL)

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
Balance at the beginning of the year	39,499	41,360
Amortisation during the year	(1,861)	(1,861)
Balance at the end of the year	37,638	39,499

This represents the value of 6,399,375 No. of Ordinary Shares received by Matura Plantations Ltd. equivalent to 20% of the issued Ordinary Shares of RFELL at Rs.10/-each in lieu of releasing the leasehold rights of 488, Hectares in Enselwatte, Deniyaya for Eco Tourism Project. The value of Ordinary Shares are deferred and amortised over the unexpired balance lease period. However due to the rights issue shareholdings percentage has come down from 20% to 13.44%.

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
Maturity analysis		
Not later than one year	1,861	1,861
Later than one year and not later than five years	7,445	7,445
Later than five years	28,332	30,193
	37,638	39,499

NOTES TO THE FINANCIAL STATEMENTS

37 TRADE AND OTHER PAYABLES

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Trade payables	30,681,607	18,681,985	2,862,248	1,049,528
Accrued Expenses	4,927,754	39,063,882	1,183,198	1,641,051
Value Added Tax Payable	3,057,097	1,018,246	-	-
Warranty Provision	793,381	138,410	88,572	108,446
Advances from Customers	1,332,240	4,650,124	364,087	-
SSCL Payable	40,549	33,160	35,734	24,723
Other Tax Payables	1,163,749	608,526	-	-
Security deposits payable	321,857	1,142,275	-	-
Payable to China Harbour Engineering Company	24,379,229	24,776,612	-	-
Other Payables	26,180,575	10,881,956	491,476	178,692
	92,878,038	100,995,176	5,025,314	3,002,441

38 LOANS FROM RELATED PARTIES

38.1 Due After One Year

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
LOLC Holdings PLC	685,541	1,224,409
LOLC Asia Pvt Ltd.	-	6,431,832
LOLC Financial Sector Holdings Pvt Ltd.	-	3,915
	685,541	7,660,156

38.2 Due Within One Year

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
LOLC Holdings PLC	33,445,034	20,250,500	33,445,034	20,250,500
Browns Investments PLC	-	-	29,926	30,394
I Pay Global FZC	144,469	22,589	-	-
LOLC Asia Holdings Pvt Ltd.	2,201,443	3,149,575	-	-
Browns Industrial Park Ltd.	-	-	78,031	-
Patronus Holdings (Pvt) Ltd	1,329,471	-	-	-
	37,120,418	23,422,663	33,552,991	20,280,894

38.3 Security and Repayment Terms of Related Party Loans - Due Within One Year

Name of the Company	Repayment Terms	Security	Outstanding Balance as at 31st March 2025	
			Group Rs.000	Company Rs.000
LOLC Holdings PLC	On demand	Unsecured	33,445,034	33,445,034
Browns Investments PLC	On demand	Unsecured	-	29,926
I Pay Global FZC	On demand	Unsecured	144,469.26	-
LOLC Asia Holdings Pvt Ltd.	On demand	Unsecured	2,201,443	-
Browns Industrial Park Ltd.	On demand	Unsecured	-	78,031
Patronus Holdings (Pvt) Ltd	On demand	Unsecured	1,329,471	-
			35,790,947	33,552,991

39 AMOUNTS DUE TO RELATED PARTIES

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Taprobane Plantations Ltd.	176,503	85,246	-	-
Klevenberg (Pvt) Ltd.	-	-	-	6,536
LOLC General Insurance Company Ltd.	636	-	-	-
LOLC Motors Ltd.	2,128	1,779	-	-
LOLC Corporate Services (Pvt) Ltd.	1,191	2,632	100	300
LOLC Holdings PLC	170,231,746	120,641,236	3,203,226	10,237,276
LOLC Finance PLC	2,332,798	1,679,556	-	-
LOLC Technology Services Ltd.	265,774	273,663	43,434	52,323
Browns Holdings Ltd.	3,855	3,855	3,855	3,855
Browns Tours (Pvt) Ltd.	74,948	63,358	-	-
Browns Investments PLC	-	-	37,193	-
Browns Group Motels Ltd.	-	-	6,607	6,607
Browns Pharma Ltd.	-	-	84,782	84,782
Browns Healthcare Negombo (Pvt) Ltd.	-	-	8,332	8,332
Browns Advance Technologies (Pvt) Ltd.	3,784	3,458	3,784	3,458
BI Holdings (Pvt) Ltd.	-	-	4,630	4,630
Sifang Lanka (Pvt) Ltd.	-	-	1,135,363	929,394
NPH Development (Pvt) Ltd.	6,213	-	-	-
Sierra Cables PLC	-	74,977	-	-
LOLC Property Five (Pvt) Ltd.	-	6,879	-	-
Chain Holdings Ltd.	12,084	-	-	-
INK Investments	91,810	77,810	-	-
Fusion X Global FZC (UAE)	10,342	3,777,279	-	-
LOLC Financial Sector Holdings Pvt Ltd.	118,600	38,841	-	-
Browns Industrial Park Ltd.	-	-	5,489	-
Patronus Holdings (Pvt) Ltd	163,569	-	-	-
	173,495,983	126,730,570	4,536,794	11,337,492

NOTES TO THE FINANCIAL STATEMENTS

40 INCOME TAX PAYABLE

As at 31st March	Group	
	2025 Rs.000	2024 Rs.000
Balance at the beginning of the year	723,239	1,024,551
Provision for the year	473,181	267,825
Transfer to/from other liabilities	(37,703)	(48,934)
Withholding Tax Recoverable	-	(755)
Under/ (Over) Provision in respect of previous year	(133,068)	36,907
Transfer Income Tax Recoverable	9,135	6,282
Acquisition of Subsidiaries	280,330	-
Disposal of Subsidiaries	-	(906)
Payments made during the year	(562,117)	(561,731)
Balance at the end of the year	752,997	723,239

41 NET ASSETS PER SHARE

As at 31st March	Group	
	2025	2024
Equity Attributable to Equity holders of the Company (Rs.000)	100,097,153	70,191,418
Weighted Average Number of Ordinary Shares in Issue ('000)	212,625	212,625
Net Assets per Share (Rs.)	470.77	330.12

42 RELATED PARTY DISCLOSURES

42.1 Ultimate controlling party

The ultimate controlling party of the Group is LOLC Holdings PLC.

42.2 Transactions with key management personnel

Key management personnel compensation

According to Sri Lanka Accounting Standard- LKAS 24 "Related Party Disclosures", Key management personnel are those having authority and responsibility for planning, directing and controlling activities of the entity. Accordingly, the Board of Directors (including executive and Non-executive Directors) has been classified as Key Management Personnel of the Company. Emoluments paid to Key Management Personnel have been disclosed in Note 8.

There were no loans given to the Directors of the company during the financial year or as at the year-end.

This note should be read in conjunction with Note 23 - Loans to Related Parties, Note 24 - Amounts due from Related Parties, Note 38 - Loans from Related Parties and Note 39 - Amounts due to Related Parties.

42.3 Terms and conditions of transactions with Related Parties

All related party transactions are conducted at commercial terms agreed by the management, consistent with transfer pricing protocols. All related party outstanding balances at year-end are unsecured and are to be settled in cash. Interest-bearing borrowings are at pre-determined interest rates and terms, based on the risk profiles of the related entities.

Transactions of Brown & Company PLC with Related Companies

For the year ended	Note	2025 Rs.000	2024 Rs.000
SUBSIDIARIES			
Purchase of Goods/ Services	42.3.1	270,076	1,178,752
Sale of Goods	42.3.1	271,916	164,970
Loan			
Granted	42.3.2	2,965,317	2,740,859
Recovered	42.3.2	2,932,534	3,037,516
Obtained	42.3.3	2,184,133	514,500
Settled	42.3.3	2,187,418	793,907
Interest			
Income	42.3.2	491,312	626,277
Expense	42.3.3	134,029	61,999
Expenses Transferred To	42.3.4	1,817,554	1,624,749
Shares			
Investments made	42.3.6	1,920,000	4,322,245
Rental Income			
Received	42.3.7	3,690	2,768
ASSOCIATES			
Purchase of Goods/Services	42.3.1	6,388,139	7,810,540
Sale of Goods	42.3.1	32,507	137,128
OTHER RELATED COMPANIES			
Sale of Goods	42.3.1	202,421	73,202
Purchase of Goods	42.3.1	116,201	74,841
Loan			
Obtained	42.3.3	27,110,428	29,195,253
Settled	42.3.3	17,481,210	32,598,453
Interest			
Expense	42.3.3	5,848,188	7,312,432
Expenses Transferred To	42.3.4	11,925	11,998
Expenses Transferred From	42.3.5	363,129	278,465
Rental Income			
Received	42.3.7	62,367	117,213
Balances of the Brown & Company PLC with Related Companies			
Trade Receivables - Related Parties	42.4	294,974	180,335
Trade Payables - Related Parties	42.5	1,672,160	450,262

NOTES TO THE FINANCIAL STATEMENTS

42 RELATED PARTY DISCLOSURES (CONTD.)

42.3 Terms and conditions of transactions with Related Parties (Contd.)

42.3.1 Trading Transactions

The Company has engaged in the following trading transactions with Related Companies.

For the year ended	2025		2024	
	Sales Rs.000	Purchases Rs.000	Sales Rs.000	Purchases Rs.000
SUBSIDIARIES				
Agstar PLC	44,312	-	-	-
Agstar Crop Care (Pvt) Ltd.	4,570	-	-	-
Agstar Seeds (Pvt) Ltd.	4,570	-	-	-
Ajax Engineers (Pvt) Ltd.	2,611	-	2,798	-
B.G Air Services (Pvt) Ltd.	-	932	-	28,330
BI Commodities & Logistics (Pvt) Ltd.	411	-	-	-
Browns Agri Solutions (Pvt) Ltd.	13,460	-	-	-
Browns Ari Resorts (Pvt) Ltd.	362	-	564	-
Browns Developments Limited.	943	-	657	-
Browns Engineering & Constructions (Pvt) Ltd.	26,114	-	3,216	-
Browns Group Industries (Pvt) Ltd.	2,030	1,388	203	1,738
Browns Industrial Park Ltd.	1,696	290	123	-
Browns Investments PLC	280	-	-	-
Browns Leisure (Pvt) Ltd.	3,373	-	-	-
Browns Metal & Sands (Pvt) Ltd.	46	-	221	-
Browns Properties (Pvt) Ltd.	29,903	-	1,728	-
Browns Tours (Pvt) Ltd.	-	-	-	53
Browns Thermal Engineering (Pvt) Ltd.	1,036	17,470	761	10,867
Dickwella Resort (Pvt) Ltd.	3,846	49	-	-
Dolphin Hotels PLC	16,227	1,210	-	-
Eden Hotels Lanka PLC	529	186	269	-
Excel Restaurants (Pvt) Ltd.	129	2,211	-	631
Frontier Capital Lanka (Pvt) Ltd.	23	-	781	-
General Accessories & Coating (Pvt) Ltd. (amalgamated with Ajax Engineers (Pvt) Ltd.)	189	-	1,383	-
Green Paradise (Pvt) Ltd.	730	-	3,666	-
Gurind Accor (Pvt) Ltd.	7,706	190	107,686	-
Hotel Sigiriya PLC	17,577	65	622	-
ISIN Lanka (Pvt) Ltd.	8,271	-	-	-
Klevenberg (Pvt) Ltd.	211	-	18,991	156
Maturata Plantations Ltd.	5,472	-	4,299	-
Millennium Development (Pvt) Ltd.	8	-	-	-
S F L Services (Pvt) Ltd.	29	-	-	-
Prith Seeds (Pvt) Ltd.	4,570	-	-	-
Samudra Beach Resorts (Pvt) Ltd.	-	-	3,497	-
Serendib Hotels PLC	1,668	74	5,749	-
Sierra Cables PLC	3,042	232,940	3,131	1,014,103

For the year ended	2025		2024	
	Sales Rs.000	Purchases Rs.000	Sales Rs.000	Purchases Rs.000
Browns Piling (Pvt) Ltd.	1,268	-	-	19,663
Sifang Lanka (Pvt) Ltd.	17,728	12,875	107	102,964
Sun & Fun Resorts Ltd.	565	195	2,813	247
Sun Yield Bio Ingredients (Pvt) Ltd.	8,792	-	129	-
Udapussellawa Plantations PLC	31,239	-	1,026	-
Hapugastenne Plantations PLC	6,381	-	100	-
Bodufaru Beach Resorts (Pvt) Ltd.	-	-	451	-
	271,916	270,076	164,970	1,178,752
ASSOCIATES				
Gal Oya Plantations (Pvt) Ltd.	18,950	-	121,576	-
Associated Battery Manufacturers (Cey) Ltd. (Note 42.3.1.1)	13,557	6,388,139	15,552	7,810,540
	32,507	6,388,139	137,128	7,810,540
OTHER RELATED COMPANIES				
Bestie Beverages (Pvt) Ltd.	-	-	45	-
Taprobane Plantations Ltd.	465	1,884	707	-
Leapstitch Apperal (Pvt) Ltd.	-	-	51,129	-
Leapstitch Technologies (Pvt) Ltd.	2,447	-	135	-
LOLC Advanced Technologies (Pvt) Ltd.	593	-	874	-
LOLC Corporate Services (Pvt) Ltd.	-	-	-	1,200
LOLC Holdings PLC	31,236	7,682	13,046	23,898
LOLC Finance PLC	148,341	432	-	-
LOLC Motors Ltd.	2,217	312	809	690
LOLC General Insurance Ltd.	16,474	46,153	6,149	10,954
LOLC Life Assurance Ltd.	16	58,290	-	22,211
LOLC Technology Services Ltd.	-	-	44	-
LOLC Technologies Limited	285	1,446	231	15,889
LOLC GEO Technologies Pvt Ltd.	346	-	33	-
	202,421	116,201	73,202	74,841

42.3.1.1 Following transactions are made with Associated Battery Manufacturers (Cey) Ltd.

Name of the Company	Relationship	Nature of the transactions	Aggregate Value	As a % of Gross Revenue	Terms and Conditions
Associated Battery Manufacturers (Cey) Ltd.	Associate	Purchases in the normal course of business	6,388,139	28%	Arm's length transactions

NOTES TO THE FINANCIAL STATEMENTS

42 RELATED PARTY DISCLOSURES (CONTD.)

42.3 Terms and conditions of transactions with Related Parties (Contd.)

42.3.2 Loans granted to Related Companies

The Company has granted and recovered the following Loan balances during the year.

Name of the Company	2025			2024		
	Loan	Interest	Loan	Loan	Interest	Loan
	Granted	Income	Recovered	Granted	Income	Recovered
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
SUBSIDIARIES						
Browns Agri Solutions (Pvt) Ltd.	460,618	157,418	446,651	140,413	229,425	707,711
Klevenberg (Pvt) Ltd.	859,400	79,635	855,950	1,256,000	72,666	1,083,700
Browns Thermal Engineering Ltd.	1,001,200	139,494	1,015,100	864,500	205,919	952,000
Browns Group Industries (Pvt) Ltd.	573,500	109,551	460,100	342,000	113,123	246,000
Gurind Accor (Pvt) Ltd.	32,599	3,841	80,292	102,946	5,076	48,105
Browns Industrial Park Ltd.	38,000	1,373	74,441	35,000	68	-
	2,965,317	491,312	2,932,534	2,740,859	626,277	3,037,516

42.3.3 Loans obtained from Related Companies

Name of the Company	2025			2024		
	Loan	Interest	Loan	Loan	Interest	Loan
	Obtained	Expense	Settled	Obtained	Expense	Settled
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
SUBSIDIARIES						
Agstar PLC	1,500,000	120,249	1,620,249	-	-	-
Browns Investments PLC	-	4,687	5,155	414,500	61,908	793,907
Browns Industrial Park Ltd.	78,000	31	-	-	-	-
Dolphin Hotels PLC	606,133	9,062	562,014	100,000	90	-
	2,184,133	134,029	2,187,418	514,500	61,999	793,907
OTHER RELATED COMPANIES						
LOLC Holdings PLC (Note 42.3.3.1)	17,362,384	4,237,491	7,932,100	24,089,478	5,803,586	27,803,362
LOLC Finance PLC	4,500,000	1,407,571	6,003,350	4,500,000	1,405,700	3,789,998
LOLC Securities Ltd.	2,503,274	3,613	2,506,887	-	-	-
LOLC Life Assurance Ltd.	1,541,058	147,098	634,966	605,775	81,688	489,257
LOLC General Insurance Ltd.	1,203,712	52,415	403,907	-	21,458	515,836
	27,110,428	5,848,188	17,481,210	29,195,253	7,312,431	32,598,453

42.3.3.1 Following transactions are made with related companies.

Name of the Company	Relationship	Nature of the transactions	Aggregate Value	As a % of Gross Revenue	Terms and Conditions
LOLC Holdings PLC	Parent Company	Loans Obtained	17,362,384	22%	Unsecured loan at interest rate of 12%
LOLC Holdings PLC	Parent Company	Loans Settled	7,932,100	10%	Unsecured loan at interest rate of 12%

42.3.4 The Company has incurred Group Expenses on behalf of the Related companies during the year on reimbursement basis as follows;

Name of the Company	2025 Expenses Transferred To Rs.000	2024 Expenses Transferred To Rs.000
SUBSIDIARIES		
Agstar PLC	17,623	-
Ajax Engineers (Pvt) Ltd.	13,564	15,946
Browns Agri Solutions (Pvt) Ltd.	256,668	167,211
Browns Fabric Limited	-	2,504
Browns Group Industries (Pvt) Ltd.	87,764	100,087
Browns Thermal Engineering (Pvt) Ltd.	181,007	193,261
Browns Investments PLC	38,661	36,350
Browns Industrial Park Ltd.	80,562	96,466
General Accessories & Coating (Pvt) Ltd. (amalgamated with Ajax Engineers (Pvt) Ltd.)	3,360	5,566
Gurind Accor (Pvt) Ltd.	23,889	24,314
Klevenberg (Pvt) Ltd.	195,343	271,659
S. F. L.Services (Pvt) Ltd.	100	598
Hapugastenne Plantation PLC	140	-
Mathurata Plantation Ltd.	148	-
Udapussellawa Plantations PLC	88	-
ISIN Lanka (Pvt) Ltd.	13,439	-
Sifang Lanka (Pvt) Ltd.	713,805	710,787
Sunbrid Bioenergy Sierra Leone Limited	191,392	-
	1,817,554	1,624,749
OTHER RELATED COMPANIES		
Engineering Services (Pvt) Ltd.	-	69
Leapstitch Apperal (Pvt) Ltd.	11,890	4,872
Leapstitch Technologies (Pvt) Ltd.	-	6,949
Browns Holdings Limited	-	108
Tropical Island Commodities (Pvt) Ltd.	35	-
	11,925	11,998

NOTES TO THE FINANCIAL STATEMENTS

42 RELATED PARTY DISCLOSURES (CONTD.)

42.3 Terms and conditions of transactions with Related Parties (Contd.)

42.3.5 Following companies have incurred Expenses on behalf of the company during the year on reimbursement basis as follows;

Name of the Company	2025 Expenses Transferred From Rs.000	2024 Expenses Transferred From Rs.000
OTHER RELATED COMPANIES		
LOLC Technology Services Ltd.	46,056	48,887
LOLC Corporate Services (Pvt) Ltd.	1,200	1,200
LOLC Holdings PLC	315,873	228,141
LOLC Finance PLC	-	237
	363,129	278,465

42.3.6 The Company has made the following new investments during the year.

Name of the Company	2025 Rs.000	2024 Rs.000
Investment in Subsidiaries (Note 17.4)		
Browns Fabric Limited	-	50,000
Agstar PLC	-	4,272,245
ISIN Lanka (Pvt) Ltd.	1,920,000	-
	1,920,000	4,322,245

42.3.7 Company earned Rental income from following companies during the year;

Name of the Company	2025 Rent Income Rs.000	2024 Rent Income Rs.000
SUBSIDIARIES		
General Accessories & Coating (Pvt) Ltd. (amalgamated with Ajax Engineers (Pvt) Ltd.)	3,690	2,768
	3,690	2,768
OTHER RELATED COMPANIES		
LOLC Finance PLC	36,865	50,054
LOLC Securities Ltd.	8,266	13,072
LOLC Life Assurance Ltd.	2,361	17,550
LOLC General Insurance Ltd.	982	35,421
LOLC Holdings PLC	13,892	1,116
	62,367	117,213

42.4 Trade Receivables - Related Parties

	Company	
	2025 Rs.000	2024 Rs.000
Subsidiaries	130,660	26,119
Associates	91,940	121,042
Other Related companies	72,375	33,174
	294,975	180,335

	Company	
	2025 Rs.000	2024 Rs.000
Subsidiaries	61,801	7,026
Associates	1,608,359	440,331
Other Related companies	2,001	2,905
	1,672,161	450,262

43 FINANCIAL INSTRUMENTS - FAIR VALUE AND RISK MANAGEMENT

The Group has loans and other receivables, trade and other receivables, and cash and short-term deposits that arise directly from its operations. The Group also holds FVTPL and fair value through OCI financial investments. The Group's principal financial liabilities, comprise of loans and borrowings and trade and other payables. The main purpose of these financial liabilities is to finance the Group's operations and to provide guarantees to support its operations. The Group is exposed to market risk, credit risk and liquidity risk.

43.1 Credit Risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities, including deposits with banks and financial institutions, foreign exchange transactions and other financial instruments.

With respect to credit risk arising from the other financial assets of the group, such as cash and cash equivalents, financial investments, short term investments, and certain derivative instruments, the group's exposure to credit risk arises from default of the counterparty. The group manages its operations to avoid any excessive concentration of counterparty risk and the Group takes all reasonable steps to ensure the counterparties fulfil their obligations.

Management of credit risk

The Board of Directors of each financial sector Company has delegated responsibility for the oversight of credit risk to its Credit Committee. A separate Credit department, reporting to each Credit Committees, is responsible for management of the Financial sector Companies' credit risk, including:

01. Formulating credit policies in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.

02. Establishing the authorisation structure for the approval and renewal of credit facilities. Authorisation limits are allocated to business unit Credit Officers. Larger facilities require approval by Group Credit, Head of Group Credit, Credit Committee or the board of directors as appropriate.

03. Reviewing and assessing credit risk. Group Credit assesses all credit exposures in excess of designated limits, prior to facilities being committed to customers by the business unit concerned. Renewals and reviews of facilities are subjected to the same review process.

NOTES TO THE FINANCIAL STATEMENTS

43 FINANCIAL INSTRUMENTS - FAIR VALUE AND RISK MANAGEMENT (CONTD.)

43.1 Credit Risk (Contd.)

04. Reviewing compliance of business units with agreed exposure limits, including those for selected industries, country risk and product types. Regular reports on the credit quality of local portfolios are provided to Group Credit who may require appropriate corrective action to be taken

05. Providing advice, guidance and specialist skills to business units to promote best practice throughout the financial sector in the management of credit risk.

Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows.

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Trade and other receivables	25,717,885	29,127,529	5,319,652	4,012,954
Loans to related companies	2,836,542	502,804	3,438,219	2,119,188
Amount due from Related Companies	522,016	949,108	2,775,720	2,817,231
Cash at Bank	12,533,221	7,153,403	3,927,216	569,955
	41,609,664	37,732,844	15,460,806	9,519,328

Trade and other receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the default risk of the industry in which customers operate, as this factor may have an influence on credit risk.

Each new customer is analysed individually for credit-worthiness before the Group's Standard payment and delivery terms and conditions are offered. The Group's review includes external ratings, when available and in some cases bank references. Sales limits are established for each customer, which represents the maximum open amount without requiring approval from the management. These limits are reviewed periodically. The Group has obtained customer deposits as collateral from major customers by reviewing their past performance and credit worthiness. In addition, receivable balances are monitored on an ongoing basis with the result that Group's exposure to bad debts is not significant.

Age analysis of trade receivables:	Expected Loss rate		Company	
	2025	2024	2025 Rs.000	2024 Rs.000
0-120	1%	1%	4,203,203	2,963,711
120-240	4%	4%	202,806	194,521
240-364	16%	16%	94,282	163,255
Over 365	100%	100%	815,031	690,880
Trade receivables - Gross			5,315,322	4,012,367
Loss allowance	15%	27%	(774,370)	(1,082,382)
Trade receivables - Net			4,540,951	2,929,985

Trade receivables and contract assets are written off where there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the group, and a failure to make contractual payments for a period assessed by the board of directors.

Loans Given to Related Parties

The Group's amount due from related parties consist of the balances from affiliate companies.

Except for the specific provisions identified, the Company believes that there is no credit risk from the receivables from the related parties, because these counterparties are under the control of the Company's ultimate shareholders, who are financially healthy companies.

These balances represent amount receivable on demand. At Company level these related party exposures are closely monitored to avoid any negative impact by way of credit risk.

Carrying Amount	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Loans to related companies	2,836,542	502,804	3,438,219	2,914,126
Amount due from Related Companies	522,016	949,108	3,270,250	2,022,292
	3,358,558	1,451,912	6,708,469	4,936,418
Less: Provision for Intercompany Receivables	-	-	(494,531)	-
	3,358,558	1,451,912	6,213,938	4,936,418

Cash at Bank

The Group held cash at bank of Rs. 12,533 Mn as at the reporting date, which represents its maximum credit exposure on these assets. The Cash and cash equivalents are held with bank and financial institution counterparties, with good credit ratings.

Impairment losses

The movement in the allowance for impairment in respect of trade and other receivables during the year was as follows.

Collective impairment/ Specific provisions	Company Rs.000
Balance at 1 April 2023	559,839
Impairment loss recognised	522,543
Balance at 31 March 2024	1,082,382
Impairment loss recognised	(308,012)
Balance at 31 March 2025	774,370

NOTES TO THE FINANCIAL STATEMENTS

43 FINANCIAL INSTRUMENTS - FAIR VALUE AND RISK MANAGEMENT (CONTD.)

43.2 Liquidity Risk

Liquidity risk is the risk that Group will encounter difficulty in meeting the Obligations associated with its financial liabilities that are settled by delivering cash or another financial assets. The Group's approach to managing liquidity to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group's policy is to hold cash and undrawn committed facilities at a level sufficient to ensure that the Group has available funds to meet its short and medium term capital and funding obligations, including organic growth and acquisition activities, and meet any unforeseen obligations and opportunities. The Group hold cash and undrawn committed facilities to enable the group to manage its liquidity risk.

The Group monitors its risk to a shortage of funds using a daily cash management process. This process considers the maturity of both the Group's financial investments and financial assets (e.g. trade receivable, other financial assets) and projected cash from operations.

The Group objective is to maintain a balance between continuity of funding and flexibility through the use of multiple sources of funding including bank loans, overdrafts and finance leases over a broad spread of maturities.

Maturity Analysis	On demand Rs.000	Less than 3 months Rs.000	3 to 12 months Rs.000	More than 1 years Rs.000	2025 Total Rs.000
Group					
Interest bearing borrowings	-	-	7,256,126	49,509,829	56,765,955
Short term interest bearing borrowings and bank overdrafts	-	57,138,886	-	-	57,138,886
Trade and Other payables	92,878,038	-	-	-	92,878,038
Amounts due to related parties	173,495,983	-	-	-	173,495,983
Loans from related parties	37,120,418	-	-	685,541	37,805,959
Other payables	-	808,527	-	-	808,527
	<u>303,494,439</u>	<u>57,947,413</u>	<u>7,256,126</u>	<u>50,195,370</u>	<u>418,893,348</u>
Company					
Interest bearing borrowings	-	-	5,506,052	4,535,685	10,041,737
Short term interest bearing borrowings and bank overdrafts	-	17,459,487	-	-	17,459,487
Trade and Other payables	5,025,314	-	-	-	5,025,314
Amounts due to related parties	4,536,794	-	-	-	4,536,794
Loans from related parties	33,552,991	-	-	-	33,552,991
Other payables	-	5,794	-	-	5,794
	<u>43,115,099</u>	<u>17,465,281</u>	<u>5,506,052</u>	<u>4,535,685</u>	<u>70,622,117</u>

43.2.1 Net Debt

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Other Current Financial Assets	8,110,209	4,754,056	3,070,624	1,958,553
Cash in hand and at bank	12,789,729	7,288,902	4,045,348	579,383
Total liquid assets	20,899,938	12,042,958	7,115,972	2,537,935
Non current portion of borrowings	33,987,551	30,308,082	4,298,238	3,536,484
Short term borrowings	50,521,871	29,927,670	15,596,839	15,120,999
Current portion of borrowings	7,088,671	6,352,966	5,438,347	3,083,178
Bank overdrafts	6,617,015	976,854	1,862,648	500,202
Lease Liabilities	15,689,733	14,877,376	305,152	350,024
Loans from Related Parties	37,120,418	16,202,504	33,552,991	13,060,734
Total liabilities	151,025,259	98,645,451	61,054,215	35,651,621
Net debt	(130,125,321)	(86,602,493)	(53,938,243)	(33,113,686)

43.3 Market Risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices.

Market risk comprise of the following types of risk:

- » Interest Rate Risk
- » Currency Risk
- » Equity Price Risk

The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The analysis excludes the impact of movements in market variables on the carrying values of other post-retirement obligations, provisions, and the non-financial assets and liabilities.

43.3.1 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's debt obligations with floating interest rates.

The Group treasury continuously monitors the interest rate environment to advice to group on the most suitable strategy with regard to borrowings.

NOTES TO THE FINANCIAL STATEMENTS

43 FINANCIAL INSTRUMENTS - FAIR VALUE AND RISK MANAGEMENT (CONTD.)

43.3 Market Risk (Contd.)

43.3.1 Interest Rate Risk (Contd.)

As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Variable rate borrowings	57,138,886	30,904,523	17,459,487	15,621,202
Fixed rate borrowings	41,076,222	36,661,048	9,736,585	6,619,662
	98,215,108	67,565,571	27,196,072	22,240,864

An analysis of the Groups' sensitivity to an increase or decrease in market interest rates, assuming no asymmetrical movement in yield curves and a constant financial position, is as follows;

Sensitivity of projected	Net interest		Reported equity	
	1% parallel increase Rs.000	1% parallel decrease Rs.000	1% parallel increase Rs.000	1% parallel decrease Rs.000
Group				
For the year ended 31 March 2025	982,151	(982,151)	273,938,616	275,902,918

Sensitivity of projected	Net interest		Reported equity	
	1% parallel increase Rs.000	1% parallel decrease Rs.000	1% parallel increase Rs.000	1% parallel decrease Rs.000
Company				
For the year ended 31 March 2025	271,961	(271,961)	99,825,194	100,369,115

43.3.2 Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements. Group treasury analyses the market condition of foreign exchange and provides market updates to the board, with the use of external consultants' advice. Based on the suggestions made by Group treasury, the board takes decisions on whether to hold, sell, or make forward bookings of foreign currency.

43.3.2.1 Exposure

The Group has exposure to the currency fluctuations through its foreign assets and liabilities held by following main foreign subsidiaries

Subsidiary	Country of incorporation	Functional currency
B Commodities ME(FZE)	UAE	United State Dollar - USD
BI Leisure Holdings ME(FZE)	UAE	United State Dollar - USD
Bodufaru Beach Resorts (Private) Limited	Maldives	United State Dollar - USD
Browns Ari Resort (Pvt) Ltd	Maldives	United State Dollar - USD
Browns Kaafu N Resort (Pvt) Ltd	Maldives	United State Dollar - USD
Browns Raa Resort (Pvt) Ltd	Maldives	United State Dollar - USD
Grey Reach Investments Ltd	British Virgin Island	United State Dollar - USD
Sunbird Bioenergy (SL) Ltd	Sierra Leone	Euro
PL Resorts Ltd	Mauritius	Mauritian rupee (MUR)
Browns Plantations Kenya Ltd	Scotland and Kenya	British Pound Sterling (GBP) and Kenyan Shilling (Ks)
Browns Plantations East Africa Ltd	Kenya	Kenyan shilling
Browns Plantations Tanzania Ltd	Tanzania	Tanzanian shilling
Browns Plantations Rwanda Ltd	Rwanda	Rwanda Franc
Browns Plantations (Guizhou) Tea Co., Ltd.	China	Chinese Yuan

A reasonably possible strengthening (weakening) of USD, EURO, GBP, MUR, KES, TZS, RWF and CNY against all other currencies as at 31 March 2025, would have affected the measurement of individual assets and liabilities denominated in a foreign currency and affected equity by the amounts shown below. This analysis assumes that all other variables, in particular interest rates remain constant and any change in assets and liability positions.

NOTES TO THE FINANCIAL STATEMENTS

43 FINANCIAL INSTRUMENTS - FAIR VALUE AND RISK MANAGEMENT (CONTD.)

43.3 Market Risk (Contd.)

43.3.2 Foreign Currency Risk (Contd.)

43.3.2.1 Exposure (Contd.)

Sensitivity analysis

As at 31 March 2025	100 basis points movement in	
	Strengthening Rs.000	Weakening Rs.000
MUR	16,287	(16,287)
EURO	488,527	(488,527)
USD	340,674	(340,674)
GBP	578,238	(578,238)
KES	992,144	(992,144)
RWF	69,486	(69,486)
CNY	10,063	(10,063)

The company's exposure to foreign currency risk at the end of the reporting period, was as follows:

Company

As at 31st March	2025			2024		
	USD	LKR	Others	USD	LKR	Others
Trade and other receivable	-	5,319,652	-	-	4,012,954	-
Loans to related companies	-	3,438,219	-	-	2,914,126	-
Amount due from Related Companies	-	2,775,720	-	-	2,022,292	-
Cash at Bank	-	3,927,216	-	-	569,955	-
Loans and Borrowings	-	25,638,576	-	-	22,090,684	-
Trade and Other Payables	627,665	4,358,079	39,570	536,787	2,360,180	105,474
Loans from Related Parties	-	33,552,991	-	-	20,280,894	-
Amounts due to Related Parties	-	4,536,794	-	-	11,337,492	-
Bank Overdrafts	-	1,862,648	-	-	500,202	-

43.3.3 Equity Price Risk

The group's exposure to equity securities price risk arises from investments held by the group and classified in the balance sheet either as at fair value through other comprehensive income (FVOCI)

To manage its price risk arising from investments in equity securities, the group diversifies its portfolio. Diversification of the portfolio is done in accordance with the limits set by the group.

Below table summarises the impact of a shock of 10% on equity price on profit, other comprehensive income (OCI) and equity.

Financial assets by categories	Group		Company	
	Financial assets recognised through profit or loss Rs.000	Financial assets fair value through other comprehensive income Rs.000	Financial assets recognised through profit or loss Rs.000	Financial assets fair value through other comprehensive income Rs.000

Market value of Equity Securities	3,705,354	463,207	3,070,624	55,000
-----------------------------------	-----------	---------	-----------	--------

Stress Level	Group		Company	
	Impact on Income Statement Rs.000	Impact on OCI Rs.000	Impact on Income Statement Rs.000	Impact on OCI Rs.000

Shock of 10% on equity price (upward)	370,535	46,321	307,062	5,500
Shock of 10% on equity price (downward)	(370,535)	(46,321)	(307,062)	(5,500)

Capital management

The board's policy is to maintain a strong capital base to maintain investor, creditor and market confidence and sustain future development of the business. Capital consist of ordinary shares, retained earnings and non- controlling interests of the group. The Board of Directors monitors the return on capital as well as the level of dividends to ordinary share holders.

The Board seeks to maintain a balance between the higher returns that might be possible with the higher levels of borrowings and the advantage and security afforded by a sound capital position.

Financial liabilities by categories As at 31st March	Group		Company	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
Net debt	130,125,321	86,602,493	53,938,243	33,113,686
Total equity	274,920,767	188,743,671	100,097,154	70,191,419
Net debt to equity ratio	47%	46%	54%	47%

NOTES TO THE FINANCIAL STATEMENTS

43 FINANCIAL INSTRUMENTS - FAIR VALUE AND RISK MANAGEMENT (CONTD.)

43.4 Financial Instruments

43.4.1 Financial Instruments - Group

- a) The fair value of a financial instrument is the amount at which the instrument could be exchanged or settled between knowledgeable and willing parties in an arm's length transaction, other than in a forced liquidation or sale.
- i) Classes of financial instruments that are not carried at fair value and of which carrying amounts are a reasonable approximation of fair value are trade and other receivables, amounts due from related parties, loans given to related parties, cash and cash equivalents, trade and other payables, amount due to related parties, loans from related parties and loans and borrowings.

Financial assets and liabilities in the tables below are split into categories in accordance with SLFRS 9

Financial assets by categories	Financial assets at amortised cost		Financial assets at fair value through profit or loss (FVTPL)		Fair Value through Other Comprehensive income (FVOCI)		Total Fair Value	
	As at	As at	As at	As at	As at	As at	As at	As at
	31st March 2025 Rs.000	31st March 2024 Rs.000	31st March 2025 Rs.000	31st March 2024 Rs.000	31st March 2025 Rs.000	31st March 2024 Rs.000	31st March 2025 Rs.000	31st March 2024 Rs.000
Financial instruments in non-current assets								
Other non-current financial assets	79,069	54,975	-	-	463,207	229,097	542,276	284,072
Financial instruments in current assets							-	-
Trade and other receivables	25,717,885	29,127,529	-	-	-	-	25,717,885	29,127,529
Loans to Related Parties	2,836,542	502,804	-	-	-	-	2,836,542	502,804
Amounts due from related parties	522,016	949,108	-	-	-	-	522,016	949,108
Other current financial assets	4,404,855	1,832,202	3,705,354	2,921,854	-	-	8,110,209	4,754,055
Cash at bank	12,533,221	7,153,403	-	-	-	-	12,533,221	7,153,403
Total	46,093,589	39,620,021	3,705,354	2,921,854	463,207	229,097	50,262,150	42,770,971

Both carrying amounts and fair value of Fair Value through Other comprehensive income(FVOCI) financial assets and financial assets at fair value through profit or loss are equal.

The fair value of loans and receivables does not significantly vary from the value based on the amortised cost methodology.

Financial liabilities by categories	Financial liabilities measured at amortised cost	
	2025 Rs.000	2024 Rs.000
Financial instruments in non-current liabilities		
Borrowings	33,987,551	30,308,082
Loan from Related parties	685,541	7,660,156
Total	34,673,092	37,968,238
Financial instruments in current liabilities		
Trade and other payables	92,878,038	126,730,570
Amounts due to related parties	173,495,983	23,422,663
Loans from Related parties	37,120,418	16,202,504
Short term borrowings	50,521,871	29,927,670
Current portion of borrowings	7,256,126	6,628,406
Other current financial liabilities	808,527	778,190
Bank overdrafts	6,617,015	976,854
Total	368,697,978	289,459,529

The fair value of financial liabilities does not significantly vary from the value based on the amortised cost methodology.

43.4.2 Financial Instruments - Company

Financial assets and liabilities in the tables below are split into categories in accordance with SLFRS 9.

Financial assets by categories	Financial assets at amortised cost		Financial assets at fair value through profit or loss (FVTPL)		Fair Value through Other Comprehensive income (FVOCI)		Total Fair Value	
	As at	As at	As at	As at	As at	As at	As at	As at
	31st March	31st March	31st March	31st March	31st March	31st March	31st March	31st March
	2025	2024	2025	2024	2025	2024	2025	2024
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Financial instruments in current assets								
Trade and other receivables	5,319,652	4,012,954	-	-	-	-	5,319,652	4,012,954
Loans to related parties	3,438,219	2,914,126	-	-	-	-	3,438,219	2,914,126
Amounts due from related parties	2,775,720	2,022,292	-	-	-	-	2,775,720	2,022,292
Other current financial assets	-	-	3,070,624	1,958,553	55,000	55,000	3,125,624	2,013,553
Cash at bank	3,927,216	569,955	-	-	-	-	3,927,216	569,955
Total	15,460,806	9,519,327	3,070,624	1,958,553	55,000	55,000	18,586,430	11,532,880

Both Carrying amounts and fair value of FVOCI financial assets and financial assets at fair value through profit or loss are equal.

The fair value of financial asset and liabilities at amortised cost does not significantly vary from the value based on the amortised cost methodology for the company.

NOTES TO THE FINANCIAL STATEMENTS

43 FINANCIAL INSTRUMENTS - FAIR VALUE AND RISK MANAGEMENT (CONTD.)

43.4 Financial Instruments (Contd.)

43.4.2 Financial Instruments - Company (Contd.)

Financial liabilities by categories As at 31st March	Financial liabilities measured at amortised cost	
	2025 Rs.000	2024 Rs.000
Financial instruments in non-current liabilities		
Loans and Borrowings	4,298,238	3,536,484
Total	4,298,238	3,536,484
Current portion of borrowings		
Trade and other payables	5,025,314	3,002,441
Amounts due to related parties	4,536,794	11,337,492
Loan from Related parties	33,552,991	20,280,894
Short term borrowings	15,596,839	15,120,999
Current portion of borrowings	5,438,347	3,083,178
Other current financial liabilities	5,794	5,794
Bank overdrafts	1,862,648	500,202
Total	66,018,727	53,331,000

The Company has not designated financial liabilities upon initial recognition, fair value through profit or loss.

The fair value of financial liabilities does not significantly vary from the value based on the amortised cost methodology.

43.4.3 Financial Assets and Liabilities by Fair Value Hierarchy - Group

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities;

Level 2: Other techniques for which all inputs with significant effect on the recorded fair values are observable, either directly or indirectly;

Level 3: Techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data

Fair value of financial instruments by classes that are not carried at fair value and of which carrying amounts are reasonable approximation of fair value are current trade and other financial receivables and payables, current and non-current loans and borrowings at floating rate, other bank deposits and cash and bank balances.

The carrying amounts of these financial assets and liabilities are a reasonable approximation of fair value, either due to their short-term nature or that they are floating rate instruments that are re-priced to market interest rates on or near the reporting date.

The Group held the following financial instruments carried at fair value in the statement of financial position:

Financial assets by categories	Level 1		Level 2		Level 3	
	As at	As at	As at	As at	As at	As at
	31st March	31st March	31st March	31st March	31st March	31st March
	2025	2024	2025	2024	2025	2024
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Financial assets						
Fair value through profit or loss	3,705,354	2,921,854	-	-	-	-
Fair Value through Other comprehensive income	-	-	347	347	462,860	228,750
Loans & Receivable	-	-	-	-	4,483,924	1,887,177
Total	3,705,354	2,921,854	347	347	4,946,784	2,115,927

For financial assets at fair value through profit or loss and Fair Value through Other comprehensive income financial assets, the carrying amount and fair value are equal.

The fair value of loans and receivables does not significantly vary from the value based on the amortised cost methodology.

43.3.4.4 Financial Assets and Liabilities by Fair Value Hierarchy - Company

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities;

Level 2: Other techniques for which all inputs with significant effect on the recorded fair values are observable, either directly or indirectly;

Level 3: Techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The company held the following financial instruments carried at fair value in the statement of financial position:

Financial assets by categories	Level 1		Level 2		Level 3	
	As at	As at	As at	As at	As at	As at
	31st March	31st March	31st March	31st March	31st March	31st March
	2025	2024	2025	2024	2025	2024
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Financial assets						
Fair value through profit or loss	3,070,624	1,958,553	-	-	-	-
Fair Value through Other comprehensive income	-	-	-	-	55,000	55,000
Total	3,070,624	1,958,553	-	-	55,000	55,000

43.4.5 Valuation techniques and significant unobservable inputs used as follows,

Valuation Technique - Net assets basis/ Market return on a comparable investment.

Significant unobservable inputs - Carrying value of assets and liabilities adjusted for market participant assumptions/ Current market interest rates.

Relationship between inputs and fair value measurement - Variability of inputs are insignificant to have an impact on fair values.

NOTES TO THE FINANCIAL STATEMENTS

44 COMMITMENTS AND CONTINGENT LIABILITIES

44.1 Commitments

Company

There have been no capital commitments contracted but provided for, or authorised by the board but not contracted for, outstanding as at the reporting date.

Group Companies

There have been no capital commitments contracted but provided for, or authorised by the board but not contracted for, outstanding as at the reporting date other than followings,

a) Bodufaru Beach Resort (Private) Limited

The Board of Directors of Bodufaru Beach Resort Private Limited has approved USD 102 Mn budget for the construction of a tourist resort in Republic of Maldives.

b) Riverina Resorts (Private) Limited

Capital Commitments of Riverina Resort (Private) Limited as at 31st March amounted to Rs. 4,497 Mn.

c) Colombo Marina Developments (Pvt) Ltd

The Board of Directors of Colombo Marina Developments Private Limited has approved USD 75 Mn budget for the construction of a luxury retail mall and a world-class events hall at the Port City Colombo.

44.2 Contingent Liabilities

Company

- a. A corporate guarantee has been issued to Seylan Bank PLC for sum of USD 2,104 Mn for the Banking facilities obtained by Browns Investments PLC.
- b. A corporate guarantee has been issued to Sampath Bank PLC for sum of Rs. 5Bn for the Banking facilities obtained by Browns Investments PLC.
- c. A corporate guarantee has been given to DFCC Bank for a sum of Rs.525 Mn for facilities obtained by Browns Agri Solutions (Pvt) Ltd.
- d. A corporate guarantee has been given to People's Bank for a sum of Rs.400 Mn for facilities obtained by Gal-Oya plantation (Pvt) Ltd.
- e. A corporate guarantee has been given to Seylan Bank for a sum of Rs.100 Mn for facilities obtained by Gal-Oya plantation (Pvt) Ltd.
- f. A corporate guarantee has been given to LOLC Factors Ltd for a sum of Rs. 10 Bn for facilities obtained by Rahul Capital (Pvt) Ltd.
- g. A corporate guarantee has been given to LOLC Factors Ltd for a sum of Rs. 12 Bn for facilities obtained by Ishara Traders (Pvt) Ltd.
- h. A corporate guarantee has been given to LOLC Factors Ltd for a sum of Rs. 6 Bn for facilities obtained by Sathya Capital (Pvt) Ltd.
- i. A corporate guarantee has been given to LOLC Factors Ltd for a sum of Rs. 7 Bn for facilities obtained by Lanka Commercial Trading (Pvt) Ltd.
- j. A corporate guarantee has been given to LOLC Factors Ltd for a sum of Rs. 12 Bn for facilities obtained by Kashyapa Capital (Pvt) Ltd.
- k. A corporate guarantee has been given to People's Bank for a sum of Rs.775 Mn for facilities obtained by Ajax Engineers (Pvt) Ltd.
- l. A corporate guarantee has been given to Commercial Bank of Ceylon for a sum of Rs. 7 Bn for facilities obtained by Gal-Oya plantation (Pvt) Ltd.

- m. A corporate guarantee has been given to Bank of Ceylon for a sum of Rs. 2.2 Bn for facilities obtained by Agstar PLC.
- n. A corporate guarantee has been given to Seylan Bank for a sum of Rs.782 Mn for facilities obtained by Gal-Oya plantation (Pvt) Ltd.
- o. A corporate guarantee has been given to People's Bank for a sum of Rs.5 Bn for facilities obtained by LOLC Holdings PLC.

Group Companies.

a) Browns Investments PLC

- a. A corporate guarantee has been given to People's Bank for a sum of Rs.360 Mn for facilities obtained by Ajax Engineers (Pvt) Ltd.
- b. A corporate guarantee has been given to DFCC Bank for a sum of Rs.155 Mn for facilities obtained by Ajax Engineers (Pvt) Ltd.
- c. A corporate guarantee has been given to Seylan Bank for a sum of Rs.373 Mn for facilities obtained by Ajax Engineers (Pvt) Ltd.
- d. A corporate guarantee has been given to Nations Trust Bank PLC for a sum of Rs.400 Mn for facilities obtained by Ajax Engineers (Pvt) Ltd.
- e. A corporate guarantee has been given to Nations Trust Bank PLC for a sum of Rs.1 Bn for facilities obtained by Brown & Company PLC.
- f. A corporate guarantee has been given to Commercial Leasing & Finance PLC for a sum of Rs.1Bn for facilities obtained by Brown & Company PLC.
- g. A corporate guarantee has been issued to the DFCC Bank for a sum of Rs. 520 Mn for the facility obtained by Browns Engineering and constructions (Pvt) Ltd.
- h. A corporate guarantee has been issued to the NDB Bank for a sum of Rs. 250 Mn for the facility obtained by Browns Engineering and constructions (Pvt) Ltd.
- i. A corporate guarantee has been issued to the Commercial Bank of Ceylon PLC for a sum of Rs. 28 Mn for the facility obtained by Maturata Plantations Limited.
- J. A corporate guarantee has been issued to the NDB Bank of Ceylon PLC for a sum of Rs. 100 Mn for the facility obtained by Browns Piling (Pvt) Limited.

b) Serandib Hotels PLC

Bentota Pradeshiya Sabha has filed a case against Serendib Hotels PLC at Magistrate Court- Balapitiya, charged for operating the Hotel without the required permit issued by the Pradeshiya Sabha in the year 2019 , 2020, 2021, 2022 and 2023.

An ex-employee has filed an application against Serendib Hotels PLC at Intercompany Employees Union for alleging wrongful termination of his service.

Wennappuwa Pradeshiya Sabha has filed a case against Club Hotel Dolphin at Magistrate Court- Marawila, charged for operating the Hotel without the required permit issued by the Pradeshiya Sabha in the years 2016, 2017, 2018 ,2019 ,2020 ,2022 & 2023.

Wennappuwa Pradeshiya Sabha has filed a case against Club Hotel Dolphin at Magistrate Court- Marawila, charged to recover the license duty for 2021 & 2022.

NOTES TO THE FINANCIAL STATEMENTS

44 COMMITMENTS AND CONTINGENT LIABILITIES (CONTD.)

44.2 Contingent Liabilities (Contd.)

c) Agstar PLC

- a. A bank guarantee has been issued from Commercial Bank PLC to Lanka Phosphate Limited for sum of Rs. 3Mn by Agstar PLC.
- b. A corporate guarantee has been given to Commercial Bank for a sum of Rs.48 Mn for facilities obtained by AgStar Seeds (Pvt) Ltd.
- c. A corporate guarantee has been given to Commercial Bank for a sum of Rs.19 Mn for facilities obtained by AgStar Seeds (Pvt) Ltd.
- d. A corporate guarantee has been given to Commercial Bank for a sum of Rs.60 Mn for facilities obtained by AgStar Seeds (Pvt) Ltd.
- e. A corporate guarantee has been given to Hatton National Bank for a sum of Rs.20 Mn for facilities obtained by AgStar Seeds (Pvt) Ltd.
- f. A corporate guarantee has been given to Hatton National Bank for a sum of Rs.5 Mn for facilities obtained by AgStar Seeds (Pvt) Ltd.
- g. A corporate guarantee has been given to Bank of Ceylon for a sum of Rs.60 Mn for facilities obtained by AgStar Seeds (Pvt) Ltd.
- h. A corporate guarantee has been given to National Development Bank for a sum of Rs.50 Mn for facilities obtained by AgStar Seeds (Pvt) Ltd.
- i. A corporate guarantee has been given to Commercial Bank for a sum of Rs.50 Mn for facilities obtained by AgStar Cropcare (Pvt) Ltd
- j. A corporate guarantee has been given to Commercial Bank for a sum of Rs.19 Mn for facilities obtained by AgStar Cropcare (Pvt) Ltd
- k. A corporate guarantee has been given to Hatton National Bank for a sum of Rs.100 Mn for facilities obtained by AgStar Cropcare (Pvt) Ltd
- l. A corporate guarantee has been given to DFCC for a sum of Rs.120 Mn for facilities obtained by AgStar Cropcare (Pvt) Ltd
- m. A corporate guarantee has been given to National Development Bank for a sum of Rs.50 Mn for facilities obtained by AgStar Cropcare (Pvt) Ltd

d) Browns Properties (Pvt) Ltd

The Company has issued an indemnity in favour of Colombo Municipal Council against any claims or demands of any damages to the adjacent structures and moveable an immoveable properties due to the construction and also relating to the boundary disputes and or/ ownership disputes including access roads and service line issues relating to the height or number of floors issues at the property at No.19 Dudley Senanayake Mawatha Colombo 08.

45 EVENTS OCCURRING AFTER THE REPORTING DATE

No circumstances have arisen since the reporting date which would require adjustments or disclosures in these Financial Statements, except the following.

Acquisition of Tea Smallholder Factories PLC

On 3rd April 2025, Udapussellawa Plantations PLC (UPL), a subsidiary of the Group, acquired a 37.59% equity stake in Tea Smallholder Factories PLC for a total consideration of Rs. 394.7 million. In accordance with Rule 36 of the Company Takeovers and Mergers Code 1995 (as amended in 2003) and gazetted in Extraordinary Gazette No. 875/9 dated 26th June 1995, UPL has made a mandatory offer to the shareholders of Tea Smallholder Factories PLC.

Acquisition of FLMC Plantations (Pvt) Ltd

On 5th May 2025, Browns Power Holdings (Pvt) Ltd (BPH), a subsidiary of the Group, acquired a 100% equity stake in FLMC Plantations (Pvt) Ltd for a total consideration of Rs. 4.8 billion.

FLMC Plantations (Pvt) Ltd is the holding company and management agent of Pussellawa Plantations Ltd (PPL) and Melfort Green Teas (Pvt) Ltd manages over 11,500 hectares of agricultural land across 24 estates. This includes approximately 5,400 hectares of tea, 5,900 hectares of rubber, and 200 hectares dedicated to minor crops.

Divestment of 9.99% ordinary shares of Hatton National Bank PLC

The subsidiary of the group, Browns Investment PLC's investment in Hatton National Bank PLC (HNB), was classified as a non-current asset held for sale as at the reporting date in accordance with SLFRS 5 Non-current Assets Held for Sale and Discontinued Operations, was disposed of subsequent to the reporting period. The entire holding of voting shares amounting to 9.99% was sold in the price range of Rs. 305 to Rs. 313 per share. In addition, the non-voting shares, representing 44% of HNB's non-voting shares, were also disposed of at prices ranging from Rs. 280 to Rs. 318 per share after the end of the financial year.

Divestment of Agstar Export (Pvt) Ltd

Agstar PLC, a subsidiary of the group has entered into an agreement to dispose of its entire shareholding in Agstar Export (Pvt) Ltd, a wholly-owned subsidiary, for a consideration of Rs. 35.3 million on 14th August 2025.

NOTES TO THE FINANCIAL STATEMENTS

46 SEGMENTAL INFORMATION

46.1 Primary Segments (Business Segments)

46.1.1 Group

	Trading		Manufacturing & Constructions		Investments		Plantation		
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000	
a) Segment Result									
Revenue	37,814,784	36,127,299	14,818,924	14,166,386	(787)	8,459	42,837,080	19,716,892	
Cost of Sales	(29,780,375)	(29,588,698)	(12,364,443)	(12,148,683)	(34,481)	-	(38,044,782)	(15,152,116)	
Gross Profit/ (Loss)	8,034,408	6,538,601	2,454,481	2,017,703	(35,268)	8,459	4,792,299	4,564,776	
Add : Other Income/(Expenses)	1,450,470	301,956	187,705	215,775	4,508,532	1,934,103	3,454,030	2,258,979	
Share of Loss of Equity Accounted Investees	-	-	-	-	-	-	-	-	
Change in fair value of Investment Properties	34,757	1,041,414	1,000	6,500	1,291,985	11,711,232	-	-	
Change in fair value of consumable biological assets	-	-	-	-	-	-	910,095	1,087,485	
Gain on Bargain Purchase of Subsidiaries	-	-	-	-	-	-	-	-	
Loss on disposal of subsidiaries	-	-	-	-	25,480	-	-	-	
Less : Expenses	(5,813,048)	(4,463,072)	(5,748,363)	(4,053,757)	(31,424,253)	(30,600,242)	(18,643,496)	(14,973,884)	
Profit/ (Loss) before Taxation	3,706,588	3,418,899	(3,105,177)	(1,813,779)	(25,633,524)	(16,946,448)	(9,487,072)	(7,062,644)	
Income Tax Expense	1,261,981	2,062,057	27,635	(56,421)	260,026	(646,814)	1,353,480	(2,822,754)	
Profit/ (Loss) for the Year	4,968,569	5,480,956	(3,077,542)	(1,870,200)	(25,373,499)	(17,593,262)	(8,133,593)	(9,885,399)	
b) Segment Assets									
Non-current Assets	80,943,714	76,246,565	14,669,421	11,101,264	305,156,923	269,500,911	311,832,736	172,368,818	
Current Assets	37,035,954	23,921,755	40,594,515	38,462,849	113,705,154	95,976,632	48,106,887	18,709,785	
	117,979,668	100,168,319	55,263,936	49,564,113	418,862,076	365,477,542	359,939,622	191,078,602	
c) Segment Liabilities									
Non-current Liabilities	6,115,616	5,138,741	5,693,367	8,962,709	14,876,928	23,045,430	60,198,232	27,600,207	
Current Liabilities	75,715,941	58,217,850	35,198,129	29,451,820	280,136,975	212,507,098	65,617,012	45,791,457	
	81,831,557	63,356,591	40,891,497	38,414,529	295,013,903	235,552,528	125,815,244	73,391,664	

	Leisure		Real Estate		Others		Adjustments		Group Total	
	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000	2025 Rs.000	2024 Rs.000
	12,817,601	10,591,118	633,191	604,596	46,394	65,548	(1,146,363)	(671,011)	107,820,825	80,609,286
	(5,438,916)	(4,428,246)	(52,510)	(134,052)	(13,743)	(946,410)	2,642,458	350,707	(83,086,792)	(62,047,498)
	7,378,685	6,162,872	580,681	470,544	32,651	(880,863)	1,496,095	(320,305)	24,734,033	18,561,788
	1,159,375	635,774	(330,682)	374,456	(216)	(2,306)	(4,733,233)	(1,383,622)	5,695,979	4,335,116
	-	-	-	-	-	-	1,235,781	4,530,639	1,235,781	4,530,639
	5,000	(2,601)	776,959	830,256	-	(94,035)	-	-	2,109,701	13,492,767
	-	-	-	-	-	-	-	-	910,095	1,087,485
	-	-	-	-	-	-	64,896,817	20,331,398	64,896,817	20,331,398
	-	-	-	-	-	-	21,304	(27,242)	46,784	(27,242)
	(13,365,797)	(15,888,798)	(1,067,469)	(695,254)	(151,481)	625,374	2,479,725	1,228,608	(73,734,180)	(68,821,025)
	(4,822,738)	(9,092,753)	(40,511)	980,002	(119,045)	(351,829)	65,396,490	24,386,718	25,895,011	(6,509,074)
	274,900	(266,613)	(20,914)	(315,082)	40,928	24,026	-	-	3,198,035	(2,021,600)
	(4,547,837)	(9,359,366)	(61,425)	664,921	(78,117)	(327,803)	65,396,490	24,386,718	29,093,046	(8,530,675)
	115,819,113	97,436,198	19,991,803	16,123,278	9,066,500	8,113,178	(252,125,540)	(184,193,504)	605,354,670	466,696,707
	16,278,637	19,902,255	2,018,786	1,566,123	63,676	774,688	(110,374,975)	(102,639,521)	147,428,630	96,674,561
	132,097,750	117,338,453	22,010,590	17,689,401	9,130,176	8,887,867	(362,500,515)	(286,833,025)	752,783,300	563,371,268
	24,418,915	23,477,629	3,494,760	2,844,273	40,952	40,010	(5,674,217)	(5,940,929)	109,164,554	85,168,071
	42,757,230	41,557,186	4,310,597	2,846,996	1,046,906	947,462	(136,084,812)	(101,860,340)	368,697,978	289,459,528
	67,176,145	65,034,815	7,805,357	5,691,268	1,087,857	987,473	(141,759,029)	(107,801,269)	477,862,532	374,627,598

NOTES TO THE FINANCIAL STATEMENTS

47 NON CONTROLLING INTERESTS

The following table summarises the information relating to Browns Investments PLC and Agstar PLC that has material NCI. Inter-company eliminations have been made to the information for the Browns Investments PLC subgroup in order to show the interests of NCI in that subgroup as a whole.

As at 31st March	2025		2024	
	Browns Investments PLC	Agstar PLC	Browns Investments PLC	Agstar PLC
Holding %	64.55%	58.77%	64.55%	58.77%
NCI%	35.45%	41.23%	35.45%	41.23%
	Rs.000	Rs.000	Rs.000	Rs.000
Total assets	670,137,535	14,291,215	414,809,376	9,254,785
Total liabilities	(398,635,999)	(6,254,791)	(242,898,663)	(1,896,444)
Net assets attributable to Equity Holders	175,254,242	4,723,006	(110,968,365)	4,324,497
Carrying value of NCI	96,247,295	3,313,417	60,942,348	3,033,844
Gross income	64,790,500	9,522,313	47,429,333	7,666,127
Profit/(Loss) for the year	62,716,239	(366,611)	5,783,364	159,686
Profit/(Loss) attributable to Equity Holders	40,483,332	(215,457)	10,037,387	93,848
Profit/(Loss) attributable to NCI	22,232,907	(151,154)	(4,254,024)	65,839
OCI for the year	14,881,944	1,044,694	1,670,636	11,995
Net cash generated from/ (used in) Operating Activities	11,473,351	(2,552,667)	14,877,594	(1,468,810)
Net cash used in from Investing Activities	(19,289,247)	182,937	(9,027,627)	957,653
Net cash generated from Financing Activities	4,583,025	3,838,848	(4,207,613)	529,065
Total net cash (outflow) / inflow	(3,232,871)	1,469,119	1,642,354	17,908

A LEGACY OF INSIGHT

Brown & Company PLC provides greater clarity and deeper perspectives through detailed disclosures and analysis. By empowering stakeholders with relevant, timely, and meaningful information, we enable informed decision-making while strengthening transparency and trust across all aspects of our operations

SUPPLEMENTARY INFORMATION

TEN YEAR SUMMARY

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Group revenue	107,820,825	80,609,286	72,651,843	50,303,640	29,391,036	20,438,843	21,193,726	20,554,110	22,648,082	19,890,181
EBIT	72,001,216	48,309,136	35,778,798	43,136,596	2,799,436	4,448,224	3,979,584	5,402,671	7,330,374	133,830
Finance expenses	(46,106,205)	(54,818,210)	(46,886,564)	(12,832,521)	(5,582,525)	(5,418,665)	(3,861,751)	(2,970,629)	(2,910,399)	(1,370,381)
Share of results of Equity Accounted Investees	1,235,781	4,530,639	4,241,909	724,383	(122,597)	(278,942)	56,017	77,845	66,225	53,651
Profit/(Loss) before tax	25,895,011	(6,509,074)	(11,107,766)	30,304,075	(2,783,090)	(970,441)	117,833	2,432,042	4,419,975	(1,236,551)
Tax expense	3,198,035	(2,021,601)	(1,419,743)	(557,500)	(561,334)	(544,230)	(114,889)	(495,569)	(458,499)	(74,201)
Profit/(Loss) for the year	29,093,046	(8,530,675)	(12,527,509)	29,746,575	(3,344,424)	(1,514,671)	2,944	1,936,473	3,961,476	(1,310,752)
Attributable to:										
Equity holders of the parent	32,427,654	2,381,520	(6,230,356)	21,589,061	(16,046)	3,620,315	1,274,458	813,961	1,897,766	(205,109)
Non-Controlling interest	(12,716,930)	(10,912,195)	(6,297,153)	8,157,514	(3,328,378)	(5,134,986)	(1,271,514)	1,122,512	2,063,710	(1,105,643)
	19,710,723	(8,530,675)	(12,527,509)	29,746,575	(3,344,424)	(1,514,671)	2,944	1,936,473	3,961,476	(1,310,752)
CAPITAL EMPLOYED										
Stated capital	9,093,101	9,093,101	9,093,101	9,093,101	9,093,101	9,093,101	9,093,101	2,005,601	2,005,601	2,005,601
Capital reserves	14,152,251	27,259,918	33,438,204	32,960,336	17,809,193	4,643,864	3,873,928	2,454,529	2,080,753	2,010,848
Revenue reserves	76,851,802	33,838,400	36,572,209	43,154,141	19,985,456	16,520,105	12,753,386	14,900,123	14,123,385	11,997,076
Share holders funds	100,097,154	70,191,419	79,103,514	85,207,578	46,887,750	30,257,070	25,720,415	19,360,253	18,209,739	16,013,525
Non-Controlling interests	174,823,613	118,552,252	93,538,908	98,074,406	50,180,938	46,497,651	20,471,343	17,179,560	15,012,565	18,145,838
Total equity	274,920,767	188,743,671	172,642,422	183,281,984	97,068,688	76,754,721	46,191,759	36,539,813	33,222,304	34,159,363
Total debt	151,710,800	113,525,767	107,151,270	108,616,770	59,473,332	39,124,909	26,128,926	18,011,778	15,405,063	16,098,683
	426,631,567	302,269,438	279,793,692	291,898,754	156,542,019	115,879,630	72,320,685	54,551,591	48,627,367	50,258,047
ASSETS EMPLOYED										
Property, plant and equipment (PPE)	260,688,541	195,621,016	174,129,783	160,992,095	105,513,324	79,958,922	35,302,341	30,939,740	25,271,442	22,499,974
Non-current assets other than PPE	344,666,129	271,075,692	204,479,426	175,517,162	59,646,236	44,656,606	38,120,004	27,615,835	22,345,198	25,322,724
Current assets	147,428,630	96,674,562	88,244,768	78,892,279	30,602,185	23,057,277	19,313,775	16,706,508	18,438,331	13,715,280
Liabilities other than debt	(326,151,733)	(261,101,832)	(187,060,286)	(123,502,782)	(39,219,725)	(31,793,176)	(20,415,436)	(20,710,492)	(17,427,604)	(11,279,931)
	426,631,567	302,269,438	279,793,692	291,898,754	156,542,019	115,879,630	72,320,684	54,551,591	48,627,367	50,258,047
CASH FLOW										
Net cash flows generated from/(used in) operating activities	(6,127,553)	12,085,701	16,792,709	28,472,522	(985,535)	8,922,656	(6,327,487)	(2,761,368)	6,746,905	714,220
Net cash flows generated from/(used in) investing activities	(25,488,762)	(7,387,629)	(9,756,432)	(61,126,632)	(6,311,442)	(13,426,033)	(8,870,409)	(4,173,486)	(5,521,737)	(1,826,082)
Net cash flows generated from/(used in) financing activities	31,476,982	(1,606,215)	(8,139,033)	34,305,383	9,499,726	5,422,655	14,785,630	2,185,327	2,335,446	1,890,376
Net Increase/(decrease) in Cash and Cash Equivalents during the year	(139,334)	3,091,857	(1,102,756)	1,651,273	2,202,748	919,278	(412,265)	(4,749,526)	3,560,614	778,514
KEY INDICATORS										
Earnings/(Loss) per Share (Rs.)	152.51	11.20	(29.30)	101.54	(0.08)	17.03	7.22	11.48	26.78	(2.89)
Net Assets per Share (Rs.)	470.77	330.12	372.03	400.74	220.52	142.30	120.97	273.16	256.93	225.94
Market Price per Share (Rs.)	158.25	110.0	119.5	133.5	155.2	42.0	48.0	69.0	71.0	79.8
Market Capitalisation	33,647,906	23,388,750	25,408,688	28,385,438	33,005,779	8,930,250	10,206,000	4,890,375	5,032,125	5,655,825
Return on Shareholders' funds (%)	32.40	3.39	(7.88)	25.34	(0.03)	11.97	4.96	4.20	10.42	(1.28)
Return on Capital Employed (%)	16.88	15.98	12.79	14.78	1.79	3.84	5.50	9.90	15.07	0.27
Price Earnings Ratio (times)	1.04	9.82	(4.08)	1.31	(2.057)	2.47	6.65	6.01	2.65	(27.57)
Interest Cover (times covered)	1.56	0.88	0.76	3.36	0.50	0.82	1.03	1.82	2.52	0.10
Current Ratio (times)	0.40	0.33	0.39	0.47	0.46	0.51	0.58	0.57	0.71	0.81
Debt to Equity Ratio (%)	55.18	60.15	62.07	59.26	61.27	50.97	56.57	49.29	46.37	47.13
Number of Shares	212,625	212,625	212,625	212,625	212,625	212,625	212,625	70,875	70,875	70,875

ECONOMIC VALUE STATEMENT

As at 31st March	GROUP	
	2025 Rs.000	2024 Rs.000
Economic Value Generated		
Revenue	107,820,825	80,609,286
Interest Income	2,375,344	5,357,459
Dividend Income	162,859	223,897
Change in Fair Value of Investment Properties	2,109,701	13,492,767
Gain on Bargain Purchase of Subsidiaries	64,896,817	20,331,398
Gain/ (Loss) on disposal of subsidiaries	46,784	(27,242)
Other Income	6,443,217	1,252,170
	183,855,546	121,239,734
Economic Value Distributed		
Operating Costs	85,405,338	62,722,234
Employee Wages and Benefits	19,857,969	10,149,290
Payments to Providers of Funds	46,106,205	54,818,210
Payments to Government	(3,198,035)	2,021,601
	148,171,476	129,711,336
Economic Value Retained		
Depreciation	6,381,029	3,911,804
Amortisation	209,994	93,805
Profit/ (Loss) for the year	29,093,047	(8,530,675)
	35,684,070	(4,525,066)

INVESTOR RELATIONS

SHARE ANALYSIS AS AT 31ST MARCH 2025

	TOTAL		
	NO. OF SHAREHOLDERS	NO. OF SHARES	(%)
1 to 1,000 shares	3,211	806,954	0.37
1,001 to 10,000 shares	1,182	4,377,812	2.06
10,001 to 100,000 shares	423	11,527,111	5.42
100,001 to 1,000,000 shares	37	7,625,282	3.59
over 1,000,000 shares	10	188,287,841	88.56
Total	4,863	212,625,000	100.00

CATEGORIES OF SHAREHOLDERS

	NO. OF SHAREHOLDERS	NO. OF SHARES	(%)
Individual	4,511	18,426,590	8.67
Institutional	352	194,198,410	91.33
Total	4,863	212,625,000	100
Resident	4,666	206,454,133	97.10
Non-Resident	197	6,170,867	2.90
Total	4,863	212,625,000	100.00

DIRECTORS' SHAREHOLDINGS

NO. OF SHARES	31ST MARCH 2025	31ST MARCH 2024
Sampath Bank PLC/Mr. Ishara Nanayakkara	299,700	299,700
Mr. Kapila Jayawardena	Nil	Nil
Mrs. Kalsha Amarasinghe	Nil	Nil
Mr. Kandiah Sundararaj	Nil	Nil
Mr. Chitral Wijesinha	Nil	Nil
Mr. Danesh Abeyratne	Nil	Nil
Mr.Thamotharampillai Sanakan	Nil	Nil

SHARE PRICE INFORMATION ON ORDINARY SHARES OF THE COMPANY FOR FIVE YEARS

Year	High (Rs.)	Low (Rs.)	Close (Rs.)
2024-2025	212.00	96.80	158.25
2023-2024	149.00	91.00	110.00
2022- 2023	139.00	107.50	119.50
2021 - 2022	414.75	125.00	133.50
2020 - 2021	285.00	35.00	155.25

LIST OF 20 MAJOR SHAREHOLDERS

31.03.2025 NAME	NO.OF SHARES	%
1.1 SEYLAN BANK/ LOLC HOLDINGS PLC (COLLATERAL)	60,000,000	28.22
1.2 LOLC HOLDINGS PLC	52,092,103	24.50
1.3 HATTON NATIONAL BANK PLC/ LOLC HOLDINGS PLC	30,000,000	4.11
2 ENGINEERING SERVICES (PVT) LIMITED	16,588,962	7.80
3 MASONS MIXTURE LIMITED	13,732,632	6.46
4 EMPLOYEE'S PROVIDENT FUND	6,914,625	3.25
5 BROWNS HOLDINGS LIMITED	4,948,182	2.33
6 ACE BONUS INVESTMENTS LIMITED	1,755,000	0.83
7 VYJANTHI & COMPANY LTD	1,155,897	0.54
8 S.VASUDEVAN	1,100,440	0.52
9 SRI LANKA INSURANCE CORPORATION - LIFE FUND	786,990	0.37
10 COMMERCIAL BANK OF CEYLON PLC/S.A.GULAMHUSEIN	716,015	0.34
11 HATTON NATIONAL BANK PLC/ ARUNASALAM SITHAMPALAM	395,695	0.19
12 MRS.P.C.COORAY	331,408	0.16
13 HATTON NATIONAL BANK PLC/ SARRAVANAN NEELAKANDAN	310,098	0.15
14 SAMPATH BANK PLC/ISHARA CHINTHAKA NANAYAKKARA	299,700	0.14
15 MR.PALANIYANDY MURALITHARAN	290,000	0.14
15.1 DFCC BANK PLC/PALANIYANDY MURALITHARAN	240,645	0.11
16 MR.R.R.LEON	221,617	0.10
17 MR.B.W.KUNDANMAL	214,654	0.10
18 SIMONS TRUST SERVICE (PVT)LTD	200,000	0.09
19 MISS.M.P.RADHAKRISHNAN	192,880	0.09
20 MR. R. MAHESWARAN (DECEASED)	191,880	0.09
TOTAL	192,679,423	90.63
No. of shares held by public	34,963,421	16.44
No. of public shareholders	4,856	
Float adjusted Market Price	Rs. 5.53 Bn	

31.03.2024 NAME	NO.OF SHARES	%
1.1 SEYLAN BANK/ LOLC HOLDINGS PLC (COLLATERAL)	60,000,000	28.22
1.2 LOLC HOLDINGS PLC	52,092,103	24.50
1.3 HATTON NATIONAL BANK PLC/ LOLC HOLDINGS PLC	30,000,000	14.11
2 ENGINEERING SERVICES (PVT) LIMITED	16,588,962	7.80
3 MASONS MIXTURE LIMITED	13,732,632	6.46
4 EMPLOYEE'S PROVIDENT FUND	6,914,625	3.25
5 BROWNS HOLDINGS LIMITED	4,948,182	2.33
6 ACE BONUS INVESTMENTS LIMITED	1,755,000	0.83
7 S.V.SOMASUNDERAM	1,199,825	0.56
8 VYJANTHI & COMPANY LTD.	1,155,897	0.54
9 S.VASUDEVAN	1,135,205	0.53
10 SRI LANKA INSURANCE CORPORATION LTD-LIFE FUND	786,990	0.37
11 COMMERCIAL BANK OF CEYLON PLC/S.A. GULAMHUSEIN	716,015	0.34
12 HATTON NATIONAL BANK PLC/ ARUNASALAM SITHAMPALAM	395,695	0.19
13 MRS.P.C.COORAY	331,408	0.16
14 HATTON NATIONAL BANK PLC/ SARRAVANAN NEELAKANDAN	310,098	0.15
15 SAMPATH BANK PLC/ISHARA CHINTHAKA NANAYAKKARA	299,700	0.14
16 HATTON NATIONAL BANK PLC/ PALANIYANDY MURALITHARAN	270,000	0.13
17 MR.B.W.KUNDANMAL	264,678	0.12
18 BANK OF CEYLON NO. 1 ACCOUNT	234,241	0.11
19 SIMONAS TRUST SERVICE (PVT) LTD	200,000	0.09
20 MISS M.P. RADHAKRISHNAN	192,880	0.09
TOTAL	193,524,136	91.02
No. of shares held by public	34,963,421	16.44
No. of public shareholders	4,799	
Float adjusted Market Price	Rs. 3.85 Bn	

The Company complies with minimum public holding requirement under Option 1 as set out in the Listing Rules 7.14.1 (b) as at reporting date.

PARENT, SUBSIDIARY AND ASSOCIATE COMPANIES

COMPANY	DIRECTORS
LOLC Holdings PLC	Ishara Nanayakkara Kapila Jayawardena Kalsha Amarasinghe Conrad Dias K.Sundararaj K.Sivanesan G.S.Kalidasa
Browns Investments PLC	Ishara Nanayakkara Kamantha Amarasekera Kanthimany Sivanesan Mrs.Kalsha Amarasinghe Kapila Jayawardena Chitral Wijesinha
Associated Battery Manufacturers Ceylon Limited	Asish Kumar Mukherjee Avik Roy Thamotharampillai Sanakan Manju Gunawardena Ajith De Silva K.Aniruddha P.S.Ramachandra
S.F.L.Services (Pvt) Ltd	Gunendra Jayasena Thamotharampillai Sanakan Danesh Abeyrathne
Engineering Services (Pvt) Ltd	Gunendra Jayasena Thamotharampillai Sanakan Danesh Abeyrathne
Masons Mixture Limited	Gunendra Jayasena Thamotharampillai Sanakan Danesh Abeyrathne
Browns Group Motels Ltd	Gunendra Jayasena Thamotharampillai Sanakan
C.F.T.Engineering Ltd	Gunendra Jayasena Thamotharampillai Sanakan
Browns Group Industries (Pvt) Ltd	Gunendra Jayasena Thamotharampillai Sanakan
The Hatton Transport And Agency Company (Pvt) Ltd	Gunendra Jayasena Thamotharampillai Sanakan
Walker & Greig (Pvt) Ltd	Gunendra Jayasena Thamotharampillai Sanakan
Klevenberg (Pvt) Ltd	Danesh Abeyrathne Thamotharampillai Sanakan
Sifang Lanka (Pvt) Ltd	Gunendra Jayasena Thamotharampillai Sanakan

COMPANY	DIRECTORS
Galoya Holdings (Private) Limited	Kithsiri Gunawardena Danesh Abeyrathne Sanjaya Kalidasa Pradeep Kumara
Galoya Plantations (Pvt) Ltd	Kithsiri Gunawardena Danesh Abeyrathne Wasantha Batagoda Nalin Thisera Dr.Pradeep Uluwaduge Mr.Athula Kumara Y.I.M. Silva Chinthaka Abeywickrema
Browns Thermal Engineering (Pvt) Ltd	Gunendra Jayasena Thamotharampillai Sanakan
Browns Health Care Negombo (Pvt) Ltd	Thamotharampillai Sanakan Danesh Abeyrathne
Browns Industrial Park Ltd (Formerly Known as East West Textiles (Pvt) Ltd)	Gunendra Jayasena Thamotharampillai Sanakan Danesh Abeyrathne
Snowcem Products Lanka (Pvt) Ltd	Danesh Abeyrathne Thamotharampillai Sanakan
Browns Holdings Ltd	Kalsha Amarasinghe Kithsiri Gunawardena
Browns Pharma Ltd	Thamotharampillai Sanakan Manju Gunawardena
Browns Agri Solutions (Pvt) Ltd	Danesh Abeyrathne Manju Gunawardena Thamotharampillai Sanakan Wasantha Batagoda
B.I.Holdings (Pvt) Ltd (Formerly known as Browns Pharmaceuticals Limited)	Thamotharampillai Sanakan Mangala Wijesinghe
Browns Leisure (Pvt) Ltd	Danesh Abeyrathne Thamotharampillai Sanakan Gunendra Jayasena
Ceylon Nano Diagnostics (Pvt) Ltd	Danesh Abeyrathne Wasantha Batagoda Manju Gunawardena Nareshkumar Handagama Azeez Mubarak Sanjaya Bathige

PARENT, SUBSIDIARY AND ASSOCIATE COMPANIES

COMPANY	DIRECTORS
Browns Property Holdings (Pvt) Ltd	Gunendra Jayasena Thamotharampillai Sanakan Danesh Abeyrathne
Browns Group Industrial Park (Pvt) Ltd (Formerly known as ISIN Lanka (Pvt) Ltd	Thamotharampillai Sanakan Gunendra Jayasena
B.G.Air Services (Pvt) Ltd	Thamotharampillai Sanakan Kamantha Amarasekera Danesh Abeyrathne Panduka Weerasingha Gunendra Jayasena
Samudra Beach Resorts (Pvt) Ltd	Kamantha Amarasekera Gunendra Jayasena Eksath Wijeratne
Millennium Development (Pvt) Ltd	Kamantha Amarasekera Thamotharampillai Sanakan Eksath Wijeratne
Excel Global Holdings (Pvt) Ltd	Kamantha Amarasekera Thamotharampillai Sanakan
Taprobane Plantations Ltd	Nilimini Nanayakkara Hewa Maddumage Siripala
Excel Restaurants (Pvt) Ltd	Kamantha Amarasekera Thamotharampillai Sanakan Eksath Wijeratne
Ajax Engineers (Pvt) Ltd	Kamantha Amarasekera Verny Gunarathne Thamotharampillai Sanakan Charitha Jayasinghe
Green Paradise (Pvt) Ltd	Kamantha Amarasekera Eksath Wijeratne Kalsha Amarasinghe Gunendra Jayasena
B I Zhongtian (Pvt) Ltd	Gunendra Jayasena Kamantha Amarasekera
Browns Global Farm (Pvt) Ltd	Gunendra Jayasena Kamantha Amarasekera
Sun & Fun Resorts Ltd	Gunendra Jayasena Vamsi Vemuru Kamantha Amarasekera Tilak Selviah Eksath Wijeratne
B I Commodities and Logistics (Pvt) Ltd	Kamantha Amarasekera Gunendra Jayasena Danesh Abeyrathne Manju Gunawardena Anura Vithanage

COMPANY	DIRECTORS
Ceylon Roots Lanka (Pvt) Ltd	Gunendra Jayasena Kamantha Amarasekera Nishantha Perera Dishan Perera
Browns Teas (Pvt) Ltd	Kamantha Amarasekera Gunendra Jayasena Panduka Weerasingha
Browns Metal & Sands (Private) Ltd	Kamantha Amarasekera Danesh Abeyrathne Panduka Weerasingha Sunjeevani Kotakadeniya
Browns Engineering and Construction (Pvt) Ltd	Kamantha Amarasekera Nimal Lokuge Kithsiri Gunawardena Jagath Pathirena Gunendra Jayasena
Gurind Accor (Pvt) Ltd	Gurmeet Singh Kamantha Amarasekera
F L P C Management (Pvt) Ltd	Kamantha Amarasekera Gunendra Jayasena Panduka Weerasingha
Browns Power Holdings (Pvt) Ltd	Kamantha Amarasekera
Browns Properties (Pvt) Ltd	Kamantha Amarasekera Gunendra Jayasena Panduka Weerasingha Wasantha Batagoda
Maturata Plantations Ltd	Dr. Pradeep Uluwaduge Kamantha Amarasekera Kithsiri Gunawardena Sunjeevani Kotakadeniya Nayana Dharmaratne Dhamitha Perera Manju Gunawardana
The Tea Leaf Resort Holding (Pvt) Ltd	Priyantha Perera Anton Aloysius Shamendra Panditha Kamantha Amarasekera
Serendib Hotels PLC	Kapila Jayawardena Kalsha Amarasinghe Kamantha Amarasekera Dr. Jayanta Swaminathan Thilan Wijesinghe Andrew Chojnacki Dilip Rajakarier T Dharmarajah

PARENT, SUBSIDIARY AND ASSOCIATE COMPANIES

COMPANY	DIRECTORS
Dolphin Hotels PLC	Kapila Jayawardena Kamantha Amarasekera T Dharmarajah Dr. Jayanta Swaminathan Stefan Furkhan Eksath Wijerathne T Dharmarajah
Hotel Sigiriya PLC	Kapila Jayawardena Kalsha Amarasinghe Kamantha Amarasekera Dr. Jayanta Swaminathan S.Furkhan T Dharmarajah
Frontier Capital Lanka (Pvt) Ltd	Kamantha Amarasekera Dr. Jayanta Swaminathan
Sanctuary Resorts Lanka (Pvt) Ltd	Kamantha Amarasekera Dr. Jayanta Swaminathan
Kammala Hoteliers (Pvt) Ltd	Kamantha Amarasekera Dr. Jayanta Swaminathan
NPH Investment (Pvt) Ltd	Kamantha Amarasekera Ibrahim Mohamed Tilak Selviah Ali Niman Kithsiri Gunawardena Mohomed Manik
Serendib Leisure Management Ltd	Kamantha Amarasekera Kalsha Amarasinghe Dr. Jayanta Swaminathan Dillip Rajakarier
Sunbird Bioenergy (SL) Limited	Kamantha Amarasekera Kalsha Amarasinghe Danesh Abeyrathne Deepak Kohli Richard Bennett
Grey Reach Investments Ltd	Kamantha Amarasekera Danesh Abeyrathne Kithsiri Gunawardena Deepak Kohli Richard Bennett Loc D Nguyen
Browns Ari Resort (Pvt) Ltd	Kamantha Amarasekera Mohomed Niham S Mohmed Dr.Pradeep Uluwaduge
Browns Raa Resort (Pvt) Ltd	Dr. Pradeep Uluwaduge Kamantha Amarasekera Mohomed Niham
B Commodities ME FZE	BI Commodities & Logistics (Pvt) Ltd M I I Ibrahim (Manager)

COMPANY	DIRECTORS
Browns Hotels and Resorts Ltd	Sunjeevani Kotakadeniya Jayantha Kelegama Kamantha Amarasekera
Sri Spice (Private) Limited	Danesh Abeyrathne Manju Gunawardena Janaka Wickramasinghe
Tropical Island Commodities (Private) Limited	Danesh Abeyrathne Manju Gunawardena Janaka Wickramasinghe Danushkha Mallawarachchi
Ceylon Real Estate Holdings (Pvt) Ltd	Imraz Iqbal Kamantha Amarasekera Kithsiri Gunawardena
Colombo Marina Development (Pvt) Ltd	Imraz Iqbal Kamantha Amarasekera Kithsiri Gunawardena
Marina Hotel Holdings (Pvt) Ltd	Imraz Iqbal Kamantha Amarasekera Kithsiri Gunawardena
Marina Hotel (Pvt) Ltd	Dulip Samaraweera Shehan Bartholomeuz Imraz Iqbal
Colombo Marina International (Pvt) Ltd	Dulip Samaraweera Shehan Bartholomeuz Imraz Iqbal
Hapugastenne Plantations PLC	Dr. Pradeep Uluwaduge Dushanth Ratwatte Sunjeevani Kotakadeniya Kamantha Amarasekera Anusha Perera Thiyagarajah Dharmarajah Ebert Silva Dhamitha Perera Meepe Mohottige Manju Gunawardana
Udapussellawa Plantations PLC	Dr. Pradeep Uluwaduge Dushanth Ratwatte Sunjeevani Kotakadeniya Kamantha Amarasekera Anusha Perera Thiyagarajah Dharmarajah Ebert Silva Dhamitha Perera Meepe Mohottige Manju Gunawardana

PARENT, SUBSIDIARY AND ASSOCIATE COMPANIES

COMPANY	DIRECTORS
Newburgh Green Teas (Pvt) Ltd	Dr. Pradeep Uluwaduge Dushanth Ratwatte Niwantha Amarasinghe Jayantha Karunaratne Anusha Perera Sisira Pushpakumara Abhaya Gurusinghe Chandana De Silva Amrit Dayananda A. Fernando (Alt. Dir. to C.B.D.Silva) H.H. Samaranayake (Alt. Dir. to A Gurusinghe) J.P. Karunaratne (Alt. Dir. to Jayantha Karunaratne)
Iconic Trust (Pvt) Ltd	Kamantha Amarasekera Kithsiri Gunawardena Panduka Weerasingha
Agstar PLC	Ishara Nanayakkara Indika Gunawardhana Panduka Weerasingha Thamotharampillai Sanakan Sarath Jayasuriya Manju Gunawardena K.Sivanesan
Sierra Cables PLC	Ishara Nanayakkara Kamantha Amarasekara Buwanekabahu Perera Panduka Weerasinghe Sunjeevani Kotakadeniya Gunendra Jayasena Harsha Jayatunga Sarath Jayasuriya Shantha Perera Shamendra Panditha
Browns Piling (Private) Limited	Kamantha Amarasekera Panduka Weerasingha Jagath Pathirana Nimal Lokuge
Sansun Boutique Hotels Ltd	Panduka Weerasingha Eksath Wijeratne Gunendra Jayasena Kamantha Amarasekara
Browns Developments Limited	Wasantha Batagoda Kamantha Amarasekara Indika Gunawardena
Agstar Grains (Pvt) Ltd	Indika Gunawardena Danesh Abeyarathne Panduka Weerasingha
Mahaweli Agro Trading (Pvt) Ltd	Danesh Abeyarathne Panduka Weerasingha Indika Gunawardena

COMPANY	DIRECTORS
Agstar Exports (Pvt) Ltd	Danesh Abeyarathne Panduka Weerasingha Indika Gunawardena
Prith Seeds (Pvt) Ltd	Danesh Abeyarathne Panduka Weerasingha Indika Gunawardena
Agstar Cropcare (Pvt) Ltd	Danesh Abeyarathne Panduka Weerasingha Indika Gunawardena
Royal Seed Company (Pvt) Ltd	Danesh Abeyarathne Panduka Weerasingha Indika Gunawardena
Eden Hotel Lanka PLC	Kapila Jayawardena Kalsha Amarasinghe Kamantha Amarasekara Stefan Furkhan Dr Jayantha Swaminathan J.Selvaratnam T.Dharmarajah
Palm Garden Hotels PLC	Kapila Jayawardena Kalsha Amarasinghe Kamantha Amarasekara Dr Jayantha Swaminathan Eksath Wijeratne J.Selvaratnam T.Dharmarajah
Dickwella Resorts (Pvt) Ltd	Jayantha Kelegama Gunendra Jayasena
B I Leisure Holdings (FZE)	M.Imraz Iqbal Kamantha Amarasekara
Bodufaru Beach Resort (Pvt) Ltd	Kamantha Amarasekara Kithsiri Gunwardena Mohamed Niham
Browns Kaafu N Resorts (Pvt) Ltd	Kamantha Amarasekara A. Razzak
LOLC Investment Holdings Four (Pvt) Ltd	Kamantha Amarasekara Gunendra Jayasena Danesh Abeyrathne
PL Resorts Ltd	Kamantha Amarasekara Kalsha Amarasinghe Shantha Kurumbalapitiya A.M.Y. Abdul Latiff
Riverina Resorts (Pvt) Ltd	Kamantha Amarasekara Eksath Wijeratne
Tropical Villas (Pvt) Ltd	Kamantha Amarasekara Jayantha Kelegama Gunendra Jayasena
NPH Developments (Pvt) Ltd	Ibrahim Mohamed Ali Niman Sanjaya Vajirabuddhi

PARENT, SUBSIDIARY AND ASSOCIATE COMPANIES

COMPANY	DIRECTORS
Browns Sola Solutions (Pvt) Ltd	Thamotharampillai Sanakan Gunendra Jayasena
Tea Smallholder Factories PLC	Dr. Pradeep Uluwadduge A. Goonethilleke P.P. Edirisinghe Kamantha Amarasekera G.D.V. Perera A.S.Perera T. Dharmarajah U.H.E.. Silva
Pusellawa Plantations Ltd	K P G U Kariyawasam D S K Amarasekara Dr. P S H Uluwaduge M Gunawardena A S Perera N R Nanayakkara
F L M C Plantations Ltd	D S K Amarasekara Dr. P S H Uluwaduge M Gunawardena A S Perera
Ceylon Estate Teas (Pvt) Ltd	R P D Ramanayake W A A Asanga L R W S Rajasekara
Melfort Green Teas (Pvt) Ltd	R P D Ramanayake G P N A G Gunathilake W A A Asanga L R W S Rajasekara

GLOSSARY OF FINANCIAL TERMS

ACCRUAL BASIS

Recording revenues and expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

CAPITAL EMPLOYED

Shareholders' funds plus non-controlling interests and debt.

CONTINGENT LIABILITIES

A condition or situation existing at the balance sheet date due to past events, where the obligation is crystallised by the occurrence or nonoccurrence of one or more future events.

CURRENT RATIO

Current assets divided by current liabilities.

DEBT/EQUITY RATIO

Debt as a percentage of shareholders' funds and non-controlling interests.

DIVIDEND PAYABLE

Final dividend per share multiplied by the latest available total number of shares as at the date of the report.

DIVIDEND PAYOUT RATIO

Dividend as a percentage of company profits.

EARNINGS PER SHARE

Profit attributable to equity holders of the parent divided by the weighted average number of ordinary shares in issue during the period.

EBIT

Earnings Before Interest and Tax (includes other income).

INTEREST COVER

Consolidated profit before interest and tax over finance expenses.

MARKET CAPITALISATION

Number of shares in issue at the end of period multiplied by the market price at the end of the period.

NET ASSETS

Total assets minus current liabilities minus long term liabilities minus noncontrolling interests.

NET ASSETS PER SHARE

Net assets as at a particular financial year end divided by the number of shares in issue as at the current financial year end.

PRICE EARNINGS RATIO

Market price per share over earnings per share.

PUBLIC HOLDING

Percentage of shares held by the public calculated as per the Colombo Stock Exchange's Listing Rules as of the date of the Report.

RETURN ON CAPITAL EMPLOYED (ROCE)

Consolidated profit before interest and tax as a percentage of capital employed.

RETURN ON SHAREHOLDERS' FUND

Profit attributable to shareholders as a percentage of shareholders' funds.

SHAREHOLDERS' FUNDS

Total of stated capital, capital reserves and revenue reserves.

TOTAL DEBT

Long term loans plus short term loans plus overdrafts.

TOTAL EQUITY

Shareholders' funds plus non-controlling interest.

ONE HUNDRED AND THIRTY-THIRD ANNUAL GENERAL MEETING OF BROWN AND COMPANY PLC

NOTICE IS HEREBY GIVEN THAT THE ONE HUNDRED AND THIRTY THIRD ANNUAL GENERAL MEETING of the Company will be held on Friday, **26th September 2025** at 11.00 a.m. as an on-line audio-visual meeting with arrangements for the on-line meeting platform made at No.100/1, Sri Jayawardenapura Mawatha, Rajagiriya, for the following purposes:

ORDINARY BUSINESS

1. To receive and consider the Report of the Directors and Statement of Accounts of the Company for the Financial Year ended 31st March 2025 with the Auditors' Report thereon.
2. To re-elect Mr. Chitral Wijesinha as an Independent Non Executive Director who retires in accordance with Article 24(2) of the Articles of Association of the Company.
3. To re-elect Mr. K. Sundararaj as a Senior Independent Non-Executive Director who retires in accordance with Article 24(2) of the Articles of Association of the Company.
4. To re-elect Mr. I C Nanayakkara as an Executive Director who retires by rotation in accordance with Article 24(6) of the Articles of Association of the Company.
5. To re-appoint M/s. Deloitte Partners, Chartered Accountants as the External Auditors of the Company for the ensuing financial year at a remuneration to be fixed by the Directors.
6. To approve in terms of the Companies (Donations) Act (No. 26 of 1951, the making of donations by the Directors as determined by them for the current Financial Year and until the next Annual General Meeting of the Company

SPECIAL BUSINESS

7. To resolve by way of a Special Resolution amendments to the Articles of Association :

By deleting existing Articles 24(1) and 35(7)(i) to (v) and substituting same with the following instead, to reflect the requirements mandated under Section 9.9 of the Listing Rules.

24(1) The number of Directors shall not be less than 5 (five)

35. ALTERNATE DIRECTORS

7. (i) An Alternate Director shall only be appointed in exceptional circumstances by any Director giving notice in writing left at the Office of the Company and approved by the Board to be an alternate Director of the Company to act in their place during their absence, subject to applicable laws, rules and regulations. Any such appointment shall not exceed a period of one year from the date of appointment. and the following provisions of this Article shall apply to any person so appointed.

- (ii) A person appointed to be an Alternate Director shall not in respect of such appointment be entitled to receive any remuneration from the Company nor be required to hold any share qualification but the Board may repay the Alternate Director such reasonable expenses as they may incur in attending and returning from meetings of the Board which they are entitled to attend or as they may otherwise properly incur in or about the business of the Company or may pay such allowances as they may think proper in respect of these expenses.
- (iii) An alternate Director shall (on them giving an address for such notices to be served) be entitled to receive notices of all meetings of the Board and to attend and vote as Director at any such meeting at which the Director appointing them is not personally present and generally to perform all the functions of their appointor as a Director in the absence of such appointor.
- (iv) An Alternate Director may be appointed for a specified period or until the happening of a specified event subject to subclause 7(i) but they shall ipso facto cease to be an Alternate Director in any of the following events, that is to say:-
 - a) upon the return of their appointor including a return to Sri Lanka;
 - b) if their appointor ceases for any reason to be a Director; provided that if any Director retires by rotation but is re-elected at the meeting at which such retirement took effect, any appointment made by them pursuant to this Article which was in force immediately prior to their retirement shall continue to operate after their re-election as if they had not so retired;
 - c) if the appointment of the Alternate Director is revoked by their appointor, by notice in writing left at the office;
 - d) if the Board resolves that the appointment of the Alternate Director be terminated.
 - e) If they become prohibited by law from acting as alternate Director including;
 - e-1) being convicted of any offense punishable by imprisonment; or
 - e-2) convicted of any offense involving dishonest or fraudulent acts whether in Sri Lanka or elsewhere.
 - f) If they resign by writing under their hand left at the Office.
 - g) If they cease to hold office in terms of Section 207 of the Act
 - h) If they become disqualified from being a Director in terms of Section 202 of the Act.

- (v) A Director shall not vote on the question of the approval of an Alternate Director to act for them or on the question of the termination of the appointment of such an Alternate Director under sub-paragraph (iv) of the foregoing sub-clause of this Article, and if they do so their vote shall not be counted; nor for the purpose of any resolution for either of these purposes shall they be counted in the quorum present at the meeting.
- (vi) If an Alternate Director is appointed for a non-executive director, such alternate should not be an executive of the Company. Similarly, if an alternate director is appointed for an independent director, the person so appointed shall meet the criteria for independence under applicable laws, rules and regulations.
- (vii) The attendance of any Alternate Director at any meeting subject to article 7(v) above, including Board committee meetings, shall be counted for the purpose of quorum.

By order of the Board

BROWN AND COMPANY PLC



LOLC CORPORATE SERVICES (PVT) LTD
Secretaries
28th August 2025

Rajagiriya (in the greater Colombo)

NOTES

STAKEHOLDER FEEDBACK FORM

Brown and Company PLC values your opinions and feedback. We invite you to share your thoughts to help us enhance our governance, operations, financial condition, and future prospects. Please take a moment to fill out this form with your comments and suggestions. Your feedback will be treated confidentially and used solely for the purpose of improving our stakeholder communication and overall performance.

Contact Information

Name :

Email :

Phone :

Company/Organisation :

WHICH STAKEHOLDER GROUP/S DO YOU BELONG TO? (You may tick more than one)

☐ Shareholder	☐ Employee	☐ Service Provider
☐ Customer	☐ Student	☐ Supplier
☐ Community	☐ Regulatory Body	☐ Special Interest Group
☐ Public Authority	☐ Journalist	

GENERAL FEEDBACK

1. How would you rate your overall satisfaction with the Company's communication practices?

☐ Very Satisfied

☐ Satisfied

☐ Neutral

☐ Dissatisfied

☐ Very Dissatisfied

2. How often do you feel the Company provides timely and accurate information?

☐ Always

☐ Often

☐ Sometimes

☐ Rarely

☐ Never

3. How effective do you find the Company's use of its website and social media for communication?

☐ Very Effective

☐ Effective

☐ Neutral

☐ Ineffective

☐ Very Ineffective

SPECIFIC FEEDBACK

1. What specific aspects of the Company's communication do you find most useful?

☐ Financial Reports

☐ Annual Reports

☐ Press Releases

☐ Investor Briefings

☐ Social Media Updates

☐ Website Content

☐ Other (please specify):

2. How would you rate the accessibility of the Company's spokespersons for providing information and responding to queries?

☐ Very Accessible

☐ Accessible

☐ Neutral

☐ Inaccessible

☐ Difficult to Access

3. How effectively does the Company address your concerns and queries?

☐ Very Effective

☐ Effective

☐ Neutral

☐ Ineffective

☐ Very Ineffective

STAKEHOLDER FEEDBACK FORM

Forward-Looking Information & Major Developments

1. How useful do you find the Company’s forward-looking comments and information on future prospects?

- ☐ Very Useful
- ☐ Useful
- ☐ Neutral
- ☐ Not Useful
- ☐ Not Useful at All

2. How effectively does the Company handle the communication of major corporate developments [e.g., mergers, acquisitions, new products]?

- ☐ Very Effectively
- ☐ Effectively
- ☐ Neutral
- ☐ Ineffectively
- ☐ Very Ineffectively

Crisis Communication & Confidentiality

1. How confident are you in the Company’s ability to manage crisis communications?

- ☐ Very Confident
- ☐ Confident
- ☐ Neutral
- ☐ Not Confident
- ☐ Not Confident at All

2. How well does the Company maintain the confidentiality of sensitive information?

- ☐ Very Effectively
- ☐ Effectively
- ☐ Neutral
- ☐ Ineffectively
- ☐ Very Ineffectively

Additional Comments

Please provide any additional comments or suggestions you have for improving the Company’s communication practices.

Submission

Please return the completed form to:

Investor Relations/ Communications

Brown and Company PLC
No. 34, Sir Mohamed Macan Markar Mawatha, Colombo 03.
Email: prasanna.g@brownsgroup.com

FORM OF PROXY

BROWN AND COMPANY PLC - REG. NO. PQ 25

I/We
of being a member/members of Brown and Company
PLC hereby appoint
of.....whom failing

Ishara Nanayakkara or failing him
Kapila Jayawardena or failing him
Kalsha Amarasinghe or failing her
Danesh Abeyrathne or failing him
Thamotharampillai Sanakan or failing him
Kandiah Sundararaj or failing him
Chitral Wijesinha

as my/our proxy to represent me/us and vote on my/our behalf at the One Hundred and Thirty Third Annual General Meeting of the Company to be held on Friday, 26th September 2025 and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid Meeting.

ORDINARY BUSINESS

	For	Against
1. To re-elect Mr. C. Wijesinha as an Independent Non-Executive Director, who retires by rotation in accordance with Article 24(2) of the Articles of Association of the Company.	☐	☐
2. To re-elect Mr. K. Sundararaj as a Senior Independent Non-Executive Director, who retires by rotation in accordance with Article 24(2) of the Articles of Association of the Company	☐	☐
3. To re-elect Mr. I. C Nanayakkara as an Executive Director, who retires by rotation in accordance with Article 24(6) of the Articles of Association of the Company.	☐	☐
4. To re-appoint M/s. Deloitte Partners, Chartered Accountants, as the Auditors of the Company for the ensuing financial year at a remuneration to be fixed by the Directors	☐	☐
5. To authorise the Directors to make donations	☐	☐

SPECIAL BUSINESS

6. To resolve by way of Special Resolution amendments to the Articles of Association	☐	☐
--	--------------------------	--------------------------

Dated this day of.....2025

.....
Signature/s of shareholder/s

NOTE:

1) A proxy need not be a member of the company

FORM OF PROXY

INSTRUCTIONS AS TO COMPLETION

1. Please return the completed Form of Proxy after filling in legibly your full name and address, signing on the space provided and filling in the date of signature.
2. The Proxy shall
 - a) In the case of an individual, be under the hand of the shareholder or his or /her attorney, and if signed by an attorney a notarially certified copy of the Power of Attorney should be attached to the completed Form of Proxy if it has not already been registered with the Company.
 - b) If the shareholder is a company or a corporation, be either under its common seal or under the hand of an officer or attorney authorised by such organisation on that behalf in accordance with its Articles of Association or Constitution

Please indicate with an 'X' how the proxy should vote on each Resolution. If no indication is given, the proxy shall exercise his/her discretion and vote as he/she thinks fit.

4. The Completed Form of Proxy should be deposited at LOLC Corporate Services (Pvt) Ltd, Secretaries to Brown and Company PLC, 4th Floor, No.34, Sir Mohamed Macan Markar Mawatha, Colombo 3, or scanned and emailed to corporateservices@lolc.com with the email subject titled "BCL AGM PROXY" or sent by facsimile to +94112865602 (with the email subject titled "BCL AGM PROXY" not later than 48 hours before the time appointed for the holding of the meeting.

CORPORATE INFORMATION

BROWN AND COMPANY PLC - REG NO PQ 25

LEGAL FORM

A Public Limited Liability Company incorporated in Sri Lanka on 17th August 1892 under the Joint Stock Companies Ordinance 1861 and re-registered under the Companies Act No. 07 of 2007. The Company was listed on the Colombo Stock Exchange on 25th April 1991.

COMPANY REGISTRATION NO.

PQ 25

DIRECTORS

Ishara Nanayakkara

Executive Chairman

Kapila Jayawardena

Non-Executive Director

Mrs. Kalsha Amarasinghe

Non-Executive Director

Danesh Abeyrathne

Executive Director

Thamotharampillai Sanakan

Executive Director/CEO

Janaka de Silva

Senior Interdependent Director (SID)
(Retired w.e.f. 1st Jan 2025)

Tissa Bandaranayake

Independent Non-Executive Director
(Retired w.e.f. 1st Jan 2025)

K.Sundararaj

Senior Independent Non Executive Director
(Appointed on 1st Jan 2025)

Chitral Wijesinha

Independent Non Executive Director
(Appointed on 1st Jan 2025)

SECRETARIES

L O L C Corporate Services (Private) Limited, No.100/1,
Sri Jayewardenepura Mawatha, Rajagiriya.

Tel : 011 5063000

Fax : 011 2865602

Email : corporateservices@lolc.com

REGISTRARS

S S P Corporate Services (Pvt) Ltd 101, Inner Flower Road,
Colombo 03

Tel : 011 2573894

Fax : 011 2573609

REGISTERED OFFICE

No. 481, T. B. Jayah Mawatha (Darley Road),
P. O. Box 200, Colombo 10.

Tel : 011 5063000

Fax : 011 2865602

Website : www.brownsgroup.com

BUSINESS OFFICE

No. 34, Sir Mohamed Macan Markar Mawatha, Colombo 3.

Tel : 011 5063000.

Fax : 011 2865602

Website : www.brownsgroup.com.

AUDITORS

Messrs Deloitte Partners, Chartered Accountants,
No. 100, Braybrooke Place, Colombo 02.

Tel : 011 7719838

Fax : 011 2303197

Website : www.deloitte.com/lk

BANKERS

Bank of Ceylon

Commercial Bank of Ceylon PLC

Cargills Bank Ltd.

DFCC Bank PLC

Hatton National Bank PLC

MCB Bank Ltd.

National Development Bank PLC

Peoples Bank

Pan Asia Banking Corporation PLC

Standard Chartered Bank

Sampath Bank PLC

Seylan Bank PLC

Union Bank of Colombo PLC

Nations Trust Bank

National Savings Bank

Amana Bank PLC

Bank of China Limited

State Mortgage & Investment Bank

Designed & produced by



Digital Plates & Printing by
Softwave Printing and Publishing (Pvt) Ltd



BROWN AND COMPANY PLC

No. 481, T. B. Jayah Mawatha (Darley Road), P. O. Box 200, Colombo 10. (Registered Address)

No. 34, Sir Mohamed Macan Markar Mawatha, Colombo 3 (Business Address)

Tel: 011 5063000

Website: www.brownsgroup.com